

THE AUSTIN MUSIC CENSUS

A DATA-DRIVEN ASSESSMENT OF AUSTIN'S
COMMERCIAL MUSIC ECONOMY



BY TITAN MUSIC GROUP, LLC
FOR
THE CITY OF AUSTIN ECONOMIC DEVELOPMENT DEPARTMENT'S
MUSIC & ENTERTAINMENT DIVISION

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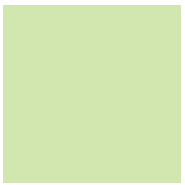
= ALL RESPONDENTS WHO TOOK THE SURVEY



= MUSICIAN-ONLY RESPONDENTS



= MUSIC INDUSTRY EMPLOYEE/CONTRACTOR + OWNER
RESPONDENTS



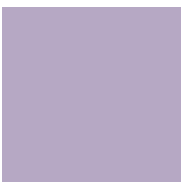
= MUSIC INDUSTRY BUSINESS OWNER-ONLY RESPONDENTS



= VENUE OWNER/MANAGER-ONLY RESPONDENTS



= CHARTS BY AGE CATEGORY



= TEXT ANALYSIS CHARTS OF WRITE IN RESPONSES

Executive Summary and Key Findings

INTRODUCTION

The ATX Music Industry Census and Needs Assessment (the “Austin Music Census”) provides a starting point to plan initiatives to best serve Austin’s music industry growth and establishes a benchmark for future measurements. With nearly 4,000 survey respondents, eight focus groups and 20 interviews, the Census is the most detailed survey of the Austin commercial music industry undertaken to date. No previous studies of this kind existed to be used as best practices or for comparison data.

The Austin Music Census measures three key categories of music industry innovators: musicians, music industry entrepreneurs and employees, and live music venues. At its core, the Census is the collective thoughts and opinions of nearly 4,000 Austin musicians and music industry operators. The ATX Music and Entertainment Office is a division of the City of Austin’s Economic Development Department, which is tasked with leading the global business recruitment, urban regeneration, small business development, cultural arts, and music efforts for the City of Austin.¹ Don Pitts, the Manager of the City of Austin’s ATX Music and Entertainment Office commissioned this study to improve the Division’s understanding of these categories of music industry innovators and their needs for future growth of jobs, salaries, and revenues. Perhaps even more important is that the Austin Music Census was commissioned because of a strong desire *to listen* to the public, and to find ideas and best practices to provide best-in-class services to the Austin music industry based on a holistic, broad-based view of its participants.

Austin’s music community is an economic development engine that generates a complex ecosystem with the three key categories of music industry innovators at its center. That music industry engine also benefits Austin with thousands of jobs and hundreds of millions of dollars of music tourism revenue. Music tourism creates cash flows that come directly to the City’s General Fund, as well as international branding that is a key factor for local companies outside the music industry to compete for high quality workforce recruitment, and also attracts technology companies and other employers to locate in Austin.

Austin is now the 11th largest city in the U.S., and the fastest growing city by a wide margin of all of the largest 25 cities.² The Austin Median Family Income (MFI) is well above the Texas MFI, and general prosperity indicators have increased for Austin’s population year over year.³ The Austin Music Census provides many measurements and insights into the Austin music industry, including comparisons of certain demographic and income data from the three key categories of music industry innovators to Austin’s population as a whole.

Austin has been a leader among cities in presenting itself as a “music city.” There are exciting things happening within the sphere of public initiatives developing regionalized commercial music industries; in fact, the first-ever Music Cities Convention will take place in May 2015 in Brighton, England with presenters from around the world.

This is an opportune moment to commission the Austin Music Census. In some ways, cities are becoming the new structural unit for developing music economies. Many cities around the world are beginning to understand that there is a distinct advantage in retaining or building an artist class as a critical means of becoming innovative, thought-leading and prosperous hubs, and are acting on those ideas. Many of the

¹ City of Austin Website, Economic Development Department. Web. 8 May 2015. <http://austintexas.gov/department/economic-development>.

² Cohen, Darryl T. "Population Trends in Incorporated Places: 2000 to 2013." *United States Census Bureau*. U.S. Census Bureau. Mar 2015. Web. 27 Apr. 2015. <<http://www.census.gov/library/publications/2015/demo/p25-1142.html>>.

³ US Census Bureau, *Texas QuickFacts*. Web. 8 May 2015. <http://quickfacts.census.gov/qfd/states/48000.html>.

most innovative efforts are focused on using “design thinking” to plan city and private sector roles in building stronger, creative industries.

What does all this mean for Austin given our many historical successes in growing and capitalizing on a local commercial music industry with a unique, Austin-centric character? How should Austin’s city planners and other invested stakeholders understand what the local industry should look like in ten years, and how the industry will get there? Can and should the City set goals for specific changes, and what should those goals be?

The Austin Music Census provides a clear, data-driven view of the current state of Austin’s commercial music industry to help policy makers answer these questions.

The data presented here regarding key needs and gaps represents the collective opinions of a very large cross-section of the Austin music industry. We have analyzed and highlighted key issues for future policy consideration and presented research on best practices used in other cities that may be relevant. However, any detailed exploration of policy recommendations, feasibility issues, or other considerations is outside the scope of this study.

Rather, we collected and present both qualitative and quantitative data that establishes a current baseline of information as well as a working methodology for future measurements of Austin’s music industry to enable policy makers to formulate effective policies for future growth.

GOALS OF THE AUSTIN MUSIC CENSUS

The Austin Music Census was conceived by the ATX Music and Entertainment Division to accomplish two main goals:

- Benchmark a comprehensive inventory of Austin’s music industry by eliciting granular information from three main private sector categories: Live music venues, individual musicians and music industry workers. Respondents answered demographic questions as well as a broad series of questions about how they earn income, what they thought was going well in Austin and what could be better for themselves and in Austin’s music industry generally.
- Assess key needs and gaps by analyzing Austin Music Census data and propose next steps and key criteria to assist City of Austin policy makers in identifying economic development opportunities.

The Austin Music Census includes a substantial amount of data from original research on the three key categories of music industry innovators, which is presented in charts and other appendices of the Census. Much more can and should be learned from these charts through further investigation and analysis. The Austin Music Census can become a reference resource to which Austin’s policy makers can return as strategic planning and policy-making evolves.

ROLES FOR PRIVATE SECTOR, NONPROFITS, AND CITY OF AUSTIN

The private sector clearly drives the Austin music industry, but nonprofits and the City of Austin each have an essential role to play in developing and executing a long-term plan for music industry retention and growth. Each of these actors brings distinct capabilities and assets to bear, and a successful plan should utilize them all. A fundamental finding of the Census is that maturation of some parts of the Austin music economy creates new opportunities. Simultaneously, growing “fault lines” in other parts of the industry suggest the wisdom of bringing a new emphasis to a comprehensive economic development strategy among the private sector, nonprofits and the City of Austin to retain and develop Austin’s creative assets.

The Austin Music Census may help inform those discussions on topics such as minimizing venue regulations, developing affordable housing stock, building commercial music industry hubs and presenting professional development and education opportunities.

CENSUS ANALYSIS STRUCTURE: THREE CATEGORIES OF MUSIC INDUSTRY INNOVATORS

Dividing the Austin music community into the three categories of musicians, music industry workers and live music venues allows the Austin Music Census to elicit information about each category, compare each to the Austin Metropolitan Statistical Area ("MSA") as a whole, and observe the interdependence of each category with the others. This is particularly true of the needs and gaps analysis as each category has its own unique issues that also affect the other. Three examples of interdependence are declining cover charge, regulatory requirements and rising commercial and residential property costs.

Census respondents identified declining cover charge as directly affecting income for musicians and revenue for live music venues. Live music venue respondents also identified a less obvious pressure on revenues: Increased operating costs from the City's regulatory processes. Confusing regulations is a key challenge to venues in growing jobs and investing in their businesses. Fewer job creators at live music venues mean lower income and less opportunity for certain job categories of music industry workers.

Alternatively, rising prices of Austin's rental stock for both venues in commercial real estate and musicians and industry workers in residential properties forces hard questions for the City and private sector about how to make Austin work both now and in the future.

Austin has a strong and growing base of music business entrepreneurs across many subsectors that are working with musicians, events, and music venues, and the data show exciting potential trends for future growth. But for that potential to become reality, new efforts will need to focus on creating more efficiency and less fragmentation in the Austin music industry.

METHODOLOGY: IMPORTANCE OF SAMPLE SIZE IN THE AUSTIN MUSIC CENSUS

The Austin Music Census is the first benchmark of its kind in the Austin music community. Because there is no prior data for comparison, it was important to elicit responses from a high number of respondents to help set a benchmark for demographic and income information, and an exhaustive effort was made to elicit responses from the Austin area music community.

The Austin Music Census questionnaire was made available online and was publicized widely. Respondent answers included in the data analysis were limited to individuals who work at least part time in the Austin area. Responses from fans and others who did not fit into the three categories were excluded from analysis.

After these controls were applied, the Austin Music Census has 3,968 respondents to the survey questions, and an additional 1,501 free-form text write-in responses. There were also eight formal focus groups and over 20 individual interviews conducted with a wide variety of industry representatives that helped to focus the Austin Music Census questionnaire and added significant depth to the implications of the data collected.

KEY TRAITS AND CHARACTERISTICS

Respondents to Survey: There were a total of 3,968 usable responses to the Austin Music Census survey (detailed information is provided in the Methodology section below). Of those respondents:

- ☐ 60.0% are "Musicians: Performers and Songwriters" (2,380 individuals)
- ☐ 35.3% are "Music Business: Owners, Employees, & Contractors" (1,401 individuals)
- ☐ 4.7% are "Venues & Nightlife Establishments: Owners & Managers" (187 individuals)

Complex Economic Ecosystem: The Austin Music Census data show that the Austin music industry is a rich economic ecosystem entrenched across many traditional industry sectors, and not just a population of musicians, festivals and venues. Music businesses exist across Austin in 13 main employment sectors as defined in the North American Industry Classification System, including manufacturing, retail, education, information sciences and intellectual property creation, professional support services, hospitality, as well as tourism and branding. Respondents identified with 72 out of 74 possible sub-sectors of employment in the

music business. The data suggest that strategic planning around any Austin-based “music industry” is better understood as a broad ecosystem based around commercial music.

Desire for Greater Civic Engagement: Respondents across all industry sectors said that “lack of civic engagement to make changes that would benefit the music industry” was of great concern. Yet, respondents *also* reported that civic engagement was one of their weakest skills in the Skill & Expertise Areas.

General Prosperity Indicators: Musician income is significantly below the Austin MSA average, music industry worker income is very slightly below average, and venue owner/manager income is slightly above average. (See Appendix III for line chart comparison data of each sector).

Higher Racial Diversity: The Austin musicians and industry are somewhat more racially diverse (67.0% white) than the Austin MSA population as a whole (79.8% white)⁴.

Most Jobs in Live Events: Respondent industry sectors are most populated in the “Event Producers and Event Promoters” categories by a wide margin.

The Majority of Respondents are Working Multiple Jobs: Respondents’ means of employment in most cases is quite complex, with over 60% of *all* respondents (2,266 out of 3,749 respondents) working two or more jobs to create their income. Some are working multiple jobs within the music industry or are working a combination of jobs on a contract basis. Many are also working part-time or full-time jobs in other industries. This implies that a large number of working families in Austin are embedded in not only music, but many other industries as well.

KEY STRENGTHS

Strong Foundational Assets: Austin’s music industry economy has a number of strong foundational assets including a diverse ecosystem of music venues supporting a wide variety of musical styles and performances; a growing base of music tourism revenue flowing to the City; substantial and vital support from nonprofit organizations for both musicians and music industry professionals; and job growth in the live music business sector.

Concentration of Key 25-39 Age Group: 49.1% of all respondents are in the 25 to 39 age group (17.1% of the Austin MSA population are 25 to 34 years)⁵. This is the age group that many cities work hard to attract⁶, as they are typically builders of economies in their prime work years. The age group brings innovation, new thought, front-line product trends and economic development to cities. The Austin Music Census data suggest that Austin has attracted a particular concentration of this group in the music industry.

Some Sectors of Austin’s Music Industry Appear to Be Poised for Growth: There is a healthy percentage of new entrants to the local music industry job market - 18.2% of the respondents have been working in the industry for two years or less. This could be an indication of steady job growth in certain segments of the music industry, but without another source of local music industry employment data to which this can be compared from a past measurement, there is no way to be sure. At a minimum, however, this data does show that nearly 20% of survey respondents have entered the music industry job market within the past two years.

⁴ US Census Bureau, *ACS Profile Report: 2013 (1-year estimates)*

http://www.austintexas.gov/sites/default/files/files/Planning/Demographics/CoA_ACS_Profile_2013.pdf

⁵ US Census Bureau, *ACS Profile Report: 2013 (1-year estimates)*

http://www.austintexas.gov/sites/default/files/files/Planning/Demographics/CoA_ACS_Profile_2013.pdf

⁶ Carol Coletta, City Observatory, *How We Build Our Cities: What’s At Stake*. Published December 12, 2014.

<http://cityobservatory.org/coletta-guest-post/m> (Last visited April 12, 2015).

Venues Create Jobs

93% of venues employ full time or equivalent staff, with 67% of these establishments employing six or more people full-time. And 29% of our venue respondents provide more than 20 full-time jobs. Additionally, live music venues provide a higher percentage of income to Austin's musicians than any other single category of revenue. Private event bookings and customer "VIP" experiences are contributing new sources of revenue for many venues.

Significance of HAAM and SIMS Foundation for Austin Musicians: Based on respondent data, the Health Alliance for Austin Musicians provides health services to 12.4% of the Austin musician population. While another 18.9% of all these respondents have no health insurance, the uninsured rate of the general population of the Austin MSA is 19.9%.⁷ Because of HAAM, the uninsured 18.9% rate is actually *lower* than the uninsured in Austin's general population. Without HAAM's assistance, Austin's musician population without health insurance would be 31.3%. (The geographic scope of data used in the final dataset for analysis and reporting is limited to those residing in the Austin-Round Rock-San Marcos area, collectively defined by the U.S. Census Bureau as the "Austin MSA").

KEY CHALLENGES

Stagnating Musician Income: The single highest rated issue on Austin Music Census "Needs and Gaps" questions: 81.2% of all respondents say that "Stagnating Pay for Musicians Makes It Difficult to Make a Viable Income" has an "Extreme or Strong Impact". Analysis of the income data from the 1,882 musicians who answered survey income questions illustrates why this issue appears to be urgent to musicians: nearly one-third of them are earning \$15,000 or less per year in pre-tax income (including all income sources), and approximately three-fourths of them are earning below the Austin MSA Mean Annual Wage.⁸

Income stagnation and declining revenue issues are present throughout the music industry nationwide. It is very likely that Austin is not the only city to have a large artist population with urgent poverty and affordability issues. Any city that provides a home for a large artist class and is also experiencing the kind of annual growth that creates rapidly increasing cost of living – and that does not take counteractive measures – may likely experience similar issues.

Affordability and Cost of Living Edging Out Musicians: Living and affordability issues of all types – housing for rent and purchase, cost of living in food, utilities, and transportation – were enormously important to ALL respondent groups, but are having the greatest effect on musicians. Musicians and music industry workers are paying more for rent, mortgages, property taxes, and other costs of living. Downtown development of relatively expensive condos and apartments are pushing low and middle-income artists and industry workers further out of the central City core. There is some indication that musicians are beginning to move out of Austin altogether due to the cumulative effect of affordability issues.

Increasing Silo and Fragmentation Effects: The Austin Music Census data and focus groups confirm an increasing number of new entrants into the Austin music industry job market. These new entrants suggest that the local industry as a whole is growing. However, most participants in the Census were not aware of how much the local industry has expanded or how large it actually is, or what networks and resources exist within it. 52.8% of respondents' music industry businesses are proprietor-only businesses, and a *total of 89.9% have between zero to five employees*. Musicians and entrepreneurs seem to work inside their own niches, so "siloing" seems to be an unintentional but very pervasive byproduct of this growth. One major consequence of siloing is increased fragmentation and atomization of industry small businesses and sole proprietors. Focus groups noted another issue that arises out of this trend: this type of working environment

⁷US Census Bureau, *ACS Profile Report: 2013 (1-year estimates)*

http://www.austintexas.gov/sites/default/files/files/Planning/Demographics/CoA_ACS_Profile_2013.pdf

⁸ Austin-Round Rock-San Marcos, TX - May 2014 OES Metropolitan and Nonmetropolitan Area Occupational Employment and Wage Estimates." *Bureau of Labor Statistics*. United States Department of Labor, May 2014. Web. 28 Apr. 2015.

does not raise the bar for professionalism, and can create a league of amateur or mid-level performers, with no obvious means of developing a more competitive set of skills and contacts.

Music Business Entrepreneurs are a Key and Underserved Inflection Point for Industry Growth: Through detailed analysis in *Section 4: Music Industry*, it would appear that a key issue for Austin Music Industry economic growth may be in creating better opportunities for growth of entrepreneurs and small business operators, who support the ecosystem of industry growth. This trend perhaps has significance from a policy perspective. If policy makers can facilitate increased capacity for entrepreneurs to focus on building or growing their companies, those policies may pay off, both for the entrepreneurs' income earning ability and for their increased capacity to hire more full-time employees.

Changing Trends in Austin Music Consumer Behavior: A recurring theme from respondents is that a "cover charge" for local Austin musicians has all but evaporated for many venues, despite the high number of quality local artists. In fact, it appears from the Austin Music Census that some local residents are less willing to pay a typical \$5 to \$10 cover charge for a night out of local live music than they have been at any time in the past decade.⁹ Respondents to the Austin Music Census told us that cover charges have typically stayed the same or declined from ten years ago, or in some cases, disappeared entirely.

This phenomenon has effects on both venues and musicians. While there are exceptions, respondents said that the decline in cover charge has left venues with an annual revenue loss hovering as high as 30%.¹⁰ While some venues have been able to make up some portion of the loss of cover charge through clever marketing, increased private events, and other practices, respondents indicated that generally speaking, the decline in cover charge has resulted in venues paying most local bands *less* than (or in the best case, the same as) they would have ten years ago.

A Confluence of Operating Pressures Are Creating Critical Vulnerabilities for Music Venues

Venue income and profit is under pressure from a convergence of several factors, some market based, some regulatory. While each venue's situation is slightly different depending on venue location and other factors, respondents seemed to operate on narrow margins that are getting progressively narrower over time, particularly for small and medium-sized venues. Many of the respondents from these small to mid-size venues who participated in interviews and focus groups indicated that they are operating on very thin profit margins, ranging from 6%-15% annually. Like other small to medium sized businesses, venue profit margins can quickly go from net-positive to net-negative and incurring debt if they experience an unexpected capital expenditure, such as a high-cost repair or equipment replacement. Respondents particularly identified expensive leases, high operating costs, short-term lease contracts, productivity losses from perceived regulatory inefficiencies, and declining "cover" revenue as particularly important contributors to declining operating margins.

Regulatory Inefficiencies Appear to be Creating Productivity Loss for both Venues and City Staff: Venue respondents found the City's permitting system to be inefficient, cumbersome, and confusing. Respondents indicated both in survey data as well as focus groups and interviews that the process was very difficult to navigate and time consuming. Also, since there is no single department or point of contact at the City that is designated to handle venue questions, many felt that there is a "no man's land" problem of getting stuck in a system in which different departments or personnel may provide conflicting information to applicants, but there is no single point of escalation or path to resolution.

Inconsistency with City Communication and Enforcement: 61% of venue respondents found it extremely or moderately difficult to communicate with the proper officials - a concern that was echoed by focus group and interview members as well. Difficulties in understanding ordinances and changes as well as poor communication with officials often leave venue owners frustrated and without a process to obtain consistent

⁹ Venues and Nightlife Establishments Focus Group conducted by Titan Music Group 6 Oct. 2014.

¹⁰ Venues and Nightlife Establishments Focus Group conducted by Titan Music Group 6 Oct. 2014.

answers. Respondents said that it is often difficult to find the appropriate person or department who can give an answer - and receiving contradictory information when talking to more than one person (even within the same department regarding the same permit) happens with some frequency. Enforcement of outdoor music venue permits has been an equally problematic issue: 62% of venue operator respondents say that "Inconsistent info and enforcement from APD regarding Sound Ordinance" is having an "Extreme/Strong" or "Moderate" impact on their business. This is a worrisome data point, because it does not indicate that a few "outside the margin" operators don't like the sound ordinance, but rather that *nearly two-thirds of all venue respondents* are experiencing trouble with inconsistencies in sound ordinance enforcement. It would appear that there are some systemic enforcement problems that are not yet solved.

It is also important to note that nearly 63% of respondents also feel that it is difficult for City permitting and enforcement officials to keep pace with City growth. Venue owners are sympathetic that these departments are overworked. Venue owners and managers feel that most of the problems with permitting and enforcement are likely systemic and unintentional, and not related to any specific individual department or authority figure. Respondents seemed to believe that the problem might simply be that given Austin's current and historical rate of growth, particularly around major events, festivals, and music tourism traffic, appropriate staffing in these departments has not kept pace.

KEY POLICY CONSIDERATIONS

Need for City-Level, Long-Term Industry Development Strategy: The results of the Austin Music Census show that respondents perceive a clear mismatch between City brand marketing and City policy regarding Austin's music. While likely entirely unintentional, the lack of focus around a clear, long term forward-thinking plan, followed by good execution coupled with real municipal commitments has become evident to respondents.

The data indicates that it is more important now than ever to have an identifiable, communicable, specific, and consistent industrial development strategy from which specific program, policy, and investment decisions can be made and executed over at least a three to five year period. The City may consider working with private industry and local nonprofits to develop a long-term strategy to retain Austin musicians and foundational assets. Good city planning followed by sustained execution and policy changes could have a profound effect on the shape of Austin in the future. Austin has an opportunity to continue a leadership role among "music cities."

Faster Economic Growth Through Cluster Development: The "clustering" concept has gained ground in Austin in the last ten years in other industries – the newly designated medical "Innovation Zone" around the new Dell Medical Teaching Hospital and the Austin Film Studios/Austin Film Society campus for film creators are two examples. Yet Austin has yet to engage in any meaningful pursuit of a strategic, long-term plan to develop music industry clustering. The strategy of governments and public entities investing in the creation of economic clusters via policy support, land/building grants, financial investment or other means is certainly not new, and has been well proven in a substantial number of case studies and other research to be very effective in certain situations. Well-designed clusters are able to create a competitive advantage as well as faster innovation for industry over cities that do not include clustering activities as a prominent component of their economic development strategy.

Need for Functional, Formal Entertainment Districts: All respondents supported the creation of formal, City-codified entertainment districts. Expanding the concept of geographical entertainment districts to encourage music industry cluster development for the private sector may also be an important and long-term strategic policy strategy for economic development. The creation of formalized entertainment districts creates geographic boundaries for specific City-level policy action, and may also enable additional potential funding sources from the State of Texas and public-private development partnerships. Entertainment Districts are contemplated in Chapter 9 of the City of Austin Development code, but that only speaks to sound ordinance regulations within a geographic area, and not to the other benefits that meet state eligibility guidelines for business growth funding and preservation allocations.

Expectations for Musician Income and Dedicated Affordable Housing: Musicians are seeing those around them experience benefits of an upwardly mobile and innovative city, while over 20% of them live below the Federal poverty line and 50% have incomes that qualify for Federal Section 8 Housing Subsidies.

The Census data clearly illuminate a level of poverty and lack of income relative to the rest of Austin for a large sector of musician respondents in particular, many of whom are not sharing in the prosperity growth. The clear data from the Census around this issue has caused deep concern among some Austin constituents. It is important to put these numbers in a broader context of the nationwide music industry revenue decline experienced over the past decade. The Austin income figures are anecdotally similar to other cities with a concentration of musicians, particularly U.S. cities experiencing rapid growth and affordability issues. It appears that Austin is the first U.S. city to conduct a granular economic analysis like the Census. It is entirely possible that musicians in Austin are no worse off relative to their counterparts in other comparable U.S. cities, but there are simply no parallel data with which to compare the findings in the Austin Music Census.

But rather than focusing on how Austin compares to other cities in this regard, it may be more productive for the Austin music industry stakeholders to contemplate what the expectations should be around questions of shared prosperity for its musicians, and how the Austin music industry, nonprofits and the City of Austin could work together to create revenue and remove financial impediments to work towards that expectation. Already, early indications from the Census are that some respondents are planning on leaving Austin.

Respondents indicated that dedicated affordable housing for artists is one critically important tool for impacting musician affordability barriers. At present, Texas State law precludes the City of Austin from providing some types of direct dedicated, affordable housing for artists, but there may be public-private partnership models worthy of exploration to circumvent these barriers.

There are other cities that very recently are making significant commitments to artist retention by providing dedicated affordable housing for artists and offering innovative solutions that could be useful in Austin.

Creation of a Commercial Music Industry Hub with Affordable Co-Working Space Economic activity “clustering” around a given industry is a market phenomenon that can happen organically, as companies form around a particular local asset - certainly this is what private industry operators have already done around the Austin music industry to a limited extent.

Respondents strongly indicate that a centralized Commercial Music Industry Hub building with plentiful and affordable co-working space, meeting rooms, resource & tools, and more is an important next step – and one that is already happening in other key music cities. Clusters can bring tangible benefits, such as increased efficiency of connections and operations, better access and speed to “insider” information, and a high-energy environment of both competitive *and* cooperative relationships – all of which may create faster time to market with more opportunities to build relationships and revenue.

Easier Permitting and Streamlined Regulation for Live Music Venues and Nightlife Establishments: Ensuring that the Austin area has a robust ecosystem of live music venues that support local music is a key anchor for growing both music businesses and musician income. For a majority of small to medium-size music venues that focus on *local* music, a number of factors such as rising operating costs, zoning and development issues, decline of “cover” revenue, and costly inefficiencies from unwieldy permitting processes are creating very thin and potentially fragile profit margins and overhead pressures.

To address these vulnerabilities, respondents suggested that the City could consider: 1) overhauling the cross-departmental permitting system to be streamlined, consistent, and more customer-friendly; 2) create better communication resources, such as an easy one-stop online resource site and quarterly meetings for venues with City departments, and 3) add cost-reduction incentives for live music venues that hire local musicians consistently and that operate without violating City ordinances.

STRATEGIZING PAST THE TIPPING POINT

The Austin Music Census uncovers fault lines developing that if left unchecked, may allow the erosion and disintegration of critical parts of the Austin music community. Tracing these fault lines into the future suggests that they converge in a tipping point – one we are reaching very rapidly. The Austin community will need to do what Austinites have done so well for so long—come together and plan our way around these problems.

The key takeaway is that this planning will not happen on its own, and will require purposeful intent and a sustained focus for a number of years in developing and executing a clear plan. That is the intention of this Census – to help identify the fault lines underlying the Austin music community to better understand a strategy to address them.

It is a bold step for a City to move beyond the nationally competitive rhetoric of which city is best, and to actually take an unflinching measurement of what is happening at the individual, citizen level: a musician, a studio engineer, a retail record store clerk, a show promoter. While this may seem like an exposing of vulnerabilities, in truth, it is a move of confidence and maturity. Only a city with a reasonable certainty that it will be able to address the issues with focused, realistic solutions and long-term planning would invest in asking these difficult questions.

It is a signal that Austin intends to continue to lead as a world-class music city, and that it is going to build a uniquely Austin-solution to do so. It is a signal that Austin believes it has the tools and knowledge to build a music economy that other cities will aspire to equal; to start with data and do things a little differently, and end up as a uniquely Austin 21st century music city.

As one focus group participant said:

“Because we have little history of established major industry here, we are sort of ripe for whatever the new model is rather than having something that’s got huge legacy barriers to overcome. As the city grows hopefully there’s a way to make that industry growth follow this model where it does respect the purity of the music and acknowledges the things that are these strengths of Austin’s uniqueness.”

SECTION 1

METHODOLOGY

Methodology

KEY FACTS AND ASSUMPTIONS

The Austin Music Census is somewhat unique in its attempt to measure music industry economic and demographic data at a fairly granular level in an environment in which there is no existing benchmark, or even a defined population. As such, we set out to articulate the assumptions and key facts that have a direct influence on how we built the design, scope, and data collection processes of the study. Those key facts and assumptions are:

- ❑ There is no existing repository of data that contains 100 percent of the “universe” of individuals or companies that comprise Austin’s music industry outside of broad census data. Neither is there existing data that definitively measures the specific size and composition of the Austin music industry workforce.
- ❑ While there are certain directories based on voluntary sign-ups and economic impact studies, the total size of Austin’s music industry population and the number of workers by industry category is effectively unknown and has only been measured through approximations.
- ❑ The Austin Music Census data collection process was structured to include a high number of respondents in the survey population in an effort to increase the reliability of the survey data and to help fill in some of these blanks.
- ❑ The only known source of information available on the number of jobs and employment figures for some sectors of the Austin music industry is the Bureau of Labor Statistics Employment and Wage information. However this data is compiled from Internal Revenue Service tax return information, which does not capture a large percentage of the cash transactions, nor does it effectively categorize individuals that have more than one job, and many sectors are grouped together, making this data ineffective for many analytical purposes.
- ❑ The composition of the working population by industry sector in Austin is also unknown and has never been measured. There is no existing source of information that provides a “profile” of total industry workforce by percentage of industry category.
- ❑ Since the size of Austin’s music industry population is unknown prior to the Austin Music Census, these results may or may not be representative of the total music population in any given category. Some segments of the industry may have higher response rates than others.

FOCUS GROUPS

Titan Music Group, LLC conducted eight formal focus groups consisting of representatives from different music industry sectors. 79 people participated in a two-hour discussion about the positives and negatives of Austin’s music environment and then shared ideas for improvement. 19 one-to-one interviews were conducted with various Austin music industry stakeholders.

Focus groups and interviewees consisted of musicians, artist managers, nonprofit organizations, music production workers, venue owners, and ancillary music business personnel. (See Appendix XII for focus group discussion summaries).

We used information provided by these industry workers for context and insight to develop the Austin Music Census survey questionnaires. We also used focus group and interview data throughout the survey and the analytical report to provide more robust insights.

SURVEY DESIGN

Titan Music Group, LLC used best practices in research methodology and question and answer design to minimize self-selection bias - the potential that respondents would feel their interests would be best served by giving an inaccurate response to a question. Data collection for the survey was conducted online only to reduce any distortion or social bias from an in-person or phone interview.

In the survey instructions, respondents were clearly informed that no personal identifiers would be used. We also emphasized to respondents that there would be very limited access to any data outside of Titan Music Group, LLC and no personally identifiable data would be released to City officials or to anyone else. There would be no connection between survey answers and personal identities.

The survey was created as a branching survey. The respondents self-selected their role in the music industry. The survey consisted of common questions that all respondents answered, and then different questions were asked depending on how the respondent self-classified their role in the music industry. These respondent "branch" questions were based on division into the following three groups:

- ☐ Music Industry: This group includes small business owners, sole proprietors, CEO's, as well as all employees, workers and contractors (full-time and part-time) of music businesses, and venue employees and workers.
- ☐ Musicians, and
- ☐ Venue Owners and/or Venue Managers

Question Design

Demographic questions were designed in a multiple choice answer format. Industry needs and ideas were measured by a five part graduated scale, ranging from "Extreme Impact" to "No Impact". The survey included areas for write-in suggestions for needs and gaps within the industry and suggestions from respondents for future solutions.

Survey questions and survey answer choices to multiple-choice questions and to "grid" format questions were randomized by survey software to reduce or eliminate order bias.

For questions with sensitive information such as income, explanations were given as to why the data was needed and respondents were informed that accurate answers would help measure the current environment and allow for consideration of additional resources. We clearly stated there were no right or wrong answers.

Income questions were asked in a range format rather than soliciting a specific number. Breakdown of income brackets are compatible with the U.S. Census and other professionally administered surveys for demographic and income information.

The U.S. Office of Management and Budget issues guidelines and specific question formats for demographic data collection that are implemented by the U.S. Census Bureau as well as other federal and state agencies. The Austin Music Census utilizes the OMB and the U.S. Census Bureau question format so that demographic data will be comparable to other data utilizing these standards.¹

Since there was no previous identification of industry sectors in Austin, Titan Music Group, LLC used common language from how workers describe their jobs in the music industry to identify 33 job classifications in Austin. Some of these classifications were then broken into subsectors, for a total of 74 industry sector choices. We then internally mapped these job classifications to correlate with the NAICS sectors and titles

¹ "Methodology for the United States Population Estimates: Vintage 2014, Nations, States, Counties, and Puerto Rico-April 1, 2010 to July 1, 2014." U.S. Census Bureau. Web. 4 May 2015. <<https://www.census.gov/popest/methodology/2014-natstcopr-meth.pdf>>.

based on the official 2012 NAICS Manual published by the U.S. Office of Management and Budget.² This data can be used for future comparisons to other types of industry-standard employment information data sets from the U.S., Canada, and Mexico. It is worth noting that although many think of the music industry as a rather small field with few types of jobs, music industry jobs in this study were mapped to 13 different NAICS Sectors and 66 subsectors.

Titan Music Group, LLC administered a pretest of the survey on November 4, 2014 to approximately 30 people representative of the survey population. The pretest respondents completed the questionnaire in a controlled environment. Immediately after completion of the survey, Titan Music Group, LLC staff interviewed each pretest respondent individually. Feedback about question wording and general understanding of issues provided the opportunity to improve instructional language and question design before official rollout.

DATA COLLECTION

The goal with the Austin Music Census is to create an understanding of the entire group of jobs and industries that comprise the Austin music economy. This includes not only the commonly associated roles of venues and musicians, but also: producers, promoters, rehearsal spaces, musical equipment/instrument/merchandise manufacturing/retailing; music product retail digital/physical stores; professional services such as accounting, legal, and consulting; technology, software and app development; service industry jobs; transportation; event production; tourism services; music education vocational training; radio/other forms of media; studio production; and many more.

The target population for survey dissemination included musicians, music businesses, and individuals who work in the commercial music industry. The geographic scope of data used in the final dataset for analysis and reporting is limited to those residing in the Austin-Round Rock-San Marcos area, collectively defined by the U.S. Census Bureau as the "Austin MSA".

The online survey was open to respondents from November 12th, 2014 to January 27th, 2015.

Surveys were distributed as widely as possible, to all "known universe" and "unknown universe" populations, through all available avenues and means, with the intent of reaching as many musicians and industry workers as possible. The goal was to achieve the highest possible response rate and to achieve the largest number of respondents, given time and resource constraints.

Methods of survey dissemination included:

- ☐ The collection of individual names and emails of industry businesses and workers, who were sent an email with the survey link.
- ☐ Marketing partners who agreed to disseminate the survey information. These partners included nonprofit and for profit businesses that had a database of music industry workers or musicians and were willing to reach out to their members or customers via email and/or social media.
- ☐ Targeted advertisements through Facebook and the Austin Chronicle to reach unknown qualified participants.
- ☐ Flyers and posters in targeted locations during the survey period to alert potentially qualified participants.
- ☐ A high profile survey kick-off event to alert the media about the survey and reach a large audience that would include musicians and music industry workers.

2 "North American Industry Classification System (NAICS)." *United States Census Bureau*. U.S. Census Bureau, 5 Nov. 2014. Web. 4 May 2015. <<http://www.census.gov/eos/www/naics>>.

- Individuals hired to canvass and obtain responses in Austin nightlife establishments for a period of one week.

Since the survey was open to the public at large, we created a self-selected category for “Music Fans” that allowed us to separate any non-industry public respondents from the rest of the data so that the final dataset for analysis only contained the target population of those involved in the music industry economy.

STATISTICAL METHODOLOGY AND ANALYSIS TECHNIQUES

Responses to questions were tallied either for the entire dataset or by specific category of respondent. Due to some respondents dropping off without finishing the survey, the total completion rate is 66%, so the number of responses for each question varies. In the computation of percentages, missing data was excluded so that all percentages sum to 100% (to within rounding error).

Survey Respondent Statistics:

Total Responses: 5709 Individuals:

- "Music Fan" Responses: 1333 Individuals (removed from Final Data Set used for analysis)
- "Incomplete" Responses that dropped off after Question #1: 326 Individuals (removed from Final Data Set used for analysis)
- "Test Data" Responses: 6 Individuals (removed from Final Data Set used for analysis)
- "Live Outside of the Austin MSA Area" Responses: 76 Individuals (removed from Final Data Set used for analysis)

Total Relevant Responses: 3968 Individuals, which comprises the “Final Data Set” used for all analysis.

SUMMARY OF QUANTITATIVE AND QUALITATIVE DATA USED IN ANALYSIS

- Survey Responses, Quantitative Data:
 - 3,968 total responses, segmented by the following categories:
 - 2,380 Musicians
 - 1,401 Music Industry Workers, Owners, Contractors, and Employees
 - 187 Venue Owners or Managers
- Survey Responses, “Write-in” Suggestions
 - “Needs and Gaps” Write-ins: 1,025
 - “Ideas and Proposals” Write-ins: 449
 - Venue Owner/Manager Sector – “Anything Else” Write-ins: 72
- Focus Groups: Eight formal focus groups, including 82 individuals and 20 hours of discussion time
- Informational Interviews: Sixteen separate interviews with 19 individuals and over 23 hours of discussion time

SECTION 2

MUSICIANS

Austin Musicians

Characteristics and Priority Needs

This section summarizes some of the most important results of the musician survey for review and analysis to identify selected critical needs and gaps. A full set of charts from the musician survey is in Appendix IV for comprehensive review. A steady loss of Austin's musicians could have unknown long term effects on the local economy. The Austin Music Census suggests that Austin's prosperity is not finding its way to the musicians consistently.

MUSICIAN SURVEY RESPONSE STATISTICS

Musicians represent 60% of the total number of respondents to the Austin Music Census – over 2,300 individuals. Through this high survey response rate, as well as very active participation via “write-in” responses to questions, interviews, and focus groups, it is evident that Austin musicians are very focused on the state of the music economy in Austin. They are eager to articulate the reality of being a working musician in Austin, and discuss improvements that can be made as a community.

Musician Survey Response Rate Statistics:

- o Total Musician Responses to Survey: **2,380** (59% of all respondents)
- o Total Completed Surveys: **1,584**
- o Completion Rate: **67%**
- o Total Musician Additional “Write-In” Responses to “Needs and Gaps” Question: **707** (69% of all write-ins to this question)
- o Total Musician Additional “Write-In” Responses to “Ideas and Proposals” Question: **296** (66% of all write-ins to this question)

The Austin Music Census suggests that Austin's prosperity is not finding its way to the musicians consistently.

SELECTED DEMOGRAPHICS AND CHARACTERISTICS

The following is a description of selected data from the 2,380 musicians who took this survey. Musician responses are compared to corresponding statistical information for the Austin-Round Rock-San Marcos Metropolitan area from the U.S. Census Bureau's American Community Survey 2013 Profile (“Austin MSA”).¹ The comparative U.S. Census information is highlighted in orange under the heading “General Population”.

LOCATION	60% have been living in Austin for 11 or more years
WORK HISTORY	54% have been working or in the music industry for more than 10 years; 46% have been working in the industry for 10 years or less
HEALTH CARE	63% have paid health insurance via an individual, company, or spouse/partner's plan; 18% receive assistance from HAAM and SIMS, and 17% have no health care coverage. [General Population: 66.8% paid health insurance, 19.0% with no health insurance at all]

¹ "ACS Profile Report: 2013." US Census Bureau, 2013. Web. 27 Apr. 2015.
<http://www.austintexas.gov/sites/default/files/files/Planning/Demographics/CoA_ACS_Profile_2013.pdf>.

HOUSING	43% own their home, 57% rent their home. 68% have other household contributors to the rent or mortgage. [General Population: 58.2% own their home, 41.8% rent their home]
AGE	50% are 25-39 years old, 27% are 40-54 years old [General Population: 17.1% are 25-34 years old, 15.5% are 35-44 years old, and 12.8% are 45-54 years old].
GENDER	80% are male, 20% are female [General Population: 50.1% Male, 49.9% Female]
RACE/ETHNICITY	4.4% African American, 10.4% Hispanic (any race), 66% White [General Population: 7.2% African American, 31.9% Hispanic (any race), 79.8% White]

AREAS OF EXPERIENCE AND EXPERTISE

These musicians' self-described areas of expertise are impressively wide and varied. Across 40 separate possible skill categories provided in the survey, 32 categories have responses numbering 100 or more people, and some categories have as many as 1,943 people. The boxes below show the strongest and weakest self-identified skill areas. (For a full response list, see Appendix IV.)

STRONGEST SKILL AREAS	WEAKEST SKILL AREAS
○ Live Performance ○ Songwriting/Composing ○ Audio Engineering ○ Audio Mixing ○ Music Arranging ○ Event Promotion ○ Social Media	○ Music Legal Issues ○ Venue Management ○ Financing or Venture Capital ○ Advocacy/Lobbying ○ Ticketing ○ Software Development ○ Radio Production ○ Manufacturing

MUSICAL GENRES

Musician respondents represent 27 genres of music – a wide variety of styles and influences that creates a lot of diversity in music listening choices for fans. The highest-ranking genres among survey respondents (in this order) are:

- Rock
- Americana
- Alternative
- Folk/Acoustic
- Pop Rock
- Jazz
- R&B/Soul
- Country & Western/Swing
- Blues

Austin's musicians embrace diverse musical genres and styles. This diversity leads to more innovative musical art forms developed through a rich bed of collaborative projects, which also attracts other artists to relocate to Austin. This diversity of musical styles is one of Austin's unique assets.

PREFACE TO INCOME DATA: THE NATIONAL CONTEXT OF THE MUSIC INDUSTRY

The National Context: Recorded music industry revenues have declined by nearly 40% from the high in 1999². Virtually everyone who works either as a musician or in the music industry in the United States in the past 15 years has experienced the repercussions of a music market in free fall. The industry is reorganizing itself, and many sources of revenue have yet to recover or be replaced by new sources of revenue.³ This trend has been especially true in recorded music, where net sales of CD, vinyl, and digital album sales have fallen 11% and single song downloads have fallen another 12.5% - just in 2014.⁴ As the Austin Music Census shows, Austin musicians have not made up this shortfall in recorded music revenue either.

On a national level, the live event music business has been somewhat insulated from these effects as fans have supported festivals, events and other large scale live music experiences.^{5,6} Austin's economy and brand have certainly benefited from the music tourism attracted by large-scale local festival events. Respondents indicate that some of this benefit has flowed to local venues, but less so to local musicians.

CHANGING TRENDS IN AUSTIN MUSIC CONSUMER BEHAVIOR

Vanishing Cover Charge Reduces Revenues for Venues and Musicians: A recurring theme from respondents is that a "cover charge" for local Austin musicians has all but evaporated for many venues, despite the high number of quality local artists. In fact, it appears from the Austin Music Census that local residents are less willing to pay a typical \$5 to \$10 cover charge for a night out of local live music than they have been at any time in the past decade.⁷ Respondents to the Austin Music Census told us that cover charges have typically stayed the same or declined from ten years ago, or in some cases, disappeared entirely.

This phenomenon has effects on both venues and musicians. While there are exceptions, respondents said that the decline in cover charge has left venues with an annual revenue loss hovering as high as 30%.⁸ While some venues have been able to make up some portion of the loss of cover charge through clever marketing, increased private events, and other practices, respondents indicated that generally speaking, the decline in cover charge has resulted in venues paying most local bands *less* than (or in the best case, the same as) they would have ten years ago.

In this regard, the industry is very effectively responding to the market shift in consumer trends: booking more touring acts and fewer local ones for prime nights and slots.

Economic Trends in the Austin Music Industry: While large-scale events help sustain Austin's year-round music tourism business, the Austin Music Census shows that local venues and musicians receive lower overall financial support from Austin patrons than they did before this shift in consumer preferences, and the large-scale events are not making up for that shortfall for local musicians.

² "Reversing Trend, World Music Revenue Inches Upward." AP Online 26 Feb. 2013. Web. 27 Apr. 2015. <<http://www.highbeam.com/doc/1A1-9a8a3c0b6f51494b86161c240ed1a5a5.html?>>. See also "Global Music Revenue Dips 3.9 Pct on Japan Decline." AP Worldstream 18 Mar. 2014. Web. 27 Apr. 2015. <<http://www.highbeam.com/doc/1A1-bb43fb0f7eca4561ac1a8c98ea1d1097>>.

³ Dredge, Stuart. "UMG Boss Lucian Grainge: 'We Want to Accelerate Paid Subscription'" Music Ally. Music Ally, 19 Feb. 2015. Web. 27 Apr. 2015. <<http://musically.com/2015/02/19/umg-lucian-grainge-we-want-to-accelerate-paid-subscription/>>.

⁴ Peoples, Glenn. "Nielsen Music's Year-End: Streaming Is Not Killing the Record Business." Billboard Biz. Billboard, 2 Jan. 2015. Web. 27 Apr. 2015. <<http://www.billboard.com/biz/articles/news/digital-and-mobile/6429356/nielsen-musics-year-end-streaming-is-not-killing-the>>.

⁵ "Live Nation Entertainment - Concert Revenue 2014 | Statistic." Statista. (accessed 27 Apr. 2015.) <<http://www.statista.com/statistics/193710/concert-revenue-of-live-nation-entertainment-since-2008/>>.

⁶ Musician Focus Groups conducted by Titan Music Group 29 Sep. 2014 and 1 Oct. 2014.

⁷ Venues and Nightlife Establishments Focus Group conducted by Titan Music Group 6 Oct. 2014.

⁸ Venues and Nightlife Establishments Focus Group conducted by Titan Music Group 6 Oct. 2014.

The Austin Music Census data suggests that touring bands perform in Austin more frequently now than ever. Respondents indicated that this is because Austin is now a larger, more populated market that can support those tours even with ticket prices ranging from \$35 - \$100. This change in local consumer trends creates a market shift that venues must respond to: there is less incentive to book local shows if the market won't pay to see them, which means that the promoter must take all the risk on a local show via whatever revenue comes through alcohol sales, and is less able to pay the band a reasonable wage out of bar sales with little to no revenue from the door cover charge. In this regard, the industry is very effectively responding to this market shift in consumer trends: booking more touring acts with cover and fewer local ones without cover for prime nights and slots.

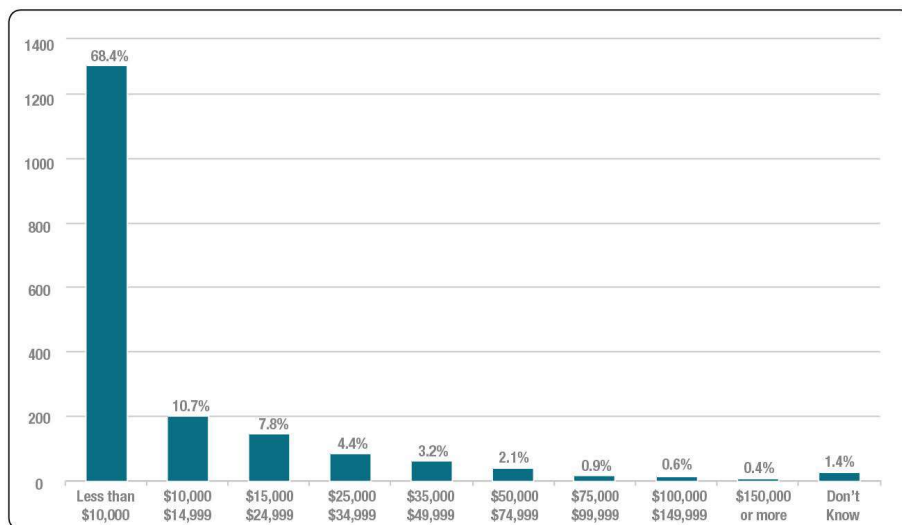
The repercussions of these combined factors are becoming clearer as demonstrated in the Austin Music Census data. The quantitative survey information gives credibility to the perception that focus group members shared repeatedly: Local musicians are gradually being squeezed out of the Austin area.

Combined with the loss of recorded music revenue, these live music revenue regressions suggest that income of Austin musicians is declining or are at best stagnating. While many that work in the music industry know these trends anecdotally, the Austin Music Census provides quantitative data to illustrate these trends concretely.

MUSICIAN INCOME DATA

The chart below shows income that musician respondents earned solely from music-related activity. This could be sales, performances, music licensing (such as motion pictures, television or commercials), songwriting, or any other music income. The chart also includes respondents' income derived from supplemental or music-related employment such as teaching music lessons, producer fees, studio session work, and other music-related employment.

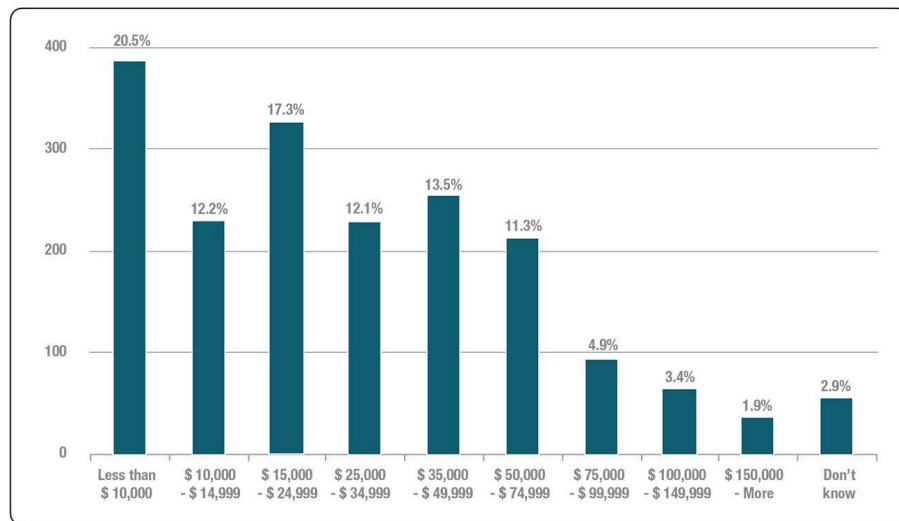
Fig. 1 2013 Pre-Tax Individual Income (All Musicians, Music Industry Income Only)



1,883 musicians answered this question. Figure 1 illustrates that **68.4%** of respondents (or 1,288 people) earned less than \$10,000 from all music industry-related income in 2013.

The following data in Figure 2 represents ALL income that musician respondents make from **all types of employment**, including all music-related jobs and non-music related jobs or income:

Fig. 2 2013 Pre-Tax Individual Income (All Musicians, All Income Sources)



A total of 1,882 musicians indicated their income from all sources. Figure 2 shows that nearly 1/3 of musician respondents – including ALL types of employment income – are living on \$15,000 or less per year in pre-tax income. When compared below to incomes in the Austin MSA, musician respondents' income levels are well below the average.

When compared to incomes in the Austin MSA, musician respondents' income levels are well below the average.

The data above confirms musician focus group member comments about income levels. Many musicians also said they lived with numerous roommates in small apartments or duplexes and/or had spouses whose jobs supported a significant portion of their living costs.

MEANS OF EMPLOYMENT

Very few respondents are able to make a livable wage from music income alone, which means the Austin Music Census suggests that Austin's "professional" musician sector is relatively small. Our musician respondents earn income in the following ways:

- ☐ **56%** work another full or part-time job(s) in a non music-related industry
- ☐ **15%** work another full or part-time job(s) within the music industry
- ☐ **22.7%** are full-time musicians
- ☐ **3.5%** are currently unemployed
- ☐ **2.7%** are musician students.

As this data shows, only **22.7%** of musician respondents claim to be full-time musicians, even though 54% of all respondents have been working as musicians as more than ten years.

We applied a filter to the respondent data to create Figure 3 below by selecting ONLY those respondents who said they are full-time musicians. Figure 3 reflects 2013 annual income ONLY from full-time musicians with no non-music income, a total of 452 respondents:

Fig. 3 2013 Pre-Tax Individual Income (Only Musicians w/ 100% Income from Music)

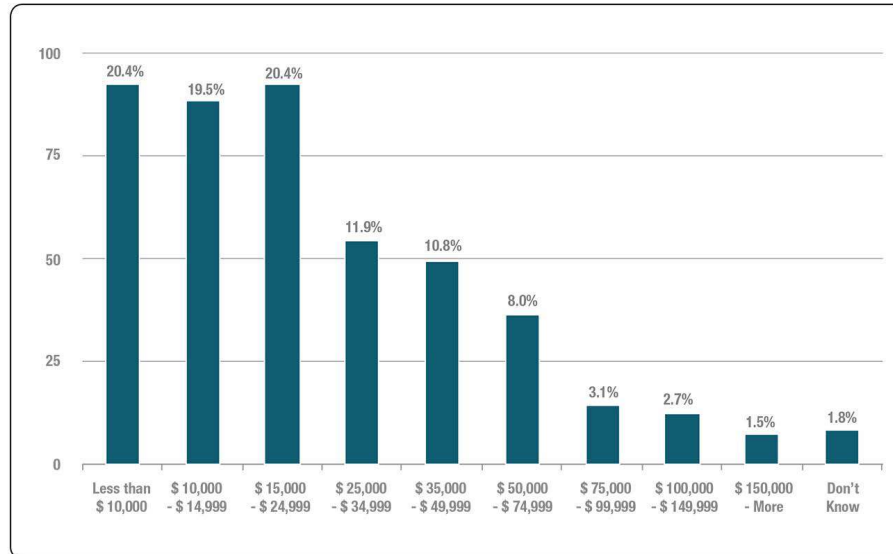


Figure 3 shows us that nearly **40% of full-time musicians** - with no other sources of income - **are earning \$15,000 or less in pre-tax annual income, and nearly 2/3 are earning less than \$25,000.**

MUSICIAN INCOME IN CONTEXT: COMPARISON TO FEDERAL, STATE, AND CITY OF AUSTIN METRICS

In order to understand what respondents' income data means in the context of Austin's recent growth and prosperity, and how these figures compare to the general population of the Austin-Round Rock Metropolitan Area, musician respondents' income is shown below in comparison to the Austin-Round Rock-San Marcos MSA (the "Austin MSA") employing some commonly used metrics. The figures used to calculate the percentages in the "MUSICIAN" column are taken from Figure 2 above, "2013 Pre-Tax Individual Income Only Musicians w/ 100% Income from Music Industry".

Fig. 4 Comparison Metrics: Austin MSA vs. Musician Survey Respondents – All Income Sources

MUSICIANS: ALL SOURCES OF INCOME, Pre-Tax 2013:	
More than 20.5%	Are Below 2014 Federal Poverty Level of \$11,670 ⁹
More than 50%	Qualify for Section 8 Housing Subsidies ¹⁰
Approx. 75%	Are Below the Austin MSA Area Mean Annual Wage ¹¹
More than 62%	Are Below the Austin MSA Area Median Annual Wage ¹²

⁹ "2014 Poverty Guidelines." *Office of the Assistant Secretary for Planning and Evaluation*. U.S. Department of Health and Human Services, 22 Jan. 2014. Web. 28 Apr. 2015. < <http://aspe.hhs.gov/POVERTY/14poverty.cfm/>>.

¹⁰ "Applying For Housing Assistance." *Housing Authority of the City of Austin*. Housing Authority of the City of Austin, 2015. Web. 28 Apr. 2015. <<http://www.hacanet.org/apply/hcv.php#Elighousing>>.

¹¹ "Austin-Round Rock-San Marcos, TX - May 2014 OES Metropolitan and Nonmetropolitan Area Occupational Employment and Wage Estimates." *Bureau of Labor Statistics*. United States Department of Labor, May 2014. Web. 28 Apr. 2015. <http://www.bls.gov/oes/current/oes_12420.htm#00-0000>.

¹² Ibid.

Figure 4 shows how Austin musicians are faring in comparison to the general Austin MSA population. This comparison data reveals that:

Approximately three-fourths of Austin musicians are not participating in the same prosperity as the Austin MSA general population

- Approximately **three-fourths** of Austin musicians are not participating in the same prosperity as the Austin MSA general population with earnings well below the Austin MSA mean (average) wage of \$48,150.¹³
- Nearly **two-thirds** of Austin musicians are also earning below the median (mid-point) wage of \$36,640.¹⁴
- **More than half** of the musician respondents qualify for Section 8 Federal Housing Subsidies, according to the City of Austin's Housing Authority guidelines (taken from the Federal Housing and Urban Development annual guidelines for federal assistance).
- Perhaps most disturbingly, **more than 20.5% of musician respondents are below the 2014 Federal poverty level**. The poverty level of the Austin MSA area in 2013 (the most recent available data) is 14.0%.¹⁵

And lastly, we turn to minimum wage standards. The Texas state-mandated minimum wage is \$7.25 per hour, and a full-time minimum wage worker makes \$15,080 in annual income.¹⁶ A recent news story about rising housing costs in Austin by local radio station KUT found the following:

Austin has the highest average rent in the state of Texas. And Austinites trying to afford housing on minimum wage need to work close to three full-time jobs. For Austinites earning an hourly minimum wage of \$7.25, it takes:

- *88 hours a week to afford a one-bedroom apartment, and*
- *111 hours for a two-bedroom. That's equal to nearly three full-time jobs.*¹⁷

Austin Music Census data shows that nearly one-third of musician respondents are earning **below** the minimum wage annual income.

Respondent data shows that Austin musicians are not participating in Austin's prosperity growth relative to the average Austin MSA population. Based on focus groups, interviews, and over 700 musician respondent "write-in" answers, the Austin Music Census also found that these musician respondents are aware of that discrepancy.

¹³ Ibid.

¹⁴ Ibid.

¹⁵ "ACS Profile Report: 2013 (1-year Estimates) at Chart E4 "Persons Aged 18-64 in Poverty"." U.S. Census Bureau, 2013. Web. 1 Apr. 2015. < http://www.austintexas.gov/sites/default/files/files/Planning/Demographics/CoA_ACS_Profile_2013.pdf>. Since the Austin Music Census was not available to anyone under 18 years old, and total respondents aged 65 or older was 2.6%, the 18-64 year old US Census group presents the most accurate means of comparison.

¹⁶ "What Are the Annual Earnings for a Full-time Minimum Wage Worker?" *Center for Poverty Research University of California, Davis*. UC Davis. Web. 28 Apr. 2015. <<http://poverty.ucdavis.edu/faq/what-are-annual-earnings-full-time-minimum-wage-worker>>.

¹⁷ Weber, Andrew, and Wells Dunbar. "A Minimum Wage Job in Austin Gets You a Two-Bedroom Apt. – And a 111-Hour Work Week." *KUT.org*. KUT.org, 15 Mar. 2013. Web. 28 Apr. 2015. <<http://kut.org/post/minimum-wage-job-austin-gets-you-two-bedroom-apt-and-111-hour-work-week>>.

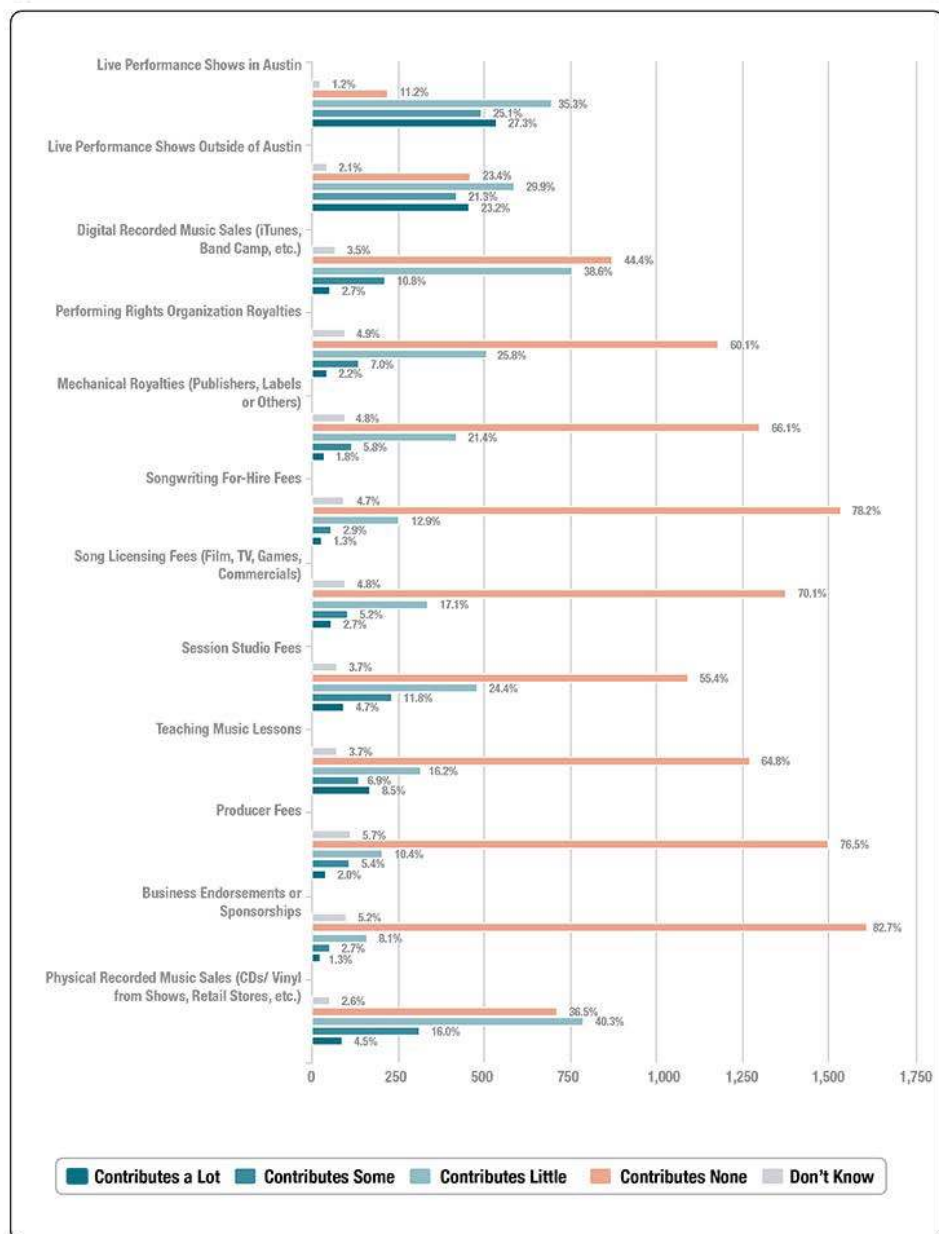
MUSICIAN SOURCES OF REVENUE

To better understand what sources of revenue contribute to musician income, the musician respondents were presented with questions about how they make money from music. Respondents were asked to rank 12 different major categories of common music industry revenue streams based on how much each category contributed to their own individual income. For each of these 12 categories, respondents were asked to select one of four choices:

- ☐ Contributes a Lot
- ☐ Contributes Some
- ☐ Contributes a Little, or
- ☐ Contributes None.

Figure 5 below shows the responses:

Fig. 5 Revenue Contribution by Activity Type



Some key facts from this chart include:

- ❑ Only one category breached a threshold of 25% or more of respondents saying that revenue stream “Contributes a Lot”.
- ❑ Of the 12 revenue streams, **75% or more of respondents said 10 of the 12 categories “Contributes Little” or “Contributes No” Income.**
- ❑ **“Live Performance Shows in Austin” has the highest percentage of respondents who answered “Contributes a Lot” (27.3% of respondents)**, followed by “Live Performance Shows Outside of Austin” (23.2%). The next closest item “Teaching Music Lessons” was ranked a distant third with 8.5% of respondents answering “Contributes a Lot”.
- ❑ The **four activities with the least contribution to income are** “Business Endorsements or Sponsorships” (82.7% “Contributes No Income”), “Songwriting For-Hire Fees” (78.2% “Contributes No Income”), “Producer Fees” (76.5% “Contributes No Income”), and “Song Licensing Fees for Film, TV, Games & Commercials (70.1% “Contributes No Income”).

NEEDS AND GAPS: LIVING AND AFFORDABILITY

In addition to income and demographic questions, respondents answered a series of questions describing gaps in Austin’s music industry infrastructure and professional development needs. These needs and gaps were identified by Census focus groups as important external factors that participants perceived as delaying or inhibiting the growth of their careers and earning potential.

These gaps and needs were separated into four categories of questions:

- ❑ Industry Resources
- ❑ Connectivity and Collaboration
- ❑ Professional Education and Skills Development
- ❑ Living and Affordability

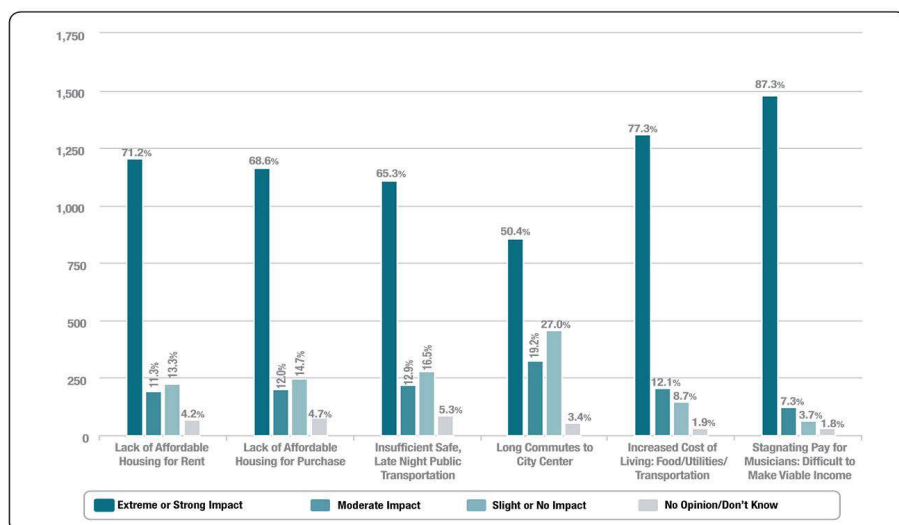
Respondents were asked to rank the questions in each of these categories regarding impact on their career development with a 5-point scale incrementally from “Extreme Impact” to “No Impact”.

Living and Affordability Ranked Highest: The “Living and Affordability” category was ranked as having “Extreme or Strong Impact” more frequently than any of the other categories of questions. In all but one sub question in this category, 65% or more of musicians ranked the questions as having “Extreme or Strong Impact”.

The highest ranked factor was “Stagnating Pay”, with 87.3% of respondents ranking this issue as the highest contributing factor for Living and Affordability.

The musician responses to all the “Living and Affordability” questions are given in Figure 6:

Fig. 6 Musician Needs and Gaps: LIVING AND AFFORDABILITY



Given the very large percentage of respondents who chose “Extreme or Strong Impact” on “Living and Affordability” questions, the Austin Music Census suggests that affordable housing, cost of living, and stagnating income are the most important priorities to musicians for their ability to continue to live, work, and create in Austin.

This clear demonstration of need confirms the extremely low annual income of musicians across all genres as shown in Figures 1-3 above.

The Austin Music Census suggests that affordable housing, cost of living, and stagnating income are the most important priorities to musicians for their ability to continue to live, work, and create in Austin.

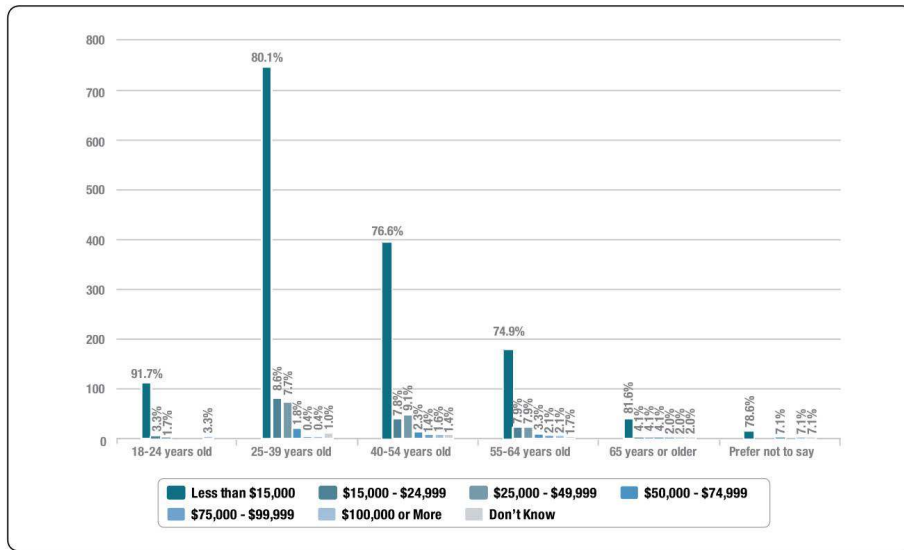
THE ISSUE OF STAGNATING PAY

The highest number of respondents – **87% of all musician respondents** - say that “Stagnating Pay for Musicians/Difficult to Make a Viable Income” has “Extreme or Strong Impact” on their lives. This answer was so dominant in the Austin Music Census data that it warrants several other analytical views of artist income data to try to understand what other factors might explain “stagnation” in income.

The first factor considered was the age of respondents compared to income from music industry sources only.

Figure 7 shows musician income from music industry sources only based on respondent age:

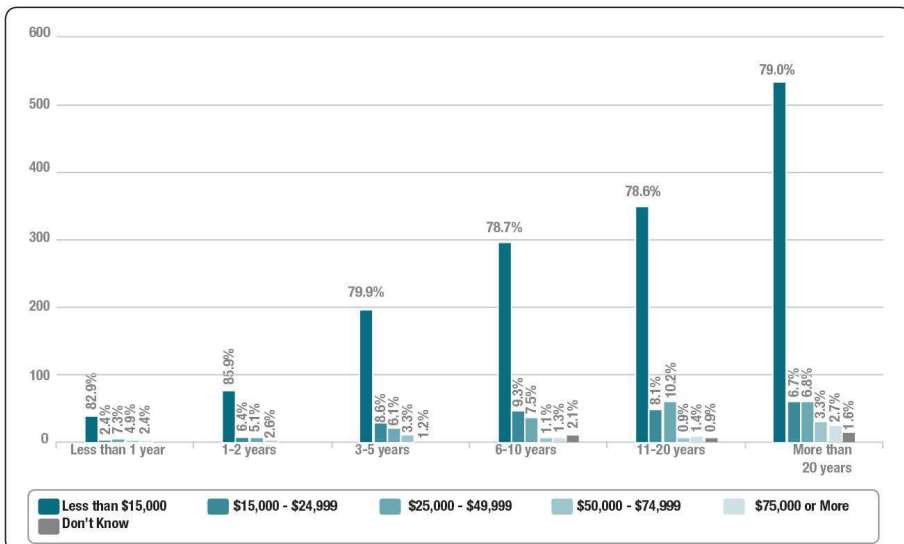
Fig. 7 2013 Pre-Tax Musician Income by Age (All Musicians, Music Income Only)



There appears to be a significant change in income from the lowest income category (less than \$15,000) by approximately 11% of respondents in the 18 – 24 year old category compared to respondents 25 years old and above. However, there is little other difference in the relative percentage of respondents in each age group compared to income, indicating that age does not have a significant effect on earning ability.

Next, we analyzed the amount of time a musician has lived and worked in Austin, and whether that geographical stability has any effect on income. Presumably, time in market would result in a larger local fan base, local networking and business connections, and other activity that may lead to greater earning ability over time. Figure 8 below shows this analysis:

Fig. 8 2013 Pre-Tax Musician Income By Years in Austin (All Musicians, Music Income Only)



It appears that the number of respondents earning less than \$15,000 declines slightly with time in market. However, the Austin Music Census data shows approximately 74% of respondents earn \$15,000 or less from music regardless of how long they have lived in Austin, which indicates essentially static income levels regardless of either age or time invested working as a musician in Austin. Interestingly, the Austin Music

Census data suggests that \$15,000 in annual pre-tax music income is an abiding barrier to pierce for a wide variety of musician respondents.

Compared to Austin MSA: To put these responses in context: real per capita income for the Austin region as a whole has grown every year since 2010, with a total growth of 4.64% between 2010 and 2013¹⁸. Yet for our musician respondents, 57% have seen either flat or declining earnings over the same period.

For our musician respondents, 57% have seen either flat or declining earnings over a three-year period.

OTHER AFFORDABILITY ISSUES: HOUSING AND COST OF LIVING

Musician respondents to the Austin Music Census also ranked other Living and Affordability issues (shown above in Figure 6) as having “**Extreme or Strong Impact**” on their lives and career development:

- ☐ **77%** - Increased Cost of Living: Food, Utilities, & Transportation
- ☐ **71%** - Lack of Affordable Housing for Rent
- ☐ **69%** - Lack of Affordable Housing for Purchase

High cost of living and affordable housing in Austin’s growing city center have become policy concerns for the City of Austin, and these issues also clearly resonate with musician respondents and appear linked to musician apprehension about income stagnation.

CIVIC ENGAGEMENT: CONNECTIVITY AND COLLABORATION

“Civic Engagement” is the next highest-rated “Extreme or Strong Impact” question after “Living and Affordability” questions. Musician responses to these questions suggest some degree of desire to participate in a dialog for change. Figure 9 below illustrates a series of responses to questions about better connectivity and collaboration, both within the industry and between the music industry and Austin’s civic leaders:

¹⁸ "Austin-Round Rock-San Marcos Texas Household Income." *Department of Numbers*. Department of Numbers. Web. 28 Apr. 2015. <<http://www.deptofnumbers.com/income/texas/austin/>>.

Fig. 9 Needs and Gaps: CONNECTIVITY AND COLLABORATION

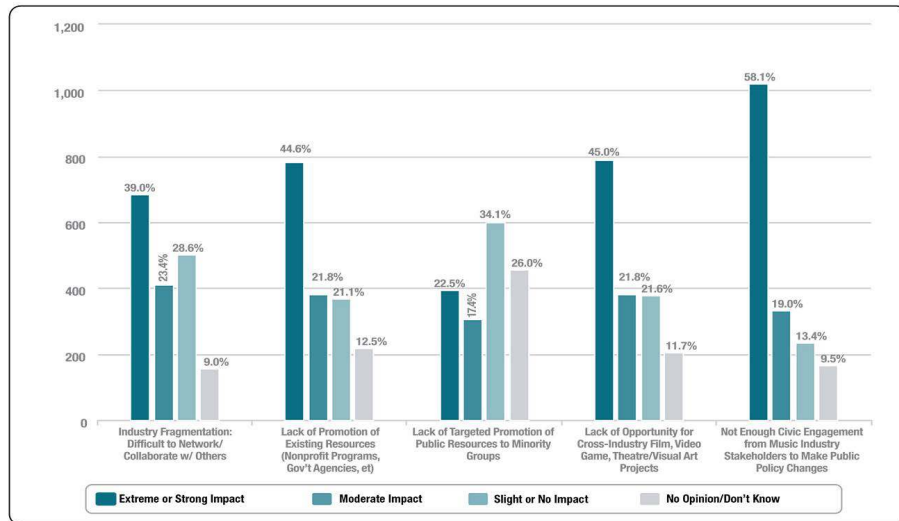


Figure 9 shows that nearly 60% of musicians believe that a lack of civic engagement from music industry stakeholders to make public policy changes has had an “Extreme or Strong Impact” on their lives and careers. That survey response data also confirms focus group responses, interviews, and text write-ins in the Austin Music Census.

TOP CITY POLICY CONSIDERATIONS FOR MUSICIANS

A complete policy plan of action for the City of Austin would require detailed recommendations, a study of funding mechanisms and feasibility issues, and an implementation plan. Such a policy plan is outside the scope of the Austin Music Census. However, based on the needs revealed through the data analysis, a few ideas and brief findings of best practices employed in other cities are presented here that may warrant further exploration by City staff and policy makers.

RETAINING AUSTIN'S CREATIVE CLASS

The Austin Music Census demonstrates a fundamental and systemic issue - that Austin's growing prosperity has not been shared by those who both have a critical role in creating that prosperity, and who also have built the foundation of Austin's brand as the “Live Music Capital of the World”. Musicians are seeing those around them experience benefits of an upwardly mobile and innovative city, while over 20% of them live below the Federal poverty line and another 30% hover just above it.

It is important to reiterate that income stagnation and declining revenue issues are present throughout the music industry nation-wide. It is very likely that Austin is not the only city to have a large artist population with crisis-level poverty and affordability issues. Any city that provides a home for a large artist class and is also experiencing the kind of annual growth that creates skyrocketing affordability prices may likely experience similar issues.

However, there are three key ways in which Austin may be different than other cities at the moment:

- ☐ Austin seems to be the only city to date to have granular measurements of musicians' income, which is now made visible via the Austin Music Census;
- ☐ Affordability issues are more pronounced in Austin due to the area's rapid growth rate, and are having an unequal effect on Austin's musicians vs. the Austin MSA general population; and

- Austin has always prided itself on being an artist-centric, enthusiastic home not just for musicians, but creators of all types.

Given the severity of the combined effect of long-term income stagnation and serious affordability concerns, the Austin Music Census data identifies those two issues as priorities that City policy makers should consider addressing in the near term to slow musician flight away from Austin.

Austin musicians may have reached a tipping point due to increasing economic hardship. It may no longer be realistic or sustainable for musicians to stay, even if they would prefer not to relocate.

The conventional wisdom is that the benefits of living in Austin have outweighed the difficulties, so there is no risk of musician flight. However, the Austin Music Census data, both quantitative and qualitative, strongly suggests that Austin musicians may have reached a tipping point due to increasing economic hardship. It may no longer be realistic or sustainable for musicians to stay, even if they would prefer not to relocate.

Through our Austin Music Census focus groups, interviews, and over 1000 write-in answers from musicians, there is significant evidence suggesting that musicians *may already be moving away from Austin or are actively considering moving in the short term*. While other cities may be perceived as less “hip” than Austin, musicians faced with affordability issues may find that they offer a more sustainable future. As the artist class is often on the forefront of creating new enclaves of excitement and activity, these other cities could become the new centers of creativity, innovation, and strong economic growth if they successfully attract artists who currently live in Austin. Furthermore, the Austin Music Census data shows a confirming trend in that *the number of musicians who say that they have moved to Austin within the last two years is a smaller percentage of the musician population relative to the number of new general population arrivals compared to the total population*.

There are other large U.S. cities that have some similar demographic traits to Austin and are actively working to engage and execute on principles of new urbanism and creative class development and retention to build innovative, thriving cities. The asset-based model of economic development has been studied widely, and has become well established as a measurably effective means to achieve those goals. Finding ways to enable the continuation and growth of a vocational, middle class artist population is broadly recognized as a key component of asset-based economic development.

As we shall see below, some of those cities have been investing in data collection and analysis to support a commitment of partnerships, policy changes, and financial resources in specific programs to address artist retention.

DEDICATED AFFORDABLE HOUSING FOR ARTISTS

From a city policy perspective, there are more obvious tools and opportunities to directly impact cost and affordability issues than clear ways to increase musician revenues that respond to the marketplace.

Dedicated affordable housing for artists is one critically important tool for impacting musician affordability barriers. At present, Texas State law precludes the City of Austin from providing real solutions for dedicated, affordable housing for artists - an issue which city policy makers may want to review.

However, there are other cities that very recently are making significant commitments to artist retention by providing dedicated affordable housing for artists. At the time of publication, at least three major U.S. cities have made specific commitments to their artist community with the announcement of city-supported, dedicated artist affordable housing.

New York: Bill de Blasio, Mayor of New York City, “used his State of the City address...to highlight his plan to create 1,500 new units of affordable housing for artists by 2024” as a part of his more expansive affordable housing platform to reduce poverty in New York City.¹⁹ The City of New York has recently become unequivocal in making this long-term commitment, with Tom Finkelpearl, Commissioner of the Department of Cultural Affairs adding “We just can’t allow artists to be priced out of New York City. They’re important for the soul of the city, they’re important for neighborhoods, they’re really important for the economy”.²⁰

That commitment is in addition to a plan to designate 500 artist workspaces in New York on city-owned sites, and in addition to the existing converted city properties for affordable artist housing, such as Artspace PS109 in Harlem.²¹

Minneapolis: The City of Minneapolis recently announced a new adaptive reuse of a national historic landmark building – the former Pillsbury Mill –, which will be retrofitted to create 251 apartment units for artists.²²

Nashville: Lastly, there is evidence that Nashville – like Austin – is also grappling with the nation-wide decline of music revenues and the effects on its large resident musician class. Some reports indicate a recent decline of full-time songwriters in Nashville as high as 80% of that population, a situation that is being described by some as “the collapse of Nashville’s musical middle class”.²³

In 2013, Nashville opened its highly successful, subsidized working musician housing development called Ryman Lofts, which now has a long waiting list.²⁴ Recently, a Nashville-based US Treasury Department-certified Community Development Financial Institution (CDFI) called The Housing Fund announced a new grant, the Make a Mark program, to “help lower- and middle-income artists buy, rehabilitate, and construct live-work spaces...[so] that the artistic community will have an affordable, permanent stake in neighborhoods throughout Nashville and Davidson County”.²⁵

Although Austin City Council recently approved six new affordable housing projects in Austin, only \$3.7 million in affordable housing tax credits are currently available from the State of Texas, which will be enough to develop only 2 or 3 of the six projects.²⁶ Furthermore, the Housing Authority of Austin recently opened applications for the Housing Choice Voucher/Section 8 Program for the first time since 2009. The application was open for approximately one week, and then closed again, with 19,175 applicants selected by a lottery system for 2,500 slots on the waiting list.²⁷ Clearly there is dire need for affordable housing in Austin.

¹⁹ Stephens, Alexis. “3 Cities Make Affordable Housing Plays to Hold on to Artists.” *Next City*. Next City, 6 Feb. 2015. Web. 28 Apr. 2015. <<http://nextcity.org/daily/entry/cities-affordable-housing-for-artists>>.

²⁰ Bergin, Brigid. “De Blasio to Unveil New Artist Housing, Workspace.” *WNYC*. New York Public Radio, 2 Feb. 2015. Web. 28 Apr. 2015. <<http://www.wnyc.org/story/de-blasio-unveil-new-artist-housing-workspace>>.

²¹ Stephens, Alexis. “3 Cities Make Affordable Housing Plays to Hold on to Artists.” *Next City*. Next City, 6 Feb. 2015. Web. 28 Apr. 2015. <<http://nextcity.org/daily/entry/cities-affordable-housing-for-artists>>.

²² *Ibid*.

²³ Rau, Nate. “Nashville’s Musical Middle Class Collapses.” *The Tennessean*. A Gannett Company, 28 Jan. 2015. Web. 28 Apr. 2015. <<http://www.tennessean.com/story/entertainment/music/2015/01/04/nashville-musical-middle-class-collapses-new-dylans/21236245/>>.

²⁴ Littman, Margaret. “Why Nashville Is Still America’s Music City.” *Next City*. Next City, 1 Dec. 2014. Web. 28 Apr. 2015. <<http://nextcity.org/features/view/why-nashville-is-still-americas-music-city>>.

²⁵ Pitcher, John. “\$200K Grant Helps Nashville’s Local Artists Find Affordable Housing.” *Nashville Scene*. City Press, LLC, 3 Feb. 2015. Web. 28 Apr. 2015. <<http://www.nashvillescene.com/countrylife/archives/2015/02/03/200k-grant-helps-nashvilles-local-artists-find-affordable-housing>>.

²⁶ Rockwell, Lilly. “Austin City Council Gives Blessing to Six Affordable Housing Projects.” *Austin American-Statesman*. Cox Media Group, 12 Feb. 2015. Web. 28 Apr. 2015. <<http://www.mystatesman.com/news/news/local/austin-city-council-gives-blessing-to-six-affordab/nj9ky/#1a174214.3819518.735642>>.

²⁷ “Applying For Housing Assistance.” *Housing Authority of the City of Austin*. Housing Authority of the City of Austin, 2015. Web. 28 Apr. 2015. <<http://www.hacanet.org/apply/hcv.php#Elighousing>>.

The City of Austin may wish to explore ways to partner with developers as well as review State law constraints on housing to find a path to commit to dedicated affordable housing specifically for musicians. This method of artist retention has been recently affirmed as a best practice in other competitive, growing, and dynamic cities.

STIMULATING MUSIC REVENUE CREATION

The data from the Austin Music Census suggests at least two ways to approach music revenue creation through economic development policy and potential adjustments or changes to the status quo. Listed below are some policy ideas to consider.

Redirected Use of Existing City Resources & Other Assets:

- ☐ Since one of Austin's unique assets is its important and diverse ecosystem of live music venues, and live shows are a mainstay of local artist revenue, invest in ensuring that venue ecosystem stays viable, healthy, and supports the development of local live music. This idea is explored in more detail in Section 4: "Music Venues and Nightlife Establishments" of this study.
- ☐ Create an "Austin Arts Loyalty Program" that encourages/incentivizes use of Austin music by other Austin-based companies in mediums such as films, television, games, commercials, advertising, etc.
- ☐ Prioritize allocating a small percentage of existing (and growing) tourism revenue funds to pay for incentives, cost cuts, and grant programs for artists that might include performances, tour/export expansion, and licensed, commissioned works.
- ☐ Create more integrated partnerships with ACVB as well as tourism boards and associations to leverage high tourist traffic and develop targeted tourist-based programs to increase revenue flow to local musicians.
- ☐ Invest in better, targeted professional development: Shift the professional development services focus to methodically and consistently address needs of existing working professional musicians rather than entry-level or early stage musicians and bands. Provide professional, best-practices training on expanding revenue opportunities; focus on expanding the connection of Austin's musicians to businesses and revenue opportunities in other cities and countries via investment in better networking and connections; bring experts from other locations for training sessions and networking; and increase trade export opportunities to connect professional musicians to more revenue.
- ☐ Reduce costs for professional artist business operations by creating access to useful (but individually expensive) subscription tools such as Pollstar Pro, All Access radio support subscriptions, and others – see more expansive discussion about this in Section 3: "Music Industry" under "Top City Policy Considerations".

Cultivating New Music Revenue Sources:

There are also some very good best practices and initiatives that focus on revenue building already in place in other cities like Chicago, Nashville, and Denver that could be explored for potential use in Austin. Guiding principles for revenue stimulation initiatives should ensure that the revenue will directly reach professional musician pockets in measurable ways.

Some ideas to explore locally that utilize other divisions within the Economic Development Department could include:

- ☐ Work with the Global Business Recruitment and Expansion Division on two separate fronts:

- Identify Business Recruitment Opportunities - create a framework for attracting & retaining businesses that create more financial opportunities for local artists
 - Export & Trade Development – Identify and execute on opportunities for Austin music, either live or recorded
- Explore export and trade partnerships in other music cities, especially with the burgeoning city-to-city music trade alliances in which Austin is already active and which are coming to fruition around the globe.

SECTION 3

MUSIC INDUSTRY

Austin Music Industry Characteristics and Priority Needs

DEFINING THE “MUSIC INDUSTRY” IN THE AUSTIN MUSIC CENSUS

This section summarizes some of the most important results of the Music Industry section of the Austin Music Census to identify critical needs and gaps. A full set of charts from the Music Industry survey is provided in Appendix V for comprehensive review.

The Austin Music Industry represents a large group of companies, workers, employees, and contractors that produce and support both local music and music tourism festivals and events. Typically, professional research studies concerning labor issues will use the U.S. Federal North American Industry Standard Classification System (NAICS) codes to categorize respondent data. This approach has the advantage of making the data easily comparable to other research studies that use the same method, which can be useful for comparisons or other activities. However, a drawback to using this system to measure the Music Industry is that the standard NAICS classifications do not directly map to the way the Music Industry operates or describes itself in everyday language. For instance, each of the line items below demonstrates a common music business job description and its associated NAICS code:

Artist Management.....	NAICS Sector 71: Arts, Entertainment & Recreation
Record Label.....	NAICS Sector 51: Information
CD/Vinyl Retail Store.....	NAICS Sector 44-45: Retail Trade
Marketing & Promotions.....	NAICS Sector 54: Professional, Scientific & Technical Services
Instrument Maker.....	NAICS Sector 31-33: Manufacturing
Audio Gear Rentals.....	NAICS Sector 53: Real Estate & Rental and Leasing

Because these Sector Codes are so different from common industry job descriptions, when Music Industry people are asked to describe their job or role in NAICS terms, they may mistakenly classify themselves into the “Arts, Entertainment & Recreation” sector.

The Austin Music Census seeks to capture the best of both worlds – a set of data that will be comparable to NAICS national data sets, and also one that would help respondents accurately describe their job within the Music Industry so that the data will be both accurate *and* useful for comparisons.

The segmentation design contains 33 main Music Industry job sectors (and 74 sub-sectors) using common music industry job terminology, and then contains an internal (invisible to the respondent) mapping system, in which each of these “common” job descriptions is then mapped to an NAICS Sector and Subsector. For the purposes of the Austin Music Census, all of the analysis is explained using the common industry job descriptions rather than NAICS classifications.

However, there is an important point about this mapping issue: when viewed through the Federal NAICS labor coding system, the Music Industry is much more than a niche cultural sector within a city. *It is actually an entire economy unto itself.* The core of this economy of course is the musicians, but the presence of those musicians spin off the creation of at least 13 other major NAICS economic activity sectors (and a correlating 66 sub-sectors), including all of the following:

The Music Economy Described in NAICS Sector Codes

Sector 31-33 Manufacturing

Sector 42 - Wholesale Trade

Sector 44-45 - Retail Trade

Sector 48-49 - Transportation and Warehousing

Sector 51 – Information

Sector 52 - Finance and Insurance

Sector 53 - Real Estate & Rental and Leasing

Sector 54 - Professional, Scientific & Technical Services

Sector 56 - Administrative and Support and Waste Management and Remediation Services

Sector 61- Educational Services

Sector 71- Arts, Entertainment & Recreation

Sector 72 - Accommodation and Food Services

Sector 81 - Other Services

The thinking and strategic planning around any city-based “Music Industry” is better understood as a number of industries that comprise a large economic system based around commercial music.

The jobs that are financially related and interdependent with a music economy are a much broader spectrum of activities than a casual observer might assume. The thinking and strategic planning around any city-based “Music Industry” is better understood as a number of industries – Manufacturing, Hospitality, Wholesale Trade, Information, Education, etc. – that comprise a large economic system based around commercial music.

In the Austin Music Census, there are respondents in all but 2 of the 74 Music Industry sub-sectors. Some of those sectors are heavily populated and others are not. The Austin music industry is comprised of people who work in a variety of jobs: full-time employees, people with 2 or more part-time jobs, self-employed small business owners or contractors, and people who also augment full or part-time work in the Music Industry with other types of employment.

This study includes respondents that work in a variety of ancillary support services that have a financial relationship to the Music Industry, such as photographers, graphic designers, writers who create copy for biographies or websites, and others. These have all been clearly categorized in the Austin Music Census classification system, but for purposes of simplicity in discussion in this section, ALL of these sectors collectively are referred to simply as the “Music Industry”. Later in this section, there is a simple segmentation of the “Music Industry” between “Employees” and “Business Owners” to better examine differences among those respondents. It is important to note that this “Music Industry” section discussion *does not* include venue owners and managers, who are discussed separately in Section 4.

MUSIC INDUSTRY SURVEY RESPONSE STATISTICS

Music Industry respondents represent 35% of the total number of respondents to this survey – over 1,400 individuals.

Total Music Industry Responses to Survey: **1,401**

-Total Subset of Business Owners or Proprietors: **534**

-Total Subset of Music Business Employees & Contractors: **655**

-Total Subset of Music Venue Employees & Contractors: **212**

- Total Completed Surveys: **925**
- Completion Rate: 66%
- Total Music Industry Additional “Write-In” Responses to “Needs and Gaps” Question: **318** Responses
- Total Music Industry Additional “Write-In” Responses to “Ideas and Proposals” Question: **153** Responses

SELECTED DEMOGRAPHICS AND CHARACTERISTICS

The following is a description of selected data from the 1,401 Music Industry and support service participants who took this survey. Music Industry responses are compared to corresponding statistical information for the Austin-Round Rock-San Marcos Metropolitan area from the U.S. Census Bureau’s American Community Survey 2013 Profile (“Austin MSA”).¹. The comparative U.S. Census information is highlighted in orange under the heading “General Population”.

LOCATION	57% have been living in Austin for 11 or more years
WORK HISTORY	41% have been working or in the music industry for more than 10 years; 59% have been working in the industry for 10 years or less
HEALTH CARE	73% have paid health insurance via an individual, company, or spouse/partner’s plan; 4% receive assistance from HAAM and SIMS, and 21% have no health care coverage at all [General Population: 66.8% paid health insurance, 19.0% with no health insurance at all]
HOUSING	42% Own their home, 58% rent their home. 61% have other household contributors to the rent or mortgage. [General Population: 58.2% own their home, 41.8% rent their home]
AGE	49% are 25-39 years old, 28% are 40-54 years old [General Population: 17.1% are 25-34 years old, 15.5% are 35-44 years old, and 12.8% are 45-54 years old].
GENDER	55.2% are male, 44.8% are female [General Population: 50.1% Male, 49.9% Female]
RACE/ETHNICITY	2.7% African American, 11% Hispanic (any race), 67% White [General Population: 7.2% African American, 31.9% Hispanic (any race), 79.8% White]

AREAS OF EXPERIENCE AND EXPERTISE

Many people working in the Music Industry have worked numerous jobs and roles during their industry careers. They often have a wealth of training and experience that may not be directly relevant to their current job, but nonetheless is a set of experience they bring to bear in the market. In an attempt to gain a broad perspective about what general areas of expertise (and gaps) exist in Austin’s local industry, respondents were asked to select as many expertise areas as they felt applied to them.

Since the Music Industry respondents are the companies and individuals providing the backbone of support and growth for Austin’s music economy, it is interesting to think about their areas of expertise, as well as gaps, and what implications this may have for future growth.

There are the expected areas of strength for a city that specializes in live music and events – “Event Promotion” and “Event Production” are the biggest outliers, with approximately half of all respondents claiming these as areas of expertise. There are also a few surprises (e.g., Austin has 114 individuals who claim

¹“ACS Profile Report: 2013.” US Census Bureau, 2013. Web. 27 Apr. 2015.
<http://www.austintexas.gov/sites/default/files/files/Planning/Demographics/CoA_ACS_Profile_2013.pdf>.

“Accounting” expertise). Across 40 separate possible skill categories provided in the survey, 31 of them have responses numbering 100 or more people, and the largest – “Event Production” has 632 people. The boxes below show the strongest and weakest self-identified skill areas. (For a full response list, see Appendix V).

STRONGEST SKILL AREAS	WEAKEST SKILL AREAS
○ Event Production ○ Event Promotion ○ Marketing ○ Social Media ○ Artist/Live Performance ○ PR & Publicity ○ Artist Management ○ Booking/Talent Buying	○ App/Software Development ○ Financing or Venture Capital ○ Manufacturing ○ Film/TV Composer ○ Music Legal Issues ○ Advocacy/Lobbying ○ Music Arrangement ○ Radio Production

Some of the responses in the “Weakest Skill Areas” are telling: App/Software Development and Financing/Venture Capital are both related to future revenue stimulation and business growth capability, while Music Legal Issues and Advocacy/Lobbying both relate to protection of business interests.

MUSIC INDUSTRY SECTOR JOB TRENDS

Industry Sector Population Size: In order to understand the relative size of each sector of the industry, respondents were segmented into their self-selected “Current Main Job”. A total of 1,386 people responded to this question.

Figure 10 illustrates the sector segmentation:

Fig. 10 Music Industry Subsector Breakdown

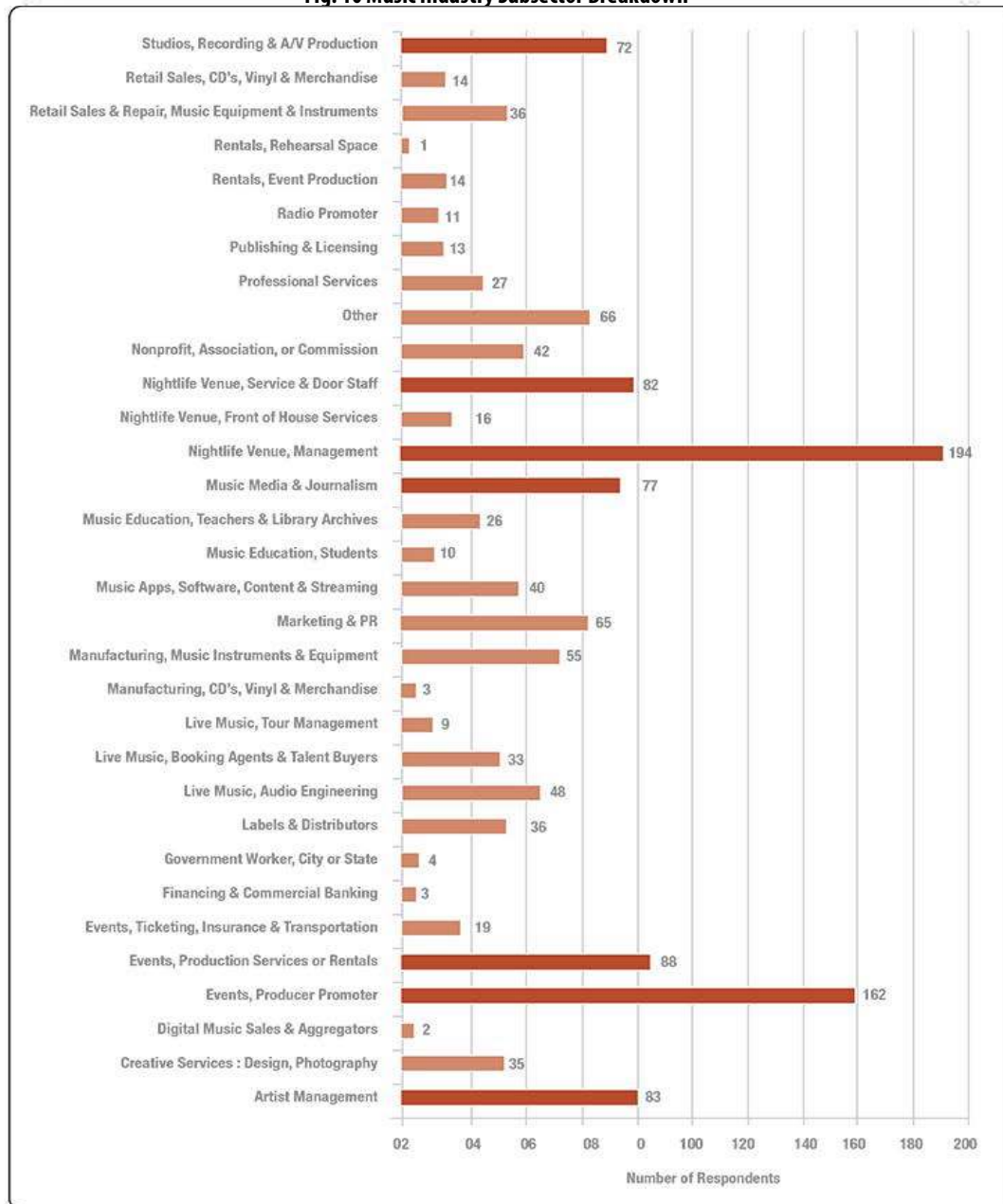


Figure 10 shows how the Music Industry respondent population is comprised of varying sectors, and the relative size of each segment of the Austin Music Industry. The dark orange bars signify any sector that contained 5% or more of the total respondents, ranging from “Studios, Recording & A/V Production” at 5.2% to “Nightlife, Venue Management” at 14%. (Venue management is included in this chart for comparative purposes of sector size. Venues are otherwise excluded from this section and discussed in Section 4).

MUSIC INDUSTRY SECTOR INCOME

Income By Sector Segmentation

In order to locate potential trends in current earnings or salaries, another segmentation was created by looking at some sample industry sectors and their associated self-selected income ranges. A total of 636

people responded to this question. (Appendix V provides a detailed set of Income by Sector information and a more complete view of which sectors currently have better income).

While most job sectors have the majority of workers earning in the lowest income bracket (\$25,000 or less), a few jobs sectors had typically better earnings:

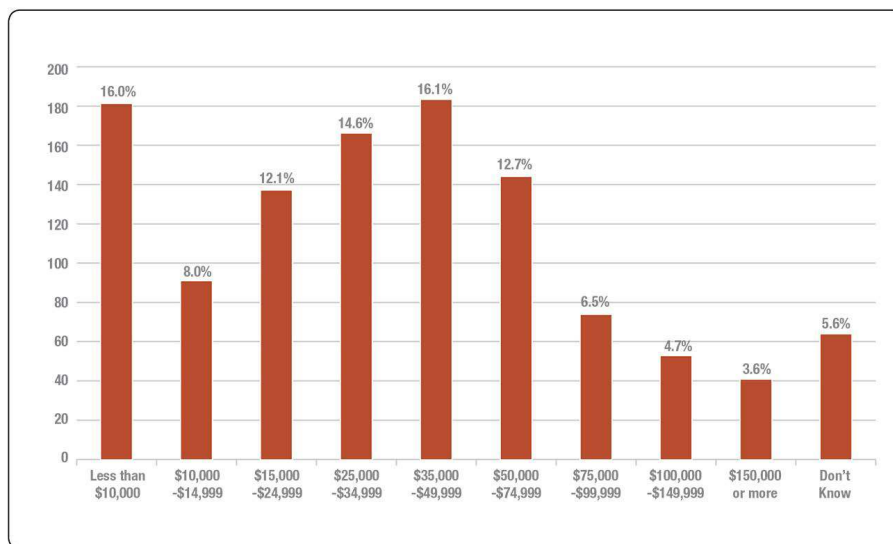
Job Sectors in which the highest percentage of respondents *is not* in lowest income bracket:

- ☐ Labels and Distribution
- ☐ Events: Ticketing, Insurance, & Transportation
- ☐ Event Production: Rentals
- ☐ Retailers: CD's, Vinyl & Merchandise

Income Figures

The following figure represents ALL income that Music Industry respondents make, including **all types of employment**, including music-related and non-music related jobs. 1,134 individuals answered this question.

Fig. 11 2013 Pre-Tax Individual Income (All Music Industry EMPLOYEES + OWNERS, All



This figure shows 16% of the Music Industry making \$10,000 or less, including all income sources, which is higher than the current poverty rate of 14% for the Austin MSA area.² The \$10,000 or less income category is also second highest of all categories, with the \$35,000-\$49,000 category (the mid-way point or median on the income scale) registering slightly higher at 16.1% of respondents. In total, there are more respondents below the median income category than above it, indicating that Music Industry jobs on the whole are not particularly high-earning occupations, and there is certainly room for income growth and wealth accumulation through increased market opportunities. Still, with the exception of the slightly higher than

² "ACS Profile Report: 2013." US Census Bureau, 2013. Web. 27 Apr. 2015.
<http://www.austintexas.gov/sites/default/files/files/Planning/Demographics/CoA_ACS_Profile_2013.pdf>.

average poverty rate, the figure approaches a “bell curve” distribution of earnings, with the highest number of respondents at the mid-way point.

There are a healthy percentage of new entrants to the local Music Industry job market – 18.2% of the respondents have been working in the industry for two years or less. This could be an indication of steady job growth in certain segments of the Austin Music Industry.

Other Income Trends of Note

- 40.4% of all Music Industry (Owners and Employees/Workers) has *one* full-time job within the industry.
- A total of 56.8% work full time in Music Industry, either with one job or two or more part-time jobs.
- There are a healthy percentage of new entrants to the local Music Industry job market - 18.2% of the respondents have been working in the industry for two years or less. This could be an indication of steady job growth in certain segments of the Music Industry.
- Income trends of the Music Industry are more positive on the whole than the Austin Musician population – income for over the past three years for 18.2% of respondents has decreased (compared to 23.2% of musician respondents).

MUSIC INDUSTRY INCOME IN CONTEXT: COMPARISON TO FEDERAL, STATE, AND CITY OF AUSTIN METRICS

Figure 12 below provides a better understanding of what these numbers mean in the context of Austin’s recent growth and prosperity, and how these figures compare to the general population of the Austin MSA. The figures used to calculate this comparison data are taken from Figure 11 above, “2013 Pre-Tax Individual Income (All Music Industry EMPLOYEES + OWNERS, All Income Sources).

Fig. 12 Comparison Metrics: Austin MSA vs. Music Industry Survey Respondents – All Income Sources

MUSIC INDUSTRY OWNERS, EMPLOYEES & CONTRACTORS: ALL SOURCES OF INCOME, Pre-Tax 2013	
More than 16%	Are Below 2014 Federal Poverty Level of \$11,670 ³
More than 36%	Qualify for Section 8 Housing Subsidies ⁴
Approx. 67%	Are Below the Austin MSA Area Mean Annual Wage ⁵
More than 51%	Are Below the Austin MSA Area Median Annual Wage ⁶

³ "2014 Poverty Guidelines." *Office of the Assistant Secretary for Planning and Evaluation*. U.S. Department of Health and Human Services, 22 Jan. 2014. Web. 28 Apr. 2015. <<http://aspe.hhs.gov/POVERTY/14poverty.cfm/>>.

⁴ "Applying For Housing Assistance." *Housing Authority of the City of Austin*. Housing Authority of the City of Austin, 2015. Web. 28 Apr. 2015. <<http://www.hacanet.org/apply/hcv.php#Elighousing>>.

⁵ "Austin-Round Rock-San Marcos, TX - May 2014 OES Metropolitan and Nonmetropolitan Area Occupational Employment and Wage Estimates." *Bureau of Labor Statistics*. United States Department of Labor, May 2014. Web. 28 Apr. 2015. <http://www.bls.gov/oes/current/oes_12420.htm#00-0000>.

⁶ "Austin-Round Rock-San Marcos, TX - May 2014 OES Metropolitan and Nonmetropolitan Area Occupational Employment and Wage Estimates." *Bureau of Labor Statistics*. United States Department of Labor, May 2014. Web. 28 Apr. 2015. <http://www.bls.gov/oes/current/oes_12420.htm#00-0000>.

Figure 12 actually shows the Music Industry to be more or less in line with general Austin population averages, which would indicate a relative health of the sector; poverty level and Median Annual Wage are about equal to all other Austinites. There is one exception: 67% of Music Industry respondents earn less than the Austin MSA Mean Annual Wage, meaning that there appear to be fewer *high-paying* jobs available in the Music Industry relative to other job sectors.

DRILLING DOWN: FINANCIAL TRENDS OF BUSINESS OWNERS VS. EMPLOYEES & WORKERS

The Music Industry workforce in Austin and elsewhere typically has a large proportion of small businesses. While Austin has several large companies such as C3 Presents, Mood Media, Inc., and SXSW Inc. that employ hundreds of individuals, large companies are the exception in Austin rather than the rule.

Since Austin has so many small music businesses, data segmentation is useful to find insights about the difference between being a Music Industry employee versus a small business proprietor.

Additionally, many people (both employees and business proprietors) work a second job outside the Music Industry to augment their income, or have some other source of income. Profiles have been created for four distinct “Music Industry” population segments to better understand these distinctions these trends:

- ☐ **Group 1: Music Industry Employee/Worker**, 100% Income from Music Industry
- ☐ **Group 2: Music Industry Employee/Worker**, People Who Earn Music Industry + Other Income
- ☐ **Group 3: Business Owner**, 100% Income from Music Industry
- ☐ **Group 4: Business Owner**, People Who Earn Music Industry + Other Income

The following figures show 2013 Pre-Tax Income information for each of these segments in the form of a line graph of each, so that trend lines can be compared.

Figure 13 shows both of the Employee/Worker segments: Group 1 and Group 2:

Fig. 13 Employee/Worker Income Trends – With and Without Augmented Income

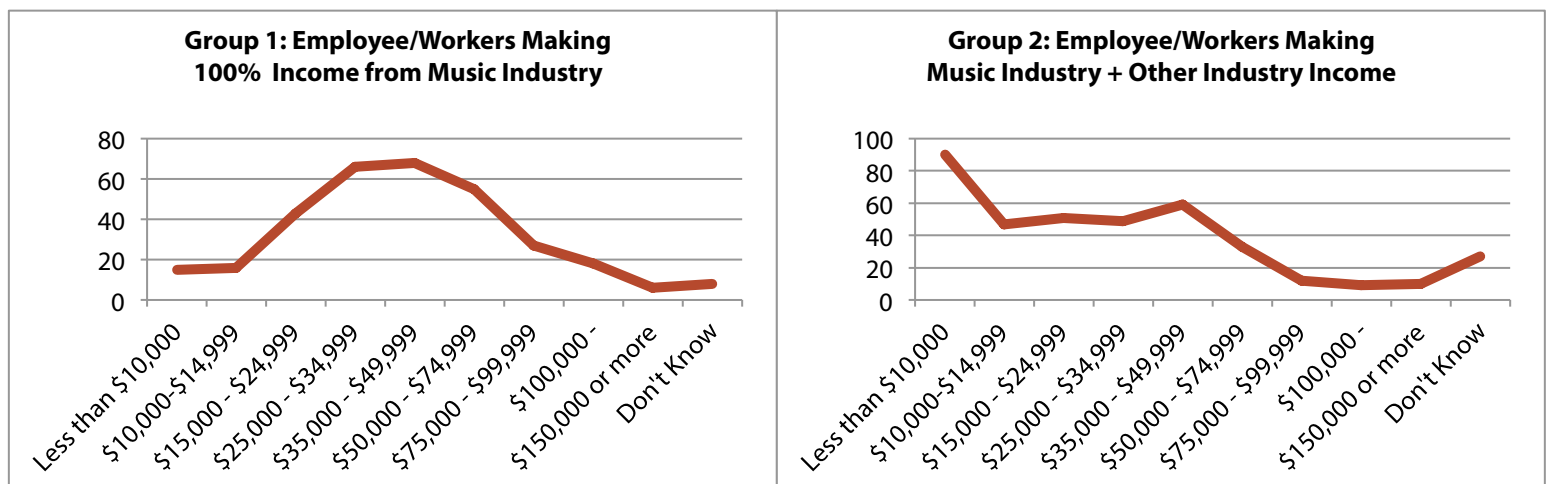
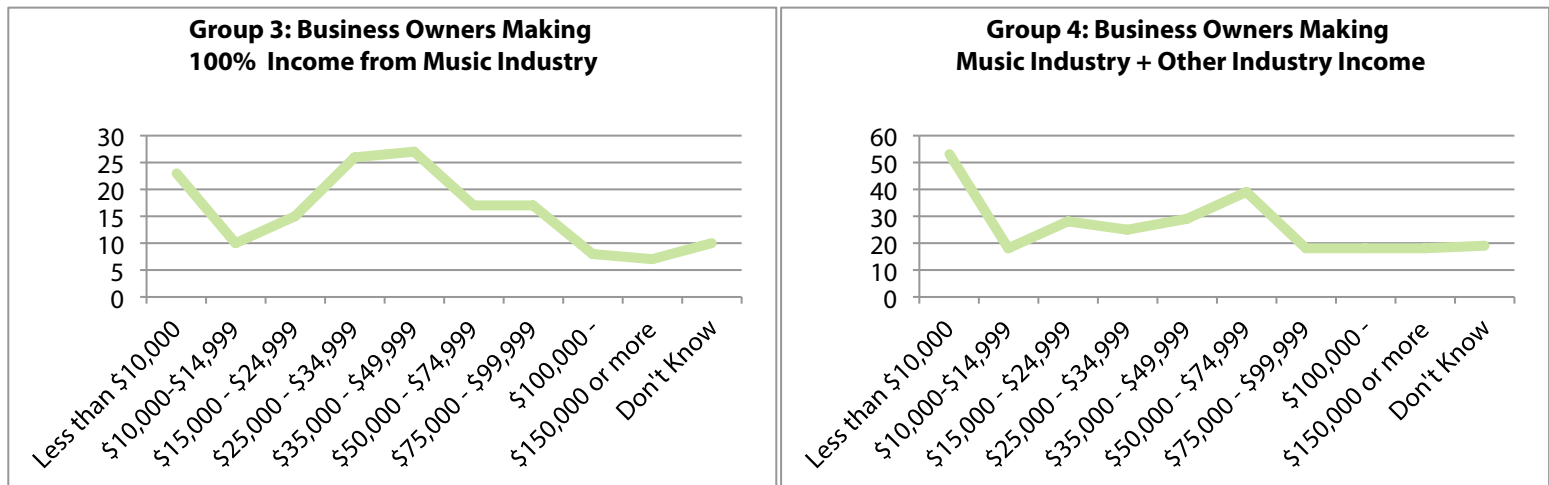


Figure 13 illustrates an interesting and perhaps unexpected trend – employees who are employed only in the Music Industry (versus augmented income) have a much lower risk of earning *extremely low* wages, and a much better chance of earning median-level wages or even better than median-level wages. Group 1 represents a fairly classic “bell curve” distribution, with the added upside of a slight bump in higher than

average wage earners. This appears to be a fairly healthy sign for the stability of this sector, which is likely generated from the growth of larger, more stable companies that can employ more full-time workers. It may also indicate that if Austin can continue to grow the size and revenue of its hometown companies, it may be able to convert more individuals who are currently in Group 2 – less predictable & stable income with a high percentage of very low wage rates – into Group 1, full-time Music Industry employees.

Figure 14 below shows both of the Business Owner income segments: Group 3 and Group 4:

Fig. 14 Business Owner Income Trends – With and Without Augmented Income



Both Groups 3 and 4 show more upside potential for income than Groups 1 and 2, as a higher percentage of business owners than employees earn above the median income. Both Group 3 and Group 4 also show a high percentage of people earning less than \$10,000, which may be somewhat expected amongst a population of entrepreneurs and small business owners who are in the process or perhaps early stages of building a business. In general, business owners experience higher earnings risk, but with the potential for better financial rewards.

But it is interesting to note that the group that *makes all of its income from music is on the whole doing better than the group that is augmenting music jobs with other income sources*. Group 3 has a larger percent of earners in the median income range, as well as a higher percent above the median income, signifying better wealth accumulation by those who are focused just on the Music Industry.

So it would appear that a key issue for Austin Music Industry economic growth may be in creating better opportunities for growth of entrepreneurs and small business operators, who support the ecosystem of industry growth.

There are not yet clear reasons why this disparity exists or what it means, but it is an important observation. This trend perhaps has significance from a policy perspective in that if policy makers can facilitate increased capacity for entrepreneurs to focus on building or growing their companies, those policies may pay off, both for the entrepreneurs' income earning ability and for their increased capacity to hire more full-time employees.

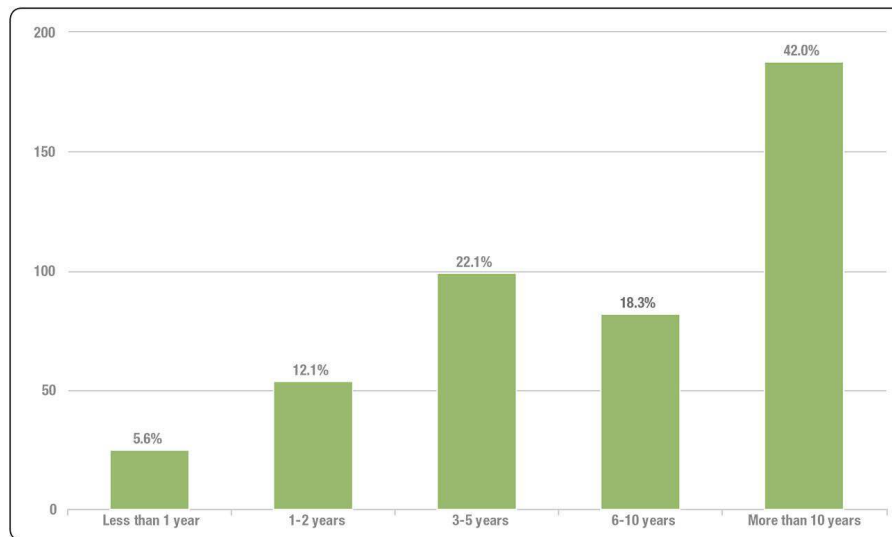
So it would appear that a key issue for Austin Music Industry economic growth may be in creating better opportunities for entrepreneurs and small business operators, who support the ecosystem of industry growth. The following section is dedicated to a deeper exploration of what the Austin Music Census indicates

about the characteristics that comprise the Small Business Owner respondents, and what needs and gaps they feel present the biggest challenges to growth.

BUSINESS OWNERS AND ENTREPRENEURS: AN ASSESSMENT

The Austin Music Census provides a wealth of information about music business entrepreneurs – who they are and how they operate. Appendix VI has a full set of data charts with Business Owner responses. From this point forward, this section will discuss only the music business owner and entrepreneur respondent segment. Figure 15 shows how long these business owners have been operating a business in the Music Industry, and therefore may indicate a proxy for the amount of experience this group has. There were 447 respondents to this question.

Fig. 15 Business Owners – Number of Years in Operation



It is encouraging that almost an equal number of businesses have been started in the last 3-10 years (**40.4%**) as have been operating more than 10 years (**42.1%**), and **17.5%** of all these businesses have been started within the last 2 years. This appears to be a good sign that new business is developing and growing, which should be encouraged.

Also, net income increases with time working in industry and building business, but on the whole, income growth happens quite slowly. For example:

- ☐ **72%** of respondents in business for 1-2 years are making \$15,000 or less
- ☐ **52.2%** of respondents in business for 6-10 years are making \$15,000 or less, and
- ☐ **38.5%** of respondents in business for more than 10 years are making \$15,000 or less

One consideration is how it might be possible to impact the speed at which these businesses can grow beyond low-wage income into more viable income ranges more quickly.

Another important factor to understand is the age distribution of these business owners; if this population as a whole is “aging out” and not replenishing itself with younger entrepreneurs, the policy rationale may require a different approach. Figure 16 illustrates business ownership by age group. There were 419 respondents to this question.

Fig. 16 Business Owners – Age Breakdown

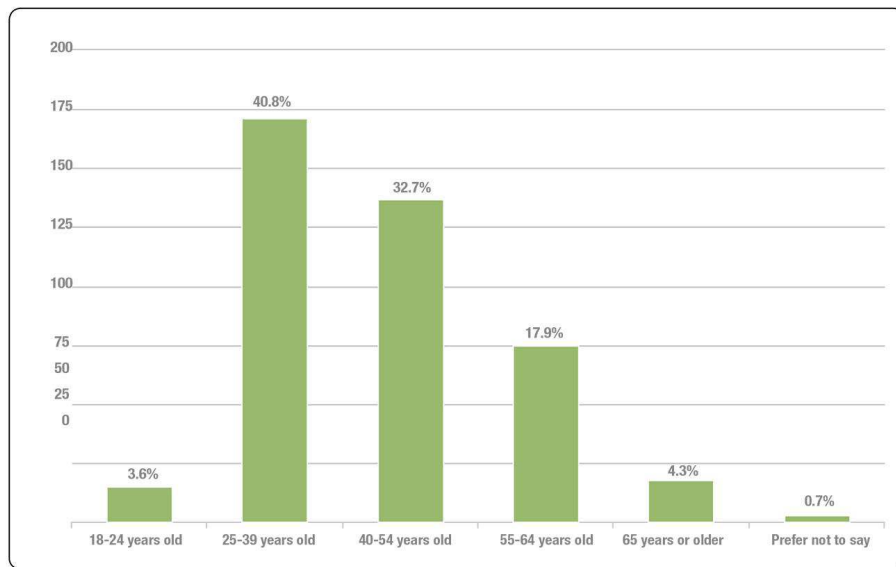


Figure 16 illustrates a promising fact - **40.8%** of respondents are 25-39 years old, and **32.7%** are 40-54 years old. Several implications can be drawn.

First, these are prime earning and career building years, so a strong showing of this age group amongst Austin Music Industry entrepreneurs is a positive sign of potential growth to come.

Second, the 25-34 age demographic is the most coveted age group by most cities and economic development agencies in the U.S.⁷ This cohort are highly sought after by most cities since they are the growth engine of the future. In fact, a recent study shows that the Austin metro area has been the highest-ranking destination between 2006-2013 for the so-called “symbolic” segment of the creative class, which is comprised of designer, media, and entertainment workers.⁸

Reviewing the size of these businesses by number of employees provides another insight. Figure 17 shows the number of full-time employees or FTE equivalents from our respondents. There were 447 respondents to this question.

⁷ CEO's For Cities. "Attracting College Educated Young Adults to Cities." The Segmentation Company a Division of Yankelovich, 8 May 2006. Web. 28 Apr. 2015. <[http://www.centerforhoustonfuture.org/cmsFiles/Files/Attracting College-Educated Adults to Cities.pdf](http://www.centerforhoustonfuture.org/cmsFiles/Files/Attracting%20College-Educated%20Adults%20to%20Cities.pdf)>.

⁸ Florida, Richard. "Where Does the Creative Class Move?" *CityLab*. The Atlantic Monthly Group, 31 Oct. 2014. Web. 28 Apr. 2015. <<http://www.citylab.com/work/2014/10/where-does-the-creative-class-move/382157/>>.

Fig. 17 Business Owners: Number of Full-Time Employees or FTE Equivalents

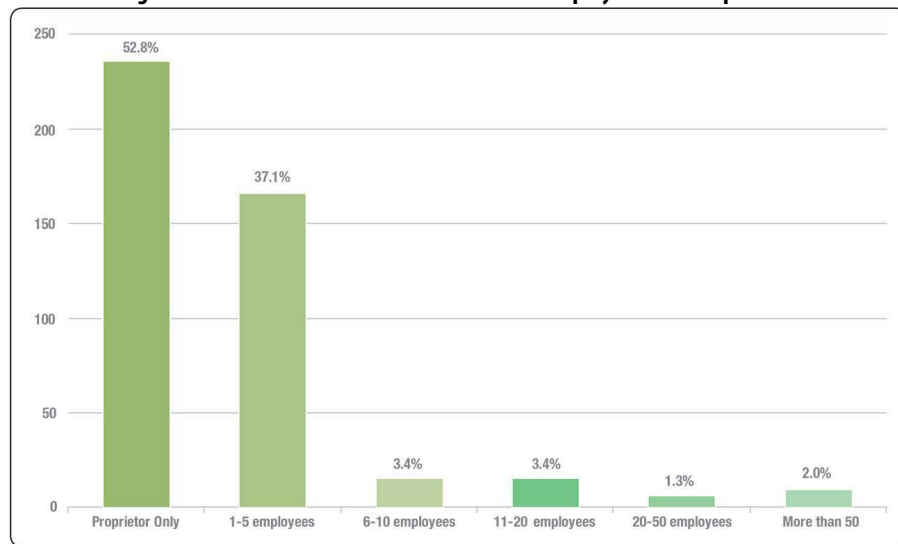


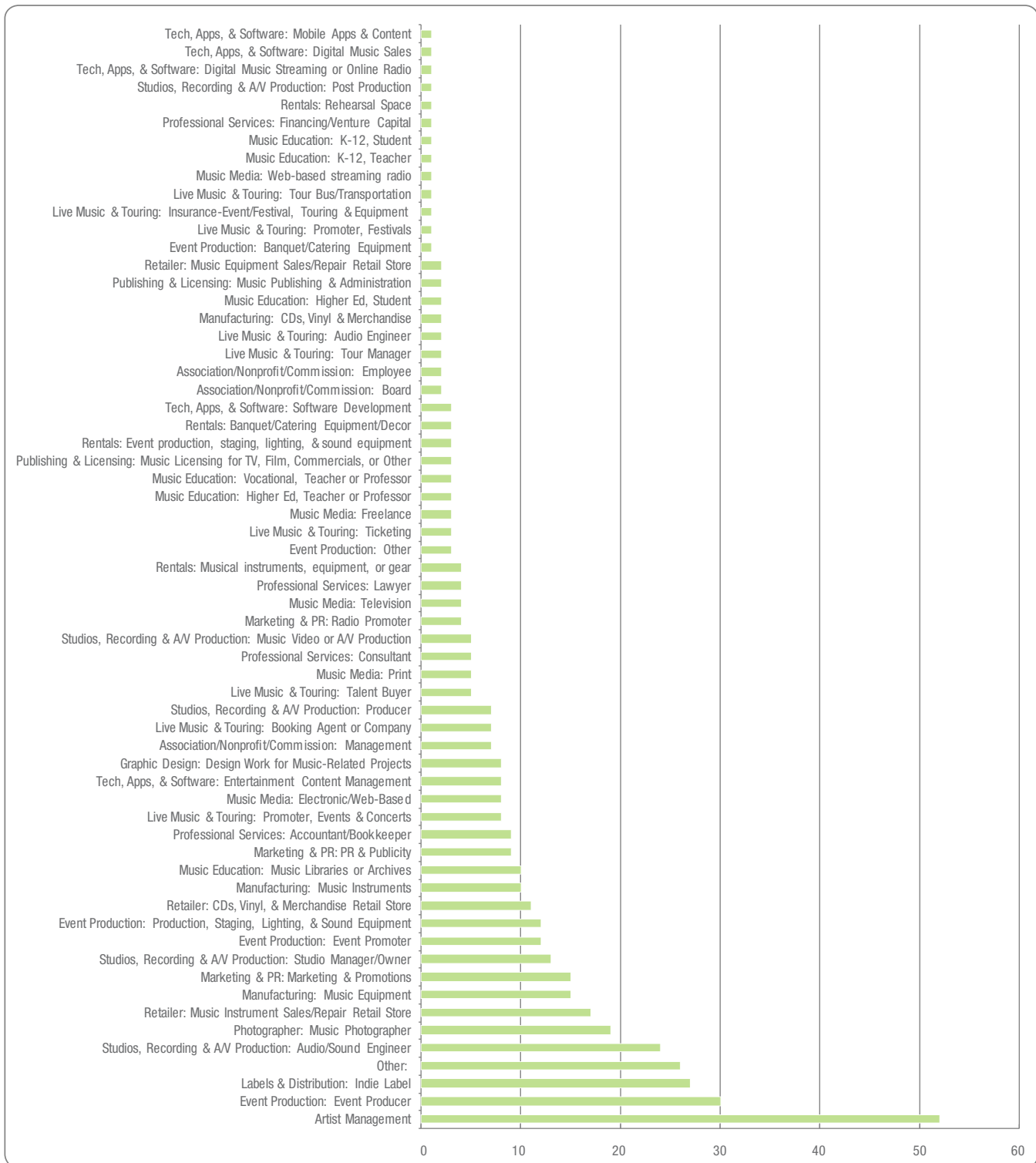
Figure 17 shows that 52.8% or 236 people - over half of the Music Industry business owner respondents - are proprietor-only businesses. Further, *a total of 89.9% of all the respondents' Music Industry businesses have between 0-5 employees.* The number of years in operation appears to have an effect on the number of employees, as time in market contributes some (but not a lot) of company growth: 64.2% of businesses operating for 1-2 years are proprietor-only, and 46.3% of businesses operating for 6-10 years are proprietor-only.

The Austin Music Industry is primarily comprised of individual or very small proprietors who are working out of a home office, with little connection to others in the industry outside of scheduled meetings, events, or online contact.

These facts reflect what was said repeatedly in focus groups: The Austin Music Industry is primarily comprised of individual or very small proprietors who are working out of a home office, with little connection to others in the industry outside of scheduled meetings, events, or online contact. Focus groups noted another issue that arises out of this individualized, fragmented working environment: this type of working situation does not raise the bar for professionalism, and can create a league of amateur or mid-level performers, with no obvious means of developing a nationally competitive set of skills and contacts.

Lastly, to understand how business owners are distributed within the industry, Figure 18 shows the size and segmentation of business owners in a sampling of Industry subsectors. There were 456 respondents to this question.

Fig. 18 Number of Business Owners in Industry Subsectors



The data shows business owners and proprietors operating in 63 out of 74 possible industry sub-sectors. It appears that Austin has a very widespread ecosystem of small business operators throughout the Music Industry economy.

In summary, the Austin Music Census uncovers a number of important facts about these business owners that may be important to future planning and development efforts:

- Business Owners appear to create more Music Industry income when they are able to focus their efforts on one job or company, rather than augmenting income from other sources outside the Music Industry.

- ☐ A healthy percentage of these music businesses have been started within the past 2 years, indicating new business growth and possibly an expansion of the number of operators entering the Music Industry marketplace.
- ☐ Net income increases with time spent building businesses, but increases slowly.
- ☐ Business owners represent a very strong showing of 25-39 year olds, which is nationally a coveted age group from an economic development perspective that the City very likely wants to retain.
- ☐ Small business respondents represent 63 out of 74 Industry sub-categories, indicating a widespread population of entrepreneurs throughout the Austin Music Industry economy.
- ☐ The vast majority of these businesses are either sole proprietors or very small businesses that are highly atomized, and operate primarily out of home offices.

A very important policy question is how do we retain these entrepreneurs and help them grower better and faster? What do they need to increase their rate and speed of success?

NEEDS AND GAPS: LIVING AND AFFORDABILITY

Many of these respondents' answers to Needs and Gaps align with the summary of facts above, and begin to point the way toward potential policy priorities. In addition to income and demographic questions, respondents were asked to rate a series of questions that described the kinds of needs and gaps that are important factors in delaying or inhibiting the growth of their careers and earnings potential.

These needs and gaps were separated into four Category types:

- ☐ Industry Resources
- ☐ Connectivity and Collaboration
- ☐ Professional Education and Skills Development
- ☐ Living and Affordability

Each of these categories was presented in a grid format, with between 4-6 specific questions in each category, and the respondent was asked to rate each question in terms of impact to their career development, with the scale ranging from Extreme Impact – No Impact.

As with all respondents in the Austin Music Census, a large majority of business owners rated issues in the "Living and Affordability" category as critically important. Here are percentages and issues for which respondents gave a rating of "Extreme or Strong Impact" regarding specific affordability questions:

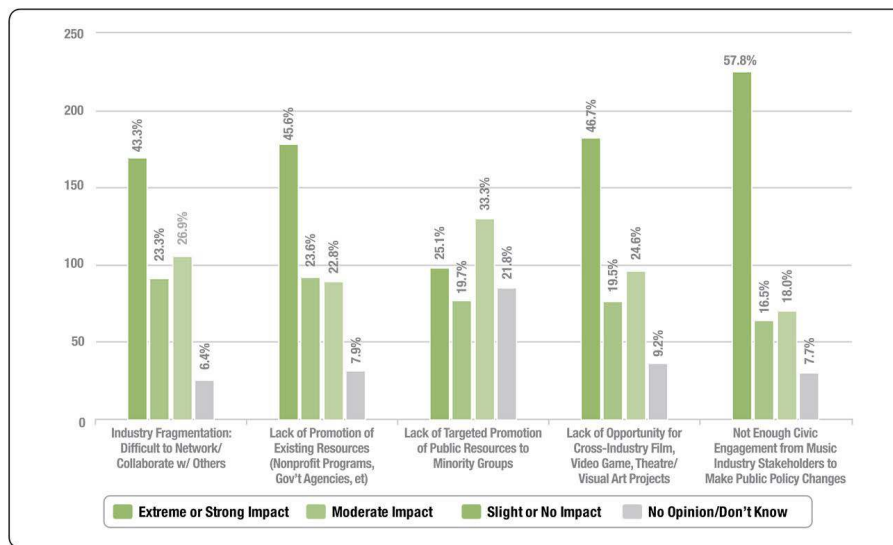
- ☐ **78.2%** Extreme or Strong Impact: ***"Stagnating Pay for Musicians Makes It Difficult to Make a Viable Income"***
- ☐ **70.8%** Extreme or Strong Impact: ***"Lack of Affordable Housing for Rent"***
- ☐ **69.2%** Extreme or Strong Impact: ***"Increased Cost of Living in Food, Utilities, & Transportation"***

Since Living and Affordability issues have been discussed at length in the Musician section of this study, they will not be discussed again here, but it is clear from their answers that business owner respondents are in alignment with other respondent types regarding Living and Affordability issues.

NEEDS AND GAPS: CONNECTIVITY AND COLLABORATION

Outside of Living and Affordability questions, as a general rule, business owners were less enthusiastic and less clear about identifying needs and gaps than they were about ideas for solutions (with two exceptions, which will be discussed below). There were two specific questions in which there were more than 50% of respondents who ranked the question as having “Extreme or Strong Impact” on career development – one in the “Connectivity and Collaboration” category, and one in the “Industry Resources” category. Figure 19 shows “Connectivity and Collaboration” responses.

Fig. 19 Business Owner Needs and Gaps: CONNECTIVITY AND COLLABORATION



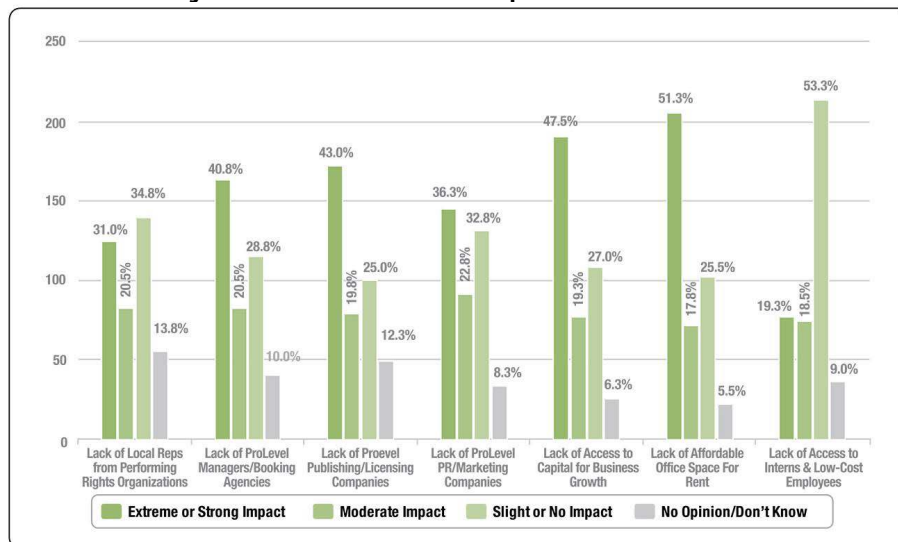
As Figure 19 illustrates, **57.8%** of respondents feel that historically at least, *a lack of civic engagement and advocacy has had a major career impact*.

Equally interesting is that the question regarding “Lack of Opportunity for Cross-Industry Film, Video Game, Theatre/Visual Art Projects” didn’t rank higher as an issue for business owners. It may be too early yet to draw conclusions about the meaning of this lack of interest, but it is perhaps an indication that these industries in Austin have been operating in such a partitioned fashion that respondents lack specific knowledge about opportunities that might exist or that could be developed.

NEEDS AND GAPS: INDUSTRY RESOURCES

The next chart, Figure 20, shows “Industry Resources” responses.

Fig. 20 Business Owner Needs and Gaps: INDUSTRY RESOURCES



This chart illustrates that one item registered over 50% as “Extreme or Strong” impact: **51.2% feel that the “Lack of Affordable Office Space for Rent” has been a critical barrier** – a very pragmatic issue that resonates with a majority of the small business entrepreneur population. Affordable office space to grow an enterprise is also an issue that was brought up repeatedly in focus group discussions as well. Additionally, “Lack of Access to Capital for Business Growth” comes in close to **50%** of respondents as a critical issue.

It is also equally insightful to note the issues which seem to have *less* impact: clearly most of these respondents feel that they have fairly easy access to entry-market, lower wage employees and/or intern assistance to utilize, and marketing companies and channels do not appear to be a large barrier. The data shows that there was also a rather lukewarm response to “Professional Education and Skills Training” questions; the majority of business owner respondents do not feel this is a priority need, or it may be a sense that there are other more critical issues at the moment tied to their ability to succeed, such as affordable office space, access to growth capital, and more effective civic engagement and advocacy efforts.

IDEAS AND PROPOSALS: ENTERTAINMENT DISTRICTS AND MARKET DEVELOPMENT

Lastly, survey respondents were given questions with potential ideas for solutions or new proposals, most of which came from focus group discussions. Again these questions were grouped into categories and then presented in a grid of questions related to that category.

These “Ideas and Proposals” were separated into three Category types:

- ☐ Career Development and Connectivity
- ☐ Tourism and Market Development
- ☐ City Programs

Each of these categories contained between 4-6 specific questions, and the respondent was asked to rate each question in terms of how helpful the idea would be for career or business development, with the scale ranging from Extremely Helpful – Not Helpful.

Full results are available in Appendix VI and provide useful information on respondent priorities around Tourism and City Programs. There is clearly some overlapping interest with musician respondents in ideas for new initiatives. For business owners, the following ideas in particular were rated “Extremely or Strongly Helpful” by a strong majority of these respondents:

- ❑ **75.6%** Creation of an “Austin Art Loyalty Program” that encourages/incentivizes use of Austin music in other Austin-based companies
- ❑ **65.9%** Creation of More City-Zoned Music-Friendly Areas (i.e. Red River Cultural District) & Promote to Tourists
- ❑ **64.3%** Creation of City Programs to Develop International Markets & Export Opportunities
- ❑ **64.3%** Use of Density Bonus/Tax Incentives to Increase Live Music Sustainability in City Center

These business owner respondents agreed with musician respondents about new roles in which they would like to see the City become engaged. Specifically, respondents agreed about the value of formal, codified entertainment district designations and other public-private activities to stimulate revenue growth, such as trade and export development and encouraging tourist activity to have more focus on local content.

Though there were ideas in each of the above categories that have very strong and clear support from the business owners, **the standout category receiving the most positive overall response is the “Career Development and Connectivity” section. The following section provides analysis of this category.**

IDEAS AND PROPOSALS: THE CREATION OF A MUSIC INDUSTRY CENTRAL HUB & CO-WORKING BUILDING

Figure 21 below shows all business owner responses to the final category of the Ideas and Proposals section, “Career Development and Connectivity”.

Fig. 21 Business Owner: “Career Development and Connectivity” Ideas and Proposals

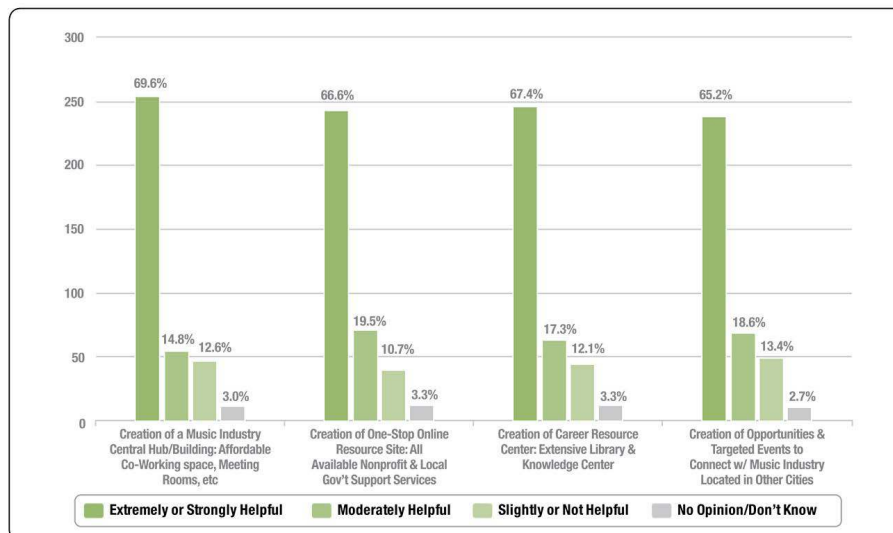


Figure 21 clearly shows that *all* of the ideas in the “Career Development and Connectivity” category ranked as highly important for business owners. It is interesting that the highest ranked Idea or Proposal– *at nearly 70% responding “Extremely or Strongly Helpful”* – is the “Creation of a Music Industry Central Hub/Building with Affordable Co-Working Space, Meeting Rooms, etc.”. Also, a physical resource center/library/knowledge center

as well as a comprehensive online resource navigation site to find available support services ranked as priorities as well.

It is interesting that the highest ranked Idea or Proposal – at nearly 70% responding “Extremely or Strongly Helpful” –is “The Creation of a Music Industry Central Hub/Building with Affordable Co-Working Space, Meeting Rooms, etc.”

There appear to be two emerging threads that bind the business owner needs and ideas data together:

- ☐ The need for better connectivity, and
- ☐ More pragmatic affordability solutions for those who are sole proprietors or operating very small businesses.

The music economy and its high number of associated small businesses have perhaps crossed a Rubicon of sorts: the historical ways Austin has worked to connect the industry together through networking events, panels, discussion groups, etc., were appropriate and required at the time, but may simply no longer be sufficient to fill the connectivity needs of the many atomized operators in the city.

The developing visibility of this emerging set of priorities is a positive sign of activity and growth in Austin’s Music Industry and its associated businesses. But it would appear that Austin has reached a new stage of maturation which requires different – or additional - solutions if it is to continue that growth. Fragmentation is highly inefficient and costly: opportunities are missed, knowledge sharing is cumbersome or non-existent, businesses grow more slowly, and innovation is substantially hindered. There is also the added issue of “opportunity loss by omission” - people may never hear what others are doing and miss ways to build both business and revenue.

In summary, the focus groups, informational interviews and survey data in the Austin Music Census suggest the following conclusions about what the industry requires for next stage growth. Music industry operators and small businesses need new and more systemic solutions and infrastructure, and Faster and more efficient access to developing business opportunities.

TOP CITY POLICY CONSIDERATIONS FOR MUSIC INDUSTRY GROWTH

A complete policy plan of action for the City of Austin would require detailed recommendations, a study of funding mechanisms and feasibility issues, and an implementation plan. Such a policy plan is outside the scope of the Austin Music Census. However, based on the needs revealed through the data analysis, a few ideas and brief findings of best practices employed in other cities are presented here that may warrant further exploration by City staff and policy makers.

Better Economic Growth Through Cluster Development

In the U.S and other developed countries, cities are the basic social and economic organizing unit of the knowledge-based creative economy. Thus the strategy of governments and public entities investing in the creation of economic clusters via policy support, land/building grants, financial investment or other means is certainly not new, and has been well proven in a substantial number of case studies and other research to be very effective in certain situations. Clustering is a phenomenon that can happen organically, as companies form around a particular local asset - certainly this is what private industry operators have already done around the Austin Music Industry.

The next step, however, may require new ways to implement an intentional, strategic pursuit of cluster development with Music Industry operators. Clusters are recognized to bring certain benefits, such as increased efficiency of connections and operations, better access and speed to “insider” information, and a

high-energy environment of both competitive *and* cooperative relationships – all of which create faster time to market with better ideas and more opportunities to build relationships and revenue. For these reasons, well-designed clusters are able to create a remarkable competitive advantage as well as faster innovation in cities that include clustering activities as a prominent component of their economic development strategy.

Michael Porter, the well-known economist, writer, and Professor at Harvard Business School, has this to say about the benefits of clusters in creating competitive advantage:

Clusters affect competition in three broad ways: first, by increasing the productivity of companies based in the area; second, by driving the direction and pace of innovation, which underpins future productivity growth, and third, by stimulating the formation of new businesses, which expands and strengthens the cluster itself. A cluster allows each member to benefit as if it had greater scale or as if it had joined with others formally – without requiring it to sacrifice its flexibility.⁹

Although this clustering concept has gained ground in Austin in the last ten years in other industries – the newly designated medical “Innovation Zone” around the new Dell Medical Teaching Hospital and the Austin Film Studios/Austin Film Society campus for film creators are two examples - Austin has yet to engage in any meaningful pursuit of Music Industry clustering.

The next step may require new ways to implement an intentional, strategic pursuit of cluster development with music industry operators.

Two potential ideas to further Music Industry clustering development would be:

- Perhaps most important, consider how the City could assist in the creation of the items the Austin Music Census reveals that the business owners feel they most need: a centrally located Commercial Music Hub. This building might include some or all of the following components:
 - Co-Working space: low-cost office space for rent, for either individuals or small companies
 - Meeting rooms for use by the day or hour that can also be available to non-office space renters to use for conferences or meetings
 - Potentially a café/coffee or other social space in the building for gathering and networking
 - Office space to house a number of Austin’s Music Industry related nonprofits under one roof
 - Office space that can be rented by out of town Music Industry people for a daily or weekly rate
 - Potentially a suite of “creative” rooms – co-writing spaces for songwriters, video editing suites for multimedia music content, etc.
 - A large resource library for Music Industry and musicians, including access to basic contract templates, and subscription-based access to expensive but critical business tools for working professionals, such as Pollstar Pro, All Access Radio Weekly Add Lists, and numerous other tools.

⁹ Porter, Michael. “Clusters and the New Economics of Competition.” *Harvard Business Review* (Nov.-Dec. 1998): 80. Print.

- Use the creation of more formal, codified Entertainment Districts designated in the land development code and other development/zoning advancements with appropriate policies and incentives within those areas to encourage music business operators to open storefronts or otherwise have commercial engagement opportunities with the public.

Interestingly, it would appear that Austin is actually behind the times on this particular front. Several other cities already have such hubs in operation. A few examples that may be worth a further review include:

- **Nashville:** InDo Nashville
- **Chicago:** Fort Knox Studios/2112
- **New Orleans:** Musicians Village
- **Toronto:** Ryerson Digital Media Zone and MARSCOMMONS
- **Memphis:** Memphis Music Resource Center
- **Detroit:** Musicians Community Center

Each of these hubs have different offerings and character traits among them based on the needs of that particular city and the feasibility work each has done to create their hubs. For more information on each of these creative hubs, please see Appendix XVII.

None of these is necessarily the “right” fit for Austin. The suggestion is that Austin should do its own feasibility work to determine what makes the best sense for its music entrepreneurs and business owners – what the hub will do, how it will work, who it is for – and then commit through policy and resources to assist Austin’s music economy grow to the next phase of maturation and national competitive advantage.

SECTION 4

MUSIC VENUES & NIGHTLIFE ESTABLISHMENTS

Venues and Nightlife Establishments

Characteristics and Priority Needs

This section summarizes selected data elicited from venue owner and manager respondents. A complete set of data for these respondents is provided in Appendix VII.

The Austin Music Census was open to any nightlife or entertainment venue in the Austin MSA area. Over **58%** of respondents identified themselves primarily as a live music venue, while an additional **33%** identified as other types of establishments that offer live music (such as a restaurant, coffee shop or community space). In the aggregate, **91.6%** of respondents book live music as a regular part of their business. Live music venues that book solely local artists represent 20% of the respondents; the other 80% book some percentage of touring acts.

The response rate and demographics of venue owner or manager respondents follows.

91.6% of respondents book live music as a regular part of their business. Venues that book solely local artists represent 20% of the respondents; the other 80% book some percentage of touring acts.

VENUE SURVEY RESPONSE RATE STATISTICS

Total Venue Owner or Manager Responses to Survey: **187**

Total Completed Responses to Survey: **118**

Completion Rate: **63%**

Total Venue Additional "Write-In" Responses to "Venue Owner Issues" Question: **72** total, 45 manager /owners and 27 employee/contractors

SELECTED DEMOGRAPHICS AND CHARACTERISTICS

The following is a description of selected data from the 187 venue owner and manager respondents who took this survey. Venue owner and manager responses are compared to corresponding statistical information for the Austin-Round Rock-San Marcos Metropolitan Area from the U.S. Census Bureau's American Community Survey 2013 Profile ("Austin MSA").¹ The comparative U.S. Census information is highlighted in orange under the heading "General Population".

LOCATION	71% have lived in Austin for 11 or more years
WORK HISTORY	46% have owned or managed a venue for more than 10 years; 54% have owned or managed a venue for 10 years or less
HEALTH CARE	74% have paid health insurance under an individual, company, or spouse/partner's plan; 2% receive assistance from HAAM and SIMS, and 21% have no health care

¹"ACS Profile Report: 2013." US Census Bureau, 2013. Web. 27 Apr. 2015.
<http://www.austintexas.gov/sites/default/files/files/Planning/Demographics/CoA_ACS_Profile_2013.pdf>.

	coverage at all [General Population: 66.8% paid health insurance, 19.0% with no health insurance at all]
HOUSING	58% own their home, 42% rent their home. 58% have other household contributors to the rent or mortgage. [General Population: 58.2% Own their home, 41.8% rent their home]
AGE	41% are 25-39 years old, 36% who are 40-54 years old [General Population: 17.1% are 25-34 years old, 15.5% are 35-44 years old, and 12.8% are 45-54 years old].
GENDER	71.5% are male, 28.5% are female [General Population: 50.1% Male, 49.9% Female]
RACE/ETHNICITY	1.5% African American, 4.6% Hispanic (any race), 74.6% White [General Population: 7.2% African American, 31.9% Hispanic (any race), 79.8% White]

AREAS OF EXPERIENCE AND EXPERTISE

As expected, venue owners and managers were most skilled in areas related to live music. The boxes below show the strongest and weakest self-identified skill areas. (For a full response list, see Appendix VII.)

STRONGEST SKILL AREAS	WEAKEST SKILL AREAS
- o Venue Management - o Event Production - o Event Promotion - o Booking/Talent Buying - o Marketing - o Social Media - o Artist/Live Performance - o PR & Publicity	- o Film TV Composer - o Music Legal Issues - o Radio Production - o Software Development - o Music Publishing - o Music Licensing - o Manufacturing

OVERVIEW OF AUSTIN MUSIC VENUES

A complete set of charts and analysis for venue owner and manager respondents is available in Appendix VII.

Venue Characteristics and Live Music

- ☐ The largest number of respondents operate venues with a capacity of 100 – 350 people, so it is likely that the majority of the opinions in this respondent data relate to challenges of small to medium-size venues.
- ☐ The number of days of live music offered was about equally split between all categories, ranging from less than 1 day per week (e.g. a coffee shop that offers live music shows twice a month) to 7 days per week.
- ☐ The largest percentage of respondents (27.8%) indicates they offer between 6-15 hours per week of live music.
- ☐ Respondents' work experience in a venue is fairly evenly split with 45.8% working at venues for more than 10 years and 54.1 working at venues for less than 10 years.

Venues Create Jobs

- 93% of venues employ full time or equivalent staff with 67% of these establishments employing 6 people or more full-time. This is in contrast from the music industry section, which showed a total of 89.9% of all our respondents' music industry businesses have between 0-5 employees.
- Live music venues provide a high percentage of income to Austin's musicians: "Live Performance Shows in Austin" had the highest percentage of contribution to musicians' revenue as shown by musician survey responses.

A CONFLUENCE OF OPERATING PRESSURES CREATE THIN MARGINS

Most of the respondents from small to mid-size venues who participated in interviews and focus groups indicate that they are operating on a profit margin ranging from 6%-15% annually. Like other small to medium sized businesses, venue profit margins can quickly go from net-positive to net-negative and incurring debt if they experience an unexpected capital expenditure, such as a high-cost repair or equipment replacement. Respondents identified the following factors as particularly important contributors to declining operating margins:

For perspective, one venue respondent said that planned improvements they hoped to make would wipe out all profit for three years. Another venue manager pointed out that it would be futile to invest \$500,000 in a business only to make that investment back in five years but be priced out of their lease in year six.

- Declining "Cover" Revenue: Focus group and interview subjects suggest that patrons in Austin are willing to pay for a touring band or VIP experience, but are generally less willing to pay a cover charge at the door for local artists. Respondents also said that cover charges have either stayed virtually the same for live music shows by local artists over the past 10 years, or in some cases have decreased to zero.² Respondents say that declining cover charges not only affect venues being less able to pay show guarantees for local artists, but also reduce venue revenues applied to offset operating expenses.
- Expensive Lease Contracts and Operating Costs May Break Up Live Music Venue Clusters: As property values and rent costs have increased, venues are struggling to stay afloat and compete within the market. Venues have been "priced out" of certain areas of Austin where live music has historically been clustered and been replaced by businesses that can afford increased rent. In addition, respondents said that many business real estate leases in the Central Business District (CBD) now have rental rate "acceleration" clauses. These clauses tie monthly rent payments to Austin's economic performance data, which is affected by Austin's booming growth rate and subsequent rising real estate prices. The consequence of these rate acceleration clauses is to effectively require venues to perform at an unsustainable growth rate equal to other higher earning sectors of the Austin economy, creating a financial pressure on venues that may be unrealistic given other factors.³ Venues that cannot afford to stay in areas that are traditionally live music venue clusters will be faced with closing or moving. While this phenomenon may be an inevitable market effect, it is well to be aware of this accelerating trend and not be blindsided by venue closings that change the character of City neighborhoods.

² Informational Interview 1. "Venue Owner." In-person interview. 6 Jan. 2015. Informational Interview 6. "Venue Owner." In-person interview. 7 Jan. 2015. Focus Group. "Venue Owners and Managers." 6 Oct. 2014.

³ Focus Group. "Venue Owners and Managers." 6 Oct. 2014.

- Short-Term Lease Contracts: Respondents identified short-term leases as another manifestation of Austin's rapid growth rate that is negatively affecting their business. Venue owners commented that they find contemporary Austin music fans seem to be attracted toward venues offering "better quality" listening experiences. Short-term leases make it difficult for venues to justify investing in costly fixtures and other leasehold improvements (such as building a patio, refurbishing old bathrooms, installing high-quality sound equipment). Respondents described many live music venue leases within the CBD having terms ranging from 3-7 years. With a market that emphasizes short-term commitments to venue owners, respondents said that they are reluctant to invest the capital expenditures necessary to create "better quality" venues. The simple explanation from respondents was that they may not be able to recoup that investment in fixtures and leasehold improvements before the lease expires, and they are forced to vacate due to either unaffordable rent increases in a new lease, or the owner sells the property for high-priced development.

For perspective, one venue respondent said that planned improvements he hoped to make would wipe out all profits for three years.⁴ Another venue manager pointed out that it would be futile to invest \$500,000 in a business only to make the investment back in five years but be priced out of their lease in year six.⁵ Respondents said that because the market is dictating shorter lease terms, it often doesn't make sense to take the capital investment risk and make substantial improvements.

- Productivity Loss from Regulatory Inefficiency: Respondents were in agreement on what they perceived to be a confusing and arcane permitting process for nightlife establishments and live music venues. These venues find that they have substantial productivity loss in taking time away from their businesses in order to navigate and comply with what they perceive as the City's burdensome and inefficient permitting requirements.

Culture and history are valuable legacies and tourist attractions. If the venues get turned over every 3-7 years, there is no ability to build and continue that legacy of landmark venues, with a potentially significant domino effect.

- Venue Location Dictates Challenges: The financial pressures on venues in the CBD have incented or driven smaller venues to open or relocate outside of the CBD, including central Austin neighborhoods that are undergoing transition from primarily residential areas to mixed use. Respondents from venues located outside of the CBD that apply for an Outdoor Music Venue permit are often required to also complete a formal, written agreement with the local neighborhood association in order to receive their Outdoor Music Venue and other operating permits. While venues felt that the practice of working with the neighborhoods in an agreement process is a reasonable request, some of the elements of those agreements are consistently problematic. For example, the agreement terms are often only given in 12-month increments, so the neighborhood associations can effectively trigger a revocation of the Outdoor Music Venue permit every 12 months. The short-term nature of these neighborhood agreements does not encourage long-term investment by venues that lease their premises.

There are other, less visible but critical long-term economic effects of a high rate of venue turnover and the de-centralizing of venues from the CBD. The Austin brand promotes live music as a central attraction, and Austin's tourism boards work to bring tourists here by marketing the music culture,

⁴ Informational Interview 6. "Venue Owner." In-person interview. 7 Jan. 2015. Focus Group. "Venue Owners and Managers." 6 Oct. 2014.

⁵ Informational Interview 2. "Venue Owner." In-person interview. 14 Dec. 2014. Focus Group. "Venue Owners and Managers." 6 Oct. 2014.

history, and landmark venues that have been a treasured piece of Austin's story. Yet with few exceptions, there is no longer a stock of venues that have been here for decades that continue to build a brand, both locally and internationally. Culture and history are valuable legacies and tourist attractions. If the venues get turned over every 3-7 years, there is no ability to build and continue that legacy of landmark venues, with a potentially significant domino effect.

GROWTH OF PRIVATE EVENTS AND VIP EXPERIENCES AS NEW REVENUE GENERATORS

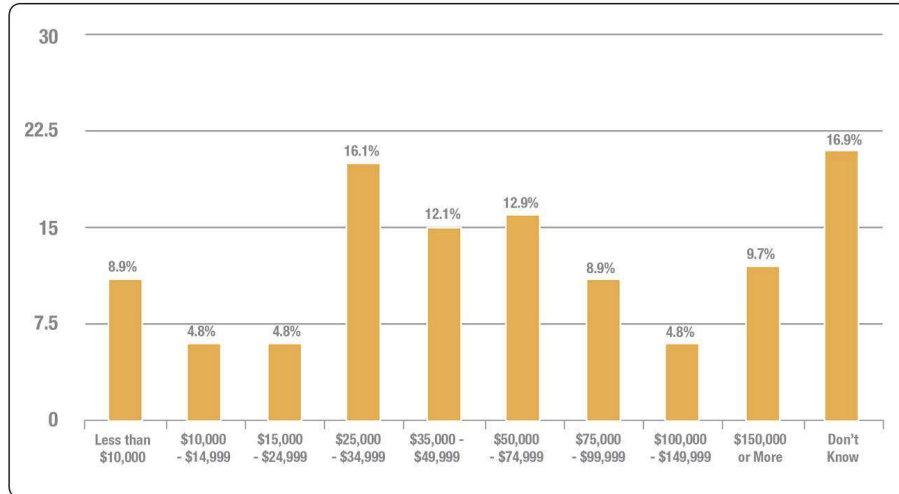
- VIP Experience Packages: On a more positive note, the venue focus groups and subsequent venue owner interviews said that many patrons are leaning toward more high-priced and higher margin "VIP Experience" nightlife packages. Many venues are working to provide these VIP experiences to meet that demand.⁶
- Private Event Bookings: Private event bookings are another source of increased revenue for many CBD venues. Private events often allow venues to charge substantial rental fees. A number of venue respondents said these private events were primary contributions to profit that essentially allow them to stay in business. However, there is a (perhaps unintended, but important) consequence to the increase in private event bookings, which is the effect on the local musicians. There is a finite universe of calendar days in the year, and even fewer prime days for events such as weekend slots – the total universe of weekend dates is 52 weeks per year multiplied by 3 days per week (Thursday, Friday, and Saturday), for 156 total prime performance days. If even 25% of those are taken by private events and/or touring performances to create financial stability for the venue, it significantly reduces the stock of prime days for booking local artists. This economic force seems to result in local artists being booked on "off days" or "off sets" that are harder to market, such as a Tuesday night at midnight.

⁶ Focus Group. "Venue Owners and Managers." 6 Oct. 2014.

VENUE OPERATORS: OWNER AND MANAGER INCOME DATA

The following data represents ALL income that venue owners and managers make, including all types of employment, including music-related and non-music related jobs or income:

Fig. 22 2013 Pre-Tax Individual Income (All Venue Owner/Mgrs, All Income Sources)



A total of 124 venue owners or managers answered this question. There are positive data in this chart regarding individual income earnings for venue managers and owners: only **9%** of venue owners report that their total income from all jobs is \$10,000, which is well below the Austin poverty rate of 14% in the 18-64 year old demographic.⁷ When compared with musician and music industry worker respondents in the Austin Music Census, take-home pay for venue operators is considerably higher on average, including in the \$100,000 or more categories.

However, in order to achieve these income levels, **54%** of music venue owners or managers work another full or part-time job outside the music industry to augment their venue manager take-home income. In that regard, venue owners/operators are very similar to the **56%** of musicians working outside of the music industry to supplement income.

OTHER INCOME TRENDS

- ☐ Self-Financing: While profit margins are often slim, half of the venue owners surveyed used personal capital to finance or grow the business.
- ☐ Venue owner and manager income prosperity trends: **43.9%** of individual venue owners or managers indicated their annual income had increased over the past three years while **35.8%** indicated that their income had remained the same.

⁷ "ACS Profile Report: 2013." US Census Bureau, 2013. Web. 27 Apr. 2015.

<http://www.austintexas.gov/sites/default/files/files/Planning/Demographics/CoA_ACS_Profile_2013.pdf>. Since the Austin Music Census was not available to anyone under 18 years old, and total respondents aged 65 or older was 2.6%, the 18-64 year old Census group presents the most accurate means of comparison.

VENUE OWNERS & MANAGERS INCOME IN CONTEXT: COMPARISON TO FEDERAL, STATE, AND CITY OF AUSTIN METRICS

Figure 23 below puts responses from venue owners and managers in context by comparing them to the general population of the Austin MSA. The figures used to calculate this comparison data are taken from Figure 22 above, "Venue Owner/Manager 2013 Pre-Tax Individual Income (All Venue Owner/Mgrs, All Income Sources".

Fig. 23 Comparison Metrics: Austin MSA vs. Venue Owner/Manager Survey Respondents

MUSIC VENUE OWNERS AND MANAGERS: ALL SOURCES OF INCOME, Pre-Tax 2013	
More than 9%	Are Below 2014 Federal Poverty Level of \$11,670 ⁸
More than 19%	Qualify for Section 8 Housing Subsidies ⁹
Approx. 46%	Are Below the Austin MSA Area Mean Annual Wage ¹⁰
More than 35%	Are Below the Austin MSA Area Median Annual Wage ¹¹

Figure 23 again shows that the income of venue owners and manager respondents is higher than both than musician and music industry worker respondents. Notably, they are also higher as a group than the Austin MSA population average.

- ☐ **More than half** are making above the mean (average) Austin MSA annual wage of \$48,150¹²
- ☐ **About two-thirds** are making more than the median wage of \$36,640¹³
- ☐ The poverty rate is about **5% lower** in this group than in the general Austin MSA population.¹⁴

⁸ "2014 Poverty Guidelines." *Office of the Assistant Secretary for Planning and Evaluation*. U.S. Department of Health and Human Services, 22 Jan. 2014. Web. 28 Apr. 2015. <<http://aspe.hhs.gov/POVERTY/14poverty.cfm/>>

⁹ "Applying For Housing Assistance." *Housing Authority of the City of Austin*. Housing Authority of the City of Austin, 2015. Web. 28 Apr. 2015. <<http://www.hacanet.org/apply/hcv.php#Elighousing>>.

¹⁰ "Austin-Round Rock-San Marcos, TX - May 2014 OES Metropolitan and Nonmetropolitan Area Occupational Employment and Wage Estimates." *Bureau of Labor Statistics*. United States Department of Labor, May 2014. Web. 28 Apr. 2015. <http://www.bls.gov/oes/current/oes_12420.htm#00-0000>.

¹¹ Ibid.

¹² Ibid.

¹³ Ibid.

¹⁴ "ACS Profile Report: 2013." US Census Bureau, 2013. Web. 27 Apr. 2015.

<http://www.austintexas.gov/sites/default/files/files/Planning/Demographics/CoA_ACS_Profile_2013.pdf>. Since the Austin Music Census was not available to anyone under 18 years old, and total respondents aged 65 or older was 2.6%, the 18-64 year old Census group presents the most accurate means of comparison.

Fig. 24 Average Percent of Touring (Non-Local) Shows

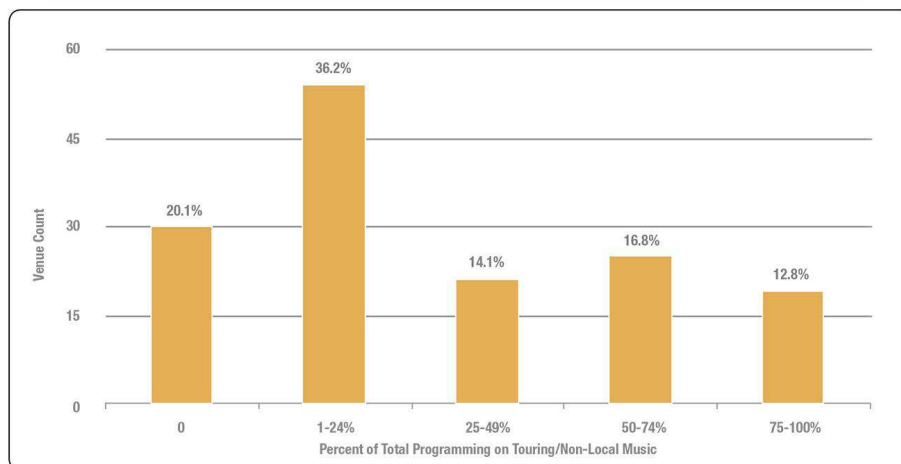


Figure 24 shows that **about 30%** of venue respondents program 50% or more touring acts on average, and about **70%** program more local music than touring acts on average. This may make sense; given **56%** of these respondents have a venue capacity of less than 350 people.

So in summary, these respondents have created the following portrait of Austin music venues:

- ☐ Venue income and profit is under pressure from a convergence of several factors some market based, some regulatory. While each venue's situation is slightly different depending on venue location and other factors, respondents seemed to operate on narrow margins that are getting progressively narrower over time, particularly for small and medium-sized venues.
- ☐ Because of developing trends in Austin consumers' economic behaviors regarding cover charges for local artists, venues are financially incented to substitute more touring acts for local acts.
- ☐ Venues create jobs – over two-thirds of these respondents have 6 or more full-time employees, and nearly one-third have more than 20 full-time employees.
- ☐ Venue owner/operator take-home income is better than the Austin average, but 54% work another job to create this income.

NEEDS AND GAPS: LIVING AND AFFORDABILITY

In addition to income and demographic questions in the Austin Music Census, respondents were asked to rate a series of questions eliciting the needs and gaps that respondents perceived as important factors in delaying or inhibiting the growth of their careers and identifying challenges to operating nightlife establishments.

These needs and gaps were separated into four categories:

- ☐ Living and Affordability (Same questions given to Musicians and Music Industry Sectors)
- ☐ Venues: Cost and Competition
- ☐ Venues: City Permits and Enforcement

☐ Venues: Sound Ordinance and Outdoor Music Venue Permits

Each of these categories was presented in a grid format, with four to six specific questions in each category. The respondent was asked to rate each question on a scale ranging from “Extreme Impact” to “No Impact” on them or their venue.

Needs and Gaps Category: LIVING AND AFFORDABILITY

Venue owners and managers were asked the same questions as the musicians and music industry workers regarding Living and Affordability. While affordability issues had an effect on venue owners and managers, the impact was not as pronounced as in the musicians or music industry categories.

The following are selected responses from venue categories compared to the musician and music industry workers in items rated as having an “Extreme or Strong Impact”:

- ☐ **61.5%** Insufficient Safe, Late Night Public Transportation (musicians 65% and music industry 69%)
- ☐ **56%** Increased Cost of Living: Food, Utilities, & Transportation (musicians 77% and music industry 74.2%)
- ☐ **54%** Lack of Affordable Housing for Rent (musicians 71% and music industry 75%)
- ☐ **59%** Lack of Affordable Housing for Purchase (musicians 68.6% and music industry 71.5%)

The single highest-ranked line item in this category “Insufficient Safe, Late Night Public Transportation” with 61.5% of venue operators indicating “Extreme or Strong Impact” is notable because that ranking contrasts to the other respondent sectors in the Austin Music Census. Respondents in both of the other respondent sectors ranked the question significantly lower compared to other “Living & Affordability” questions.

In focus groups, venue owners and managers mentioned the lack of public transportation available to patrons as having an effect on their business, especially late night transportation options. It may be that this is an early harbinger of a set of safety issues related to Austin’s growing population, and some of the increasing challenges associated with nightlife safety of patrons.

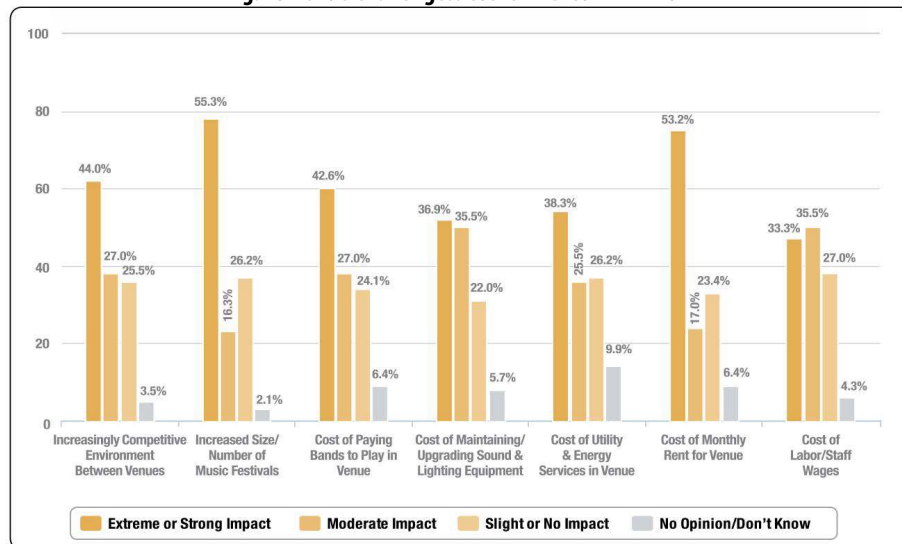
Also, venue operators are the only respondents in the Austin Music Census who rated lack of affordable housing *for purchase* as a more significant gap than lack of affordable housing *for rent*. (Note that “rent” in this context is residential rent not business rent). This disparity may mean that venue owners have higher incomes making home ownership a more tangible reality, or that this group is older and has more commitment or desire to remain in the Austin area.

On the whole though, venue owners and operators did not raise affordability issues as a focal point of priorities in focus groups, informational interviews, or in the data collected in the Austin Music Census questionnaire.

The remaining needs and gaps questions presented to this sector were derived from focus group and other discussions, and are focused on uncovering what respondents ranked as the most problematic challenges for the venues and nightlife establishments.

NEEDS AND GAPS: COSTS AND COMPETITION

Fig. 25 Venue Challenges: COSTS AND COMPETITION



There is an important caveat in understanding the meaning behind all of the Venue Challenges charts: the variety of venues in size, location, amenities, customer base, and focus (e.g. live music programming vs. dance club, young professionals bar, community space, etc.) creates a much more disparate set of needs in this respondent group. Challenges experienced by downtown or CBD venues often vary from venues in residential or outlying areas. While the Musician and Music Industry respondents were more homogenous in many ways, the venues have a wider range of variables that can affect their business, and that appears in the data charts here.

For example, respondents whose venues do not offer live music but who answered questions addressing live music issues created a higher response rate in the “No Impact” or “Don’t Know/No Opinion” answer choices. This creates a slight skewing of data that is important if the goal is to understand the impact of these questions *only* to music venues.

To better gauge the impact amongst music venues, it is helpful to look at the relative number of respondents between the “Extreme-Strong Impact” – “Moderate Impact” – “Slight-No Impact” answer choices. A large concentration of answers in the “Extreme-Strong Impact” relative to answers in the other two choices may be more meaningful than the absolute percentage of respondents in each category.

Thus, while Figure 25 shows that these respondents ranked “increased number of music festivals” as creating a significant challenge for venues, it should be pointed out that not all venues felt this was the case. Many venues located in the CBD have seen an increase in private events, many of which are associated with festivals, and have supplemented venue income through rentals.¹⁵ Multiple informational interviewees and some focus group members also stated that SXSW (and other festivals that bring in private event venue rental business) had a positive impact on yearly finances. Two venues stated that most likely they would not have a sustainable year without booking private events associated with the festivals.¹⁶

¹⁵ Focus Group. “Venue Owners and Managers.” 6 Oct. 2014.

¹⁶ Informational Interview 3. “Venue Owner.” In-person interview. 7 Jan. 2015. Informational Interview 6. “Venue Owner.” In-person interview. 7 Jan. 2015.

53% of all respondents view “Cost of Monthly Rent” as having an “Extreme or Strong Impact”. In fact, generally speaking, the respondents rated cost issues as the most impactful overall to business sustainability, a finding that was confirmed by responses in focus groups and interviews.

An important data point in this chart relating to the long term/short term venue or establishment lease issues discussed previously is that **53%** of all respondents view “Cost of Monthly Rent” as “Extreme or Strong Impact”. In fact, generally speaking, the respondents rated cost issues as the most impactful overall to business sustainability, a finding that was confirmed by responses in focus groups and interviews.

Other cost-related data trends from Figure 25 include the following:

Over 70% of venue owners and managers indicated they found the following challenges having **“Extreme or Strong” or “Moderate” impact**:

- ☐ **71%** - Increasingly Competitive Environment Between Venues
- ☐ **72%** - Increased Size and Number of Music Festivals
- ☐ **72%** - Cost of Maintaining/Upgrading Sound and Lighting Equipment
- ☐ **70%** - Cost of Monthly Rent for Venue
- ☐ **70%** - Cost of Paying Bands to Play in Venue

Given that 40% of these venues have been in operation for more than ten years and 60% have been in operation for less than ten years; it appears that these cost issues are common to both newer and established venues.

CITY PERMITS AND ENFORCEMENT

Background on City Permit Requirements

In addition to the daily operations issues that venue owners and managers face, they are also expected to navigate a difficult and often confusing City permitting process. Venue owners had quite a bit to say in focus groups and interviews about the difficulty of operating in the City of Austin regulatory environment.

Research was undertaken as part of the Austin Music Census to understand the City permit process required to operate a live music venue or nightlife establishment, or for an entrepreneur to start a new venue. This research confirms the venue owners’ view that it is difficult and costly to locate accurate and relevant information about the permits required to operate a nightlife establishment, with or without music. Research also confirms respondent reports that the process is very challenging, cumbersome, and confusing.

In an attempt to locate venue permitting information, it was discovered that:

- ☐ There is no single point of contact at the City of Austin for nightlife or music venues regarding City operating or permit requirements.
- ☐ There is no online resource or City website that provides a list of all of the required permits, their cost or how to acquire, maintain, or renew them.

- To the extent the required permits could be identified, it appears that basic venue operating permits (without additional music permits) require contact with and approval from a minimum of seven different City departments.

Nightlife Establishment or Music Venue Basic Required Permits¹⁷

*Note: A full list of all known required permits with more detailed information on each can be found in Appendix IX. An important caveat to Appendix IX and to the abbreviated information provided below: While many hours were spent researching (both online and calling for information from various departments) and attempting to locate all required permits and regulations, there are still some pieces of information that were unavailable; therefore Appendix IX may not be complete. The inability to find all relevant information despite an exhaustive search confirms that there are some systemic problems with the permitting process – an issue that was emphasized by respondents.

The basic nightlife establishment permits and corresponding City departments are:

1) Certificate of Occupancy	Development Services Dept.
2) Official Occupant Load Card	Austin Fire Dept.
3) Public Assembly	Austin Fire Dept.
4) City of Austin Alcoholic Beverage	Map Sales and Zoning Review
5) APD Liquor License Information Form	Austin Police Dept.
6) Sign Permit	Development Services Dept.
7) Food Enterprise Permit	Health and Human Services Dept.
8) Food Handler Registration Permit	Health and Human Services Dept.
9) Food Manager Registration	Health and Human Services Dept.
10) Change of Ownership Inspection	Health and Human Services Dept.
11) Health Department Plan Review	Health and Human Services Dept.
12) Building Permit	Development Services Dept.
13) Right of Way/Parking	Austin Transportation Dept.
14) TABC Alcoholic Beverage	Texas Alcoholic Beverage Comm.
15) Propane Patio Heaters	Austin Fire Dept.

Additional Music Venue Permits¹⁸

Other permits for music venues may include:

1) Outdoor Music Venue Permit	Development Services Dept.
2) Sound Impact Plan	ATX Music Office
3) Reserved Parking Permit (to bag meters)	Austin Transportation Dept.
4) City-required Neighborhood/Venue Agreement Plan	ATX Music Office

¹⁷ Please see Appendix IX for a complete list of citations used in compiling this list.

¹⁸ Please see Appendix IX for a complete list of citations used in compiling this list.

Temporary Event Permits¹⁹

Additional required permits for any temporary event in which a venue or event company is requesting to use a space for a one-time event (such as a private event) in a non-venue space or to get permission to change capacity requirements to an existing venue for a one-time event may include:

1) Temporary Event Sound Permit	Development Services Dept.
2) Certificate of Occupancy	Development Services Dept.
3) Occupant Load Card	Austin Fire Dept.
4) Scaled Sight Plan/Event Route	Austin Transportation Dept.
5) Temporary Event Impact Plan	ATX Music Office
6) Temporary Change of Use Permit (Indoor Event)	Austin Fire Dept.
7) Temporary Use Permit (Outdoor Event)	Development Services Dept.
8) Tent Permit	Austin Fire Dept.
9) Right of Way/Temporary Use	Austin Transportation Dept.
10) Building	Development Services Dept.
11) Queuing Line Plan	Austin Center for Events
12) Parking Plan	Austin Center for Events

If the temporary event is to be held on City-owned public space or parkland, a number of *additional* permits from the Parks and Recreation Department are also required. If the event will have over 7,500 people, a Sound Impact Plan from the ATX Music Office is also required.

In addition to the challenges in navigating the permitting system outlined above, there is another concern amongst focus group members and interviewees about *changing* regulations from various departments, and the lack of a clear notification system to inform permit holders about any changes to permitting requirements that allow operators to stay in compliance.

Lastly, a cursory review of internal City processes reveals that although the city moved in a helpful direction by co-locating related departmental units in the Austin Center for Events (ACE), there are still systemic issues that create barriers to time and labor efficiency for City staffers²⁰.

For example, core departments of ACE use multiple application and permit workflow software that do not communicate with each other. The Application Management and Data Automation (AMANDA) permitting software system is used primarily by the Development Services Department, with limited access by the Austin Fire Department only to clear building permits, and the Transportation Department only for Right of Way permits for street closures. The Music Office, which is required by code to complete a temporary event impact plan as well as a sound impact plan, only has viewing privileges to AMANDA for sound permits.²¹

¹⁹ Please see Appendix IX for a complete list of citations used in compiling this list.

²⁰ Informational Interviews. Multiple In-Person Interviews 7 Oct. 2014. Informational Interview. In-Person interview. 21 April. 2015.

²¹ Informational Interviews. Multiple In-Person Interviews 7 Oct. 2014. Informational Interview. In-Person interview. 21 April. 2015.

Since there is no single department or point of contact that is designated to handle venue questions, many felt that there is a “no man’s land” problem of getting stuck in a system in which different departments or personnel may provide conflicting information to applicants, but there is no single point of escalation or path to resolution.

In all other matters, Austin Fire Department (AFD) primarily uses their own system for record keeping and tracking permits, and the Austin Police Department (APD) uses another and different record keeping system. In an effort to facilitate some form of consistency, some of the ACE departments have been using a communication system to share application information across departments, but that communication platform is not linked to any of the permitting or tracking software systems used by various departments. Therefore, the ability to track permits issued or other pending issues for all relevant departments and divisions is not currently possible through a technology platform.

In summary: Respondents found the City’s permitting system to be immensely inefficient, cumbersome, and confusing. Respondents indicated both in survey data as well as focus groups and interviews that the process was very difficult to navigate and time consuming. Also, since there is no single department or point of contact at the City that is designated to handle venue questions, many felt that there is a “no man’s land” problem of getting stuck in a system in which different departments or personnel may provide conflicting information to applicants, but there is no single point of escalation or path to resolution. Given the already thin operating margins reported by respondents, the productivity loss to entrepreneurs who must operate in the City’s regulatory environment is significant. Music venues are no different than any other business: Less time spent managing government is more time available for entrepreneurs to innovate.

Figure 26 below shows survey respondents’ answers to questions about both the permitting process and enforcement issues.

Fig. 26 Venue Challenges CITY PERMITS AND ENFORCEMENT

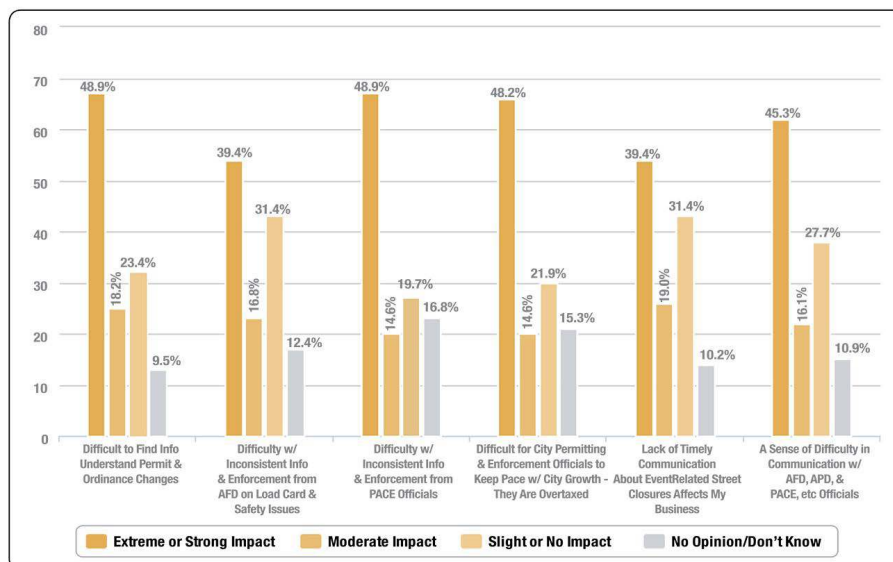


Figure 26 shows that 67.1% of venue owners or managers rate understanding permits and ordinance changes as having an “Extreme or Strong Impact” or “Moderate Impact” on their business.

CONCERNS ABOUT COMMUNICATION WITH CITY DEPARTMENTS

61% of respondents found it extremely or moderately difficult to communicate with the proper officials - a concern that was echoed by focus group and interview members as well. Difficulties in understanding ordinances and changes, as well as poor communication with officials, often leave venue owners frustrated and without a process to obtain consistent answers. Respondents said that it is often difficult to find the appropriate person or department who can give an answer - and receiving contradictory information when talking to more than one person (even within the same department regarding the same permit) happens with some frequency. It would appear that the various departments involved in the process do not always communicate well with each other, and it is not clear to applicants who has the actual authority to make a decision in the event of conflicting information.²²

Regarding temporary permits for special events, nearly half of the respondents said that the current process – or lack of it – for giving notice to applicants regarding approval or denial of temporary event permits creates a significant and unnecessary financial risk for event promoters. Many focus group participants said that even when applicants submit all the necessary paperwork months in advance, applicants are often notified only a few weeks or days before an event if the permit has been approved. This lag creates critical financial risk for the event operators. In order to secure talent and other vendors for the event, they have already had to sign contracts and make binding financial commitments, whether the permit is approved or not.²³

It is also important to note that nearly 63% of respondents also feel that it is difficult for City permitting and enforcement officials to keep pace with City growth. Venue owners are sympathetic that these departments are overworked. Venue owners and managers feel that most of the problems with permitting and enforcement are likely systemic and unintentional, and not related to any specific individual department or authority figure. Respondents seemed to believe that the problem may simply be that given Austin’s current and historical rate of growth, particularly around major events, festivals, and music tourism traffic, appropriate staffing in these departments has not kept pace. The effects of that gap are rippling through all events across departments, with a loss of productivity for private industry operators and City staffers alike.

INCONSISTENCIES WITH ENFORCEMENT

The respondents indicated difficulties in understanding how enforcement standards are taught to officials and subsequently enforced for regulating use of temporary event and temporary change of use permits (for items such as change of use occupancy load cards) and outdoor music venue or other sound-related permits.

Almost all focus group members expressed that the lack of consistency in enforcement was a top concern and a problem that has been both costly and inefficient for venue operators. For example, in the inspection process for a temporary load card for a Temporary Change of Use permit, there are often more than one set of officials – even from the same department – who will make a site visit, and each set of officials will determine a series of changes that need to be made by venues to meet permit requirements including upgrades, equipment changes or installations, or other actions that need to be taken by the venue. Yet these two sets of officials sometimes provide conflicting required actions or changes. Sometimes this happens after the venue has already invested in making modifications required by the first set of officials, which may have been costly and in some cases unnecessary.

²² Focus Group. “Venue Owners and Managers.” 6 Oct. 2014. Informational Interview 3. “Venue Owner.” In-Person interview. 7 Jan. 2015. Informational Interview 6. “Venue Owner.” In-Person interview. 7 Jan. 2015.

²³ Focus Group. “Venue Owners and Managers.” 6 Oct. 2014.

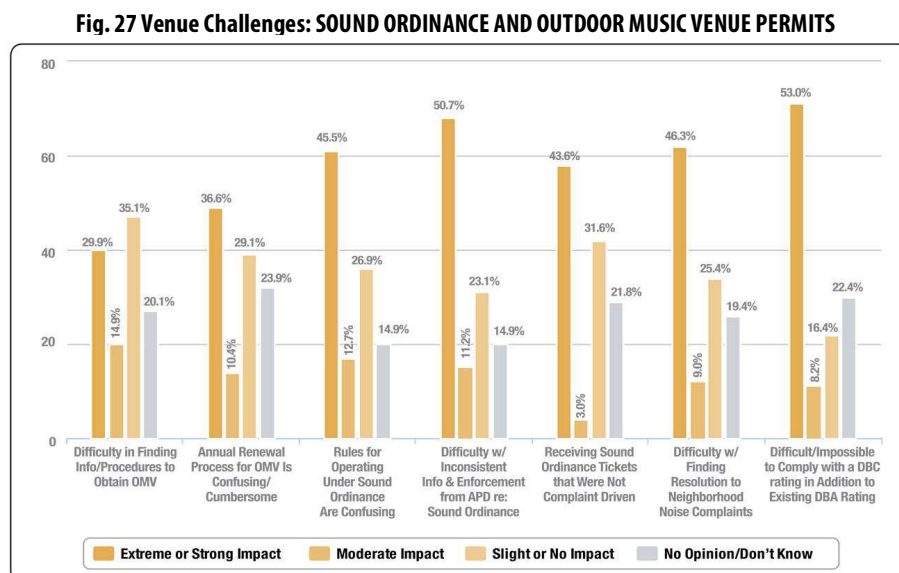
Finally, there frequently is no official, written requirements or instructions provided from the site inspectors to the venue applicants for changes required, so that means the venue has no recourse to demonstrate to anyone what they have been asked to do. This also means the department officials do not have a record that provides other members of their department what was required in a given site visit, leaving a lot of room for confusion, misinterpretation, and enforcement inconsistencies.

This is a worrisome data point, because it does not indicate that a few “outside the margin” operators don’t like the sound ordinance, but rather that nearly two-thirds of all venue respondents are experiencing trouble with inconsistencies in sound ordinance enforcement.

Enforcement of outdoor music venue permits has been an equally problematic issue. A lot of stakeholders, including the Austin Police Department, neighborhood associations, the ATX Music Office, the Austin Music Commission, and others have been involved in numerous discussions focused on a goal of consistent and correct enforcement of the sound ordinance. Yet 62% of venue operator respondents say that “Inconsistent info and enforcement from APD regarding Sound Ordinance” is having an “Extreme/Strong” or “Moderate” impact on their business.

This is a worrisome data point, because it does not indicate that a few “outside the margin” operators don’t like the sound ordinance, but rather that *nearly two-thirds of all venue respondents* are experiencing trouble with inconsistencies in sound ordinance enforcement. It would appear that there are some systemic enforcement problems that are not yet solved.

Figure 27 shows all questions given to respondents about Sound Ordinance and Outdoor Music Venue Permits.



SOUND ORDINANCE ISSUES

In addition to the respondents' concerns about sound ordinance enforcement, a large majority feared an additional DBC rating in addition to the current DBA rating would dramatically affect their business. Nearly two-thirds of respondents said that it would be "difficult/impossible to comply with a DBC rating in addition to the existing DBA rating". ***In focus groups, this single item was the only issue in which multiple established venues said that this change could put them out of business.*** Several focus group members said they came to the focus group just to talk about and express their concern around this one issue, and *they felt they had largely been overlooked or ignored by City officials regarding this potential policy change.*

Venue operators commented that the combined effects of 1) the sound ordinance, 2) current zoning practices that put residences within feet of existing venues and 3) developer building requirements collide in a way that catches venues in the crosshairs.

An influx of residents moving close to live music venues has resulted in more conflict over noise issues. While developers continue to build high-end living units with no requirements for sound reinforcement within walls or windows in close proximity to existing CBD live music venues, there have been increasing noise complaints from residents that result in limitations on live (and recorded) performance.

Also, downtown real estate prices have driven many venues to seek locations further out, which puts them in closer proximity to neighborhoods, creating a new set of sound issues.

Venue operators commented that the combined effects of 1) the sound ordinance, 2) current zoning practices that put residences within feet of existing venues and 3) developer building requirements collide in a way that catches venues in the crosshairs.

Even though many venue owners meet on a regular basis with neighborhood associations, it was noted that one or two people complaining repeatedly could entirely shut down a venue from offering live music. Venue owners also mentioned receiving sound ordinance citations that were NOT complaint driven and selective enforcement as problems.²⁴

Venue Challenges: Other Comments

Parking, loading zones, and street closures: Music venues in the downtown areas noted that parking for patrons and artists is problematic. Many musicians are not willing to play downtown due to low pay coupled with parking costs and loading challenges. Street closures along the 6th Street area were also noted as inconvenient for customers and for load in and out of musicians. Write-in responses in the Austin Music Census were very high in this category. 205 of the write-in responses – nearly 20% of all the write-in comments - included parking and loading issues.

VENUE IDEAS AND PROPOSALS: TOURISM AND MARKET DEVELOPMENT

Venue respondents were in strong agreement with both Musician and Music Industry categories around some of the ideas proposed to potentially increase both revenue and branding for venues that feature local live music. In particular, these ideas received strong endorsements as "Extremely or Strongly Helpful":

- ☐ **66%** - Create programs to drive tourist traffic to local venues and shows

²⁴ Focus Group. "Venue Owners and Managers." 6 Oct. 2014.

- ☐ **62%** - Create an official “Live Music Venue” designation/branding program (similar to Nashville’s) for quality live music venues
- ☐ **61%** - Create City-zoned, formally codified Entertainment Districts

TOP CITY POLICY CONSIDERATIONS FOR VENUES

A complete policy plan of action for the City of Austin would require detailed recommendations, a study of funding mechanisms and feasibility issues, and an implementation plan. Such a policy plan is outside the scope of the Austin Music Census. However, based on the needs revealed through the data analysis, a few ideas and brief findings of best practices employed in other cities are presented here that may warrant further exploration by City staff and policy makers.

A venue environment of rising operating costs, zoning and development pressures, extensive permitting requirements, and decline of cover revenue and attendance at local shows have made it increasingly difficult for venues to maintain a sustainable profit margin. A rapid population increase and rising commercial costs, especially in the downtown entertainment areas, have created a situation where many venues’ futures are precarious. As discussed in both the Musician and Music Industry sections, the presence of a healthy venue ecosystem of various sizes and style of music clubs is a critical anchor for industry development and revenue earning opportunities for local musicians.

Austin is certainly not the only music-centric city to have these issues, although the very rapid growth of the Austin MSA has perhaps left policy makers little time to plan ahead for these contingencies. A number of other large metropolitan areas have decided that retaining music venues and other cultural attractions in their CBD areas is a critical piece of their economic development plan, and have enacted some interesting and effective strategies that prioritize maintaining a strong venue ecosystem, despite growth and cost pressures.

Some of those ideas are provided here, and can be used to think about how Austin might make use of similar policies.

There are five policy-related initiatives presented here for further exploration.

1) Enact Live Music Venue Retention Legislation

San Francisco: San Francisco has taken pro-active measures to ensure that venues remain a cultural asset to the City after losing some key venues in the busy, mixed-use commercial and residential central business corridors. A Councilmember has introduced new, first-of-its-kind legislation to San Francisco City Council after months of vetting and work by advocacy groups and Council commissions. The legislation “aims to protect San Francisco’s nightlife from being pushed out by swift, large-scale development happening largely in mixed-use neighborhoods where entertainment venues have operated for decades but residential spaces are relatively new.”²⁵

This live music venue retention legislation specifically:

- ☐ Prevents Place of Entertainment venues from being deemed a legal “nuisance” if they are operating within their permit;
- ☐ Requires more accurate sound tests before a developer builds near a Place of Entertainment;
- ☐ To reduce conflicts later, requires developers to begin working with nearby Places of Entertainment and the Entertainment Commission long before they even start construction;

²⁵ Moskowitz, Gary. "Noise Ordinance: London Breed Legislation to Preserve Live Music & Nightlife." *SF Weekly*. SF Weekly, 8 Apr. 2015. Web. 2 May 2015. <<http://www.sfweekly.com/sanfrancisco/noise-ordinance-london-breed-legislation-to-preserve-live-music-and-nightlife/Content?oid=3526273>>.

- ☐ Ensures that all potential residents of units near a Place of Entertainment are informed about the [venue] in advance;
- ☐ And improves communication between all relevant City departments, while empowering the Entertainment Commission to take an active, early role in these projects.²⁶

2) Consider Introducing Cost-Reduction Incentives to Venues that Support Local Live Music

More than any other industry sector in the entire music economy, the music venues and nightlife establishments have exponentially more regulatory and permitting requirements from the City. At the moment, respondents believe and research confirms that this is a system that creates a tremendous amount of “red tape” for a venue simply to operate, and there is no apparent benefit provided for venues that actually work hard to adhere to every permit and departmental requirement. It would be possible to develop a criteria for certain cost-reduction incentives for venues that:

- ☐ Abide by City regulations and maintain all needed permits, and
- ☐ Focus on local live music performances.

Such cost reduction or rebate programs could help secure a healthy live music venue environment.

Incentives to consider include:

- ☐ Energy rebates to assist with utility costs
- ☐ Property tax breaks to landlords that sign venues to 10 years or longer leases, potentially with a stipulation to remove rental rate acceleration clauses for the venue tenant for the duration
- ☐ Coordination with the State Legislature to offer a TABC tax reduction for venues offering a certain number of hours of local live music per week
- ☐ Increase funding for the Music Venue Assistance Loan Program

3) Initialize a Cultural Shift in City Permitting Departments from a Bureaucratic-Centric View to a Customer Service-Oriented Outlook

Music venues are also job creators both for the community and for the City, and they are an important private sector, most of whom are working hard and in good faith to operate great establishments for patrons. There are several ways in which a cultural shift towards viewing these operators as important innovators, employment generators, customers, and taxpayers could be enacted.

One idea is to *streamline and simplify the cross-departmental permitting processes*, and create a single cross-departmental body that has authority to resolve disputes or issues. Some examples from other cities include:

Chicago: In Chicago, a Public Place of Amusement (PPA) license is required, and permitting review for new venues from all relevant departments is *offered on the same day*. Inspections are coordinated between the Buildings, Fire, Health, and Business Affairs departments. Occupancy numbers are given only after the PPA license has been approved. Additionally, for \$250, a venue owner can request a “Pre-Inspection” at the location before applying for the required licenses. This inspection checks for zoning and distance requirements and can be helpful if the owner plans new construction or a build at a later date. If a PPA license is subsequently approved, the \$250 is credited toward that fee.²⁷

²⁶ London N. Breed, Member, Board of Supervisors. District 5, City and County of San Francisco. Supervisor London Breed Introduces First-in-the-Nation Legislation to Preserve Live Music Venues. 16 Dec. 2014. Press Release.

²⁷ Rice, Dylan, Director of Creative Industries-Music, City of Chicago. "Informational Interview." E-mail interview. 10 Mar. 2015.

San Francisco: The City of San Francisco has created an Entertainment Commission to regulate, promote, and embrace nightlife. This Commission, consisting of seven members representing urban planning, law enforcement, entertainment industry, neighborhoods, and public health, has the authority to accept, review, and gather information to conduct hearings for entertainment related permit applications and to issue permits. The Entertainment Commission works with venues, festivals and events, and the community on issues impacting entertainment and nightlife through mediation, conditioning, and outreach, and has a paid staff of five individuals.²⁸

Seattle: The Seattle nightlife initiative is a comprehensive approach to manage Seattle's nightlife economy. Goals are to ensure public safety, increase urban vibrancy, and grow the local economy. The effort includes code compliance coordination, professional development, precinct community outreach, requiring safety training, noise ordinance enforcement, late night transportation, targeting disorderly behavior, and flexible service hours. Coordinating city resources has led to a 93% success rate to resolve compliance issues.²⁹

4) Create a Better Infrastructure for Consistent, Ongoing Venue Operator/City Communications

The City could also *create venue operator permit education resources* that would create more efficiency both for operators as well as City departments. Some examples might include:

- ☐ Create a One-Stop, User-Friendly Online Resource Page for Venues and Nightlife Establishments listing all possible permits and relevant explanatory information that may be needed for a live music venue. Include a venue-permitting packet that explains all relevant policies and procedures.
- ☐ Hold recurring, regularly scheduled events, seminars, and code compliance courses designed for venue owners and managers
- ☐ Create a monthly email newsletter with upcoming code compliance changes, deadlines, FAQ's, etc. for event and venue permits
- ☐ Opportunities for pre-scheduled meetings with ACE
- ☐ Create a City certification program for local event producers and event planners, training them on best practices and code compliance. Participants that complete the certification program would then be given benefits such as a jump in permit line queuing during major festivals or event times, etc.

Some examples from other cities include:

Seattle: Seattle disseminates best practice information by the production of a Music Safety Summit. The Music Safety Summit provides an opportunity for various city departments such as law enforcement and public health to come together with venue operators, promoters, and artists to discuss strategies and issues surrounding safer music events and festivals. Topics cover event safety, medical situations at events, safety logistics, law enforcement, and electronic dance music.³⁰

5) Consider Increased Staffing & Streamlined Software Platforms for Relevant City Departments to Handle Year-Round Event Business

The City may want to look at ways to align resources and Departmental staffing to keep up with the workload created around the demand generated by a high activity level of year-round events, festivals, and

²⁸ Annual Report FY 13/14 San Francisco Entertainment Commission. Rep. City and County of San Francisco: Entertainment Commission, 2014.

²⁹ "Seattle Nightlife Initiative." Music Cities Summit. Texas, Austin. 19-20 Mar. 2015. PowerPoint presentation.

³⁰ Seattle Music Safety Summit, Seattle, Washington. 11 Dec. 2014. Conference Program.

music tourism activity, so that future growth can continue in an efficient and productive manner both for City departments and private sector alike.

There has been an increase in music tourism, festival, and event traffic in Austin *year over year for the past seven years*, and it seems likely that that trend will continue. Austin's brand is centered on music event experiences, and both policy makers and tourism organizations successfully promote this as a unique asset and one that has generated significant economic development activity. The allocations in the budget may not be sufficiently keeping pace with this level of activity to adequately staff the Austin Center for Events and the departments that are working to handle this increased workload. One idea would be to use a small amount from the City of Austin portion of the Mixed Beverage Tax Revenue to support these staffing and software efficiency needs.³¹

³¹ Please see Appendix XVI for more information regarding Hotel/Motel Occupancy Tax and Mixed Beverage Tax revenues.

APPENDICES

Appendix I

Special Thanks and Acknowledgements

We would like to thank *all* of the Austin music community who invested time in taking this survey. The incredible number of responses shows that this was truly a community project, and the vast majority of the 1,500 additional “write-in” suggestions were also thoughtful, useful, and exemplary of the kind of people that make Austin such a fantastic music community. We are grateful to you all.

In addition to the Titan Music Group, LLC team that created the study, there are a handful of others whose expertise on this project was indispensable at some critical junctures. Special thanks to: Peggy Ellithorpe for her data-wrangling skills, Ian Pierce for project management, John Regalado for CSS programming, Ron McCain for Excel wizardry, DacPix for chart graphics and layout work, and Eye in the Sky Collective for branding and logo work.

The Austin Music Census would not have been possible without the additional generous support of an enormous group of people who provided assistance in numerous ways. Focus group attendees and individuals who agreed to be interviewed all shared invaluable expertise and experience. Our marketing partners utilized their networks of people to create a wide net of awareness and responses to the survey. Many others still utilized social media to create a viral spread of the survey, and continued to build awareness for many weeks. We are deeply grateful to all of them. As a small measure of our appreciation, we want to acknowledge these individuals and organizations.

Chris	Alberts	Health Alliance for Austin Musicians
Christee	Albino	The Recording Academy, Texas Chapter
Heather	Alden	The SIMS Foundation
Melissa	Alvarado	City of Austin, Public Information Office
Rakefet	Avramovitz	Artist, Rattletree Marimba
Roggie Lynn	Baer	RajiWorld
Ben	Ballinger	Artist
Gretchen	Barber	The Barber Agency
Stephanie	Bergara	City of Austin, ATX Music & Entertainment Division
Aaron	Berkowitz	Knucklerumbler
Nicole	Bogatz	Austin Federation of Musicians
Chris	Brecht	Austin Independent Radio
Eileen	Bristol	Sahara Lounge
Ashley	Buchanan	City of Austin, ATX Music & Entertainment Division
Chris	Castle	Christian Castle Attorneys
Gina	Chavez	Artist
	CJ the Best	Artist
Reenie	Collins	Health Alliance for Austin Musicians
Stefanie	Crock	Paramount Theater
Michael	Cross	Artist
Dave	Dart	Dart Music International
Dominique	Davalos	Artist, The Bluebonnets
Mel	Davis	Artist, The Blues Specialists
Morgan	Davis	Ovrld
Maydee	Distefano	Dozen Street

	Drastik	Artist
Lee	Duffy	Austin Songwriter's Group
Jennifer	Dugas	Autin Music Foundation
Cash	Edwards	Cash Edwards Music Services
Ulrich	Ellison	Artist, Ulrich Ellison and Tribe
Zach	Ernst	Paramount Theater/Austin Theater Alliance
Julia	Ervin	SXSW, Inc.
Michael	Feferman	DoStuff Media
Erica	Flores	Girls Rock Austin
Ray	Flowers	Fifth Column Music
Sage	Fly	SXSW, Inc.
Guy	Forsyth	Artist
Marc	Fort	Texas Music Office
Amanda	Garcia	Austin Convention and Visitor's Bureau
Ryan	Garrett	Stubb's
Bobby	Garza	Transmission Events
Elaine	Garza	Giant Noise
Rich	Garza	Pachanga Fest
Clifford	Gillard	The Victory Grill
Danny	Gillespie	Mood Media
Kellie	Goldstein	Autin Music Foundation
Greg	Gonzalez	Artist, Grupo Fantasma
Doug	Guller	ATX Brands
Chris	Haddad	Special Events Live
Rikki	Hardy	SIMS Foundation
Matt	Harris	Geotrends
Philip	Hastings	Farharbor, LLC
Michelle	Hausmann	Land Use Solutions
Christian	Hawkins	Clive Bar
Matt	Hickey	High Road Touring
Homer	Hill	Urban Music Festival
Jon	Hockenyos	TXP
Lindsay	Hoffman	C3 Presents
Jennifer	Houlihan	Austin Music People
Sara	Houser	Artist, Otis the Destroyer
Theresa	Jenkins	The Recording Academy, Texas Chapter
Rudy	Jones	Browns Town Music
Mary	Jurey	Playing in Traffic Records
Fito	Kahn	Austin Jazz Alliance
Kris	Keys	Artist
Shelley	King	Artist
Freddy	Krc	Austin Federation of Musicians
John	Kunz	Waterloo Records
Andy	Langer	KGSR, Esquire
Marcus	Lawyer	Transmission Events
Sara	Levine	ATX Safer Streets

Lana	Levins	The Scoot Inn
David	Lobel	Diaspora Music Group
Jeff	Lofton	Artist, The Jeff Lofton Trio
Matt	Luckie	FBR Management
Walker	Lukens	Artist
Stephanie	Macias	Artist, Little Brave
Dave	Madden	Artist
Michael	Maly	Above the Radar Productions
Matt	Mandrella	Do512
Neil	Maris	Transmission Events
Emily	Marks	Girls Rock Austin
Sharylin	Mayhugh	Circuit of The Americas/Austin 360 Ampitheater
James	Mays	BandAid School of Music
Gene	Mays	Club 1808
Jill	McGuckin	McGuckin PR
Anne-Marie	McKasckle	Austin Creative Alliance
Jason	McNeely	Hotel Vegas
Jeff	Miller	Event Production Services
Amy	Mitchell	Amy E. Mitchell, PLLC
Casey	Monahan	Texas Music Office
Mike	Mordecai	Elephant Room
Eva	Mueller	Spiderhouse Ballroom
David	Murray	City of Austin, ATX Music & Entertainment Division
Jeremy	Murray	The Blackheart
Bianca	Neal	Artist Manager, ReRoute Inc.
Paul	Osbon	Artist Manager (Quiet Company)
Julie	Paasche	Artemis Strategy Group
Evan	Phelps	Austin Social Innovation
Jessica	Pickett	SXSW, Inc.
John	Pointer	Patronism
Gary	Powell	University of Texas at Austin, Butler School of Music
Mellie	Price	Capital Factory
Joe	Priesnitz	Joe Priesnitz Artist Management
Russell	Rains	St. Edward's University, Bill Munday School of Business
Michael	Ramos	Artist
Stephen	Ray	Texas Music Office
Cory	Reinisch	Artist, Harvest Thieves
Graham	Reynolds	Artist, Golden Arm Trio
Nakia	Reynoso	Austin Music Commission
Glenn	Richter	University of Texas at Austin, Butler School of Music
John	Riedie	Rampant Arts
Ryan	Robinson	City of Austin, Demographer
James	Russell	Trail of Lights
Courtney	Sanchez	Artist, SWAY
	SaulPaul	Artist
Frank	Schaefer	SXSW, Inc.

Jason	Schnurr	Cedar Street Courtyard
Geoffrey	Schulman	Austin Community College, Dept. of Music Business, Performance & Technology
Peter	Schwarz	Cramden Coach Corporation/Asleep at the Wheel
Jennifer	Sinski	RSVPster
	Smackola	Artist, Dirty Wormz
Matt	Sonzala	Pushermania
Carlos	Sosa	Producer, Artist Grooveline Horns
Brad	Spies	SXSW, Inc.
Geno	Stroia	Red Leaf Music School
Tyson	Swindell	Red 7
James	Taylor	Holy Mountain
Jonathan	Terrell	Artist, Not in the Face
Angela	Tharp	Flamingo Cantina
Danielle	Thomas	Big Green House Presents
Christine	Thompson	AMFM Magazine
Joseph	Thompson	Capitol View Arts
Josh	Tinsch	Umbel
Alex	Vallejo	Autin Music Foundation
Lorenzo	Villareal	The Dub Academy
Andrea	Villarreal	Oaks, Hartline & Daly, LLP
Kristopher	Wade	Artist, Hot Nut Riveters
Heather	Wagner Reed	Austin Music Commission
Jerry Jeff	Walker	Artist
Scott	Ward	Strange Brew
Gregg	Ware	One-2-One Bar
Mikey	Wheeler	The Parish
Richard	Whymark	The Good Music Club
Graham	Williams	Transmission Events
Scott	Wilson	Artist

Austin Community College-Music and MBPT Departments

Austin Creative Alliance

Austin Federation of Musicians

Austin Jazz Alliance

Austin Music Commission

Austin Music Foundation

Austin Music People

Austin Songwriter's Group

Capitol View Arts

Health Alliance for Austin Musicians

SIMS Foundation

St. Edward's University, Bill Munday School of Business

Texas Accountants and Lawyers for the Arts

Texas Music Office

The Dub Academy

The Recording Academy, Texas Chapter
The University of Texas - Butler School of Music
Women in Music Professions Society

Appendix II

List of Defined Terms

The Austin Music Census uses a number of defined terms, particularly related to how data is segmented (e.g. “Music Industry” vs. “Musicians”, etc.). A list of defined terms is provided below to make it easy for readers to understand the meaning of these terms as they are used throughout the Austin Music Census. These are provided here in sequential order in which they are introduced in the following pages.

DATA SEGMENTATION

Musicians – This group includes anyone who makes at least part of their income from the creation of and/or performance of music.

Music Industry – This is a broad group that includes all people who work in the music industry itself and ancillary services such as graphic design, photography, hospitality, and service industry. Music industry includes workers, employees, contractors, executives, CEO’s, small business owners, and sole proprietors. It also includes everyone whose employment is either full-time or part-time. This group EXCLUDES musicians and venue owners/managers (who are in different data segments and given their own analytical treatment).

- ☐ **Music Industry Worker** – This group is a SUBSET of “Music Industry” and includes all employees, workers, and contractors both full and part time, who work for in any of the “Music Industry” broad job categories. This group may have additional non-music jobs, but has at least a part time music industry job. This group is the same as “Music Industry” except that it EXCLUDES all business owners.
- ☐ **Business Owner** - This group is a SUBSET of “Music Industry” and includes all entrepreneurs, sole proprietors, small business owners, and corporate business owners the music industry EXCEPT venue owners (who are given a separate segmentation and analytical treatment). This group is the same as “Music Industry” except that it EXCLUDES all “Music Industry Workers”.

Venue Owners/Managers – This group includes all owners and managers of Austin venues.

OTHER DEFINED TERMS

Venue – Venue includes music clubs, churches, performing arts centers, event centers, coffee shops, restaurants, community spaces, festivals and any nightlife establishment (with or without music) including bars, dance clubs, bars, and other nightlife establishments.

Central Business District or CBD – This is a term used by the City of Austin to describe the downtown area of Austin, encompassing east and west 6th Street, Red River, 2nd Street, and other central business areas. CBD is bounded by Lamar Boulevard to the West, IH-35 to the East, Martin Luther King Boulevard to the North, and Lady Bird Lake to the South.

Mean Annual Wage – This is a standard statistical term. It means using all the salaries of people working in a certain demographic; the mean is the average of those salaries.

Median Annual Wage - This is a standard statistical term. It means using all the salaries of people working in a certain demographic; the median is the one that falls at the midpoint of that range.

Appendix III

All Respondents Chart List

CHARTS APPEAR IN THIS SEQUENCE:

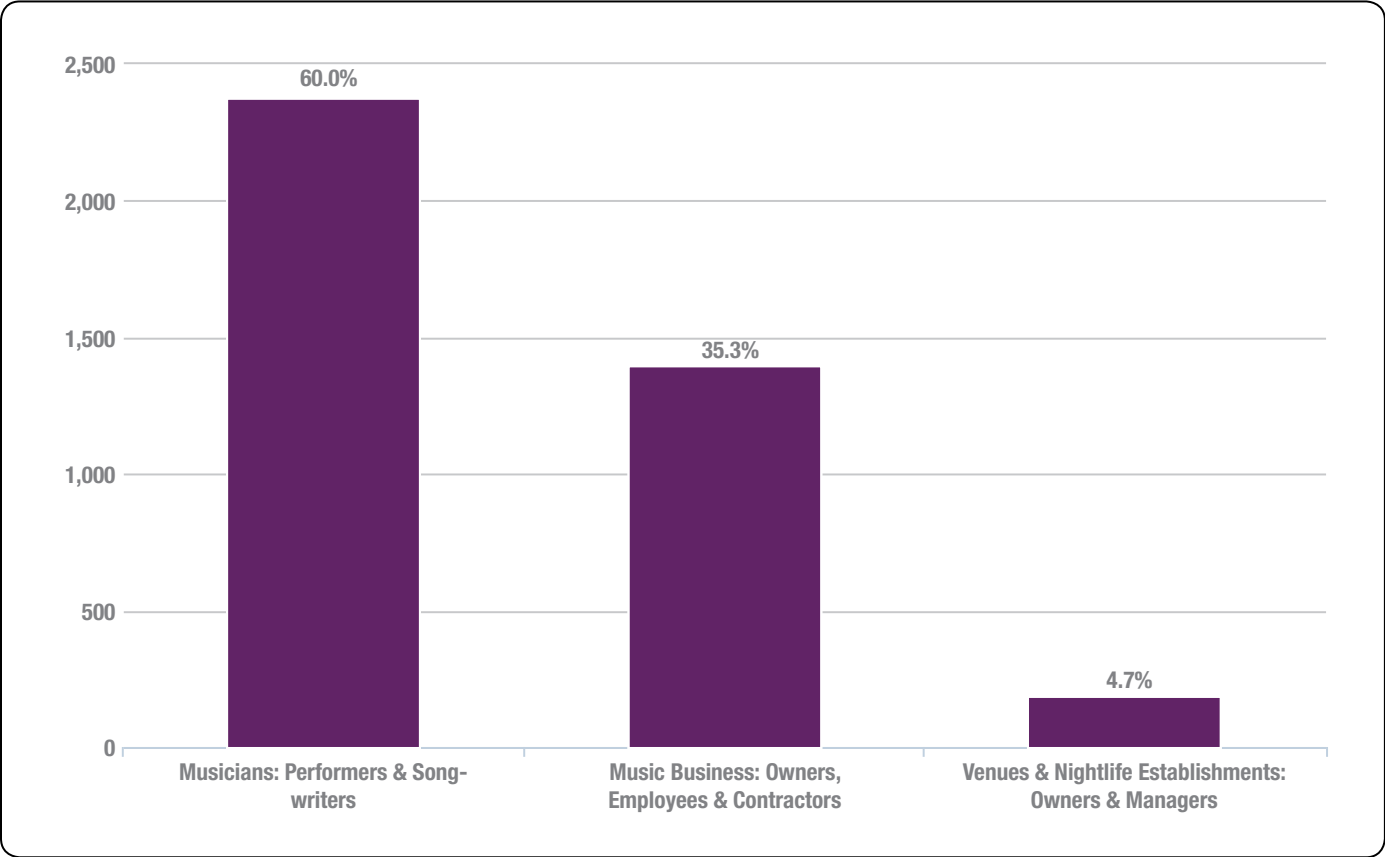
Main Industry Sector Breakdown
Areas of Experience and Expertise
Current Means of Employment
Number of Years Working in Music Industry
Gender Breakdown
Age Breakdown
Race and Ethnicity
Number of Years Living in Austin
Health Care Coverage
Housing: Rent vs. Own
Housing: Type of Residence
Number of Household Contributors to Rent or Mortgage
Prosperity Trends: Individual Income Increase/Decrease Over Past 3 Years
Income Comparison by Major Industry Sector
2013 Pre-Tax Individual Income (All Respondents, All Income Sources)
2013 Pre-Tax Individual Income (All Respondents, Music Industry Income Only)
2013 Pre-Tax Individual Income (Only Respondents w/ Music Industry + Augmented Income)
2013 Pre-Tax Individual Income (Only Respondents w/ 100% Income from Music Industry)
Needs and Gaps Category: LIVING AND AFFORDABILITY
Needs and Gaps Category: CONNECTIVITY AND COLLABORATION
Needs and Gaps Category: PROFESSIONAL EDUCATION AND SKILLS DEVELOPMENT
Needs and Gaps Category: INDUSTRY RESOURCES
Ideas and Proposals Category: CAREER DEVELOPMENT AND CONNECTIVITY
Ideas and Proposals Category: TOURISM AND MARKET DEVELOPMENT
Ideas and Proposals Category: CITY PROGRAMS

Appendix III

All Respondents Data Charts



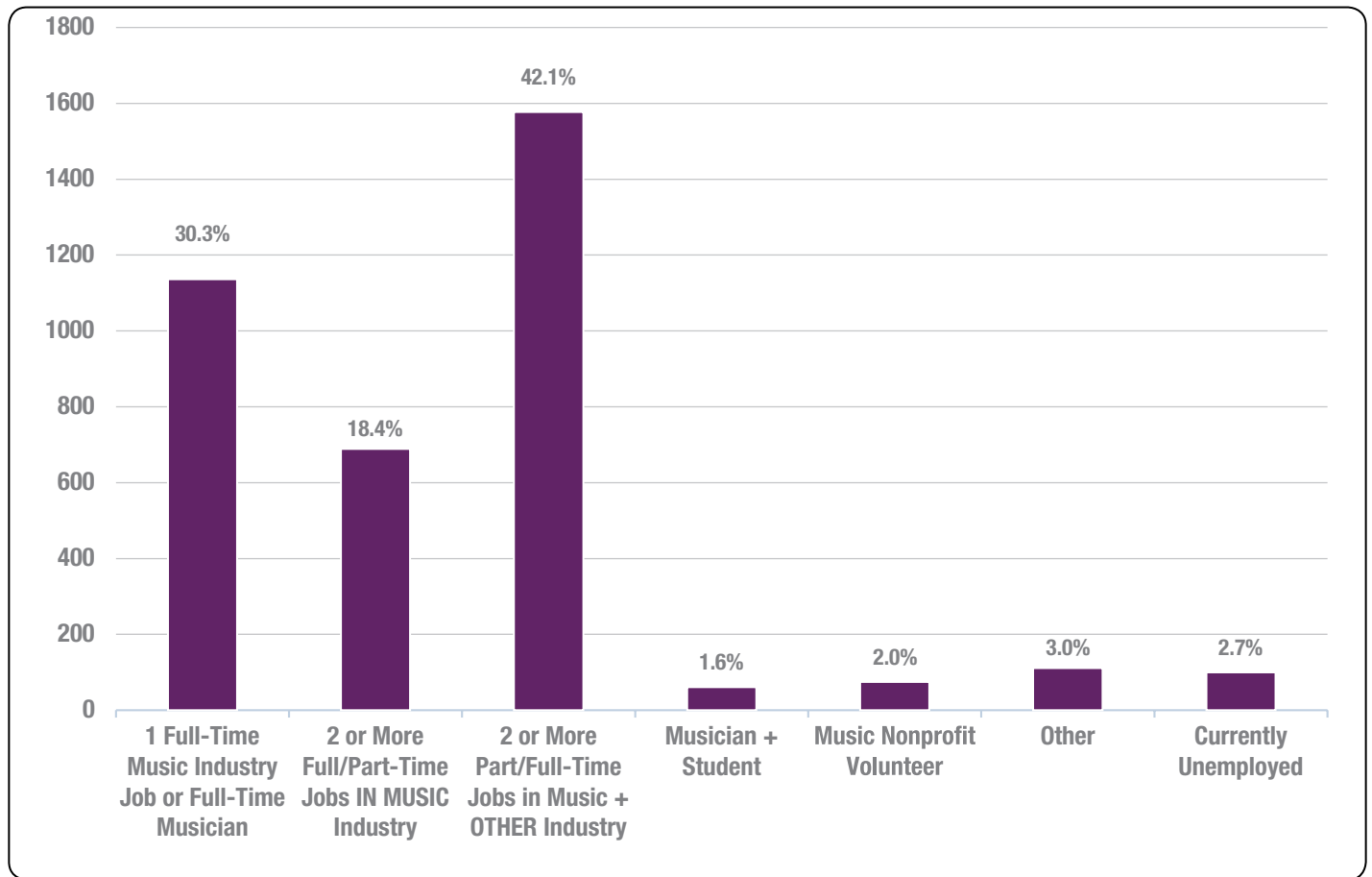
Main Industry Sector Breakdown



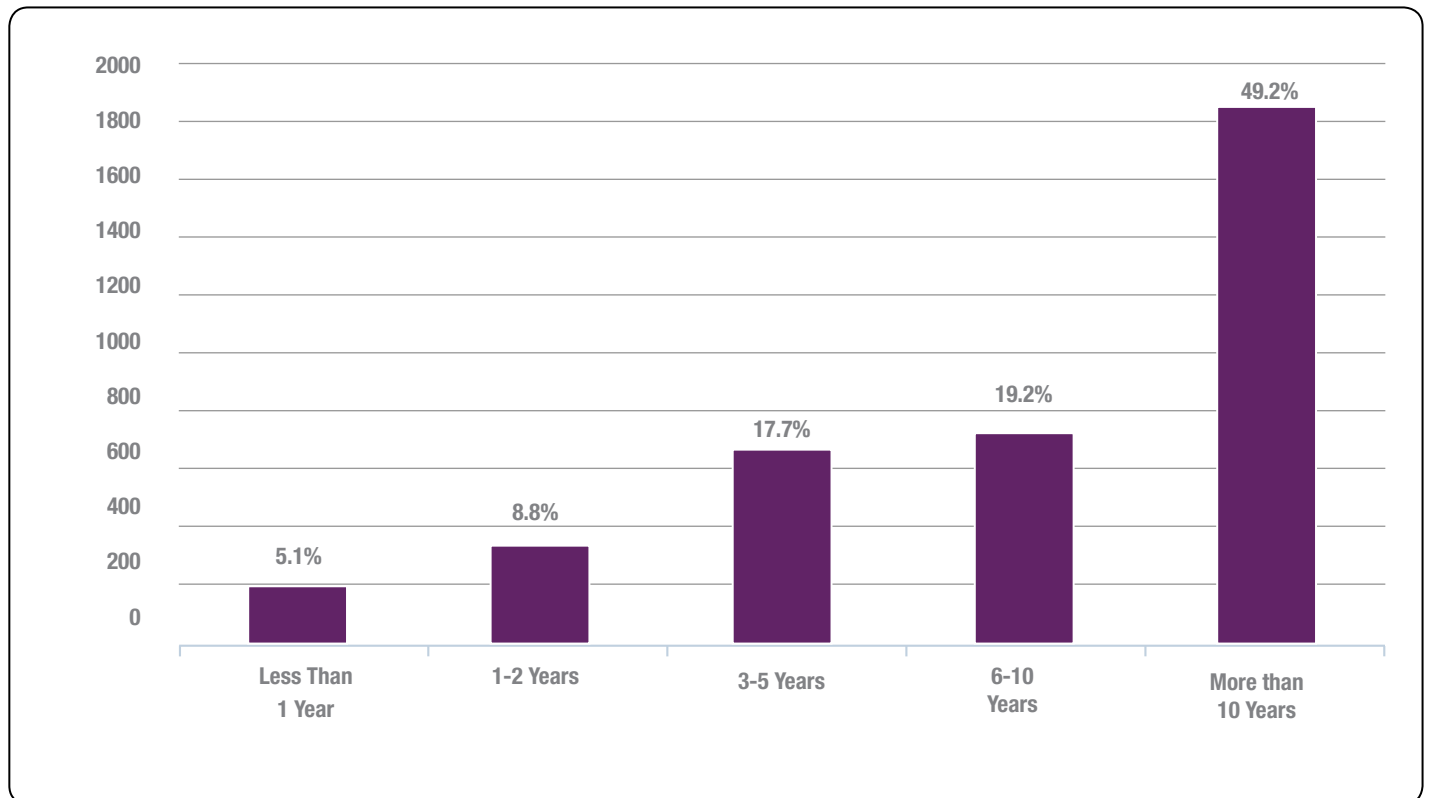
Areas of Experience and Expertise

Response	Count		
Accounting	270	7.6%	
Audio Engineering	931	26.3%	
Advocacy/Lobbying	142	4.0%	
Audio Mastering	314	8.9%	
Digital Music Distribution	405	11.4%	
Booking/Talent Buying	866	24.4%	
Audio Mixing	853	24.1%	
Digital Music Sales	261	7.4%	
Event Promotion	1249	35.2%	
Event Production	1222	34.5%	
Distribution	219	6.2%	
Film/TV Composer	318	9.0%	
Manufacturing	118	3.3%	
Graphic Design	549	15.5%	
Financing or Venture Capital	71	2.0%	
Marketing	900	25.4%	
Music Education	636	17.9%	
Music Arranger	743	21.0%	
Media/Journalism	465	13.1%	
Artist Management	720	20.3%	
Music Legal Issues	140	3.9%	
Nonprofit Services	350	9.9%	
Music Publishing	309	8.7%	
Music Licensing	260	7.3%	
Post Production	323	9.1%	
Radio Promotion	266	7.5%	
Radio Production	176	5.0%	
PR & Publicity	666	18.8%	
Record Labels	375	10.6%	
Social Media	1048	29.6%	
Retail Sales	353	10.0%	
Record Production	538	15.2%	
Software Development	101	2.8%	
Ticketing	163	4.6%	
Studio Management	270	7.6%	
Artist/Songwriting or Composing	1752	49.4%	
Touring Logistics	544	15.3%	
Web Design/Development	484	13.6%	
Venue Management	436	12.3%	
Artist/Live Performance	2383	67.2%	
	Total:	3546	

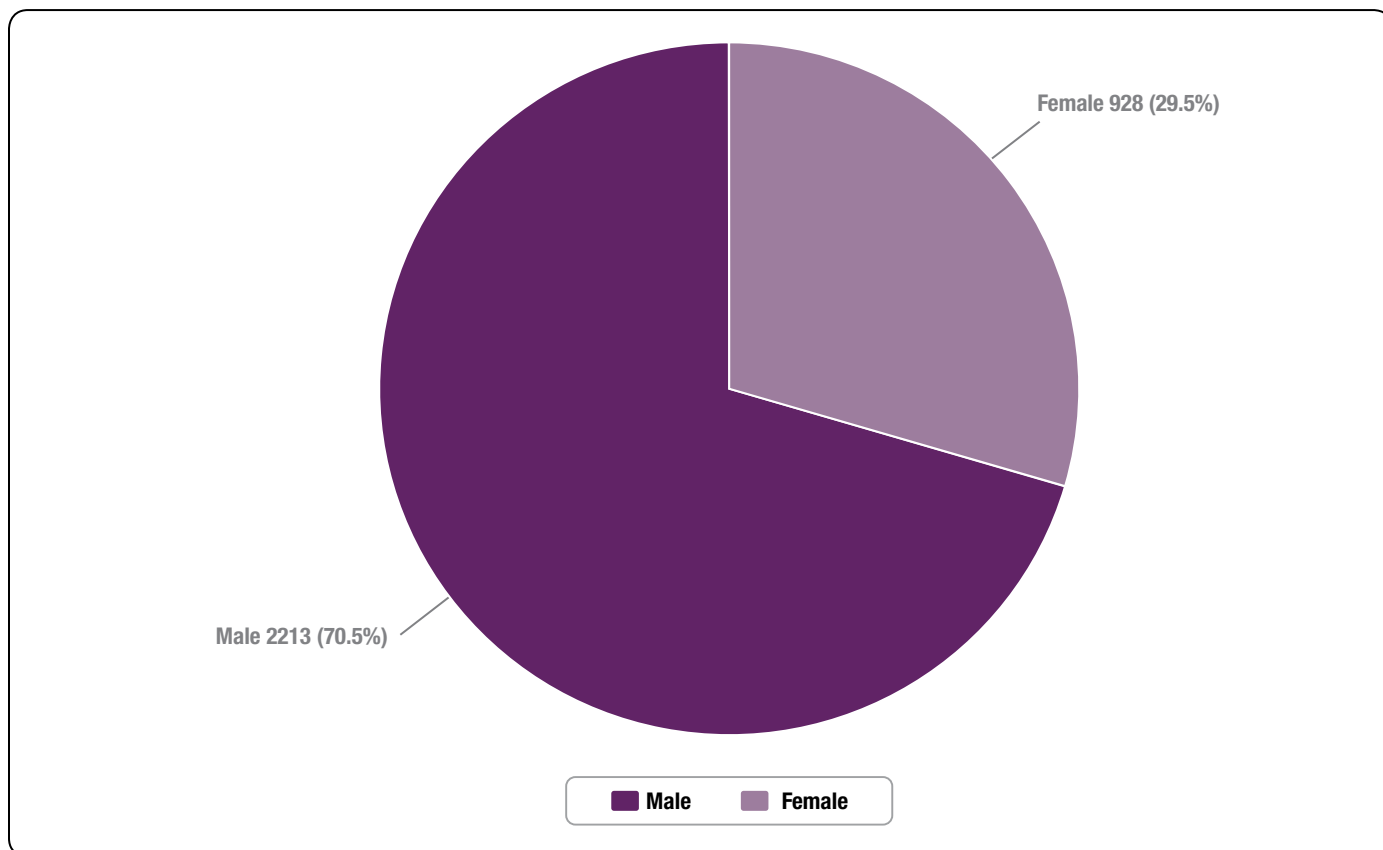
Current Means of Employment



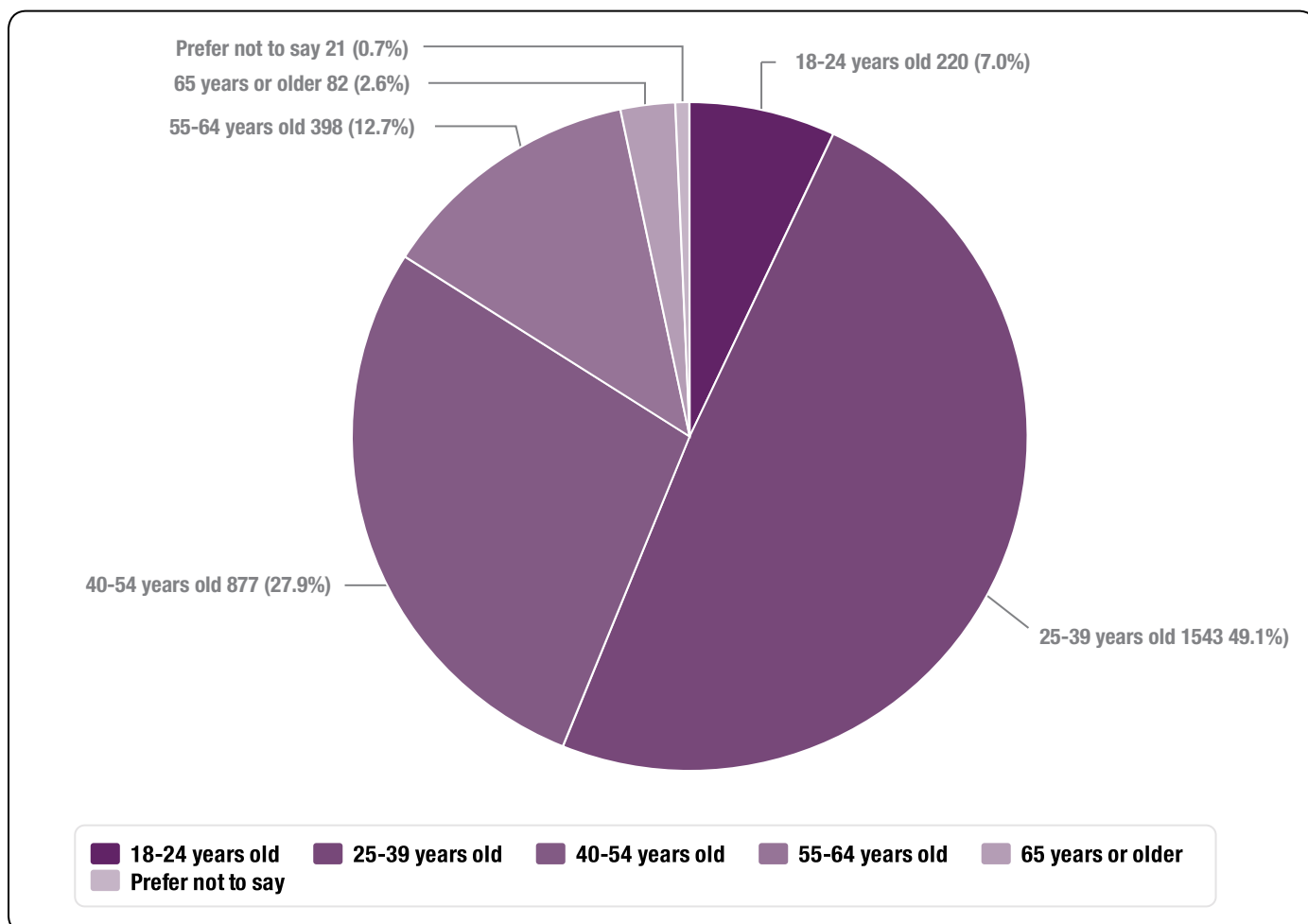
Number of Years Working in Music Industry



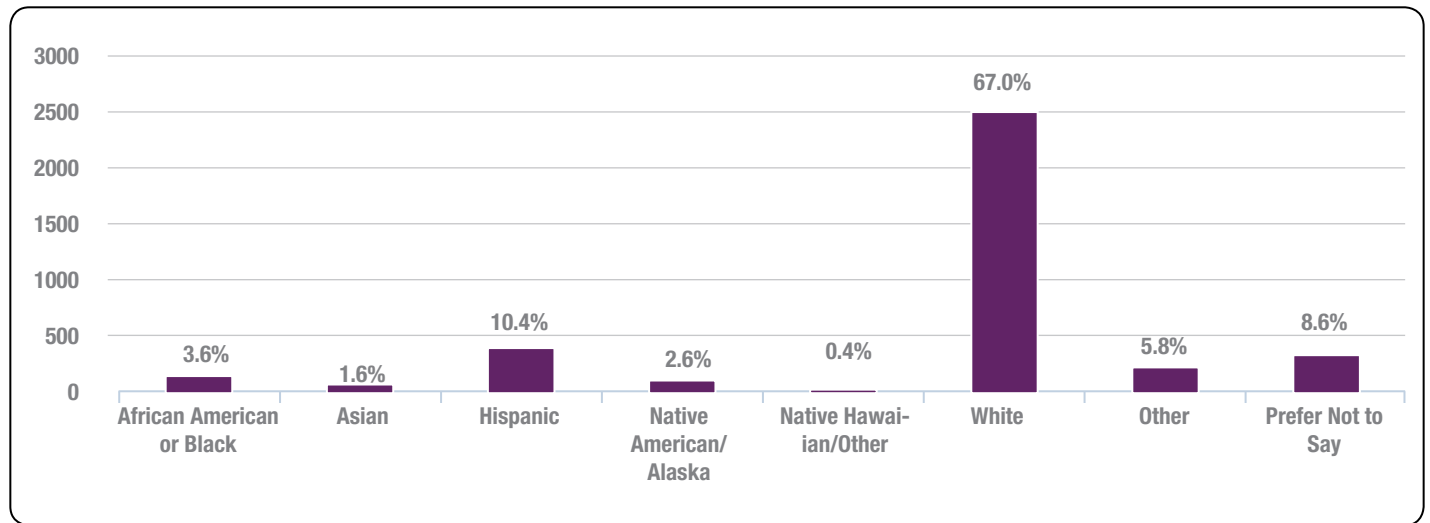
Gender Breakdown



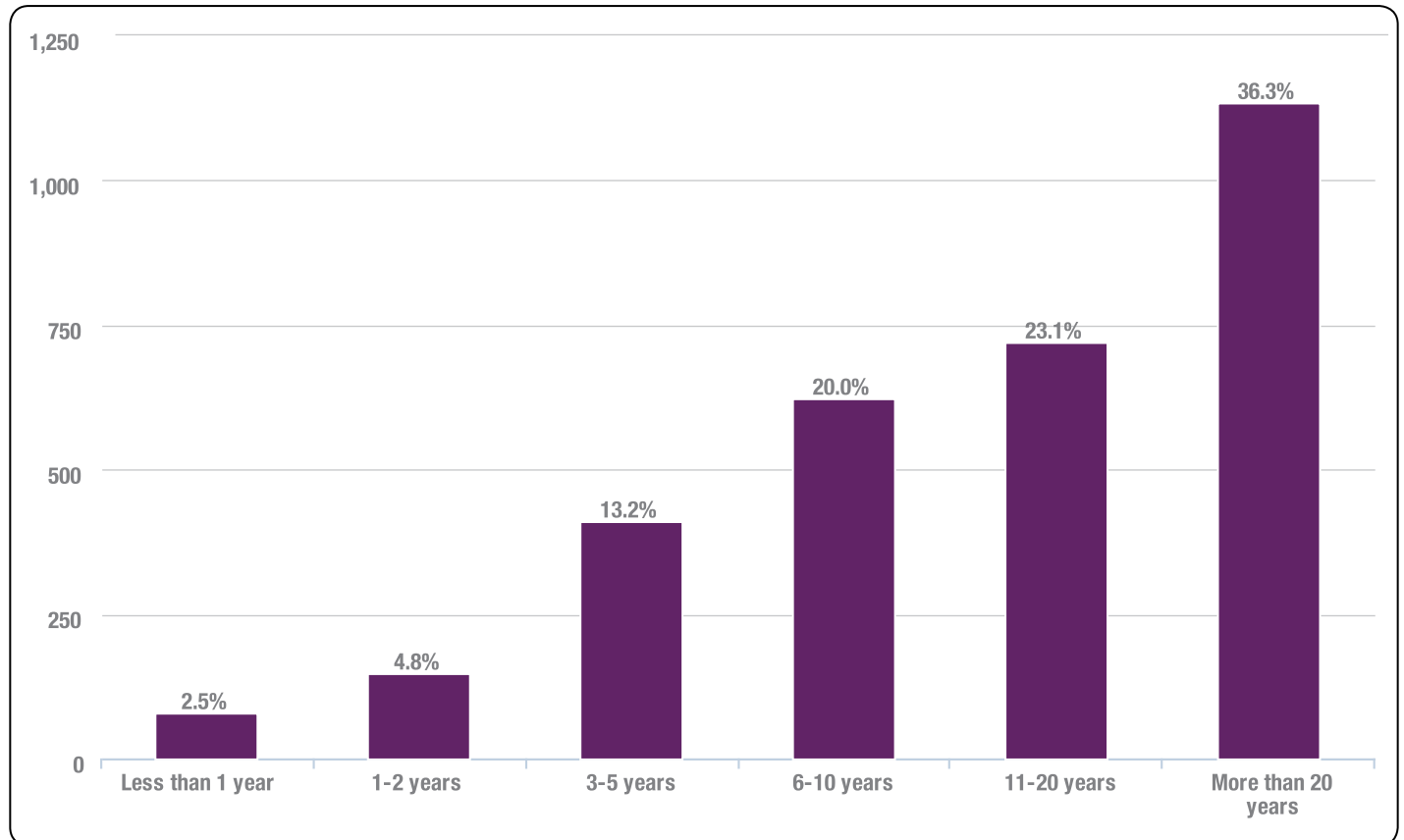
Age Breakdown



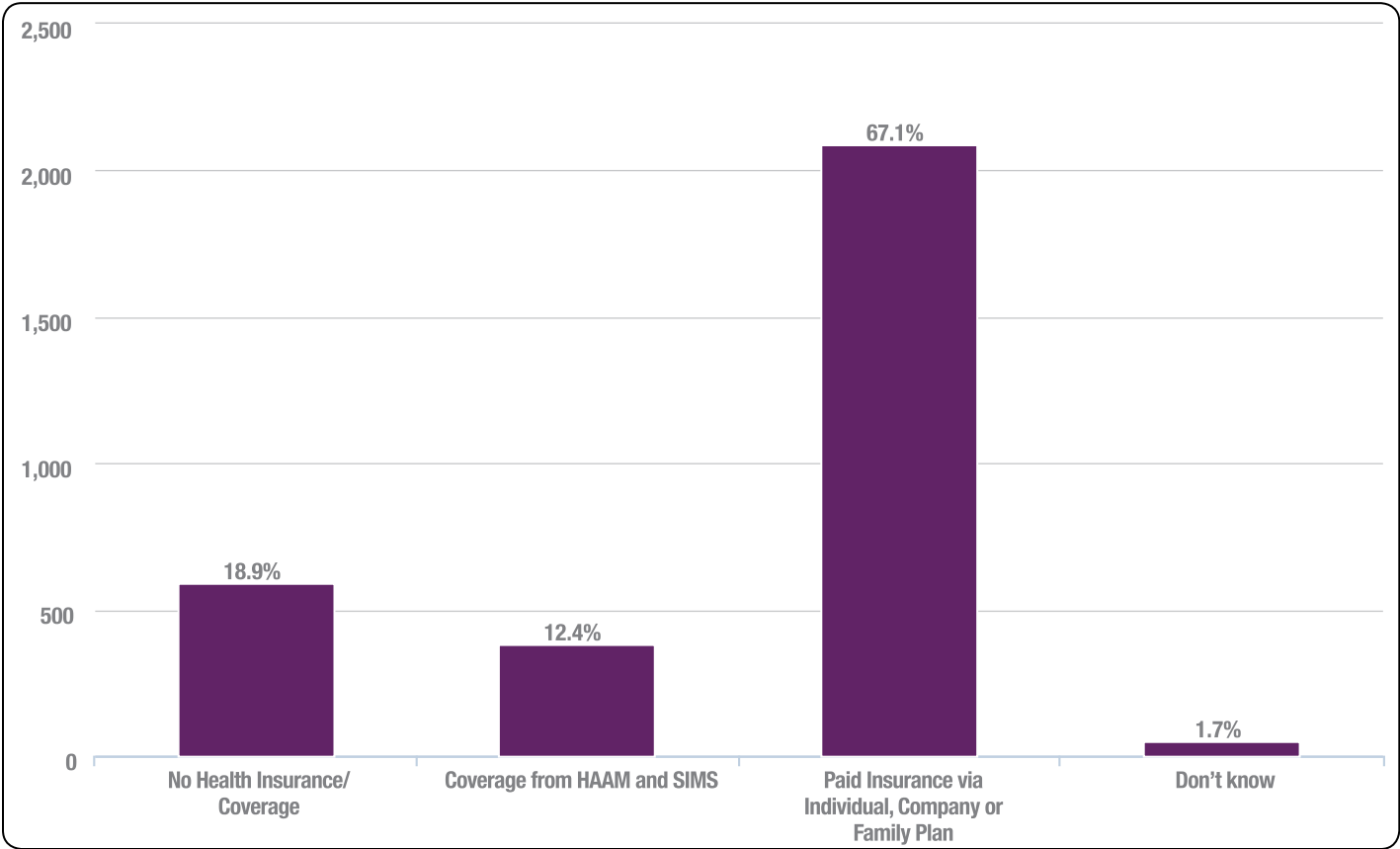
Race and Ethnicity



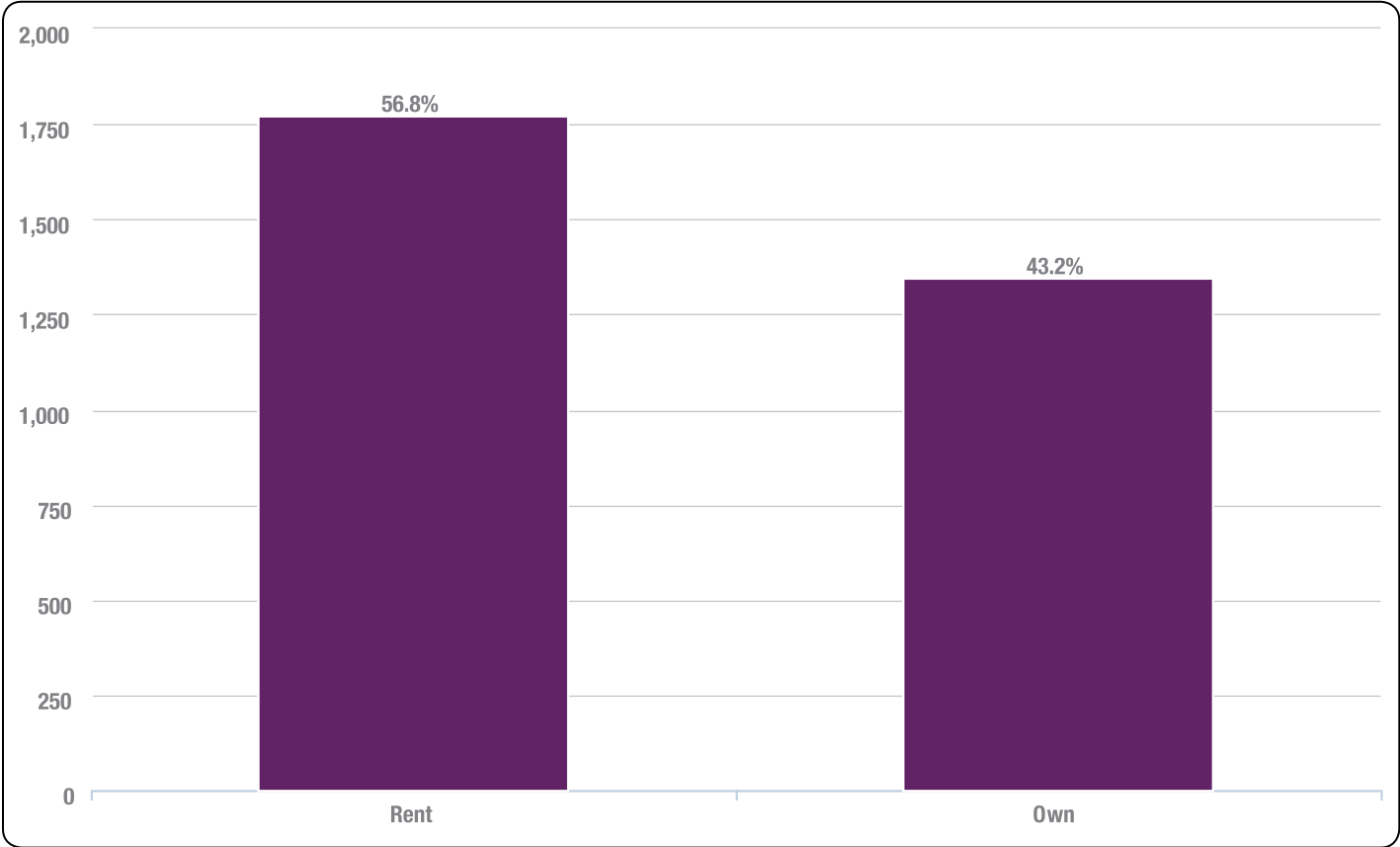
Number of Years Living in Austin



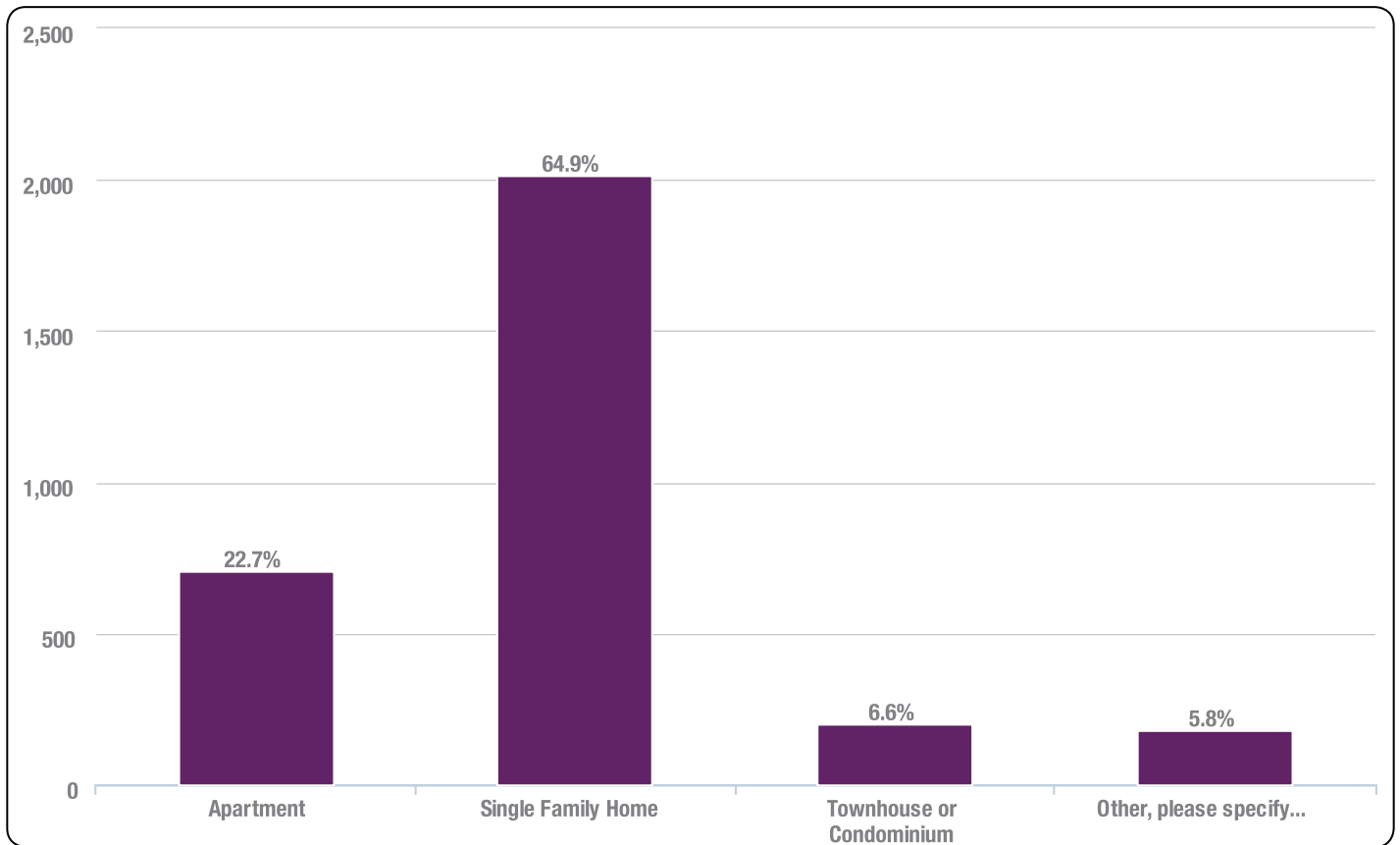
Health Care Coverage



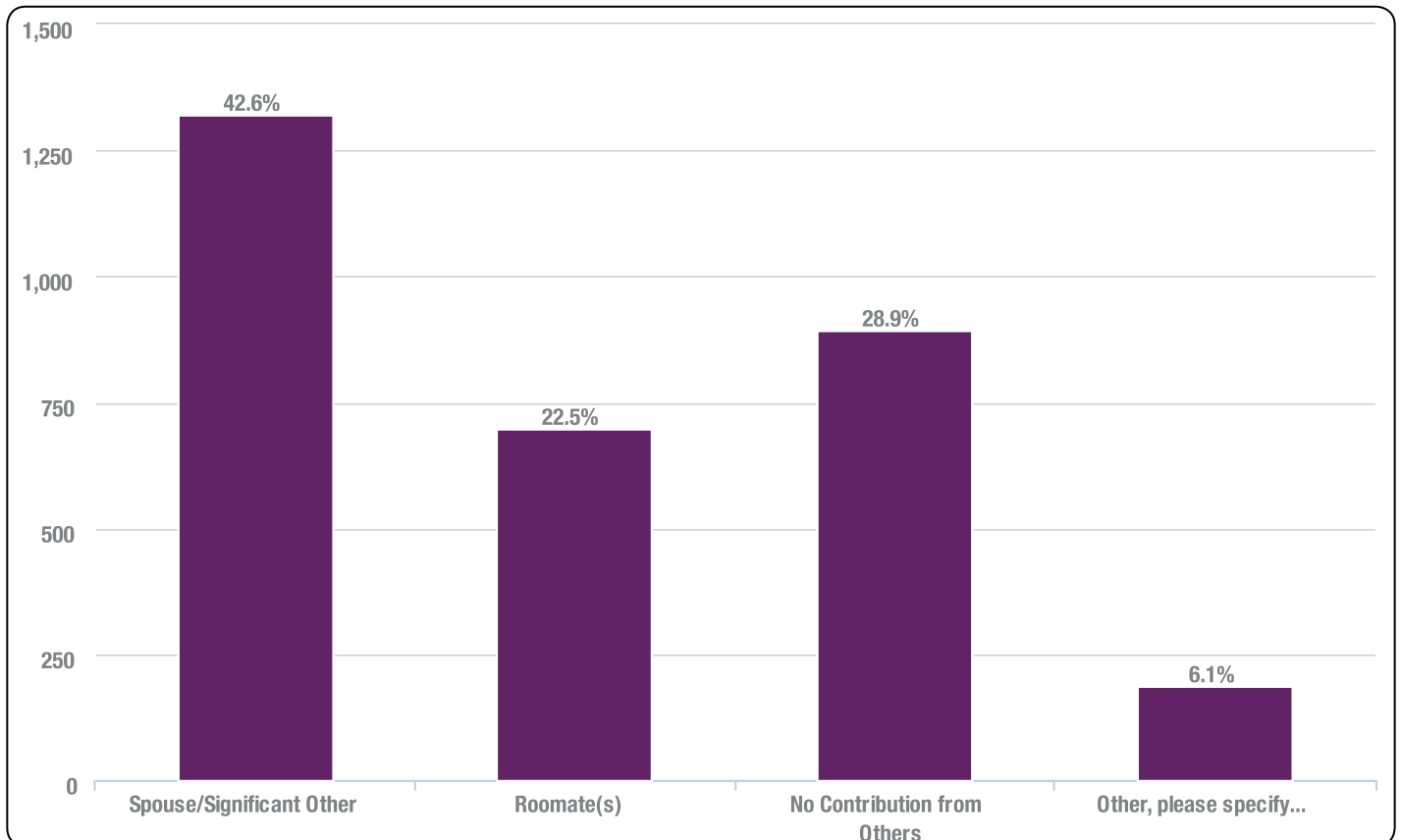
Housing: Rent vs. Own



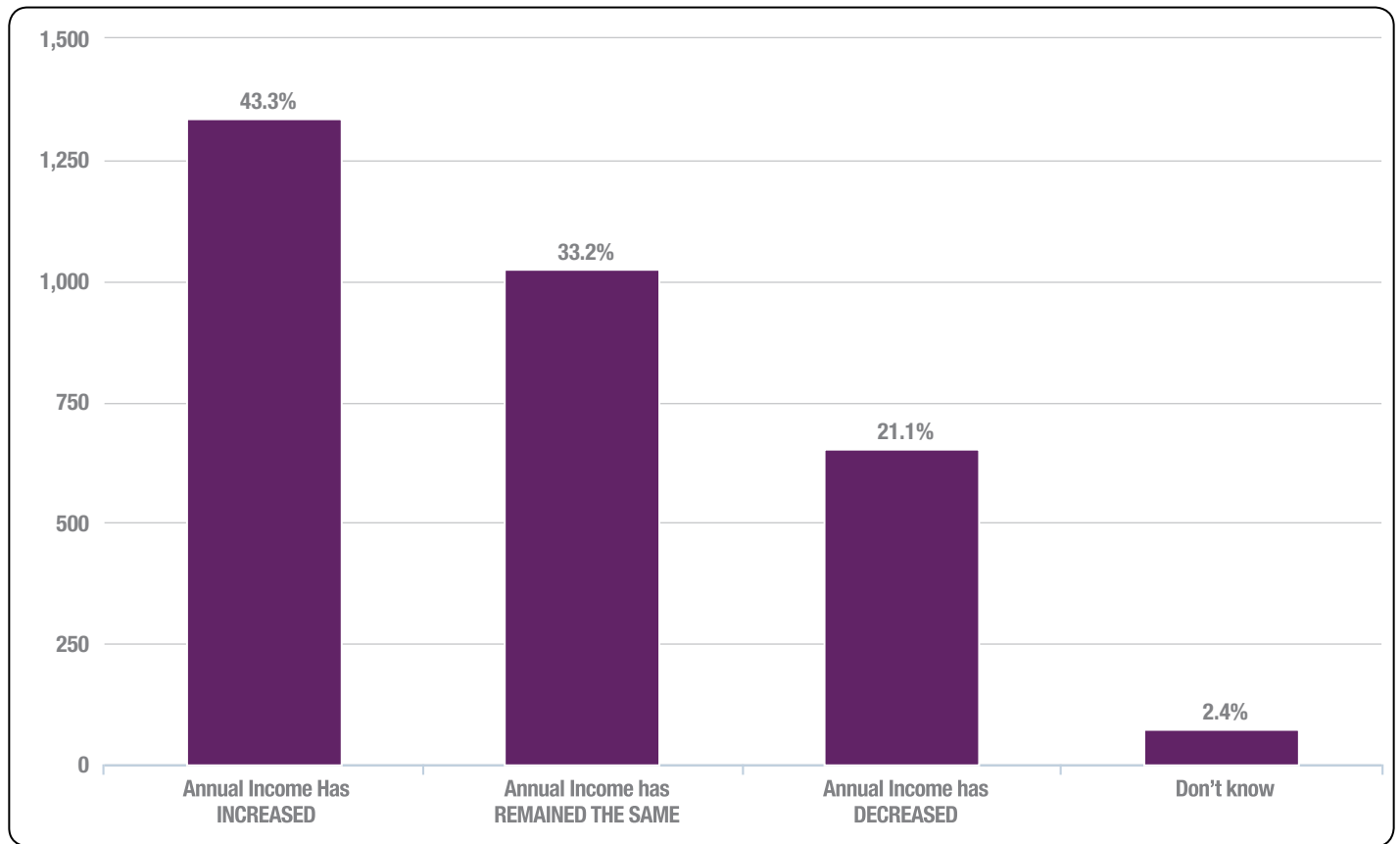
Housing: Type of Residence



Number of Household Contributors to Rent or Mortgage



Prosperity Trends: Individual Income Increase/Decrease Over Past 3 Years



Income Comparison by Major Industry Sector

Population: All Survey Respondents

Income Type: All Income Sources



Population: All Music Industry: Business Owners + Employees

Income Type: All Income Sources



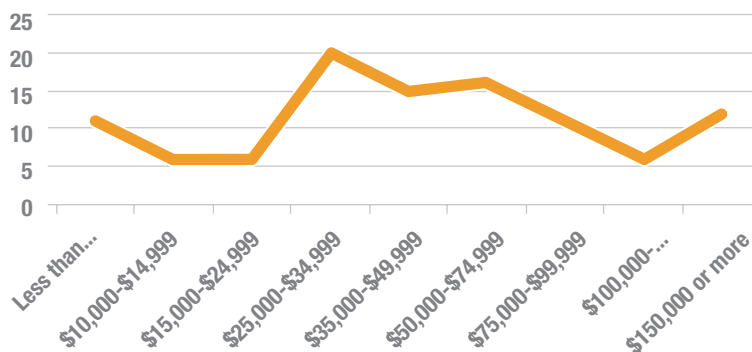
Population: Musicians

Income Type: All Income Sources

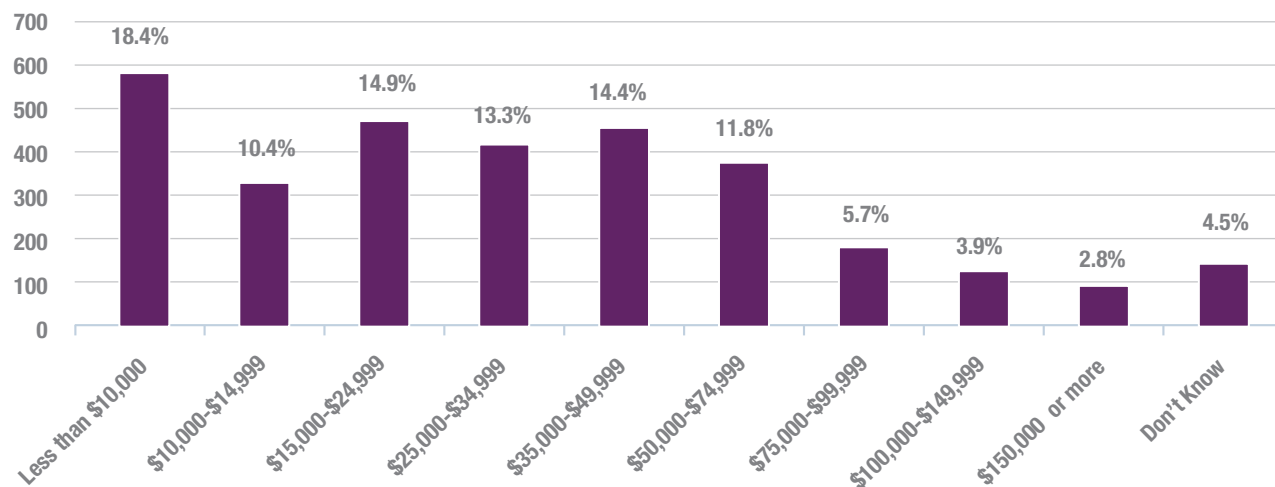


Population: Venue Owners & Managers

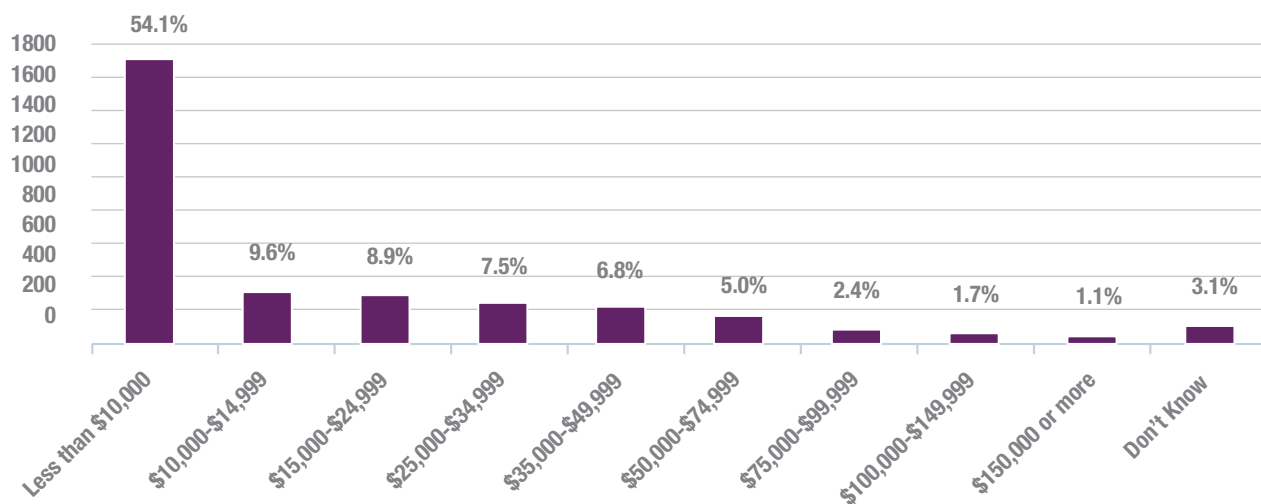
Income Type: All Income Sources



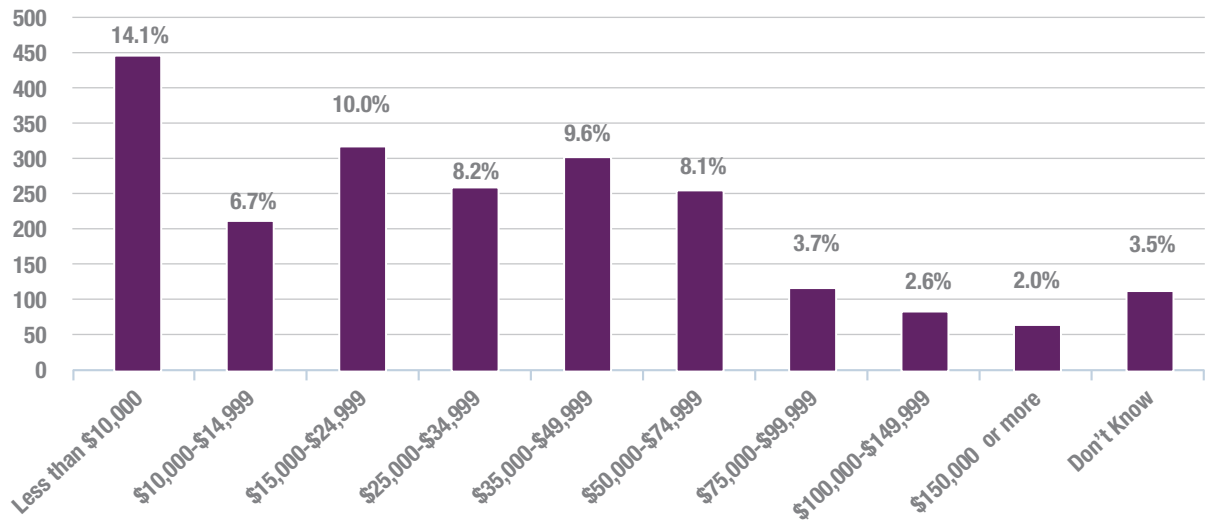
2013 Pre-Tax Individual Income (All Respondents, All Income Sources)



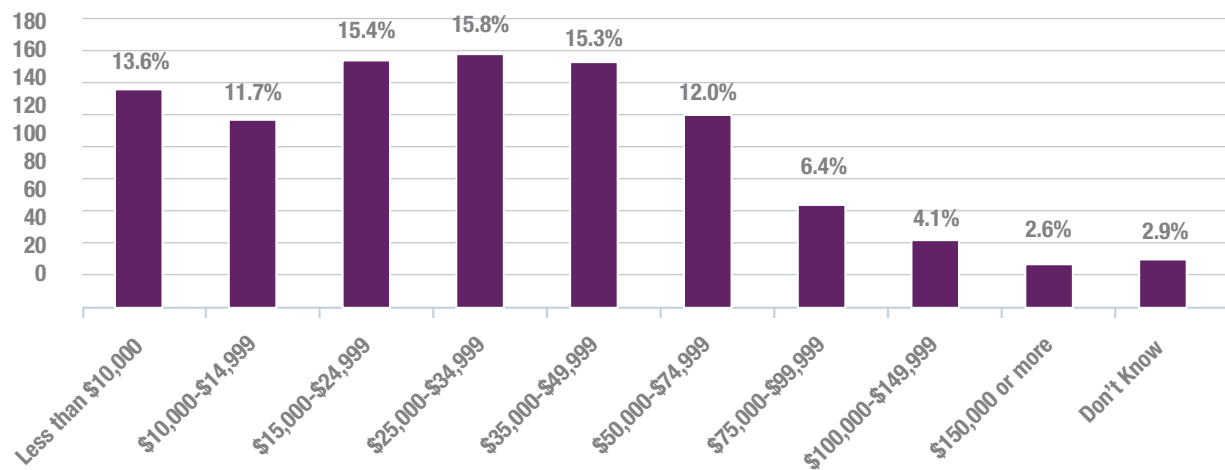
2013 Pre-Tax Individual Income (All Respondents, Music Industry Income Only)



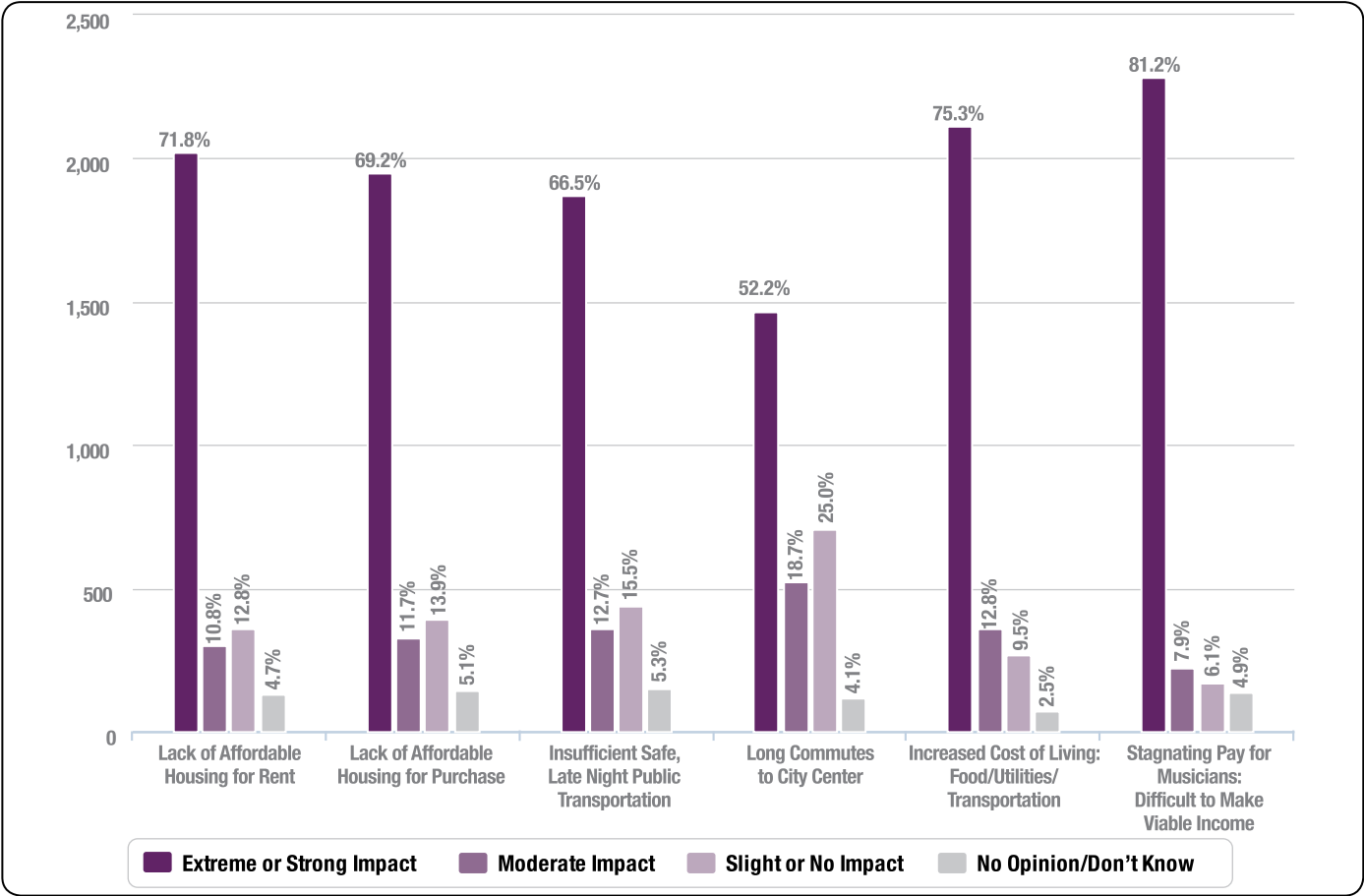
2013 Pre-Tax Individual Income (Only Respondents w/Music Industry + Augmented Income)



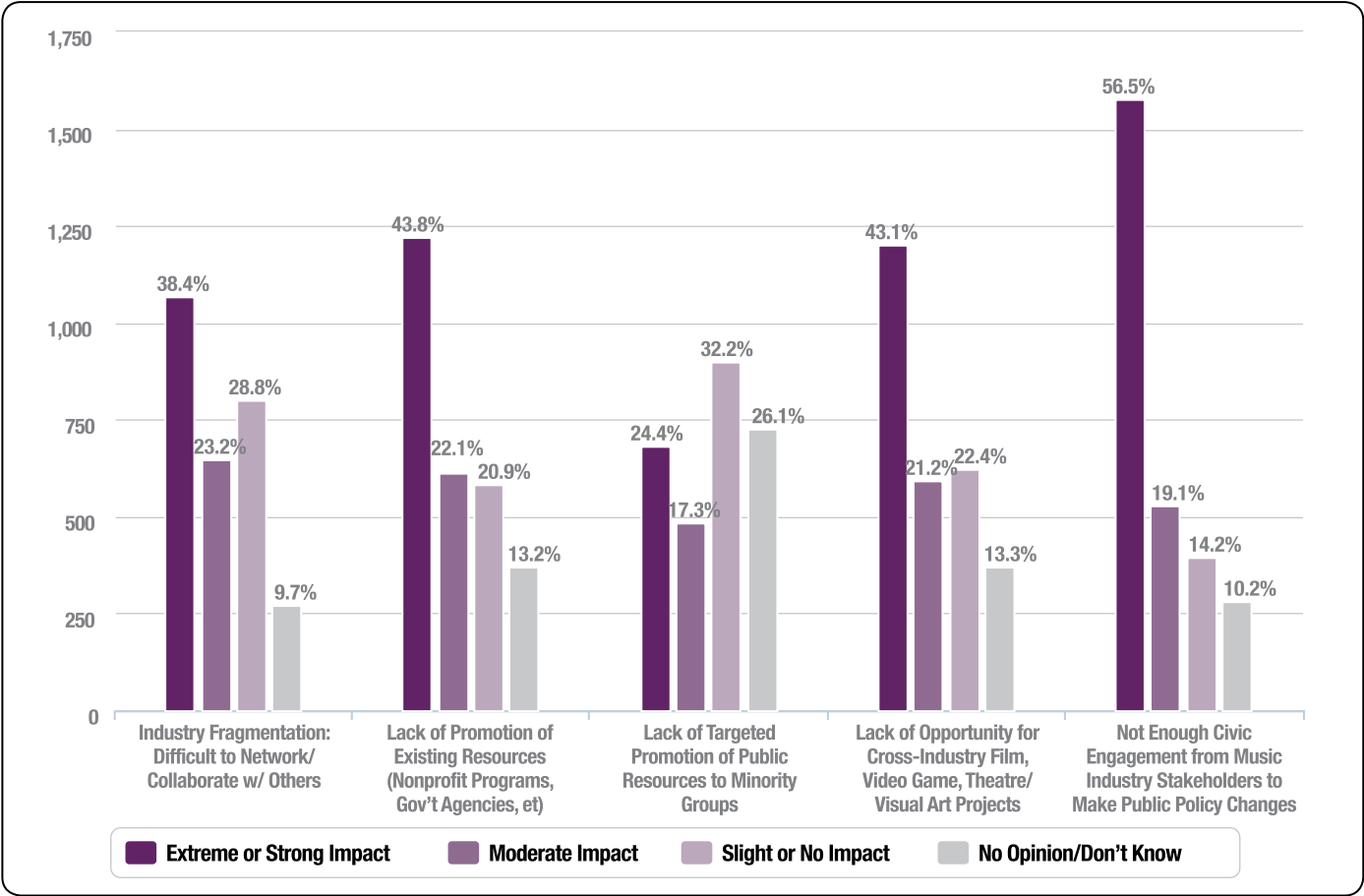
2013 Pre-Tax Individual Income (Only Respondents w/ 100% Income from Music Industry)



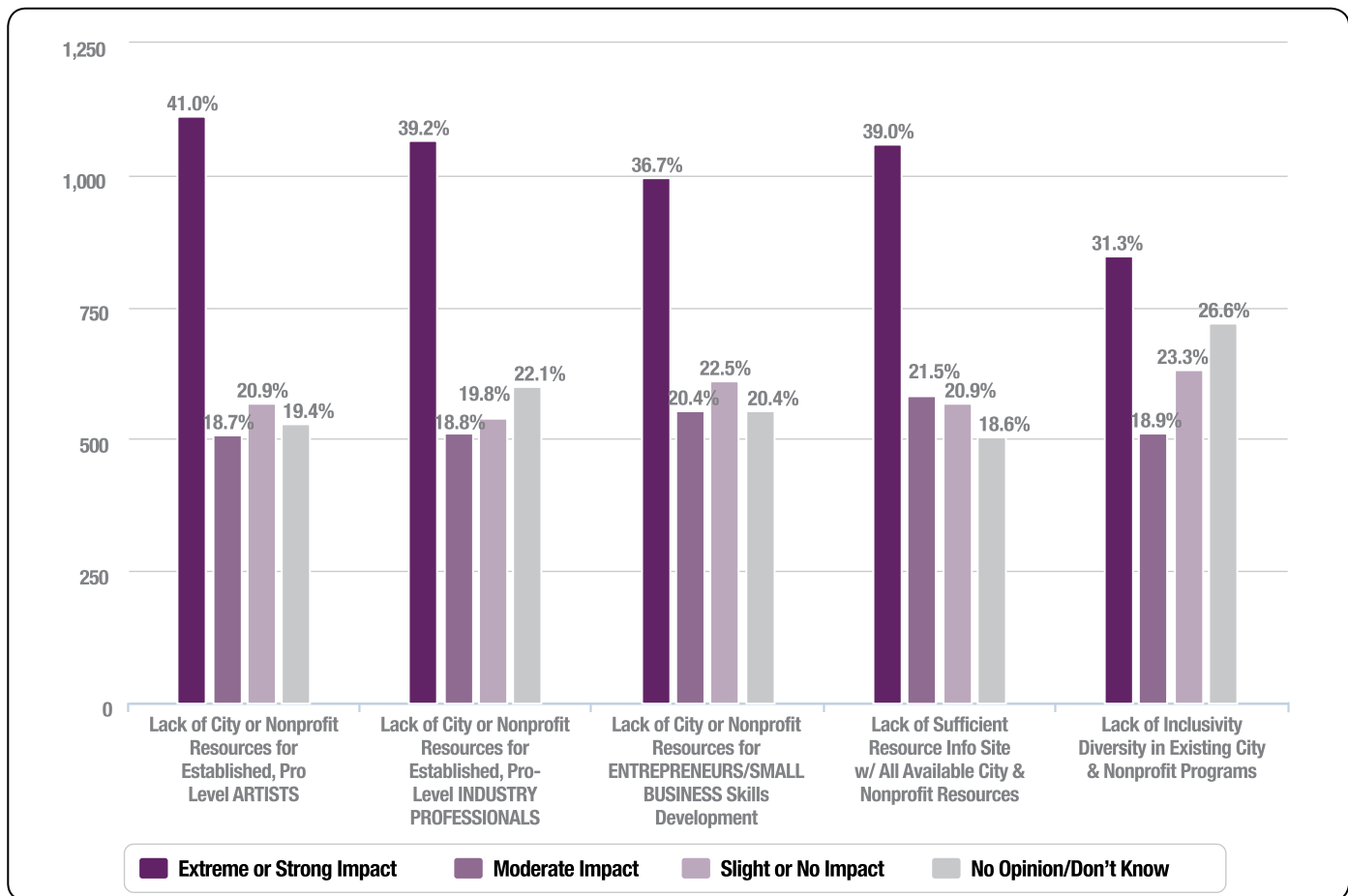
Needs and Gaps Category: LIVING AND AFFORDABILITY



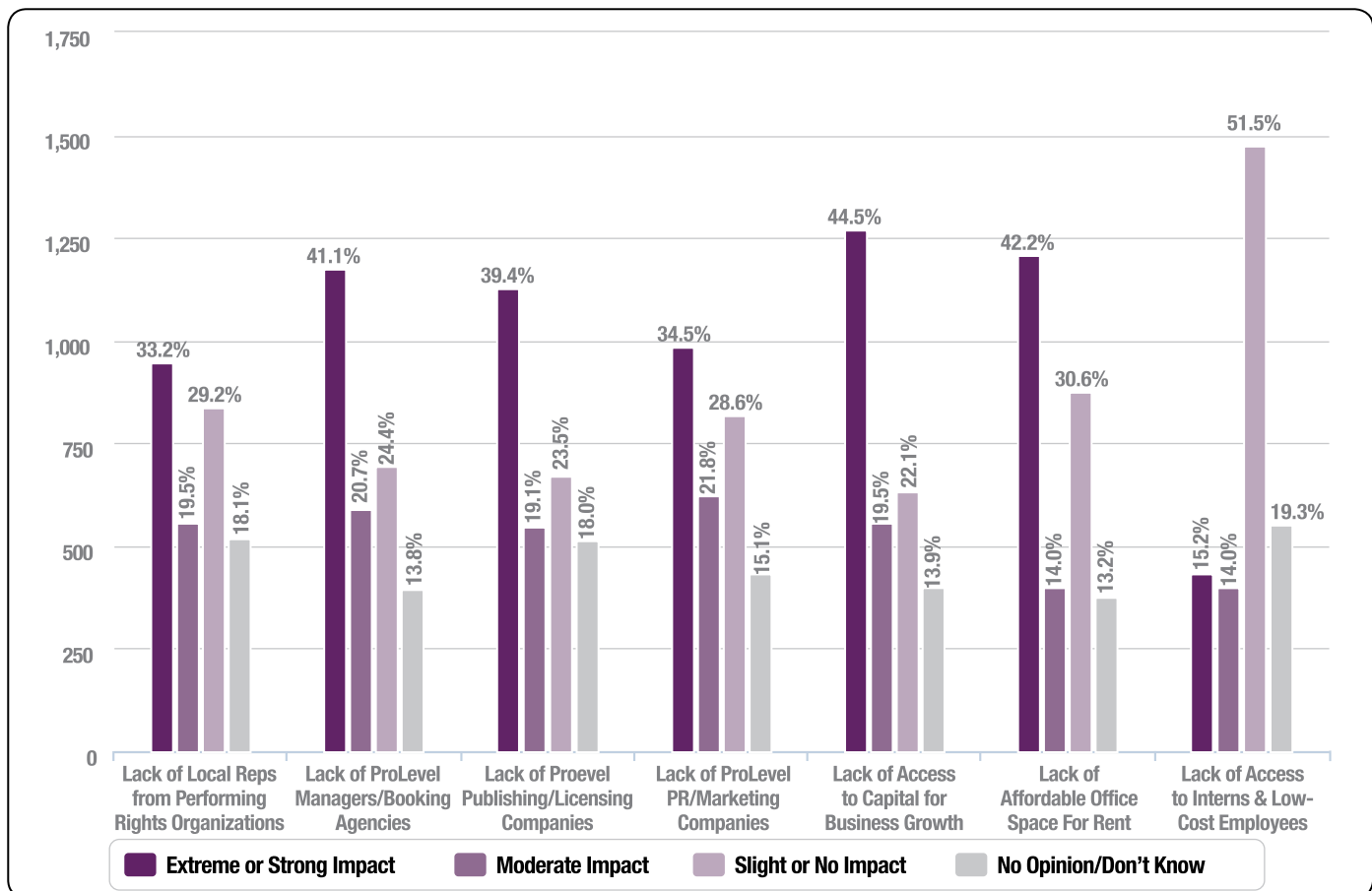
Needs and Gaps Category: CONNECTIVITY AND COLLABORATION



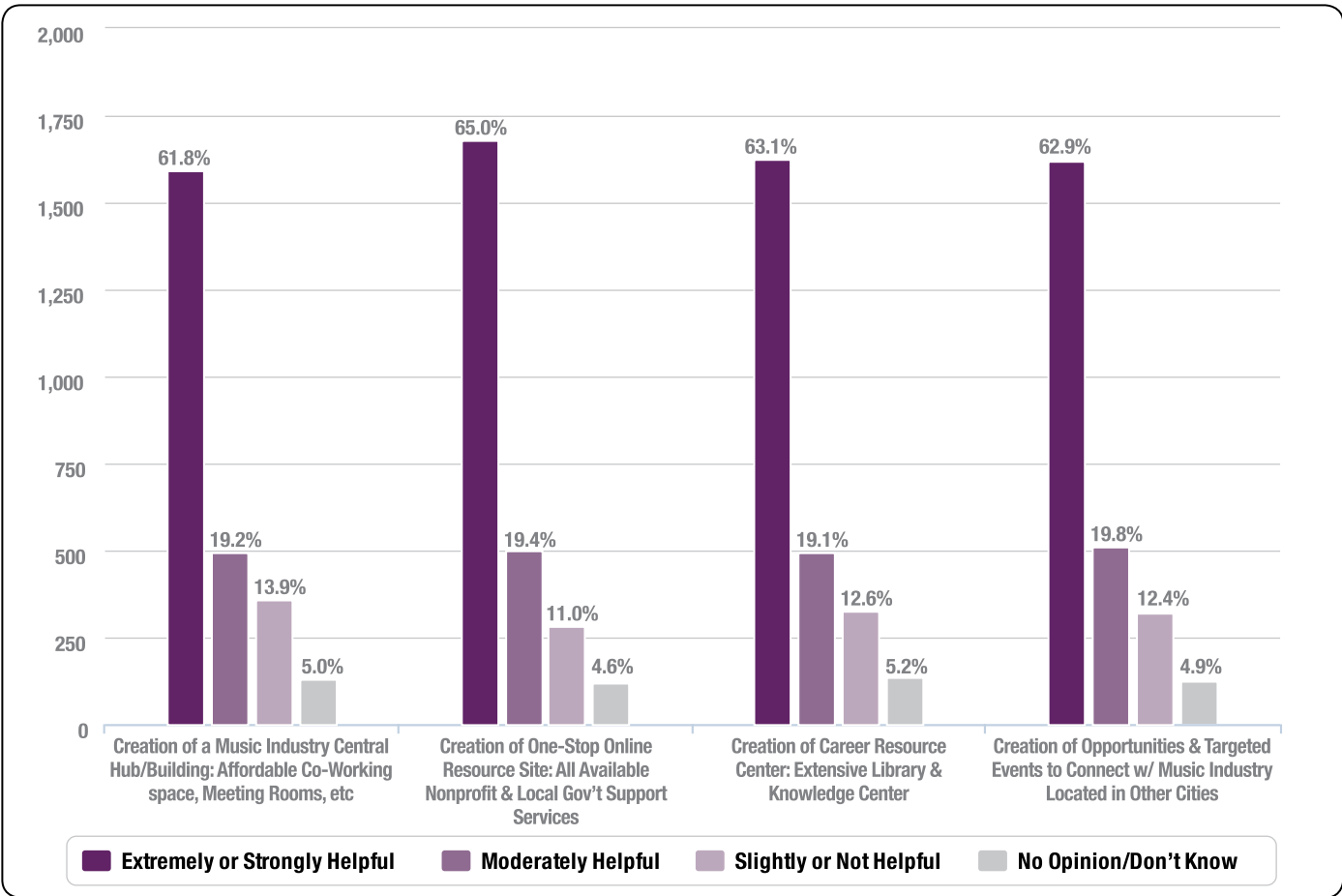
Needs and Gaps Category: PROFESSIONAL EDUCATION AND SKILLS DEVELOPMENT



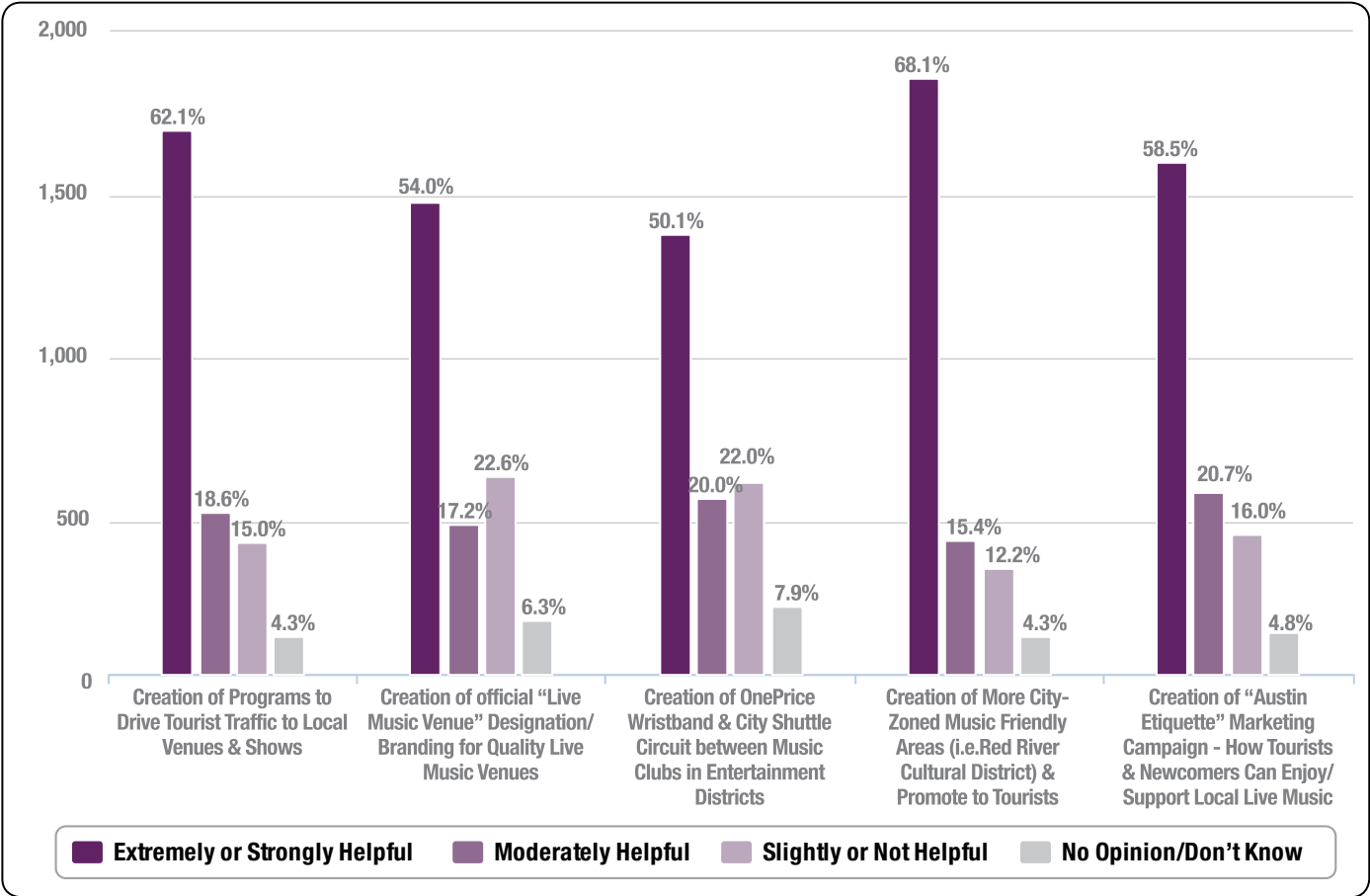
Needs and Gaps Category: INDUSTRY RESOURCES



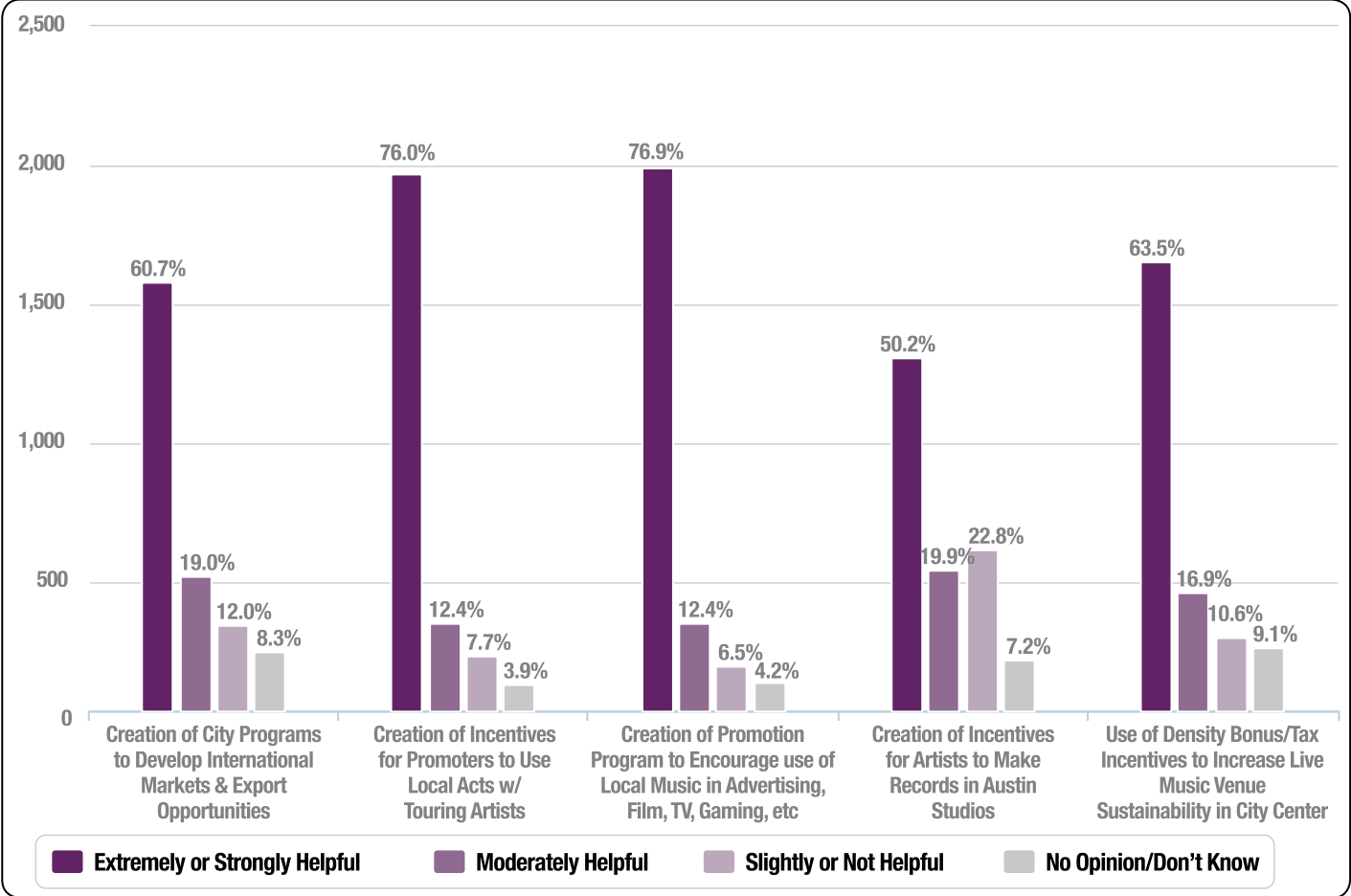
Ideas and Proposals Category: CAREER DEVELOPMENT AND CONNECTIVITY



Ideas and Proposals Category: TOURISM AND MARKET DEVELOPMENT



Ideas and Proposals Category: CITY PROGRAMS



Appendix IV

Musician-Only Respondent Data Chart List

CHARTS APPEAR IN THIS SEQUENCE:

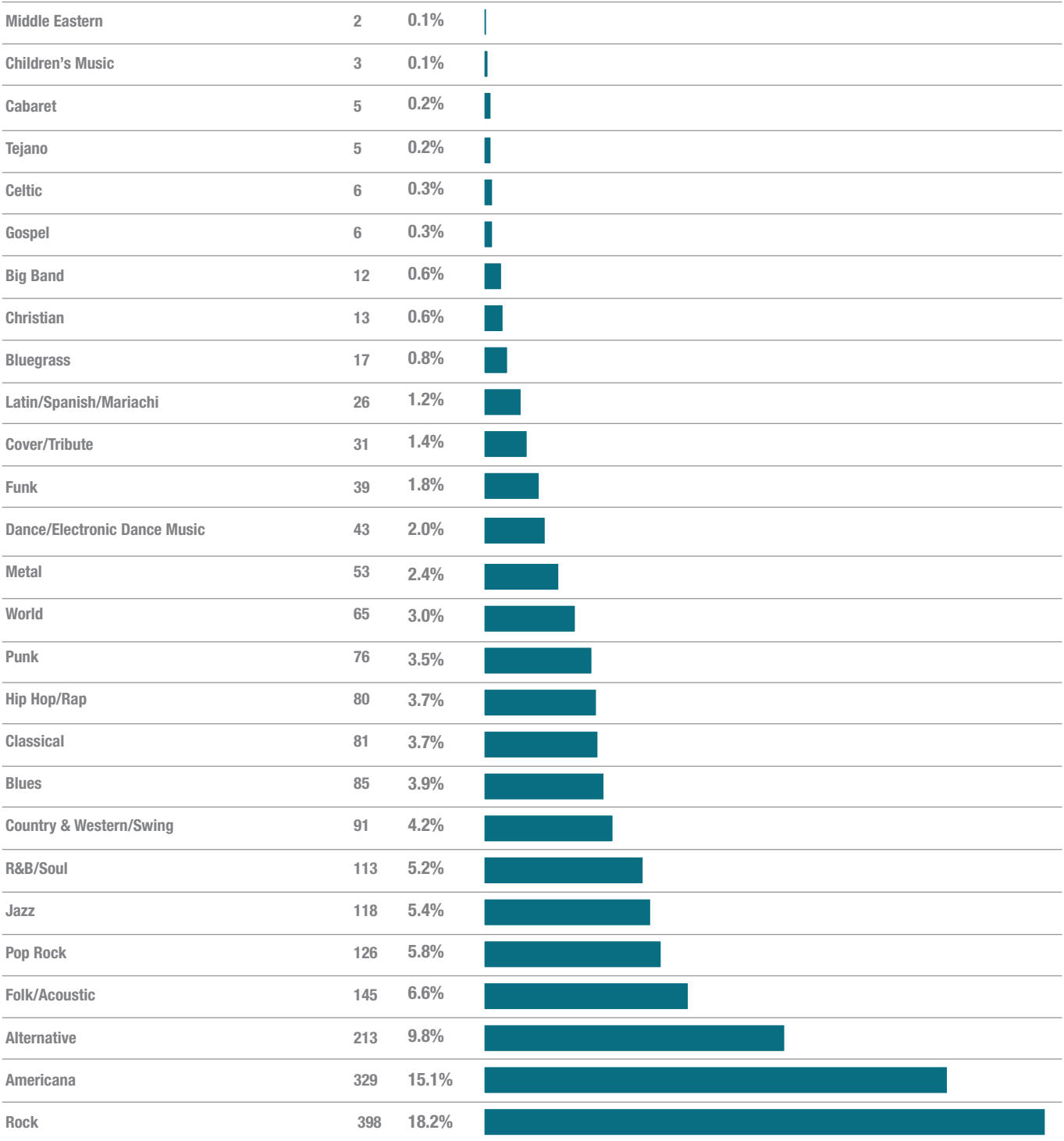
Musical Genre Breakdown
Type of Venue Played on a Regular Basis
Average Number of Austin Area Shows Per Month
Average Number of Touring Shows Per Month
Areas of Experience and Expertise
Current Means of Employment
Number of Years Working in Music Industry
Gender Breakdown
Age Breakdown
Race and Ethnicity
Number of Years Living in Austin
Health Care Coverage
Housing: Rent vs. Own
Housing: Type of Residence
Number of Household Contributors to Rent or Mortgage
Prosperity Trends: Individual Income Increase/Decrease Over Past 3 Years
Band Launch and Growth Financing
2013 Band Gross Income
Revenue Contribution by Activity Type
2013 Pre-Tax Individual Income (All Musicians, All Income Sources)
2013 Pre-Tax Individual Income (All Musicians, Music Industry Income Only)
2013 Pre-Tax Individual Income (Only Musicians w/ Music Industry + Augmented Income)
2013 Pre-Tax Individual Income (Only Musicians w/ 100% Income from Music Industry)
Needs and Gaps Category: LIVING AND AFFORDABILITY
Needs and Gaps Category: CONNECTIVITY AND COLLABORATION
Needs and Gaps Category: PROFESSIONAL EDUCATION AND SKILLS DEVELOPMENT
Needs and Gaps Category: INDUSTRY RESOURCES
Ideas and Proposals Category: CAREER DEVELOPMENT AND CONNECTIVITY
Ideas and Proposals Category: TOURISM AND MARKET DEVELOPMENT
Ideas and Proposals Category: CITY PROGRAMS

Appendix IV

Musician-Only Respondent Data Charts

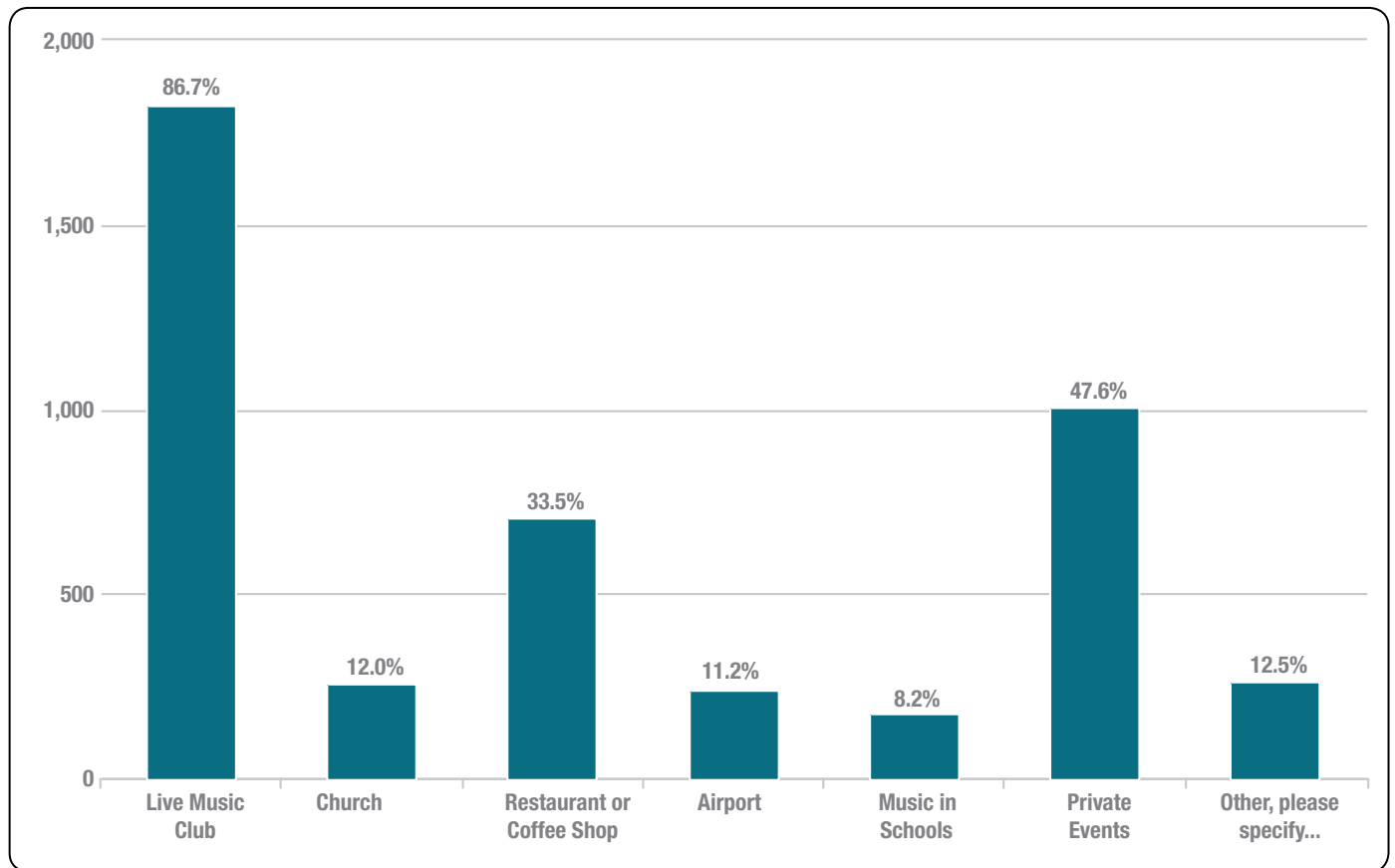


Musical Genre Breakdown

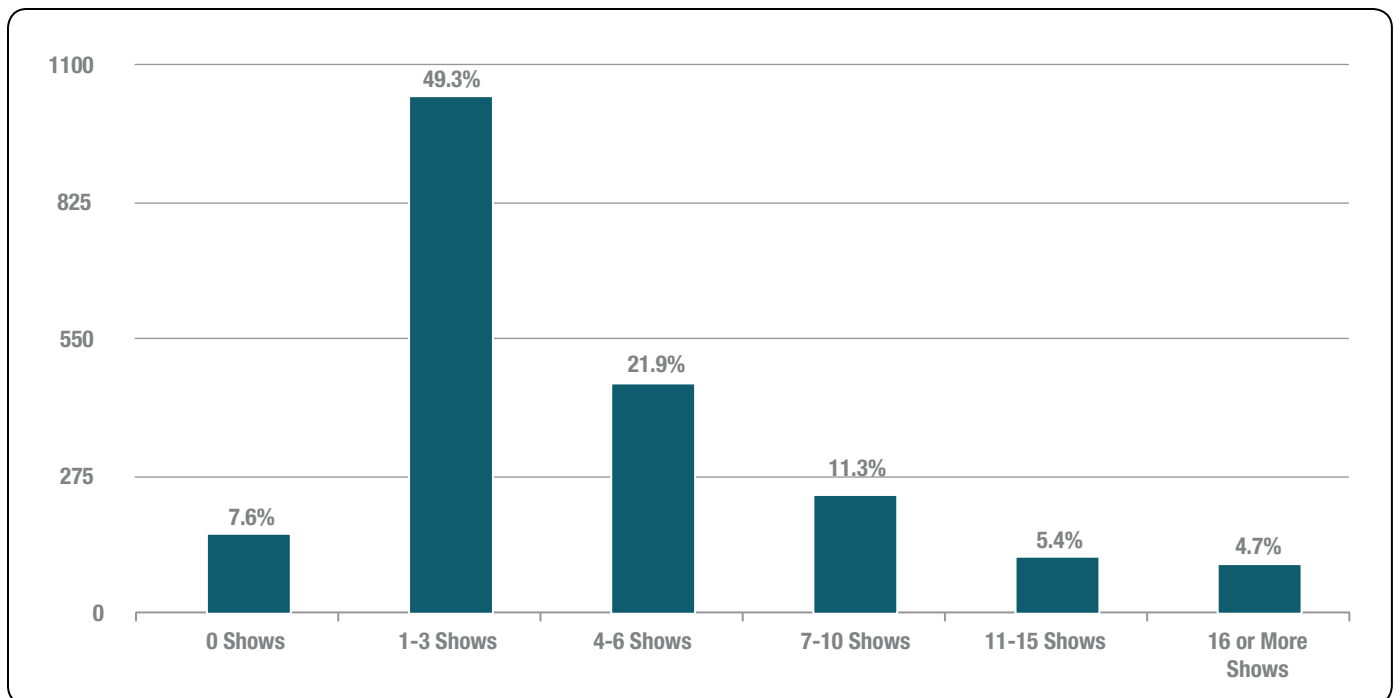


Total: 2181

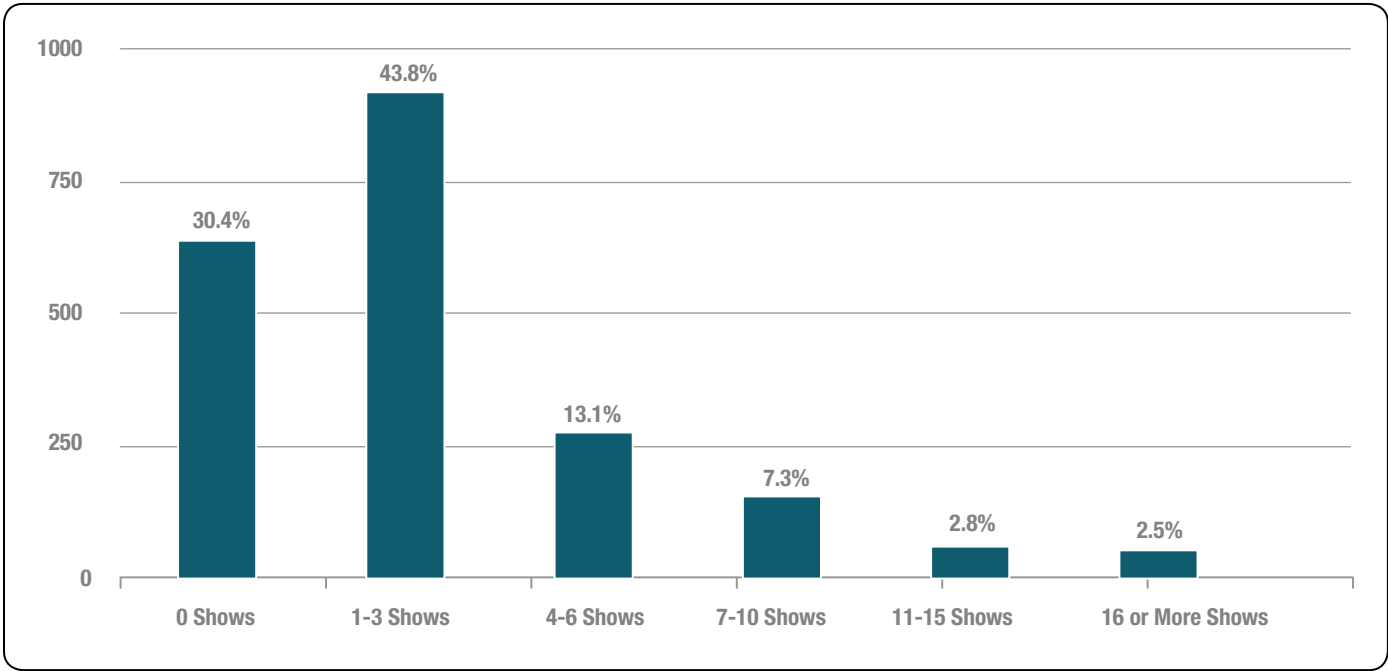
Type of Venue Played on a Regular Basis



Average Number of Austin Area Shows Per Month



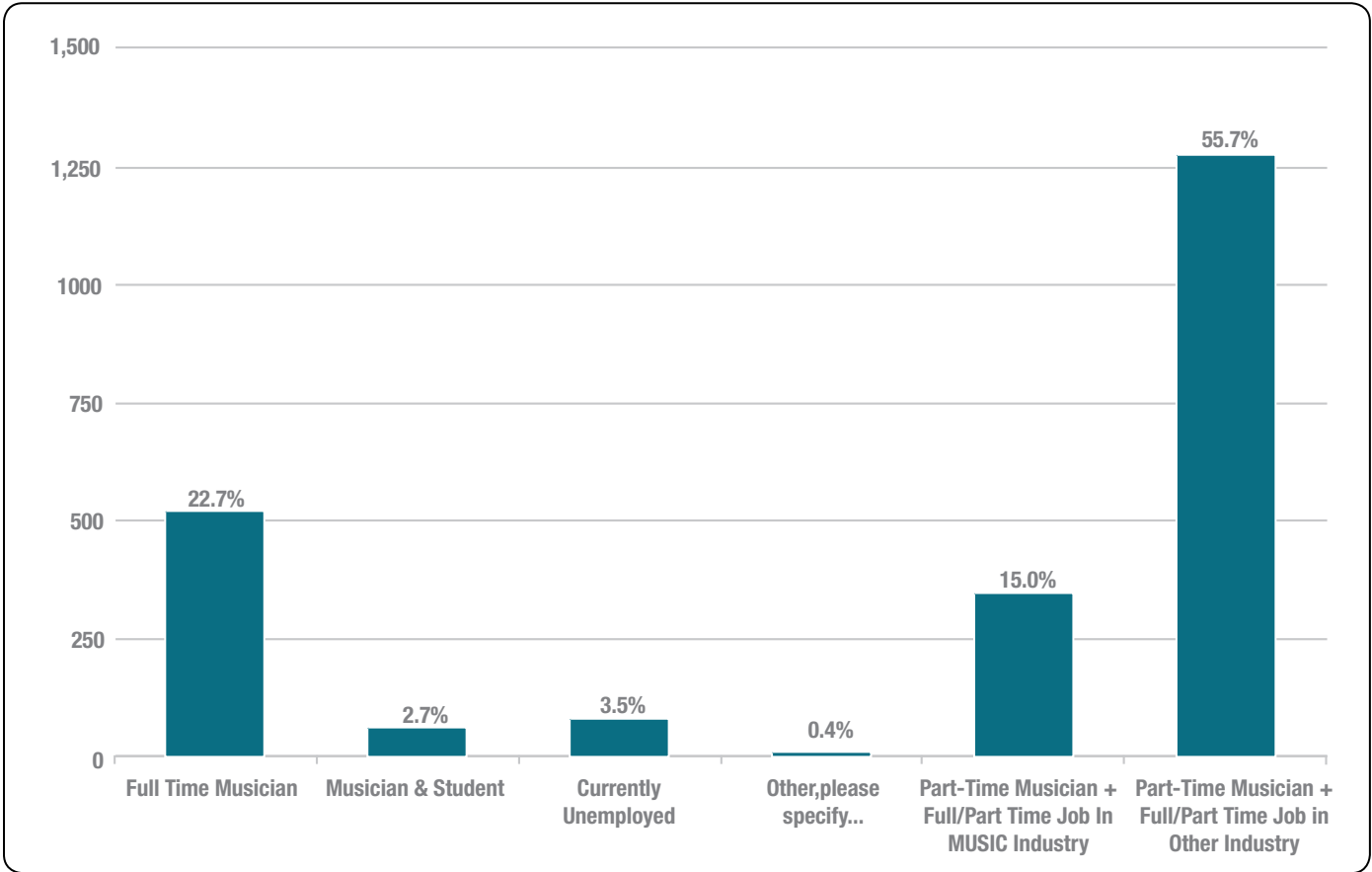
Average Number of Touring Shows Per Month



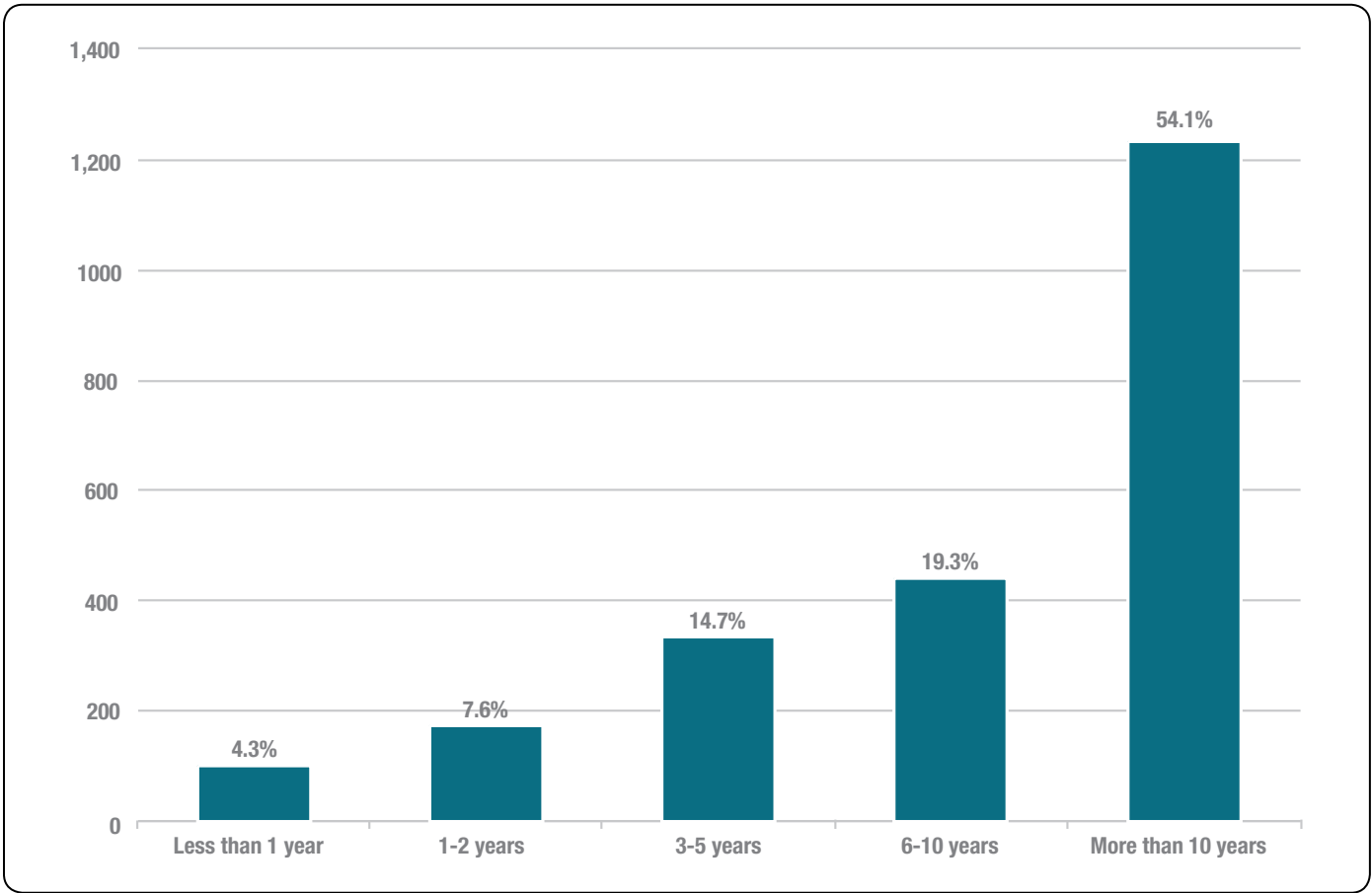
Areas of Experience and Expertise

Response	Count		
Accounting	123	5.6%	
Audio Engineering	636	29.0%	
Advocacy/Lobbying	49	2.2%	
Audio Mastering	203	9.2%	
Digital Music Distribution	243	11.1%	
Booking/Talent Buying	450	20.5%	
Audio Mixing	584	26.6%	
Digital Music Sales	156	7.1%	
Event Promotion	575	26.2%	
Event Production	480	21.9%	
Distribution	107	4.9%	
Film/T V Composer	250	11.4%	
Manufacturing	62	2.8%	
Graphic Design	366	16.7%	
Financing or Venture Capital	22	1.0%	
Marketing	345	15.7%	
Music Education	501	22.8%	
Music Arranger	646	29.4%	
Media/Journalism	189	8.6%	
Artist Management	317	14.4%	
Music Legal Issues	61	2.8%	
Nonprofit Services	133	6.1%	
Music Publishing	198	9.0%	
Music Licensing	136	6.2%	
Post Production	169	7.7%	
Radio Promotion	106	4.8%	
Radio Production	79	3.6%	
PR & Publicity	255	11.6%	
Record Labels	171	7.8%	
Social Media	563	25.6%	
Retail Sales	166	7.6%	
Record Production	360	16.4%	
Software Development	59	2.7%	
Ticketing	36	1.6%	
Studio Management	139	6.3%	
Artist/Songwriting or Composing	1540	70.2%	
Touring Logistics	309	14.1%	
Web Design/Development	311	14.2%	
Venue Management	89	4.1%	
Artist/Live Performance	1943	88.5%	
Total: 2195			

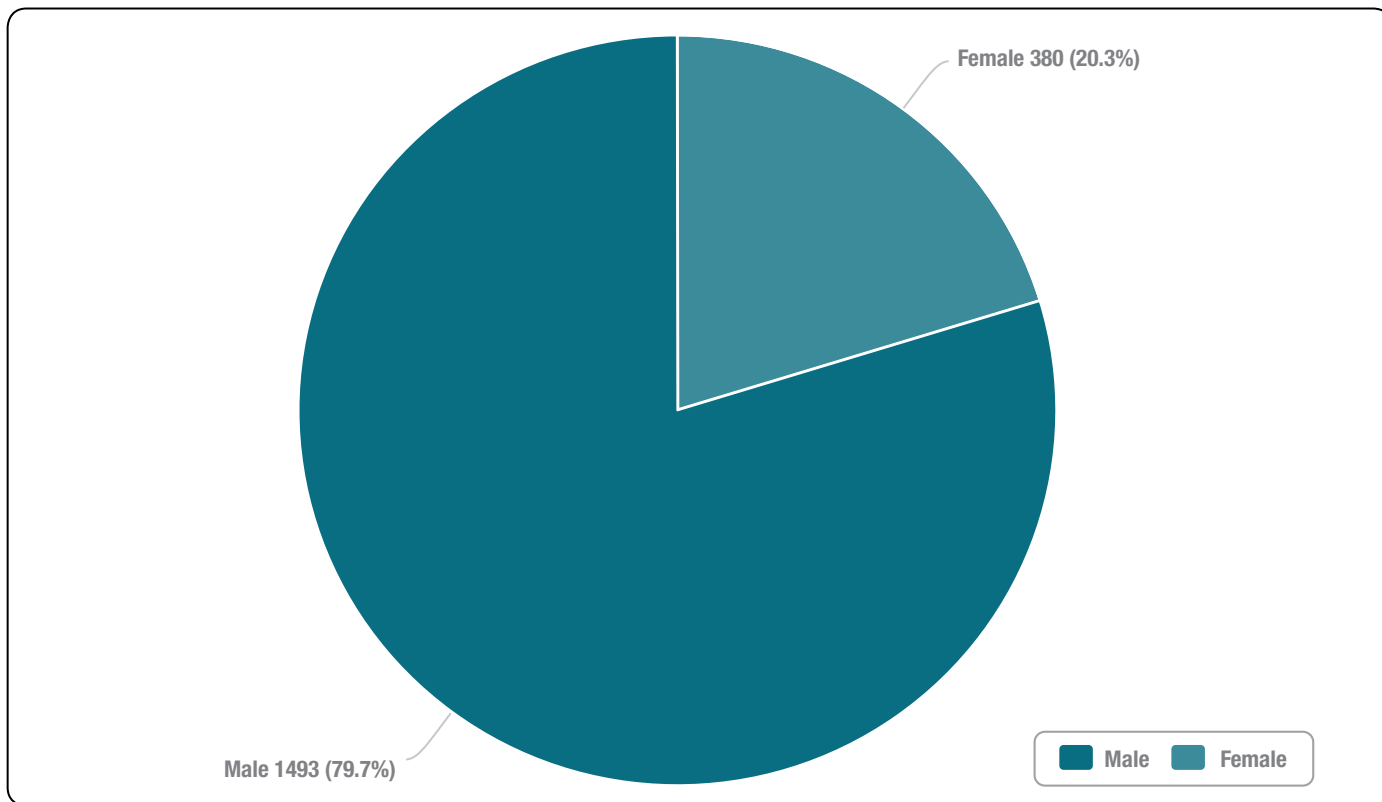
Current Means of Employment



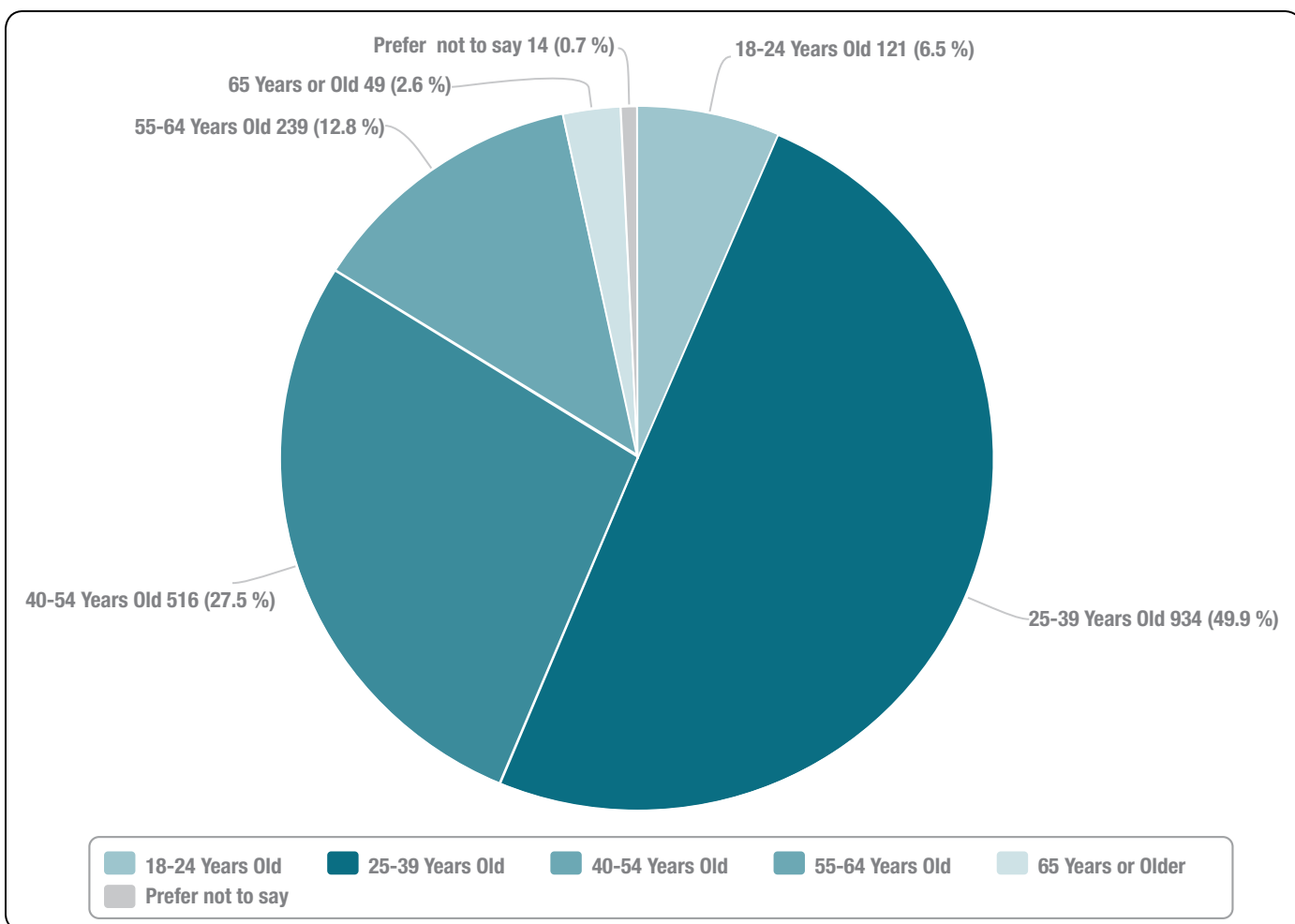
Number of Years Working in Music Industry



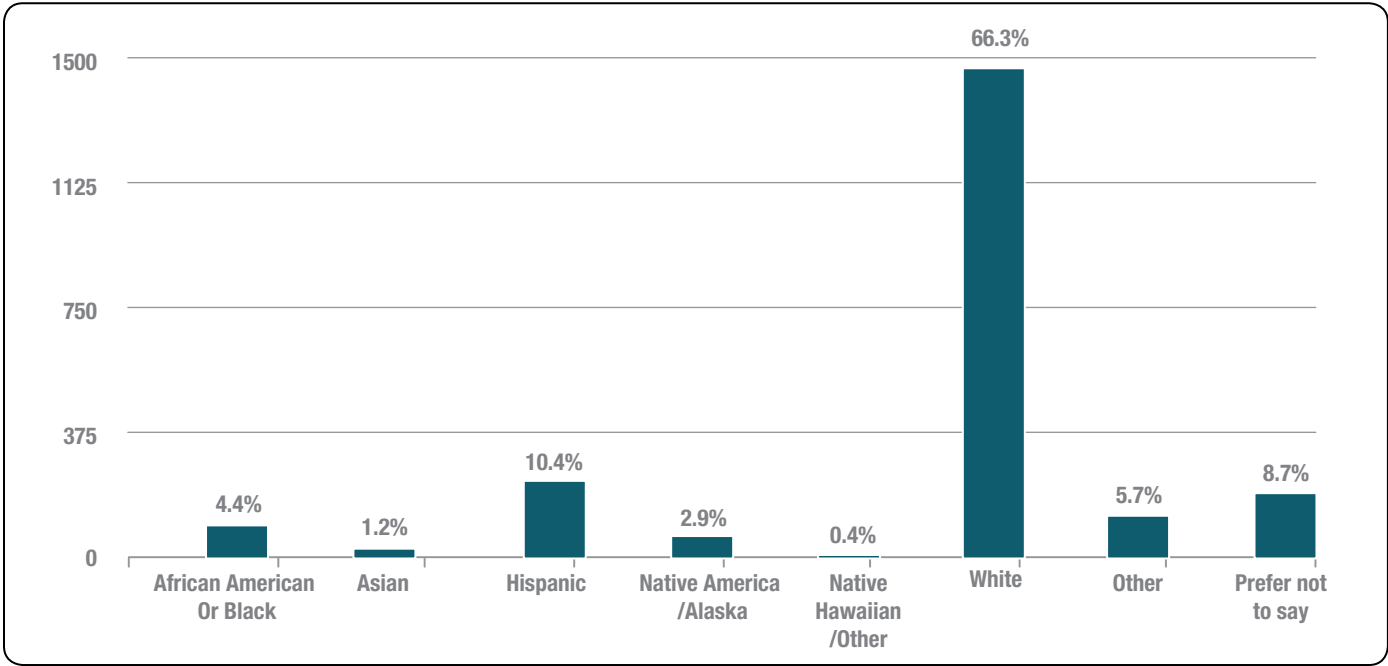
Gender Breakdown



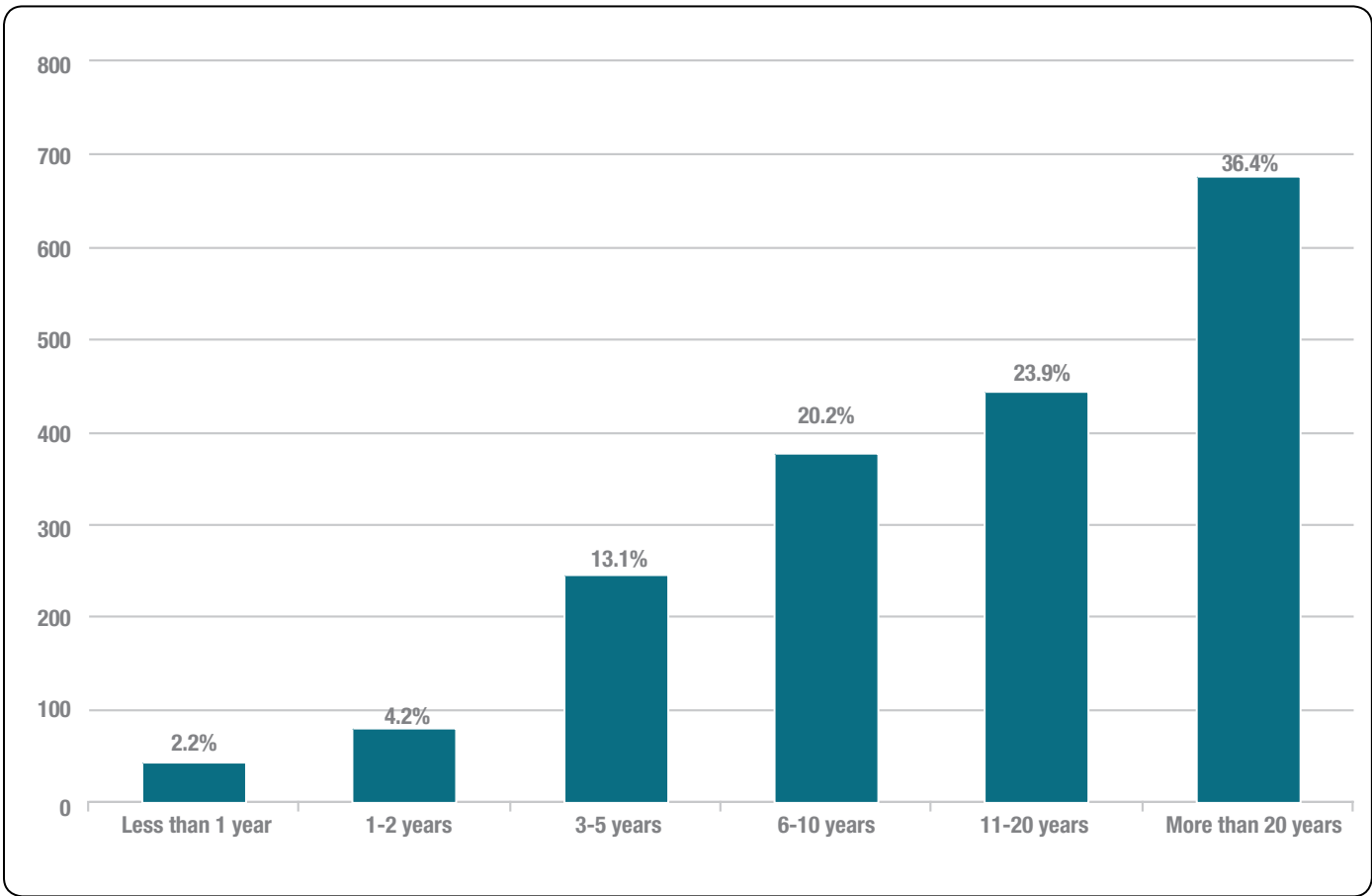
Age Breakdown



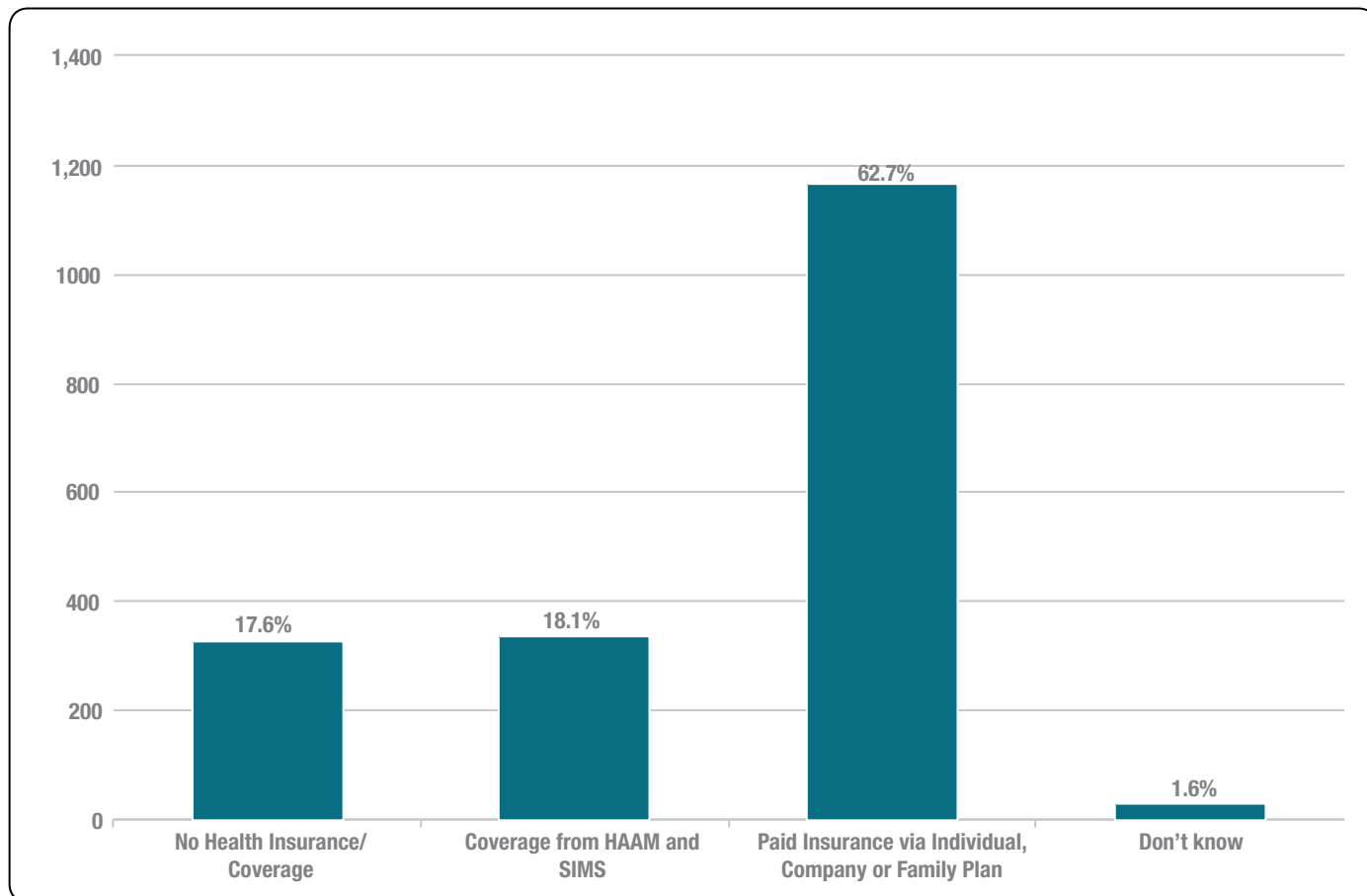
Musicians: Race & Ethnicity



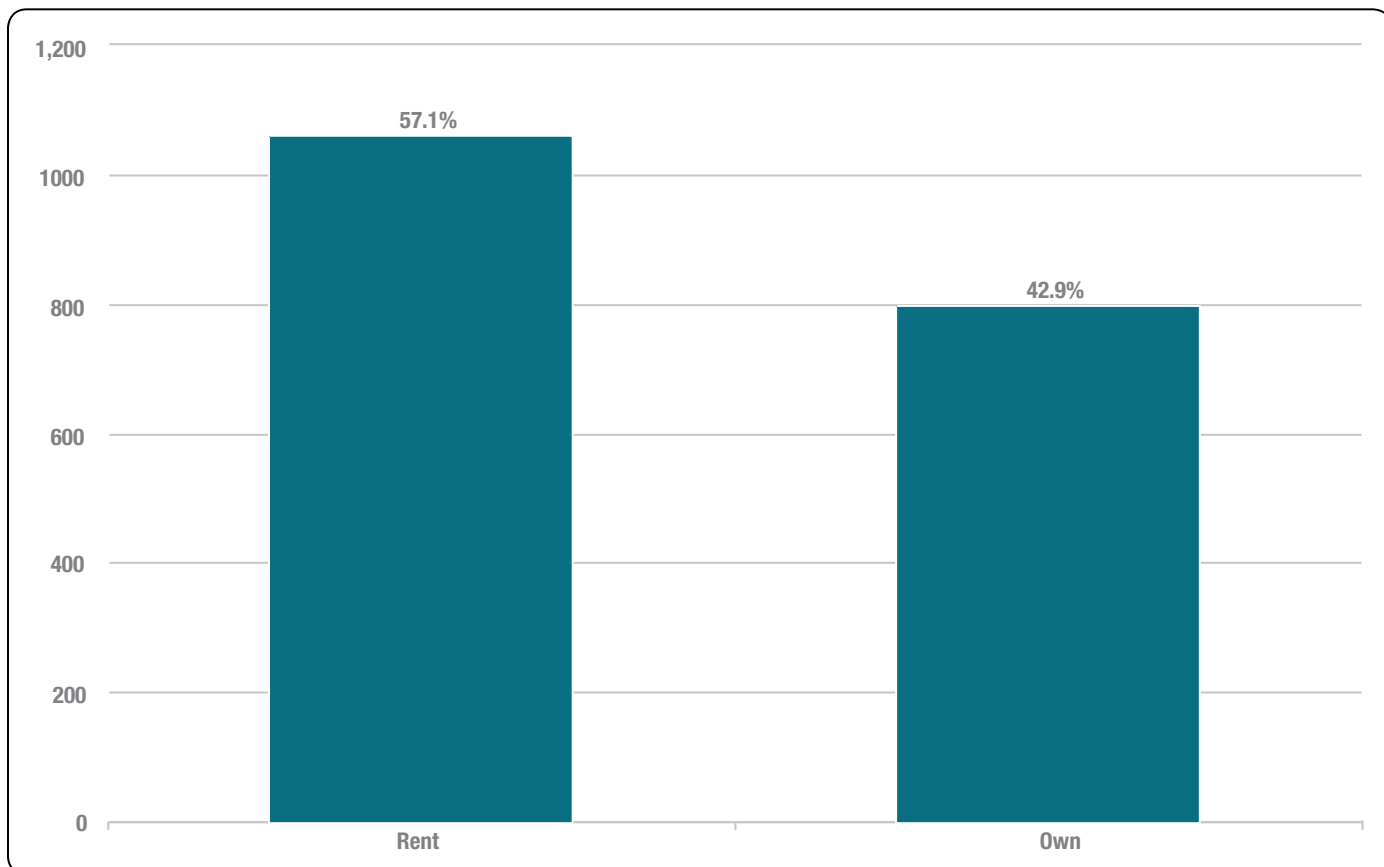
Number of Years Living in Austin



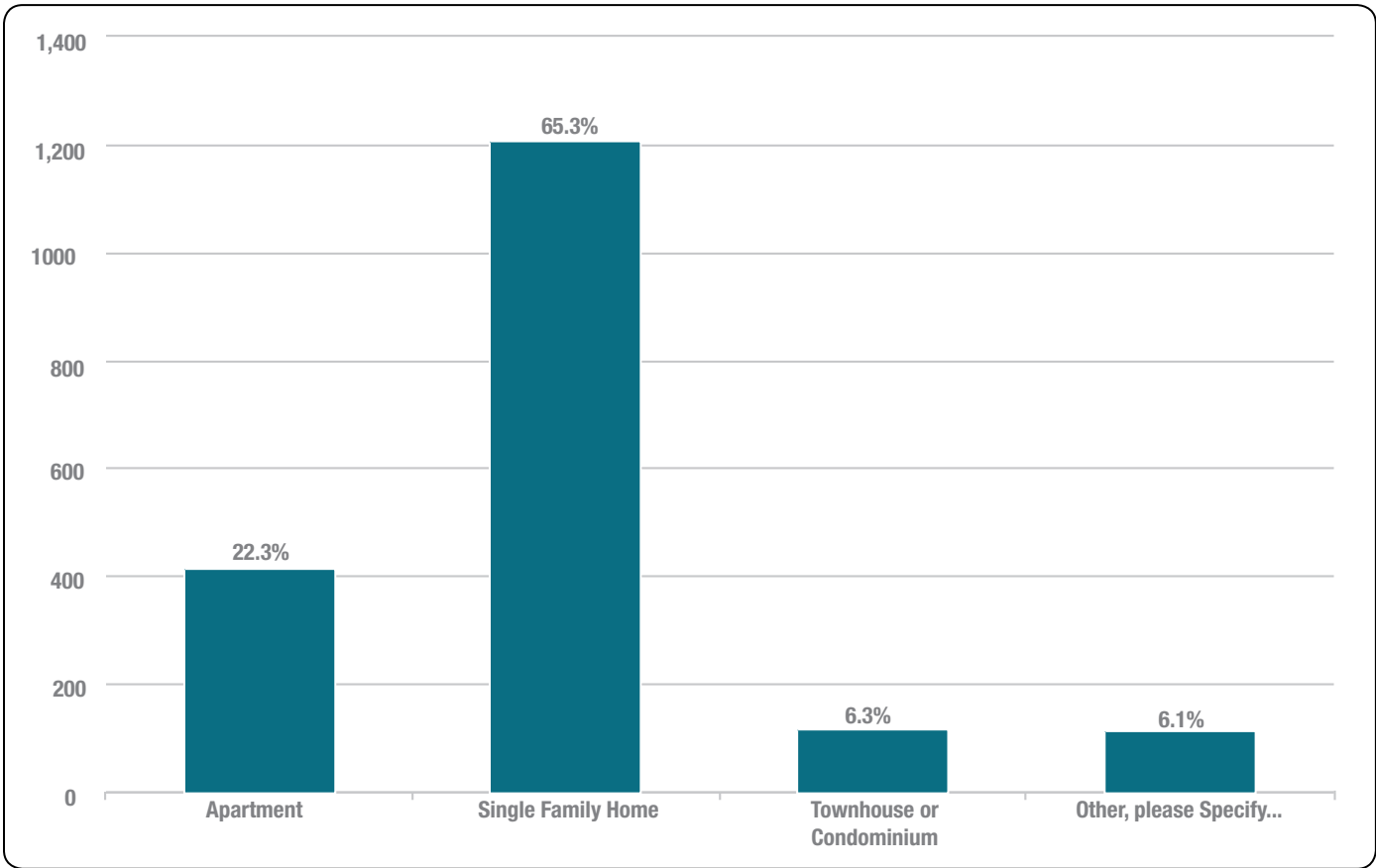
Health Care Coverage



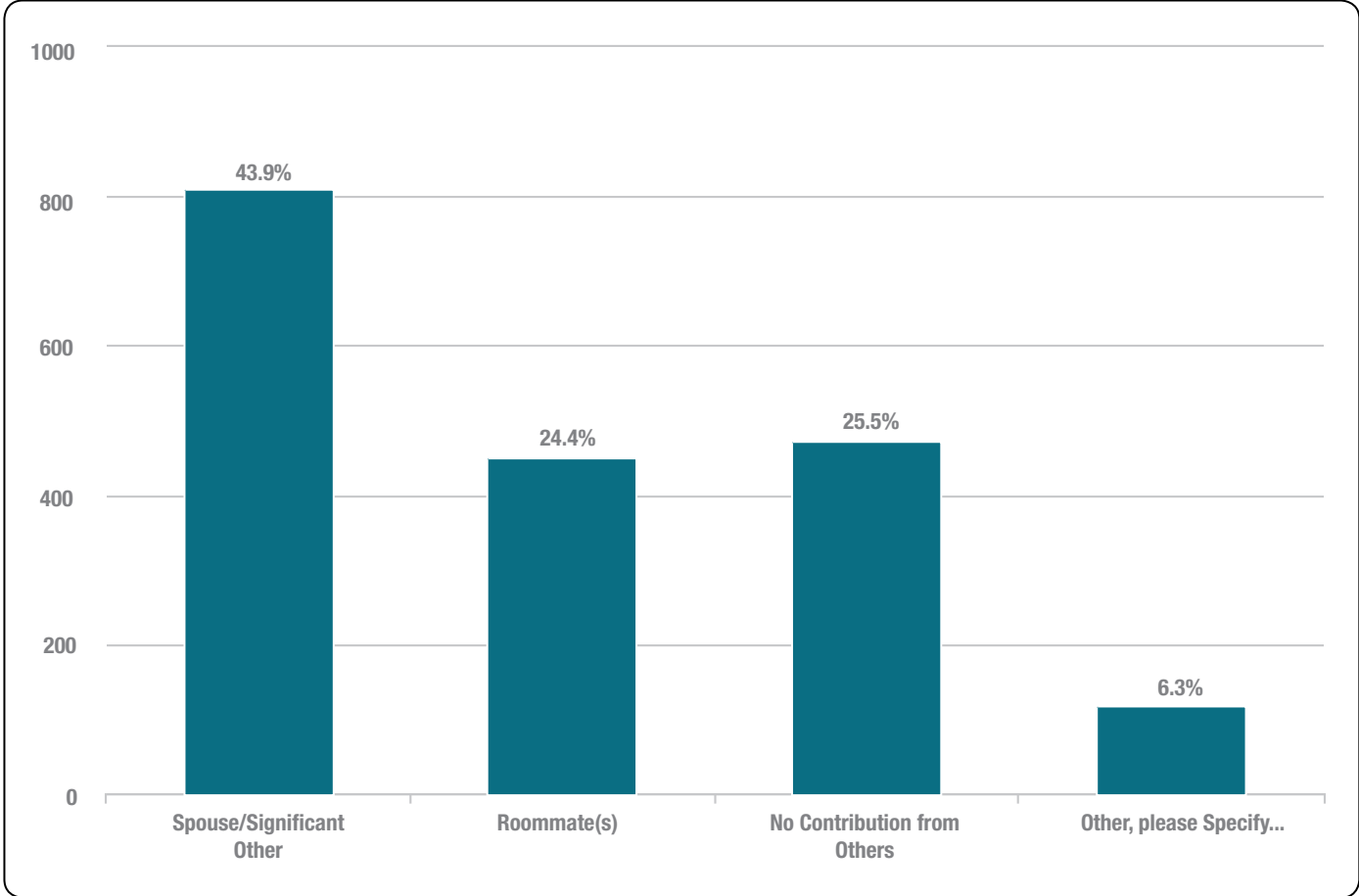
Housing: Rent Vs. Ownership



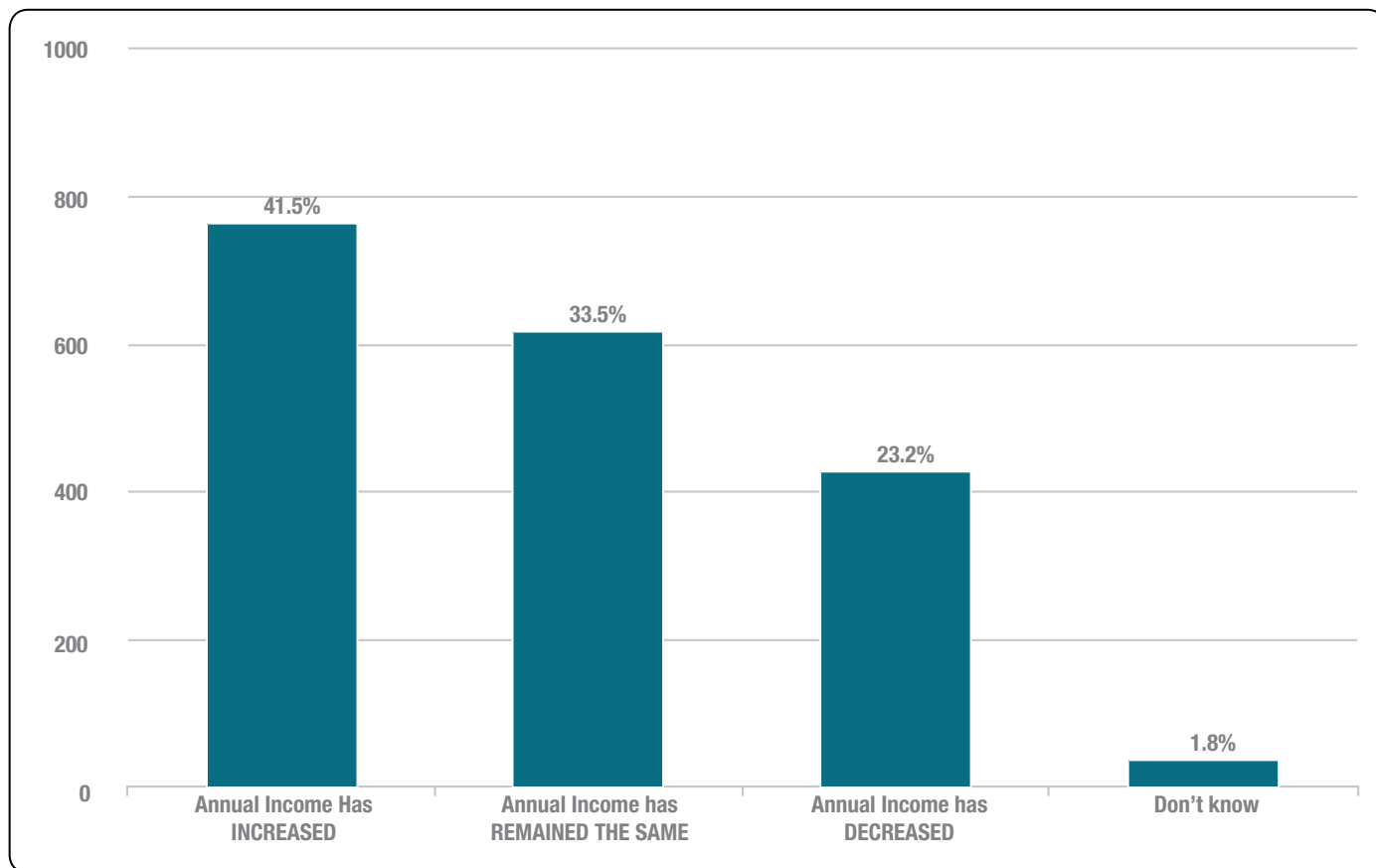
Housing: Type of Residence



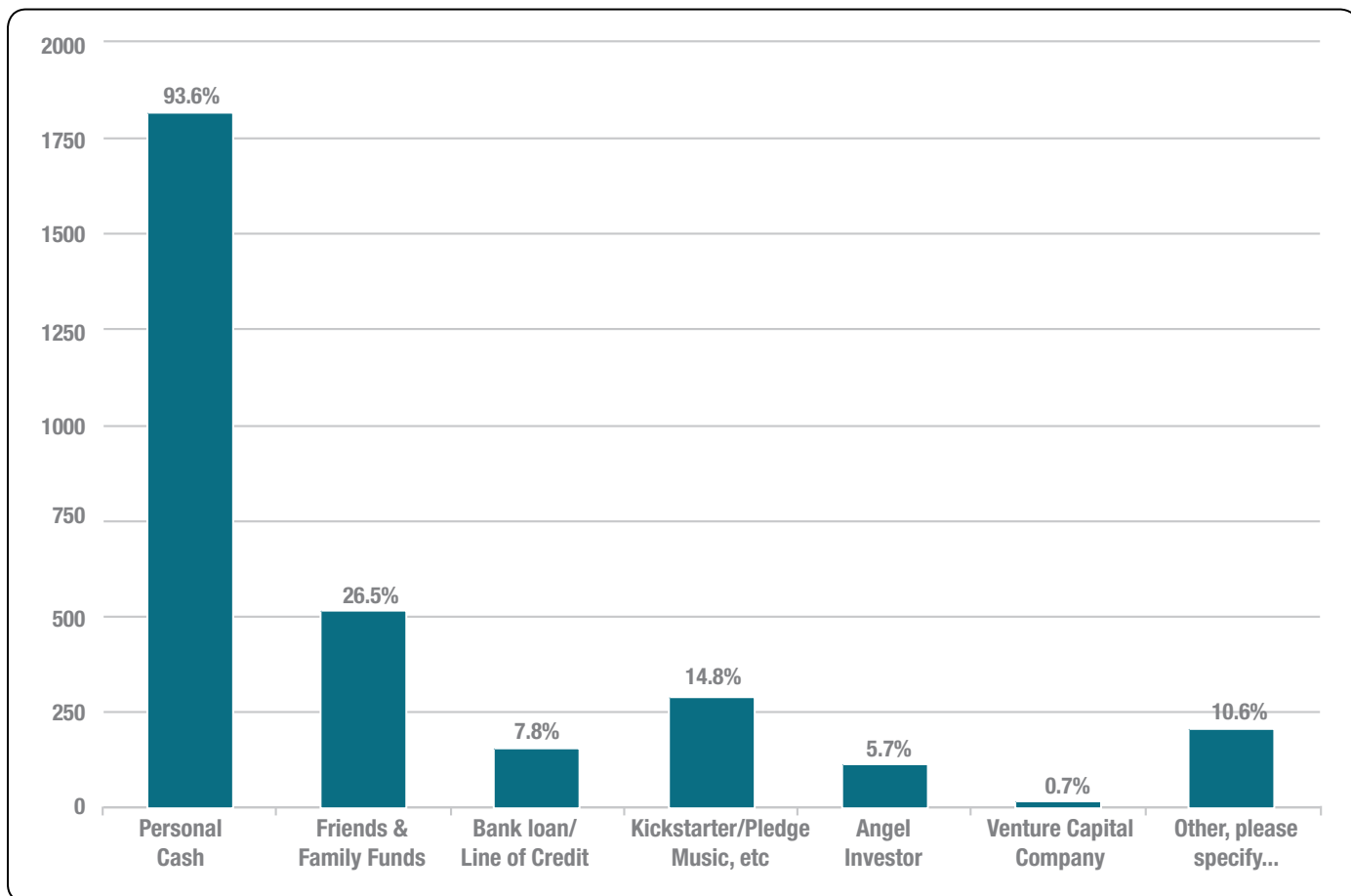
Number of Household Contributors to Rent or Mortgage



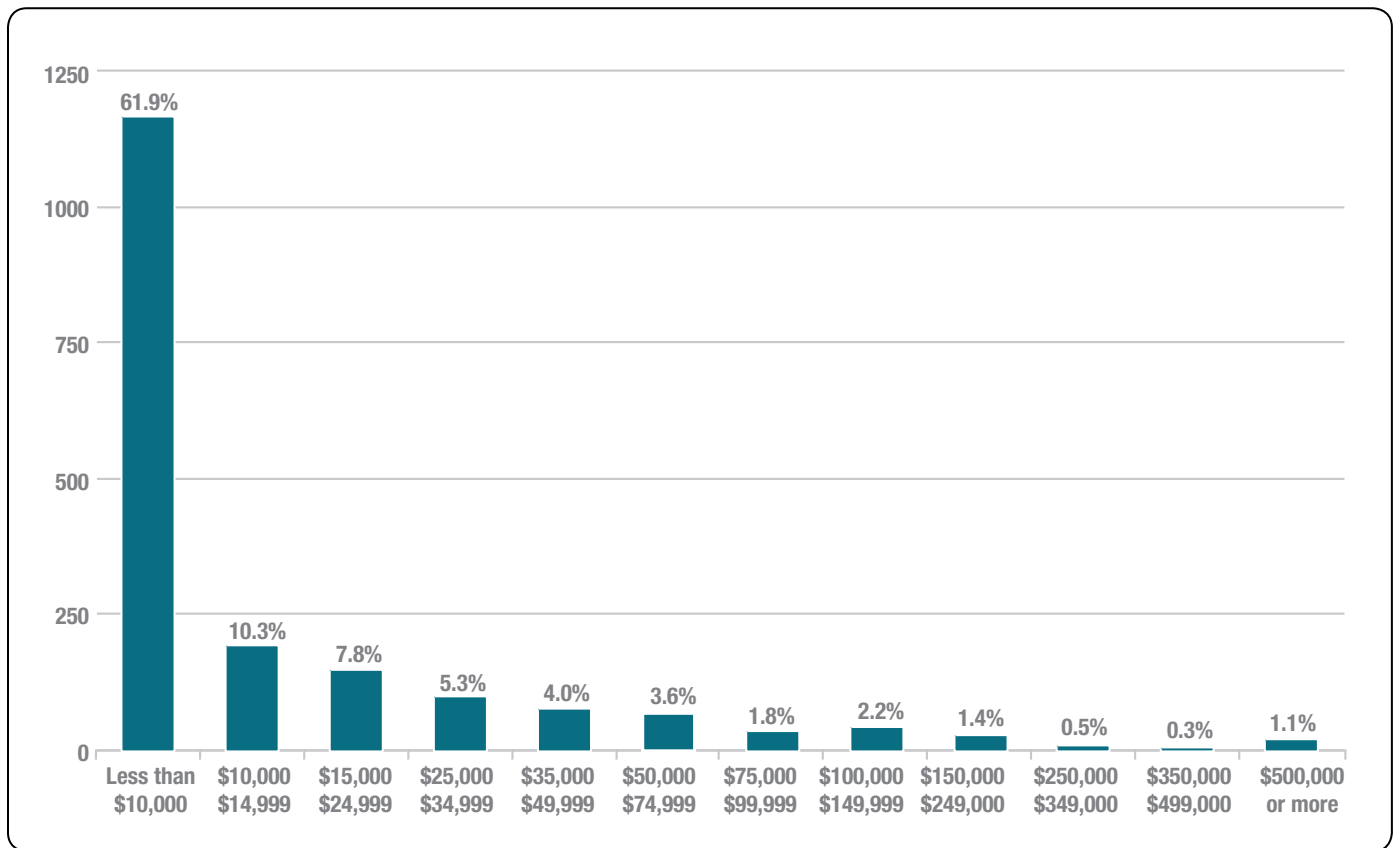
Prosperity Trends: Individual Income Increase/Decrease Over Past 3 Years



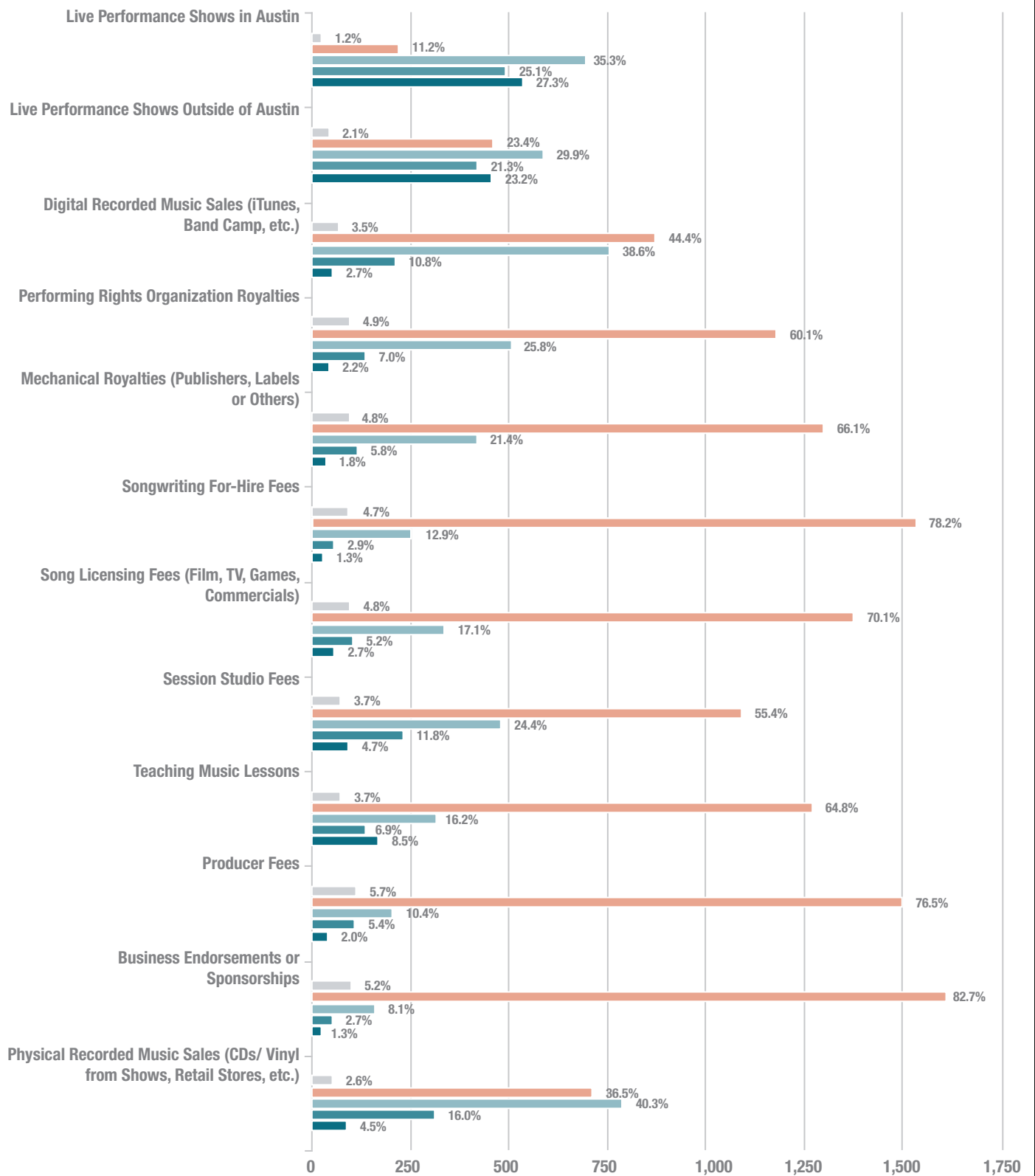
Band Launch and Growth Financing



2013 Band Gross Income

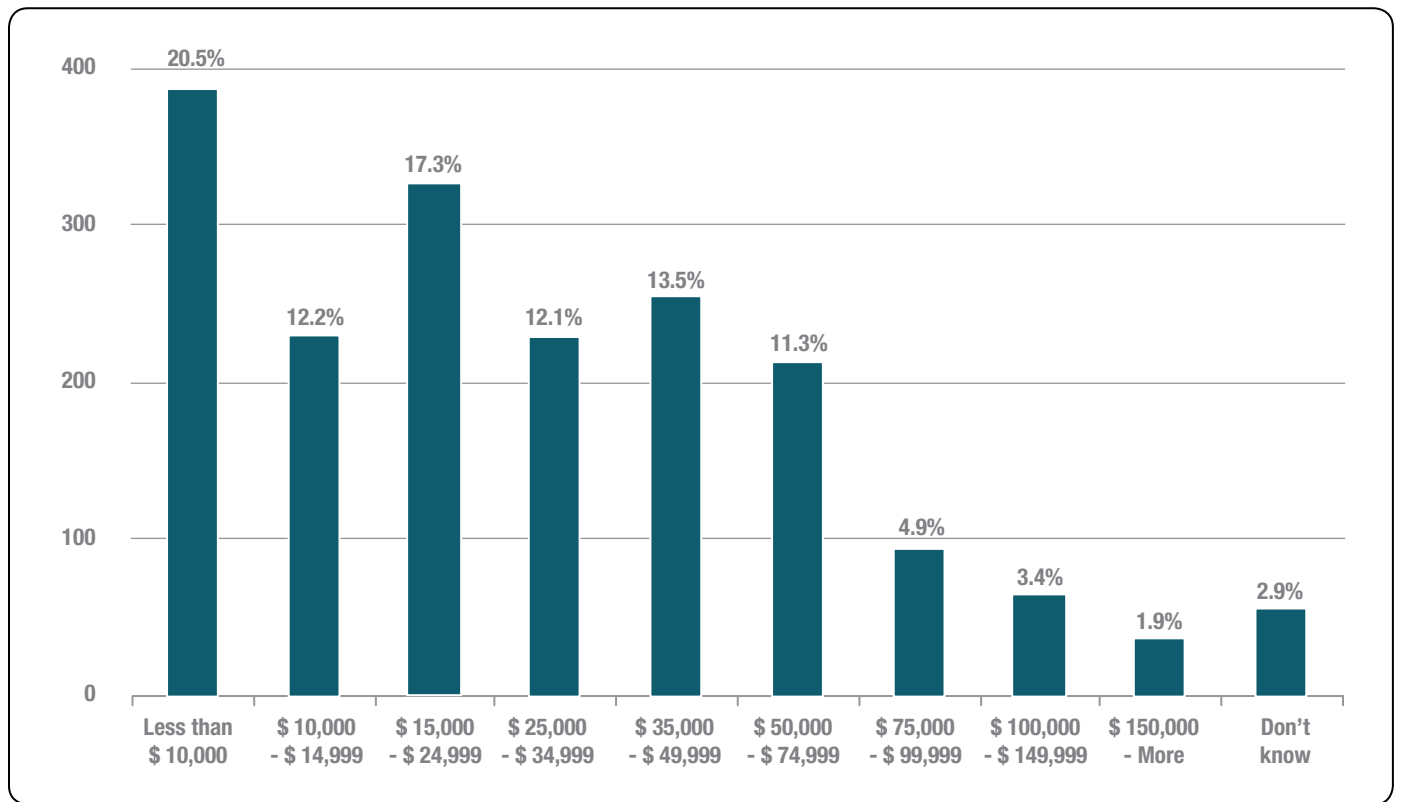


Revenue Contribution by Activity Type

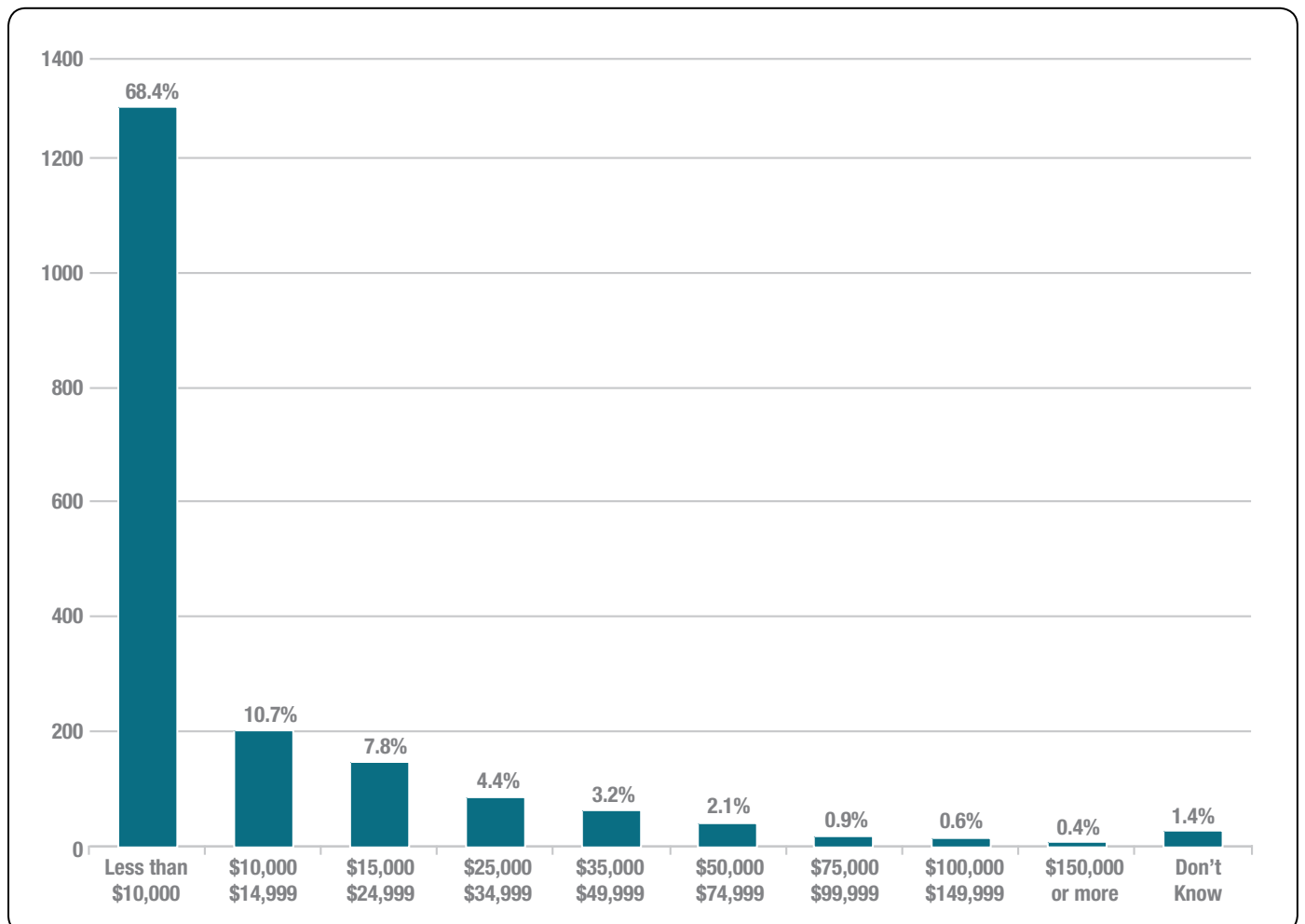


■ Contributes a Lot
 ■ Contributes Some
 ■ Contributes Little
 ■ Contributes None
 ■ Don't Know

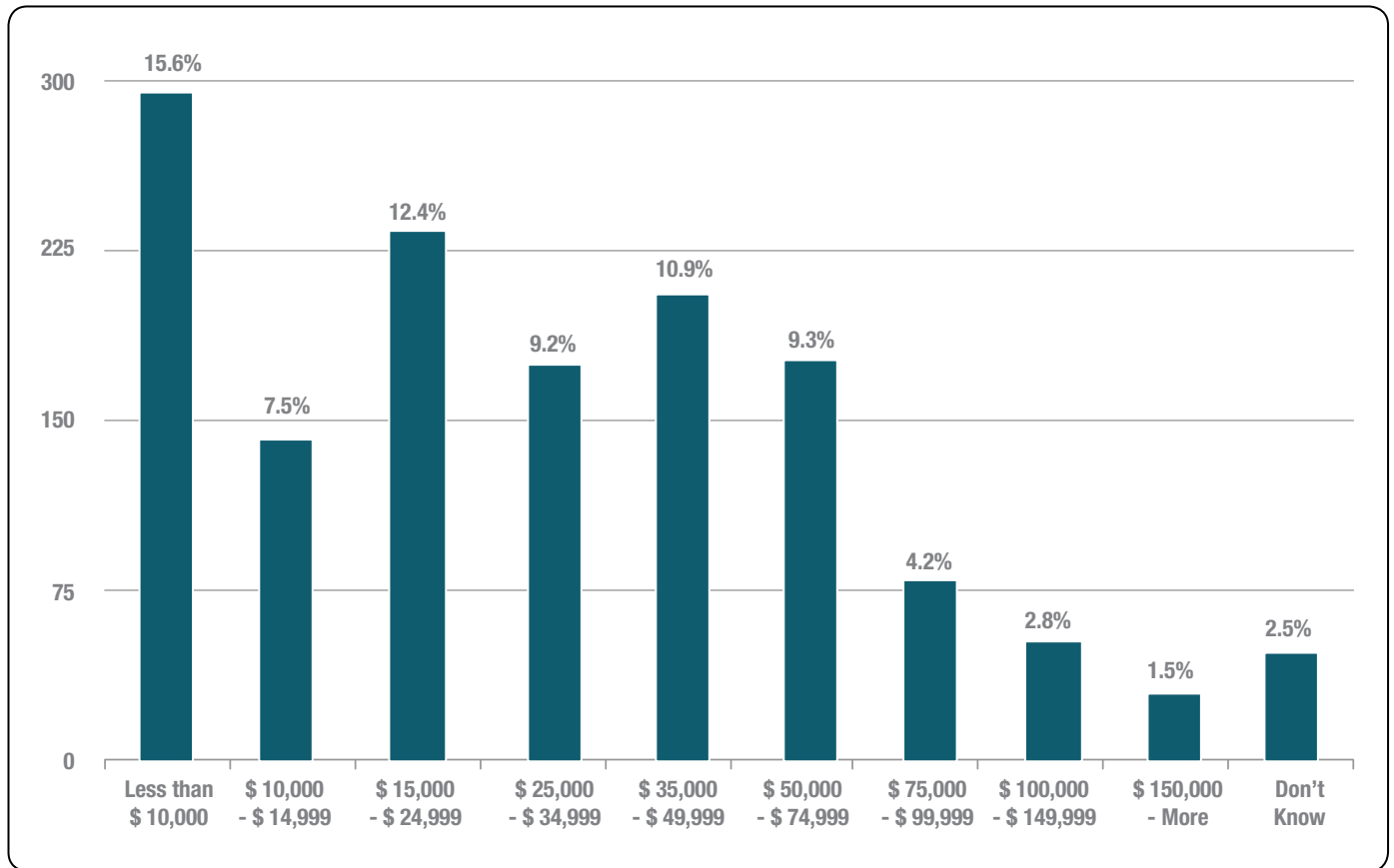
2013 Pre-Tax Individual Income (All Musicians, All Income Sources)



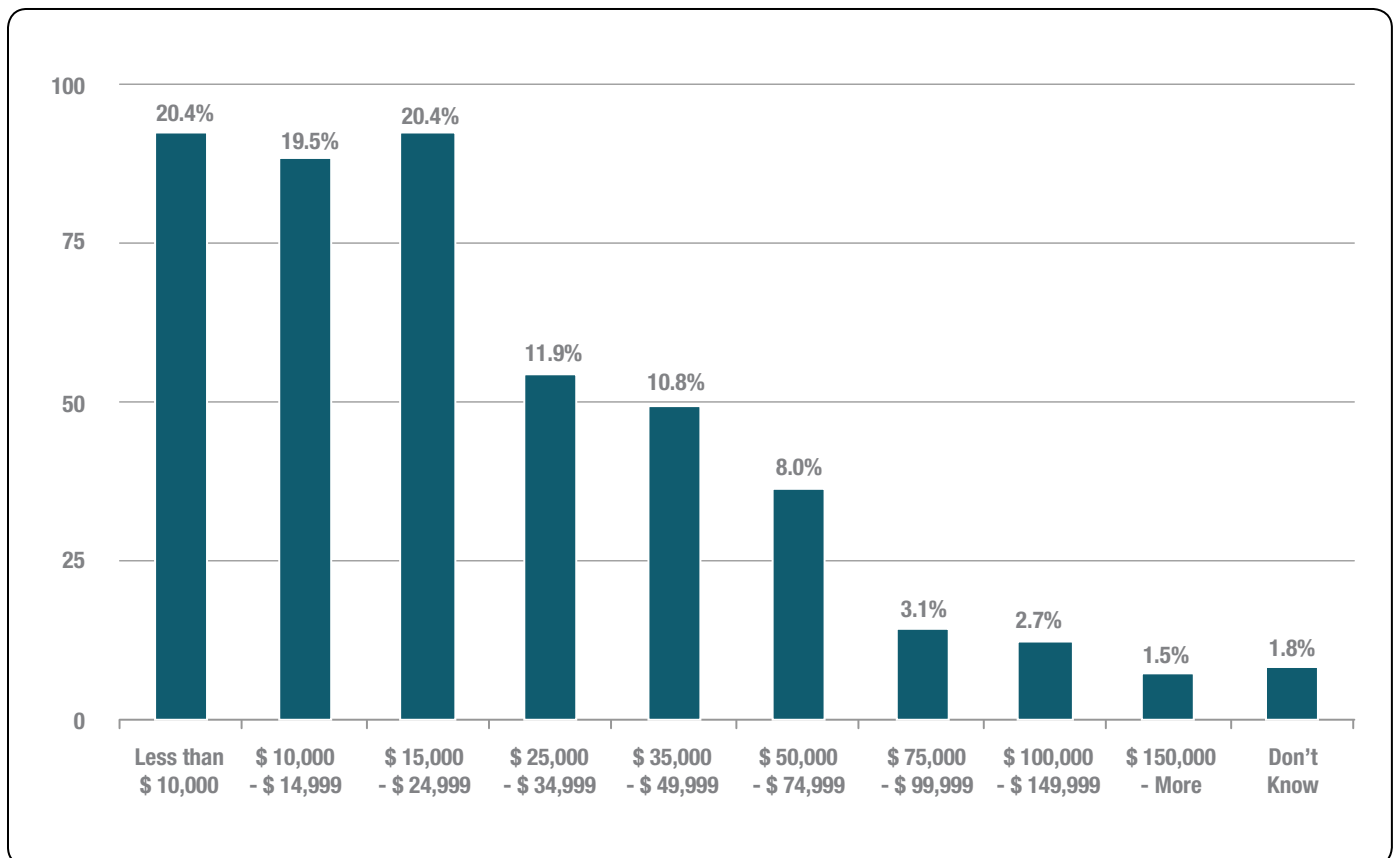
2013 Pre-Tax Individual Income (All Musicians, Music Industry Income Only)



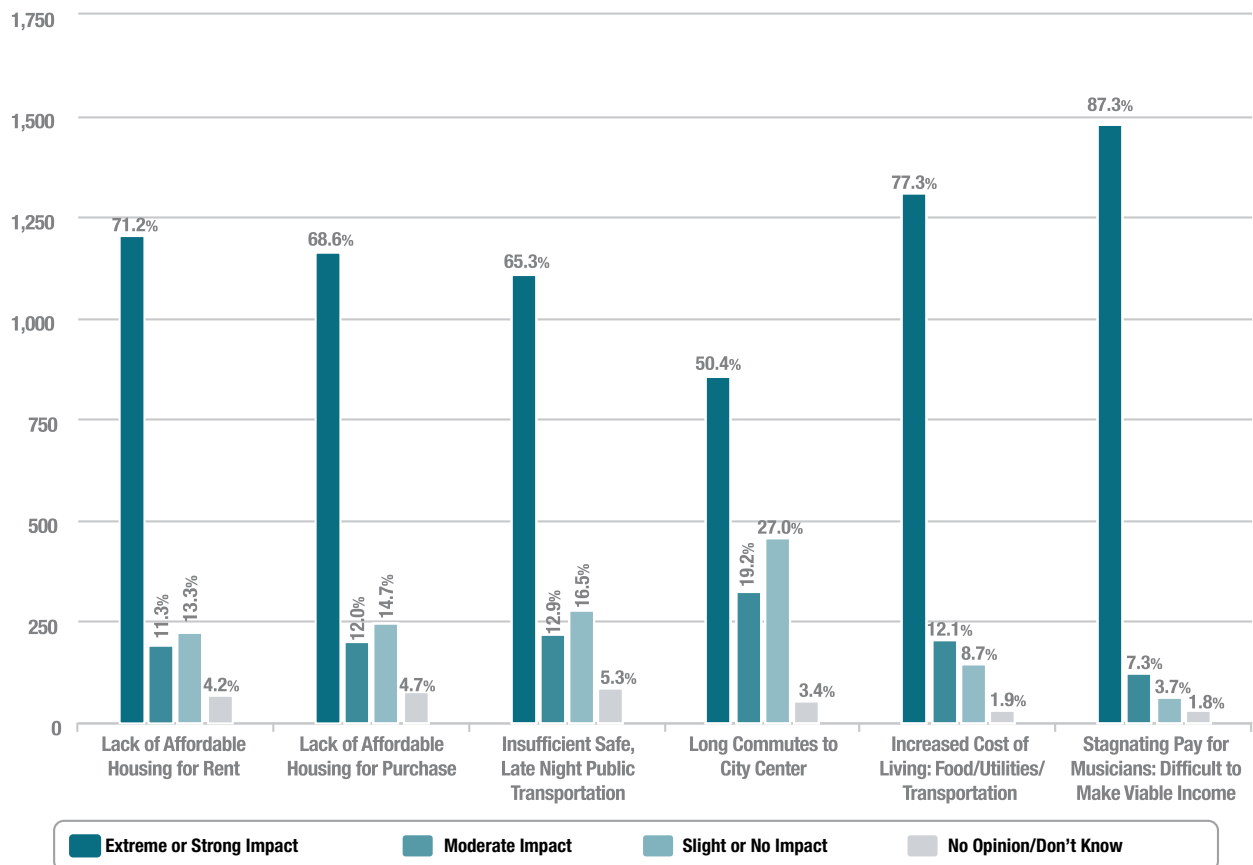
2013 Pre-Tax Individual Income (Only Musicians w/ Music Industry + Augmented Income)



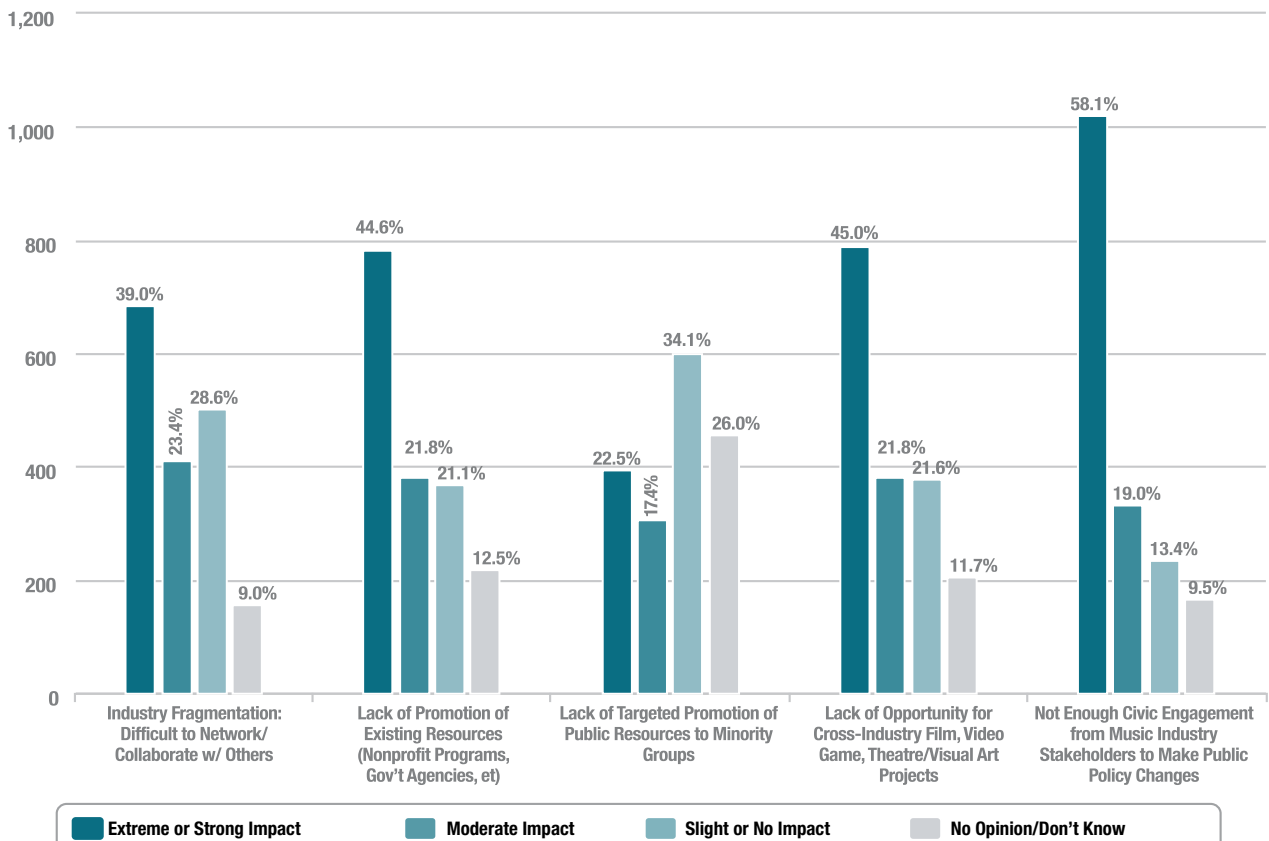
2013 Pre-Tax Individual Income (Only Musicians w/ 100% Income from Music Industry)



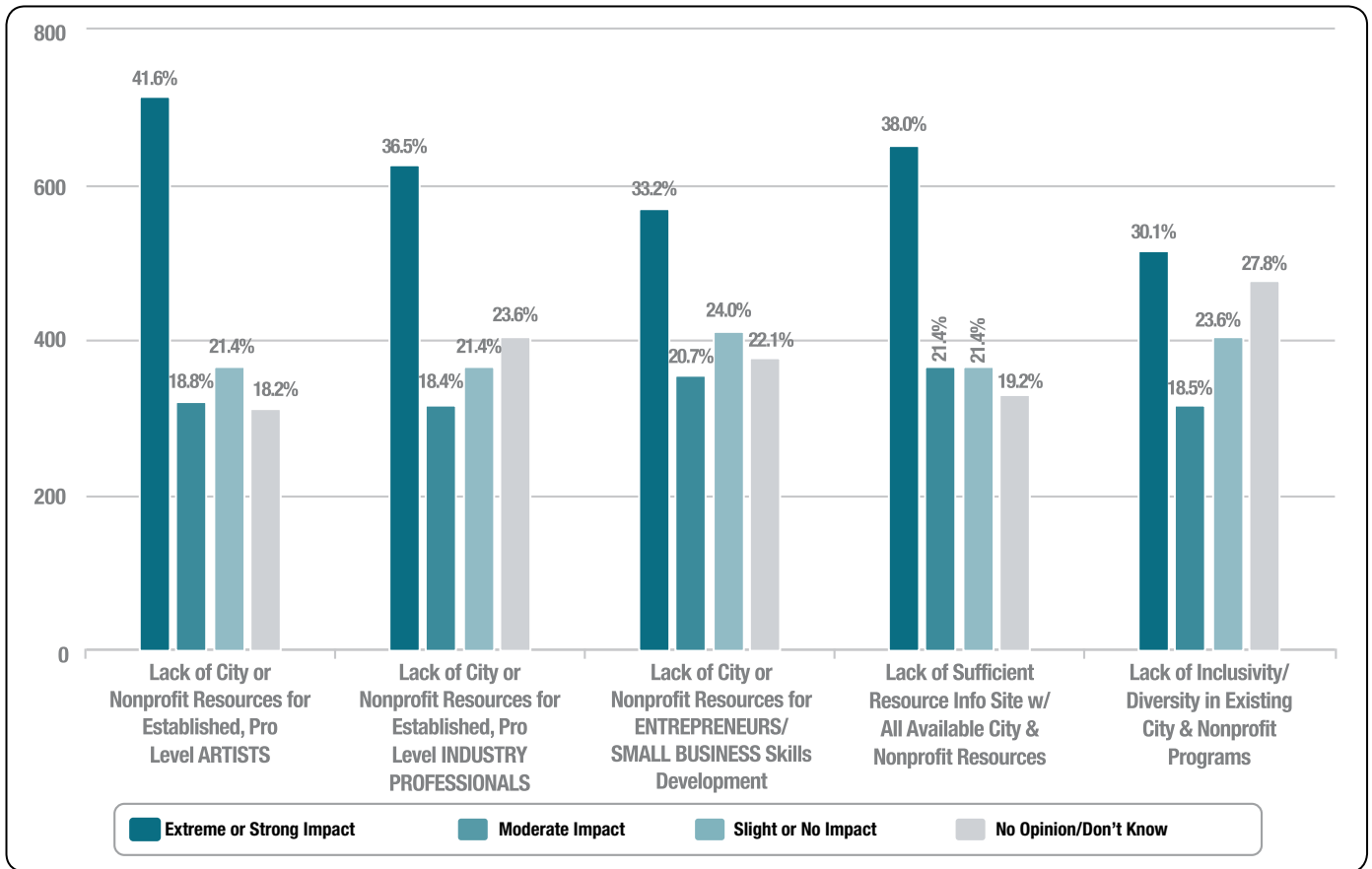
Needs and Gaps Category: LIVING AND AFFORDABILITY



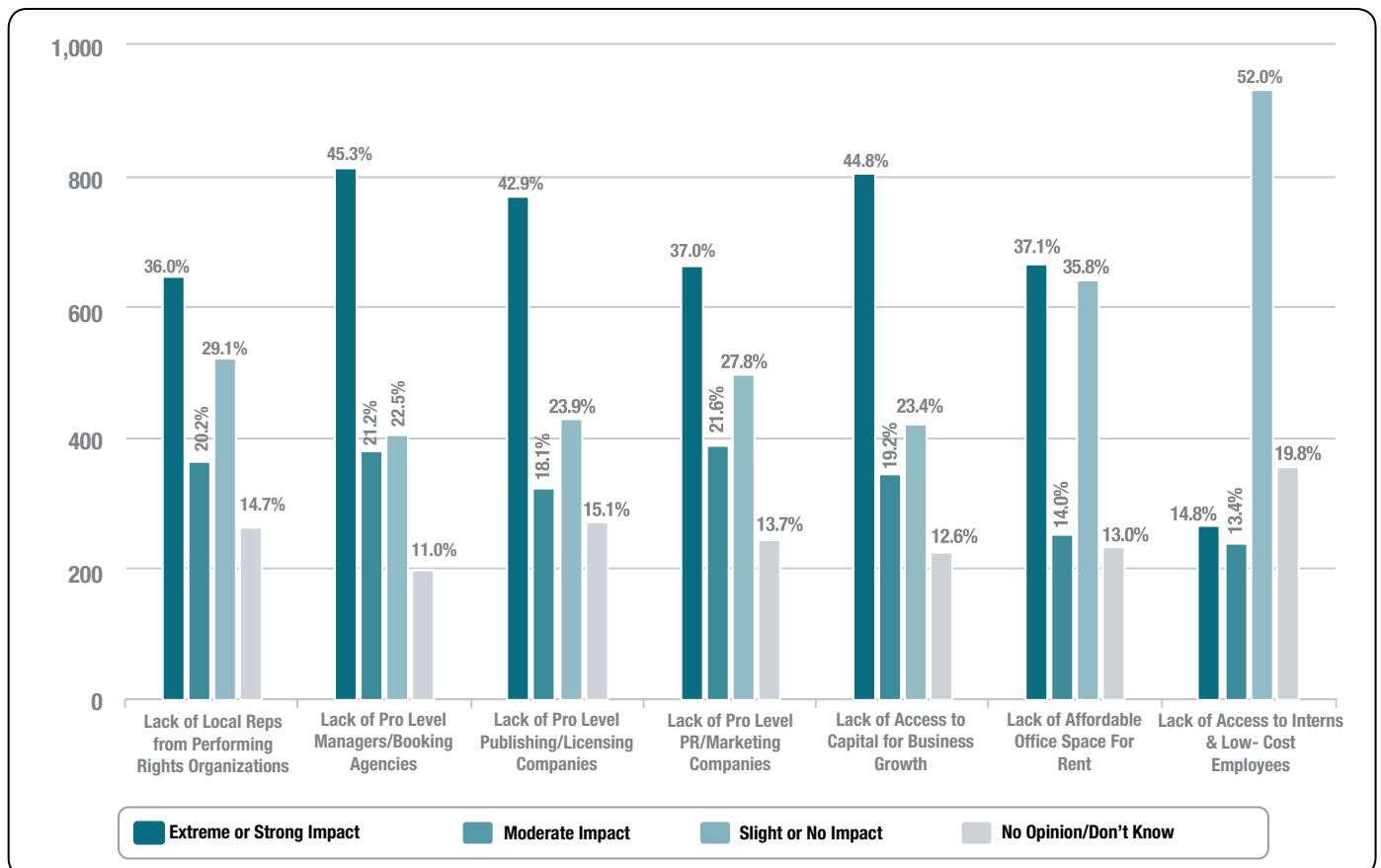
Needs and Gaps Category: CONNECTIVITY AND COLLABORATION



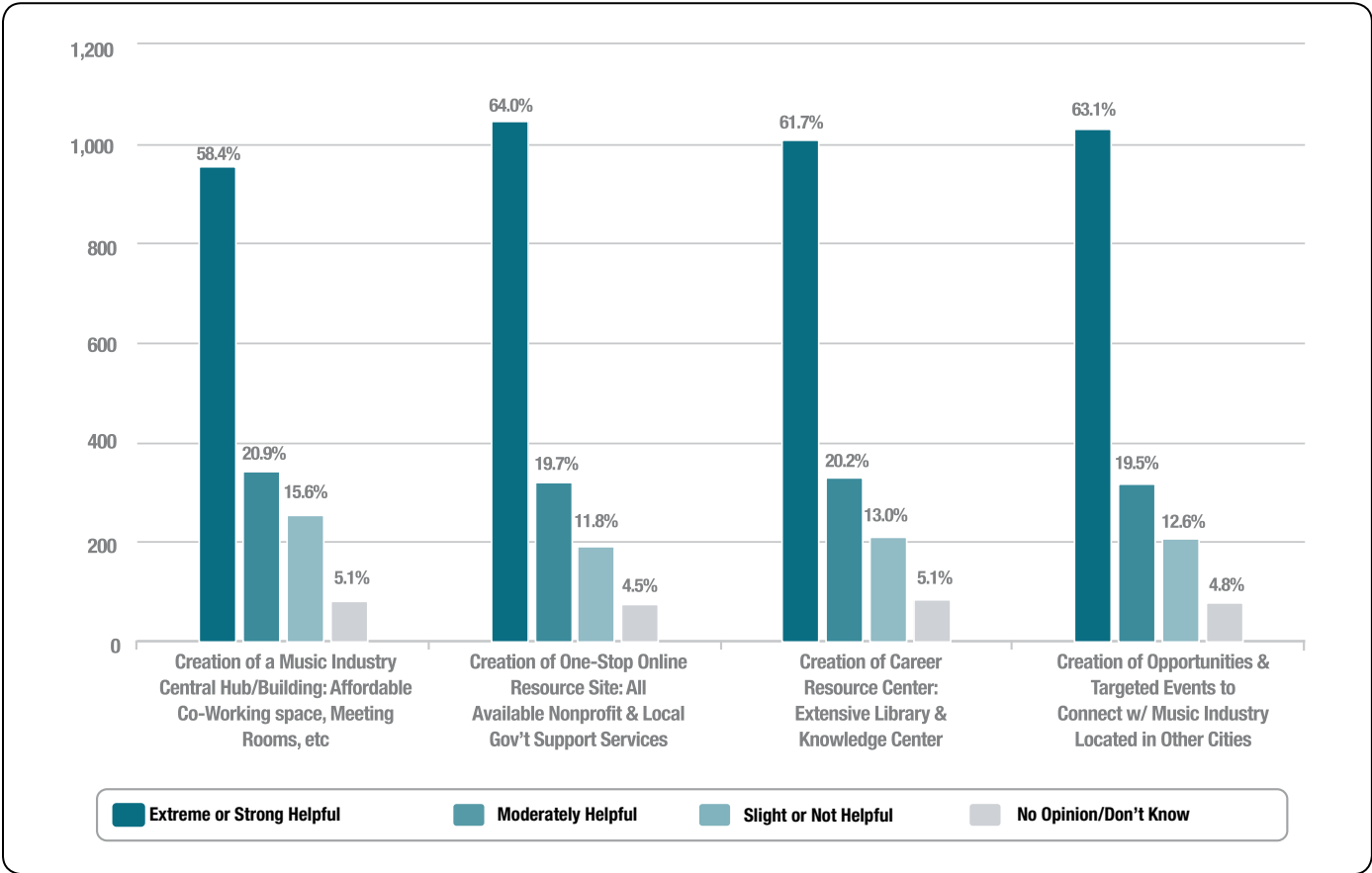
Needs and Gaps Category: PROFESSIONAL EDUCATION AND SKILLS DEVELOPMENT



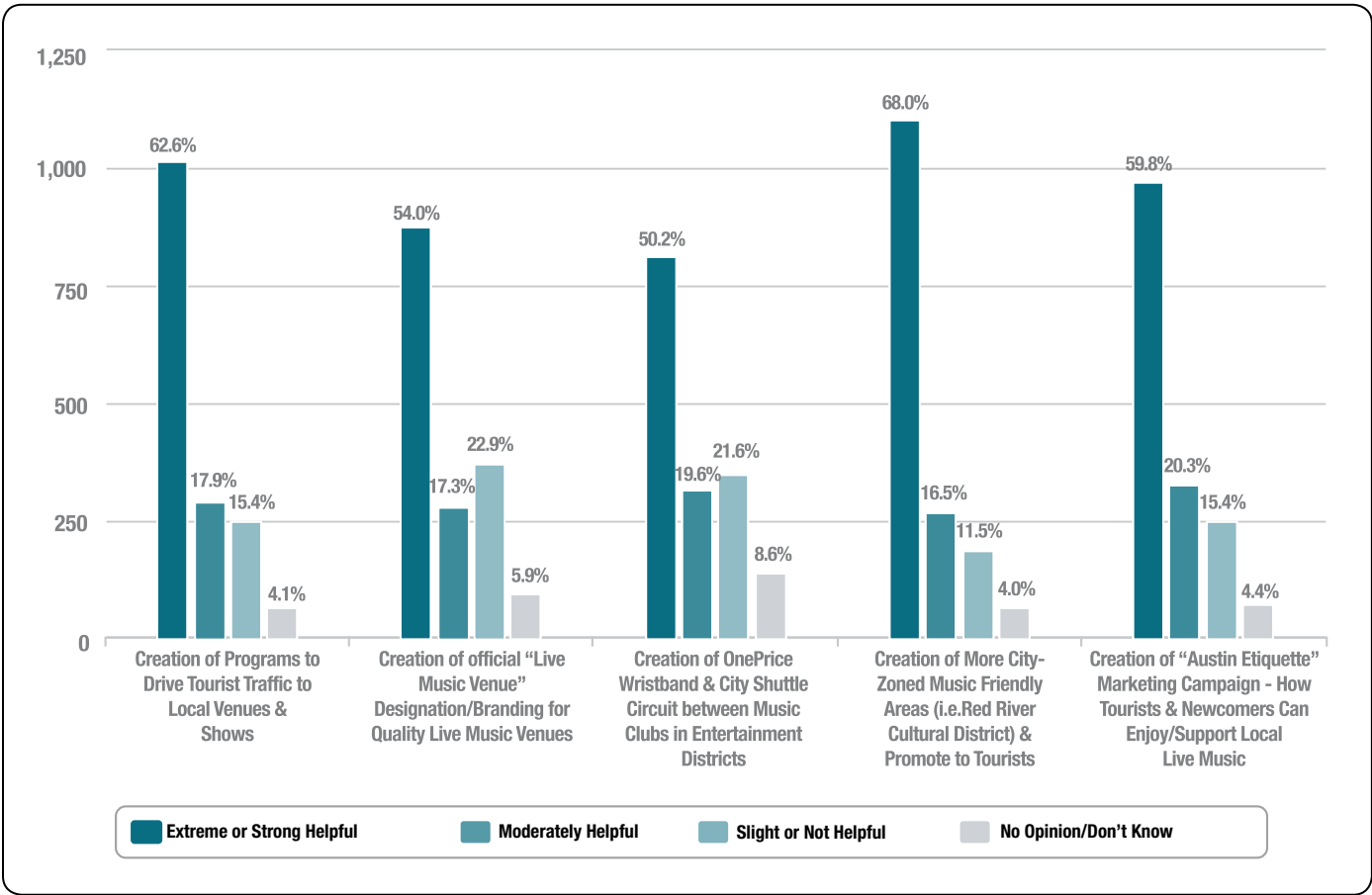
Needs and Gaps Category: INDUSTRY RESOURCES



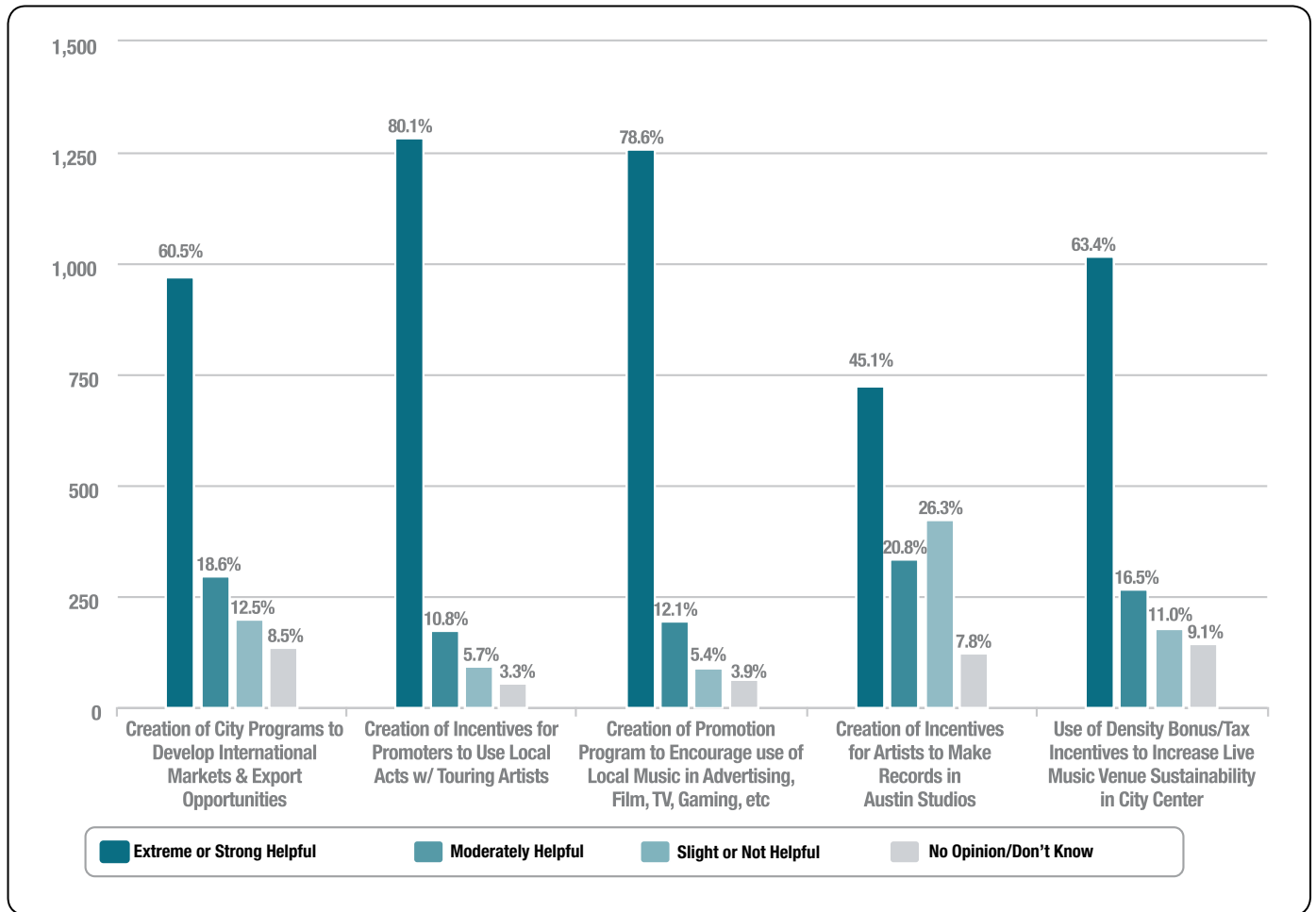
Ideas and Proposals Category: CAREER DEVELOPMENT AND CONNECTIVITY



Ideas and Proposals Category: TOURISM AND MARKET DEVELOPMENT



Ideas and Proposals Category: CITY PROGRAMS



Appendix V

Music Industry-Only Respondent Data Chart List

CHARTS APPEAR IN THIS SEQUENCE:

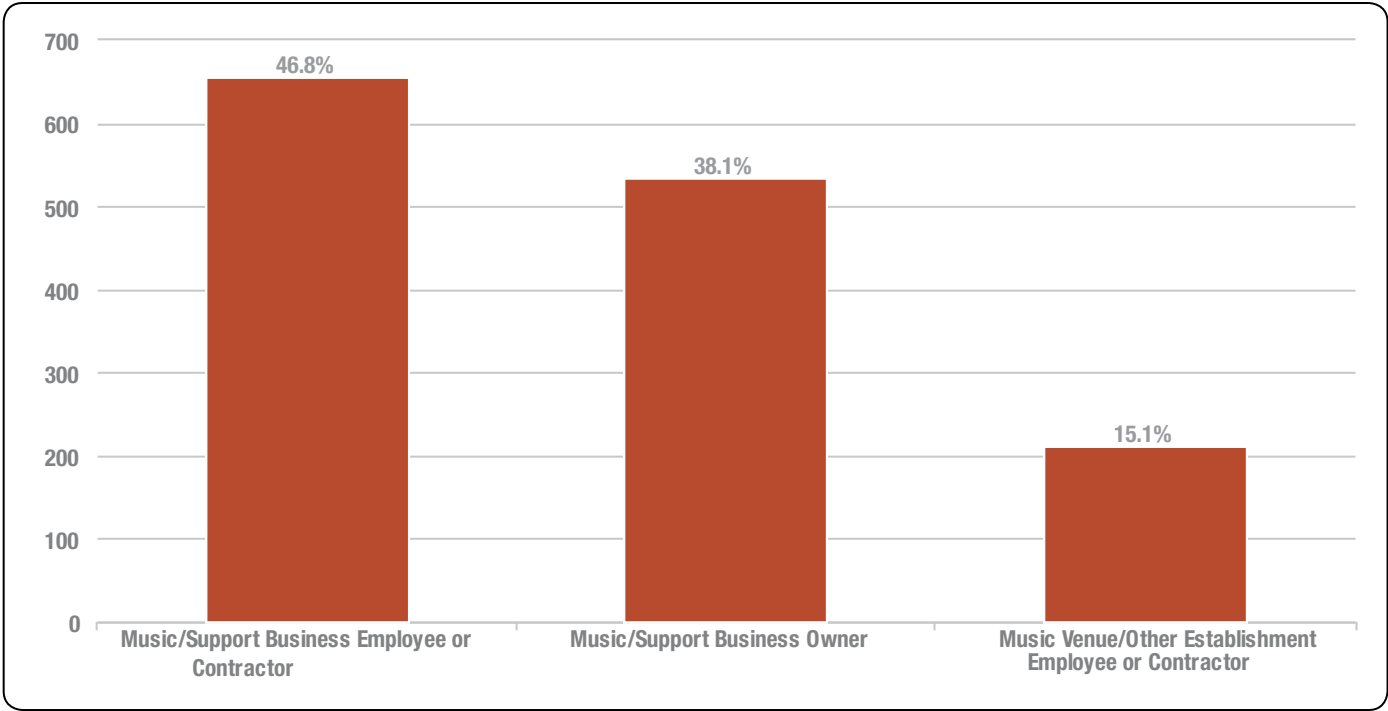
Type of Employment
Music Industry Subsector Breakdown
Areas of Experience and Expertise
Current Means of Employment
Number of Years Working in Music Industry
Gender Breakdown
Age Breakdown
Race and Ethnicity
Number of Years Living in Austin
Health Care Coverage
Housing: Rent vs. Own
Housing: Type of Residence
Number of Household Contributors to Rent or Mortgage
Prosperity Trends: Individual Income Increase/Decrease Over Past 3 Years
Income by Industry SubSector
2013 Pre-Tax Individual Income (All Music Industry EMPLOYEES + OWNERS w/ 100% Income from Music Industry)
2013 Pre-Tax Individual Income (All Music Industry EMPLOYEES + OWNERS, All Income Sources)
2013 Pre-Tax Individual Income (All Industry EMPLOYEES, All Income Sources)
2013 Pre-Tax Individual Income (All Industry EMPLOYEES, Music Industry Income Only)
2013 Pre-Tax Individual Income (Only Industry EMPLOYEES w/ Music Industry + Augmented Income)
2013 Pre-Tax Individual Income (Only Industry EMPLOYEES w/ 100% Income from Music Industry)
Needs and Gaps Category: LIVING AND AFFORDABILITY
Needs and Gaps Category: CONNECTIVITY AND COLLABORATION
Needs and Gaps Category: PROFESSIONAL EDUCATION AND SKILLS DEVELOPMENT
Needs and Gaps Category: INDUSTRY RESOURCES
Ideas and Proposals Category: CAREER DEVELOPMENT AND CONNECTIVITY
Ideas and Proposals Category: TOURISM AND MARKET DEVELOPMENT
Ideas and Proposals Category: CITY PROGRAMS

Appendix V

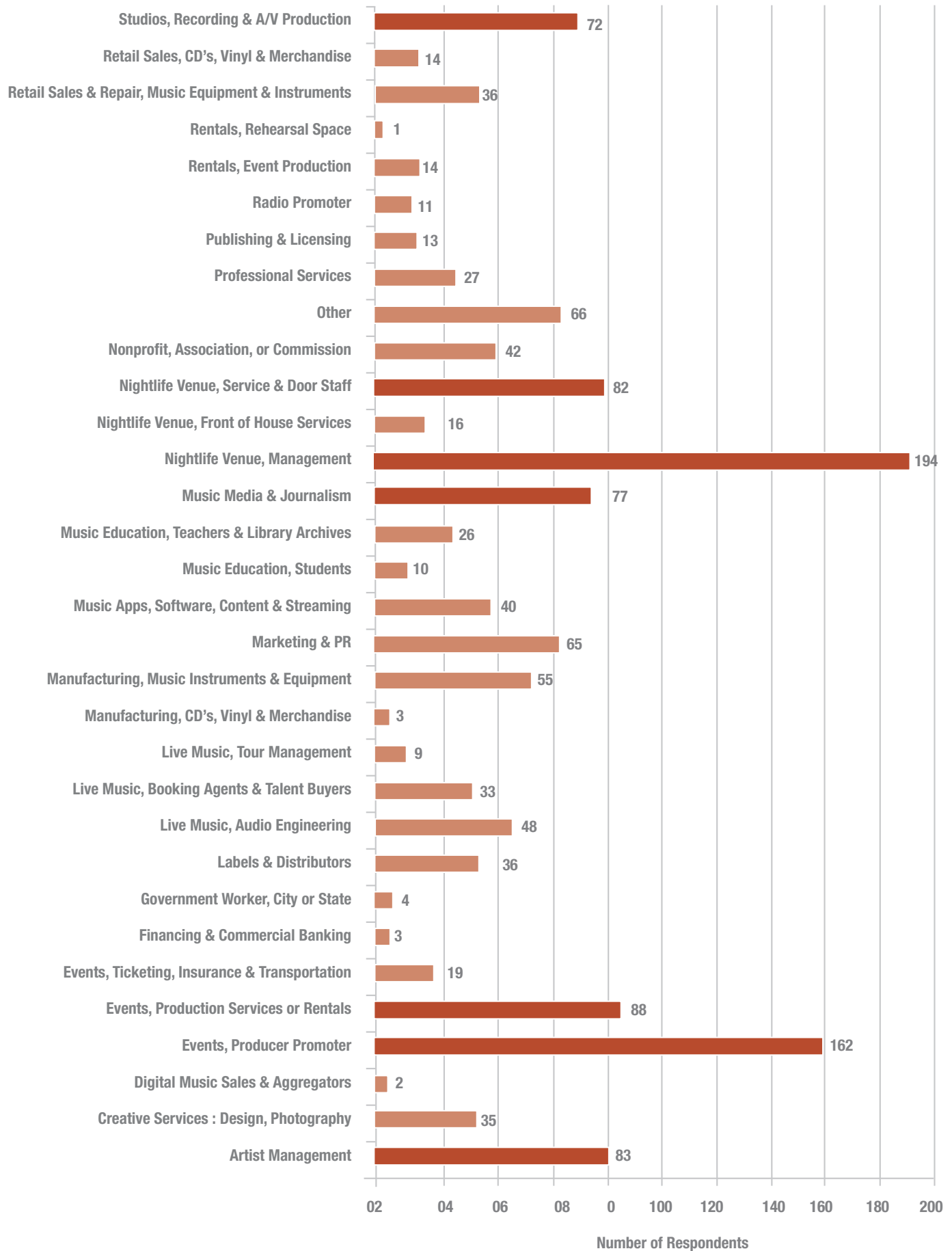
Music Industry-Only Respondent Data Charts



Type of Employment



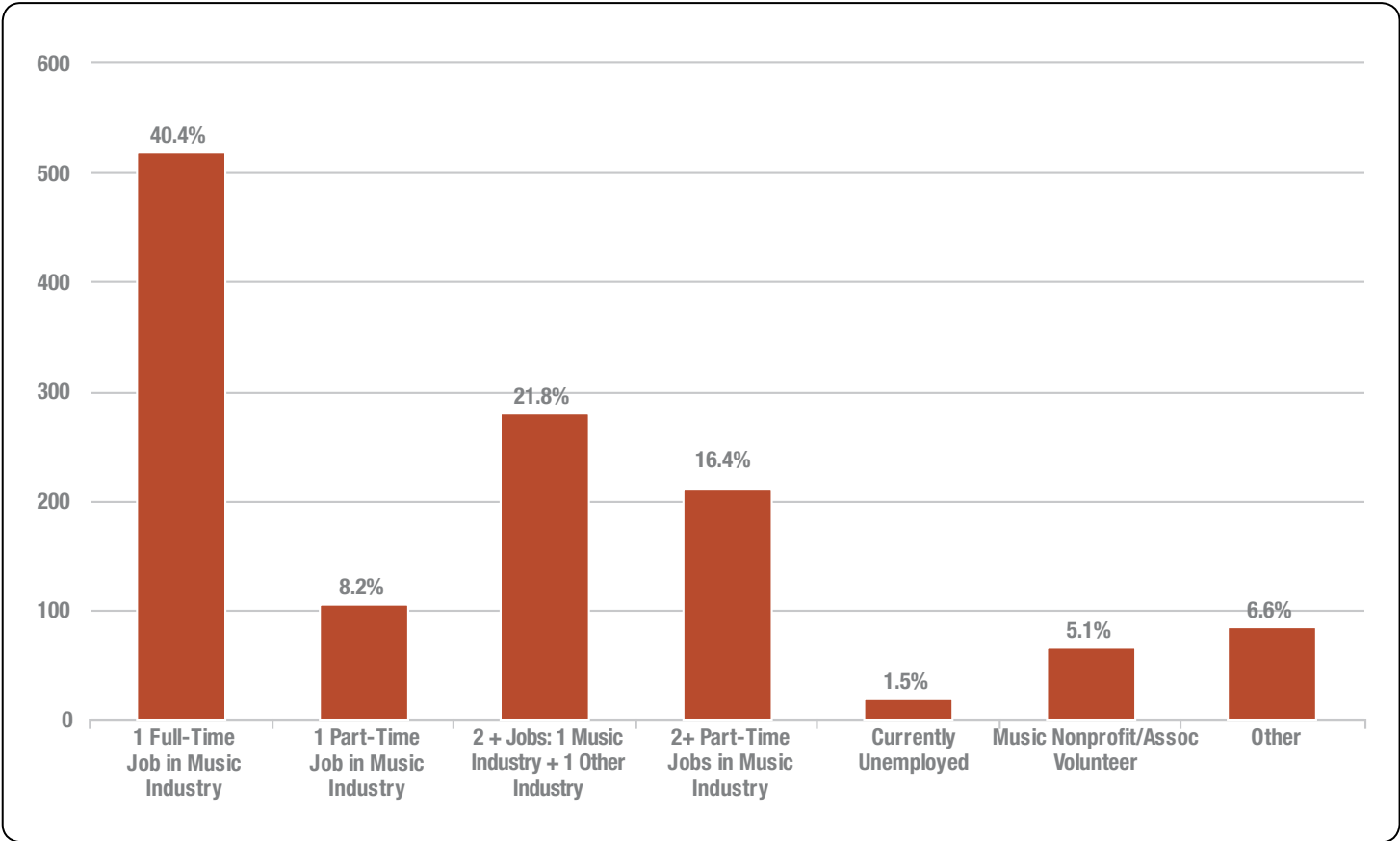
Music Industry Subsector Breakdown



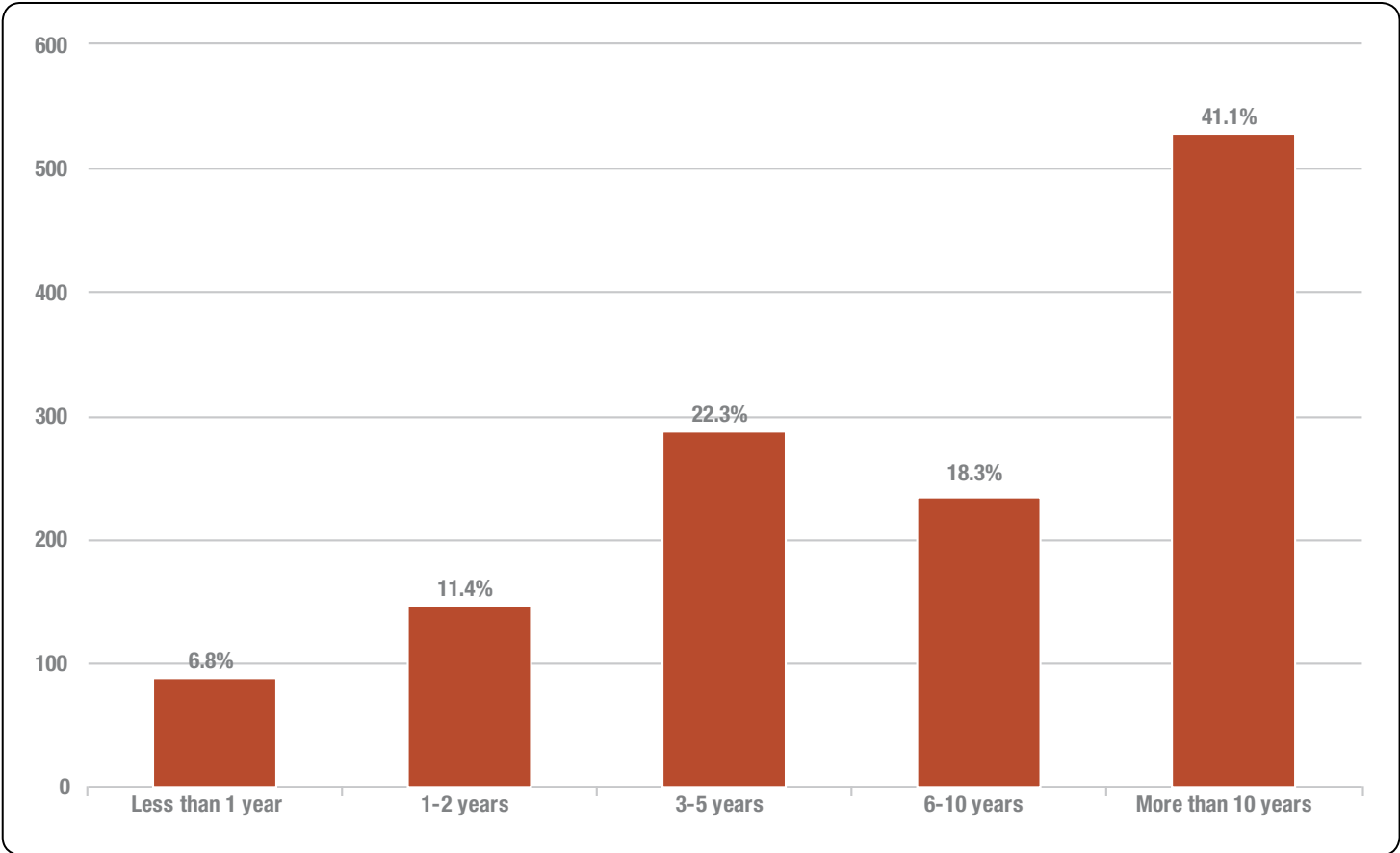
Areas of Experience and Expertise

Response	Count		
Accounting	114	9.7%	
Audio Engineering	267	22.7%	
Advocacy/Lobbying	82	7.0%	
Audio Mastering	102	8.7%	
Digital Music Distribution	149	12.6%	
Booking/Talent Buying	337	28.6%	
Audio Mixing	249	21.1%	
Digital Music Sales	95	8.1%	
Event Promotion	575	48.8%	
Event Production	632	53.7%	
Distribution	100	8.5%	
Film/TV Composer	63	5.3%	
Manufacturing	48	4.1%	
Graphic Design	161	13.7%	
Financing or Venture Capital	38	3.2%	
Marketing	493	41.9%	
Music Education	125	10.6%	
Music Arranger	88	7.5%	
Media/Journalism	260	22.1%	
Artist Management	363	30.8%	
Music Legal Issues	74	6.3%	
Nonprofit Services	190	16.1%	
Music Publishing	105	8.9%	
Music Licensing	117	9.9%	
Music Licensing	117	9.9%	
Post Production	145	12.3%	
Radio Promotion	150	12.7%	
Radio Production	92	7.8%	
PR & Publicity	369	31.3%	
Record Labels	193	16.4%	
Social Media	429	36.4%	
Retail Sales	155	13.2%	
Record Production	166	14.1%	
Software Development	37	3.1%	
Ticketing	102	8.7%	
Studio Management	119	10.1%	
Artist/Songwriting or Composing	194	16.5%	
Touring Logistics	213	18.1%	
Web Design/Development	159	13.5%	
Venue Management	222	18.8%	
Artist/Live Performance	389	33.0%	
Total: 1178			

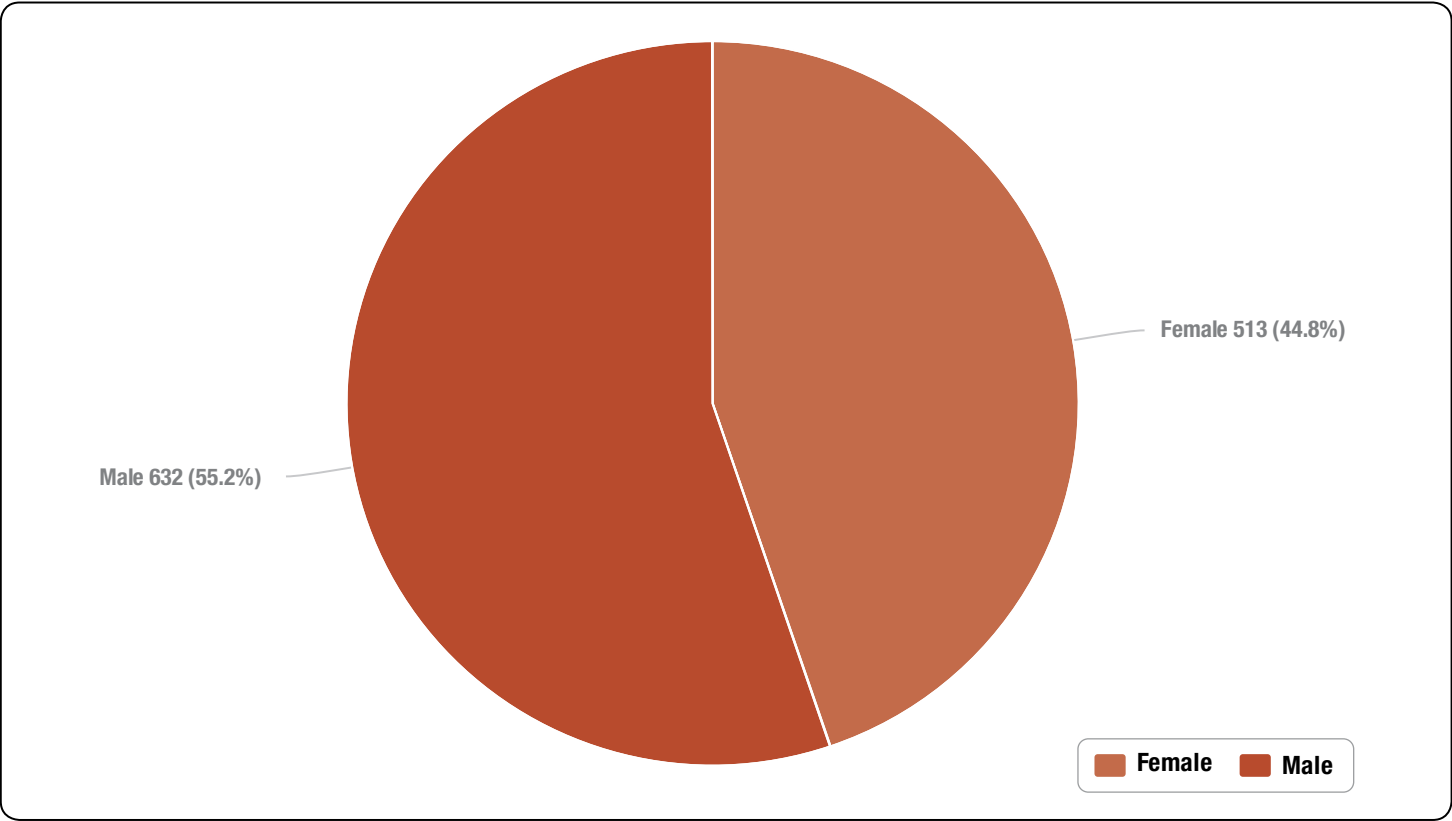
Current Means of Employment



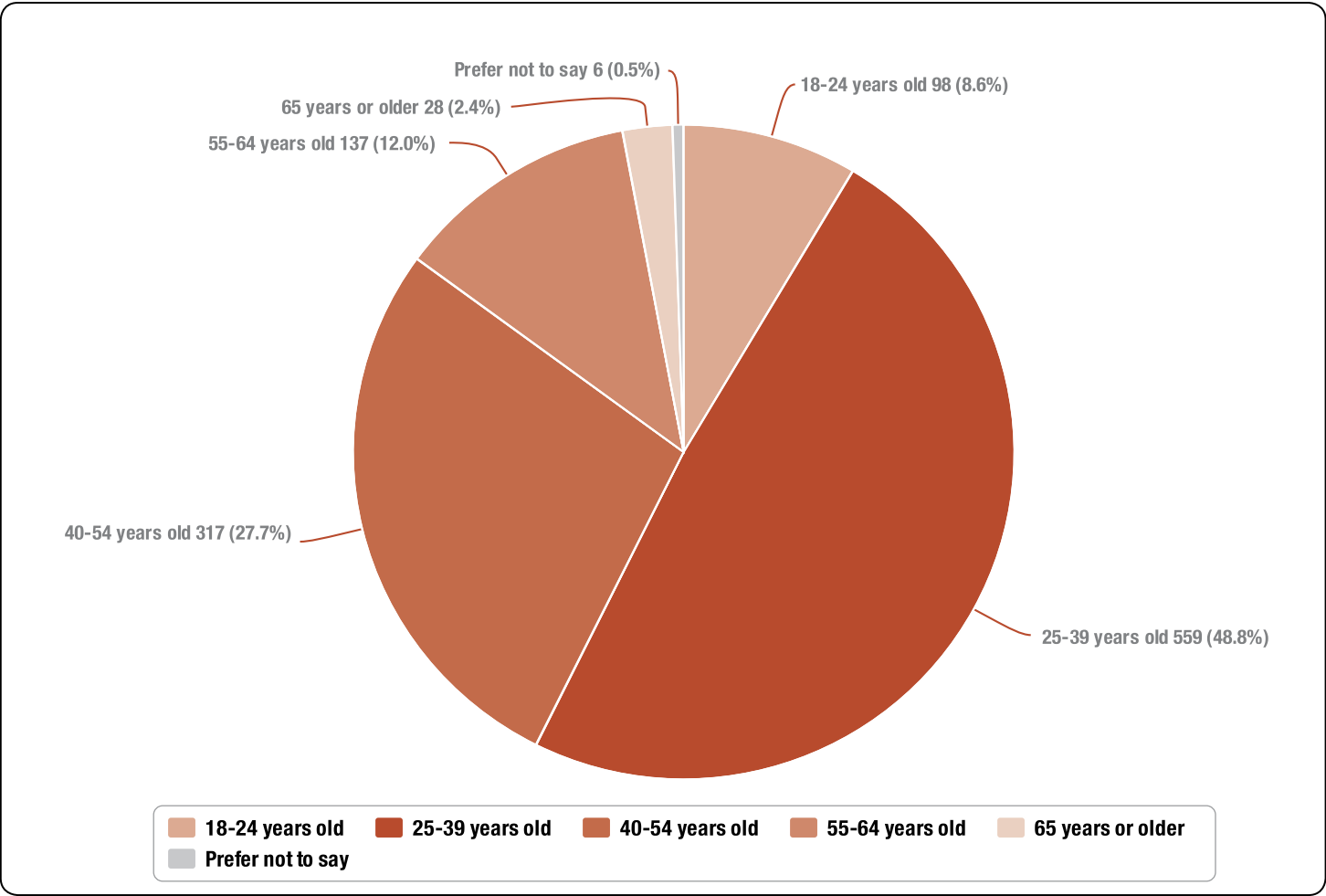
Number of Years Working in Music Industry



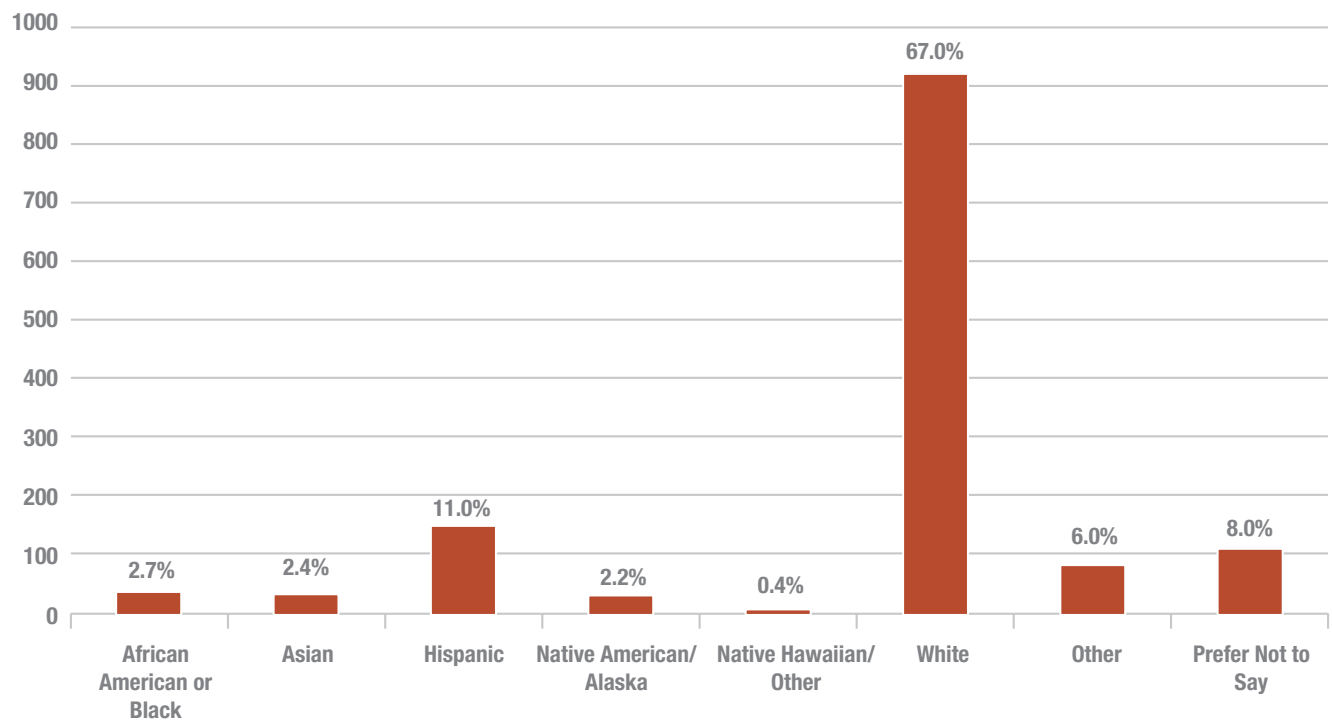
Gender Breakdown



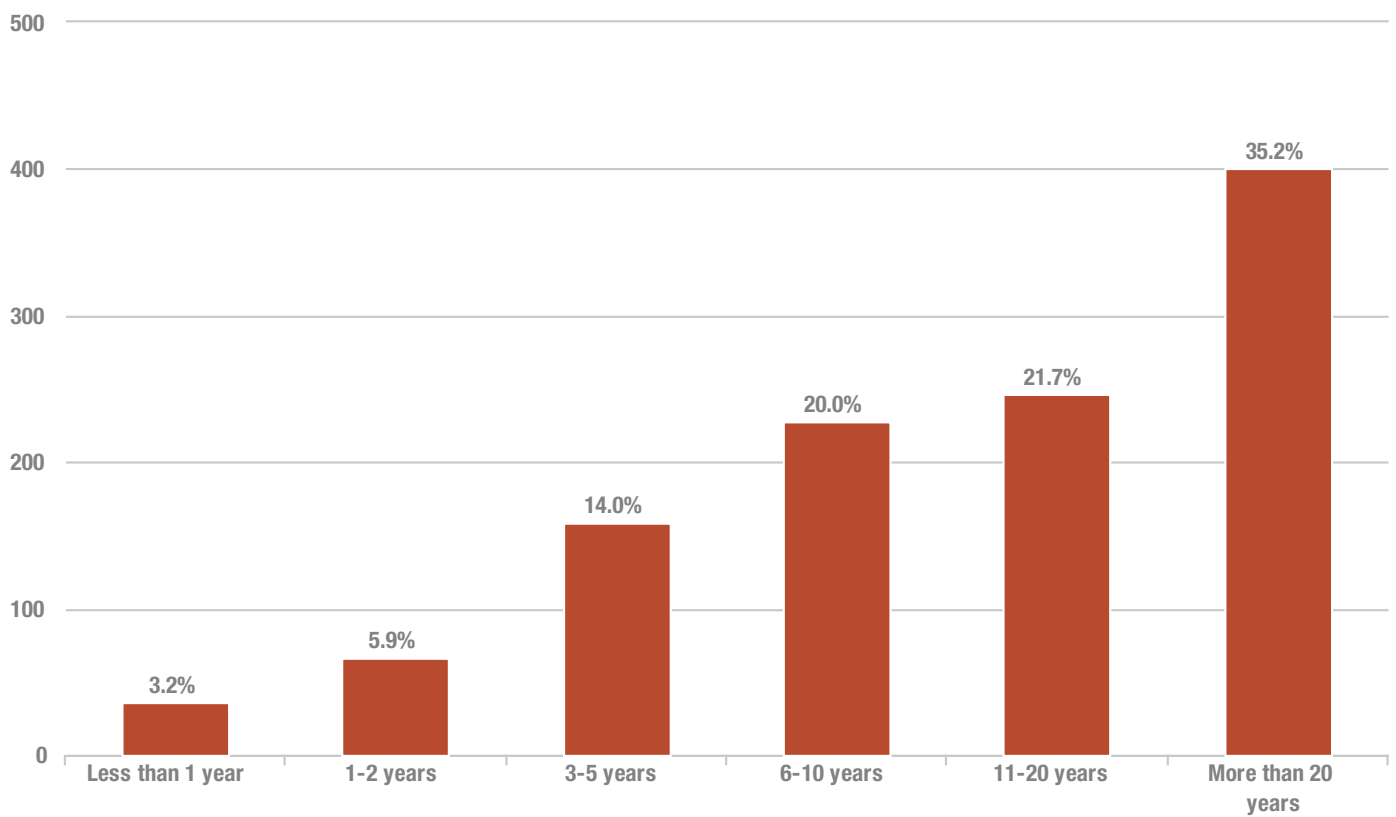
Age Breakdown



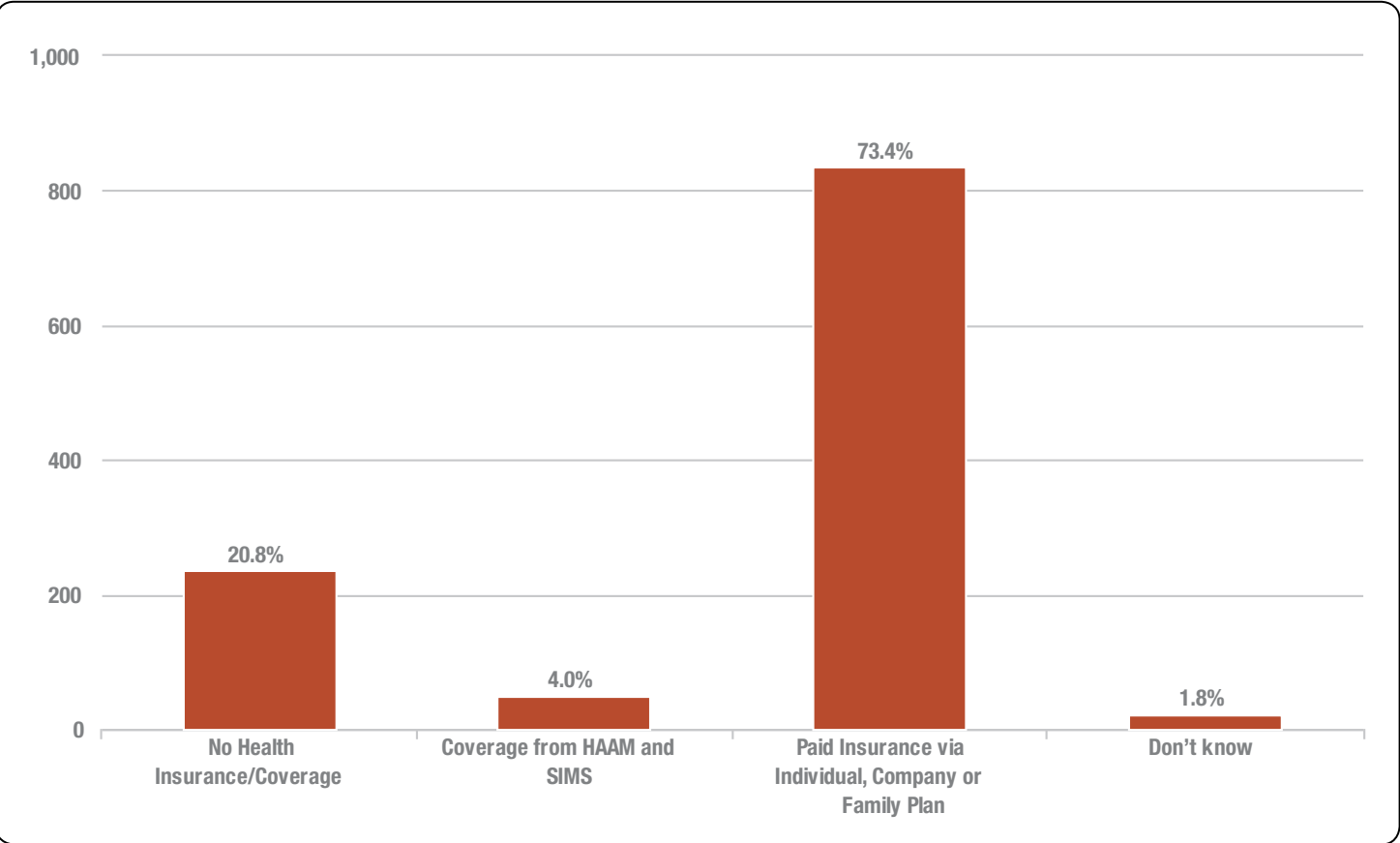
Race and Ethnicity



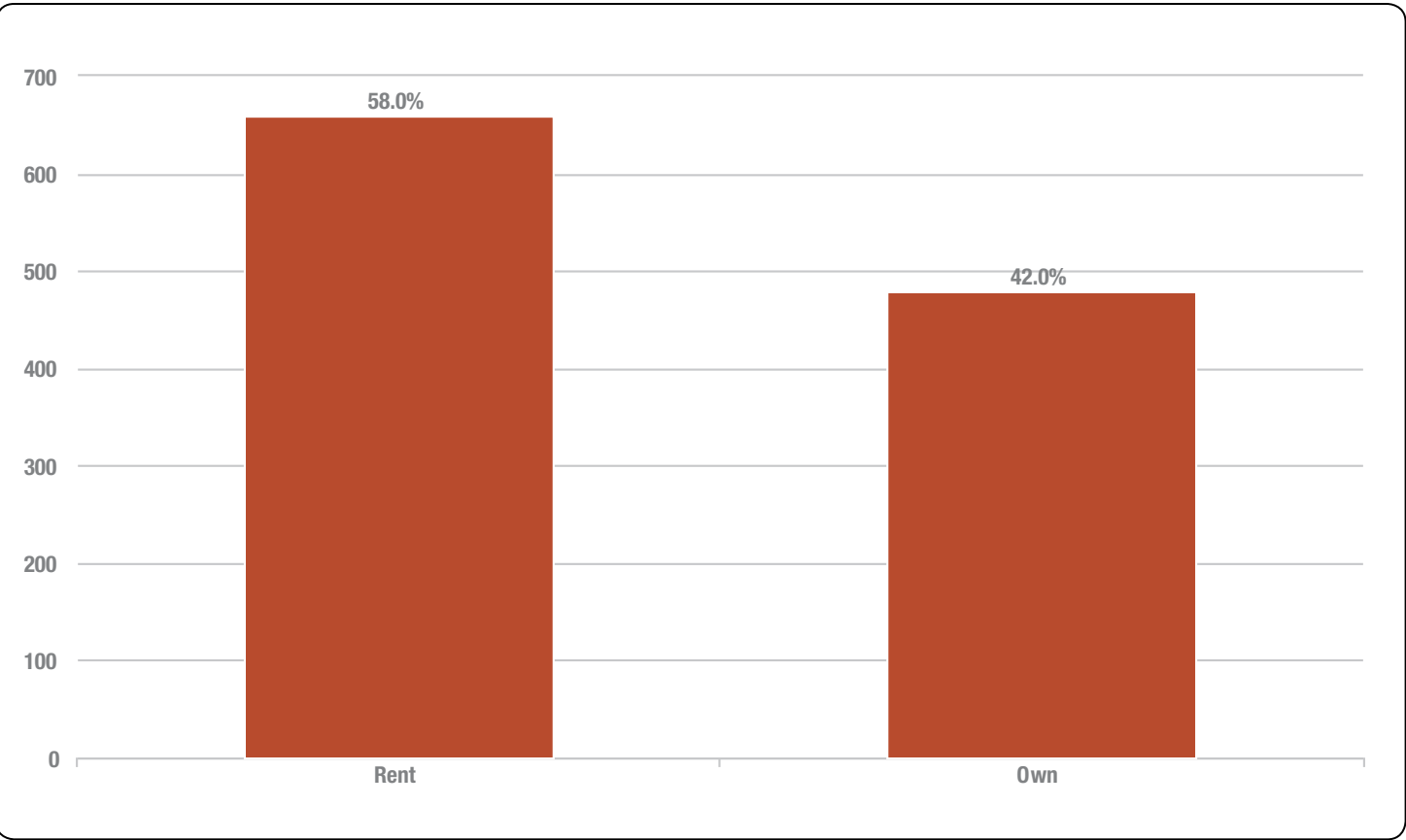
Number of Years Living in Austin



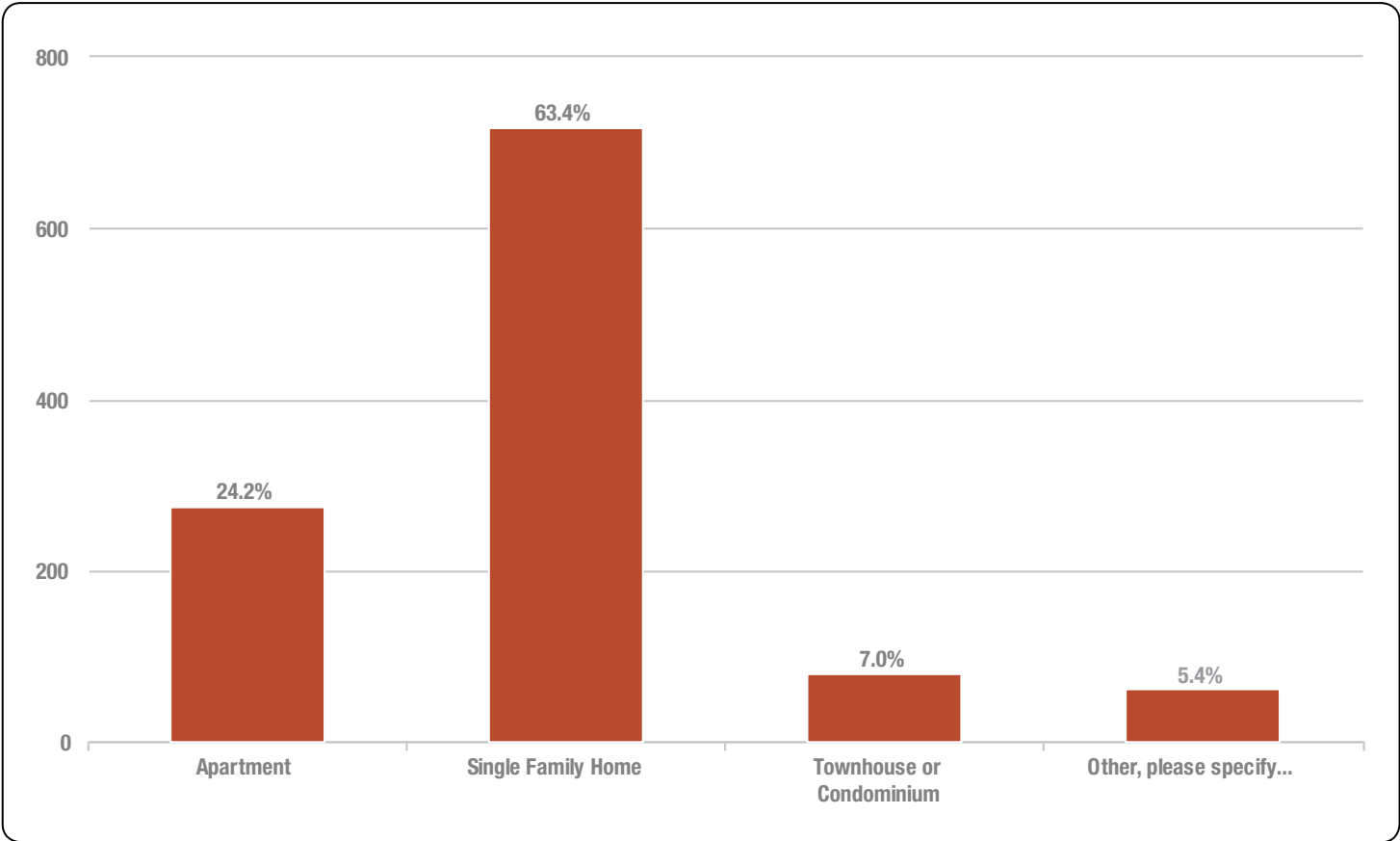
Health Care Coverage



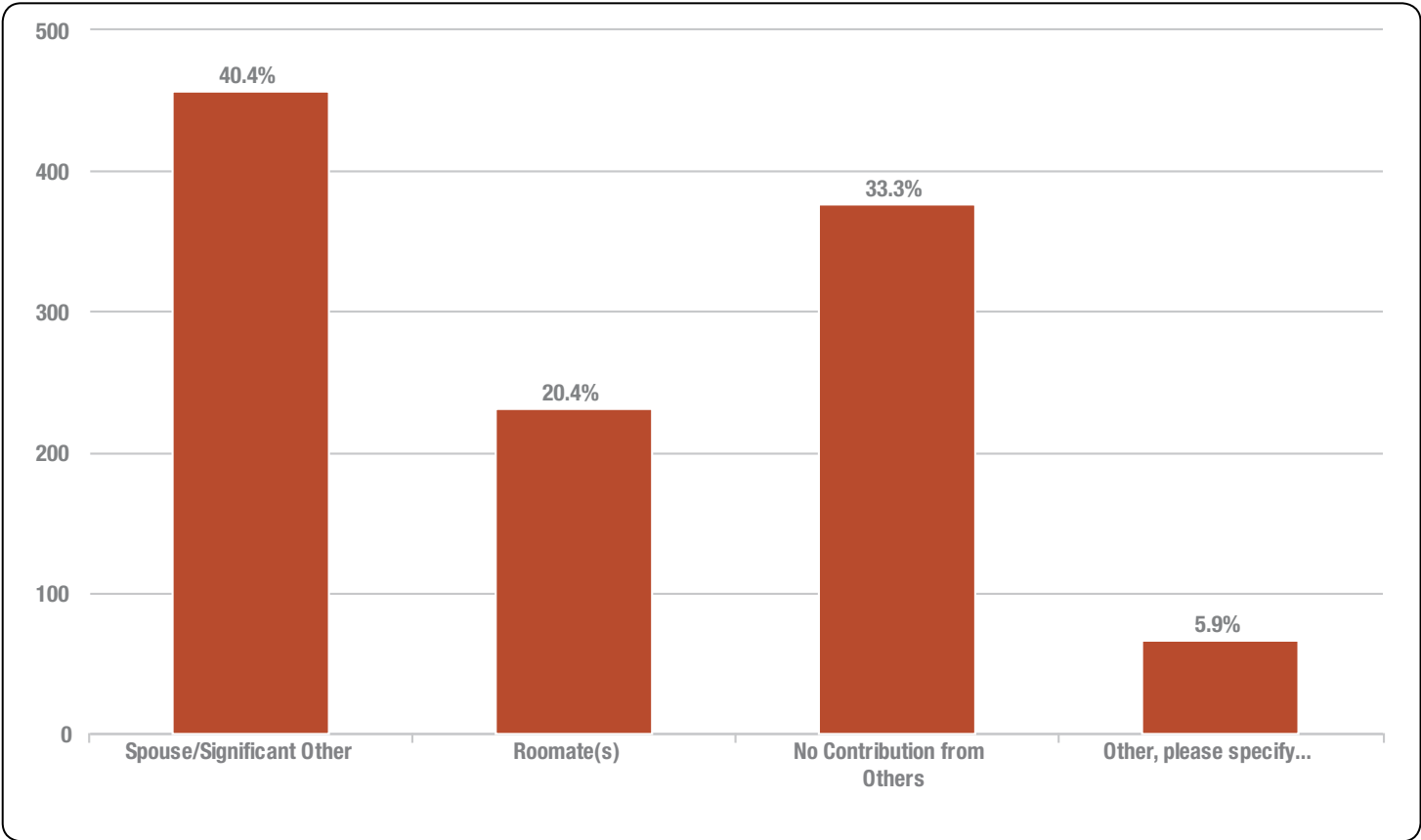
Housing: Rent vs. Own



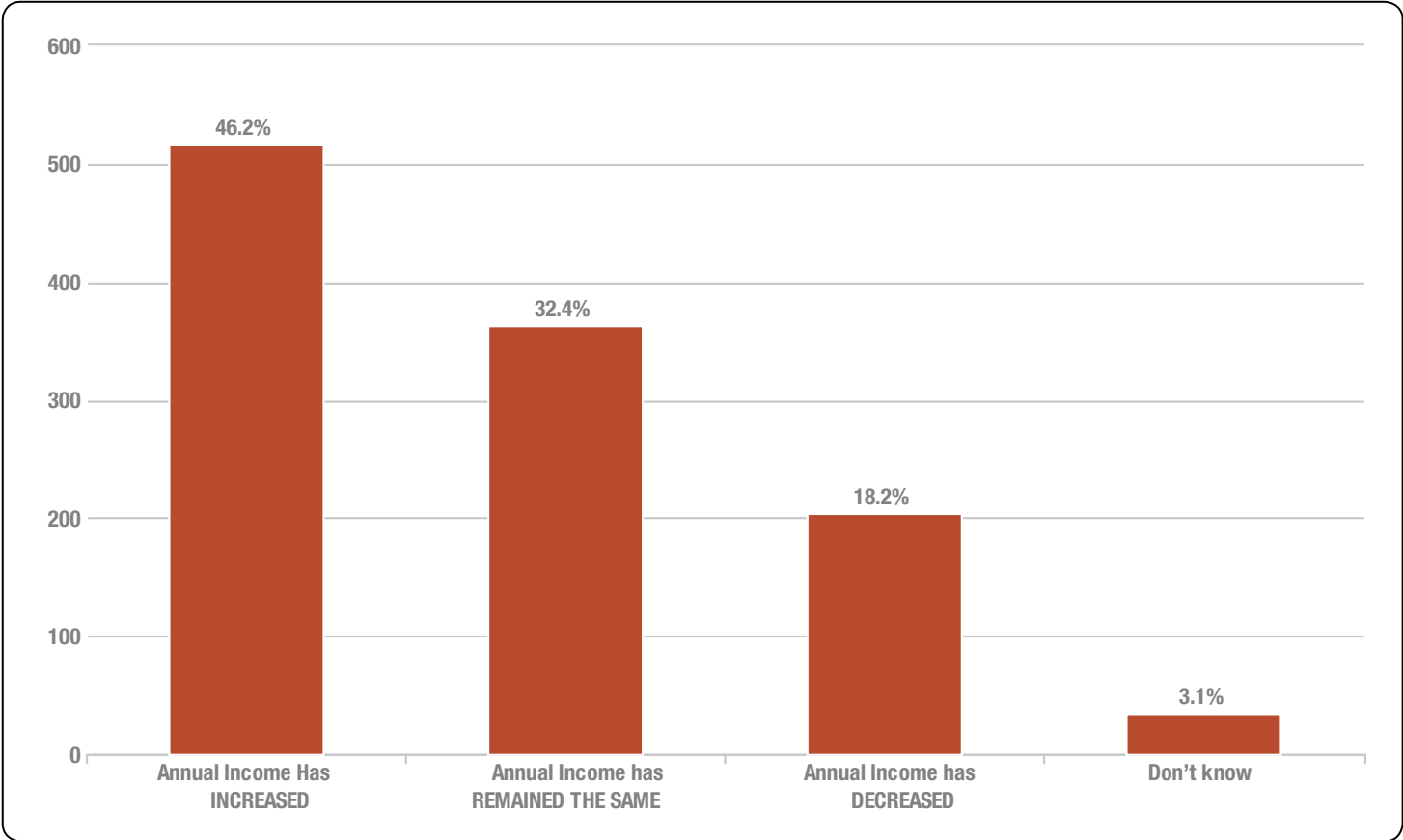
Housing: Type of Residence



Number of Household Contributors to Rent or Mortgage



Prosperity Trends: Individual Income Increase/Decrease Over Past 3 Years



Income by Industry SubSector

Based on a total of 639 Responses	\$25,000 or Less	\$25,000 -\$34,999	\$35,000 -\$49,999	\$50,000 -\$74,999	\$75,000 or More	Total Responses
Nonprofit, Association or Commission	13 45%	6 21%	6 21%	2 7%	2 7%	29 100%
Events, Producer or Promoter	34 33%	15 15%	19 19%	15 15%	19 19%	102 100%
Event Production, Services or Rentals	34 57%	11 18%	7 12%	4 7%	4 7%	60 100%
Tour Manager	4 57%	0 0%	1 14%	2 29%	0 0%	7 100%
Booking Agents & Talent Buyers	10 53%	3 16%	2 11%	4 21%	0 0%	19 100%
Government, City & State	1 25%	0 0%	1 25%	1 25%	1 25%	4 100%
Labels & Distribution	2 22%	2 22%	1 11%	1 11%	3 33%	9 100%
Events, Ticketing, Insurance & Transportation	3 25%	2 17%	3 25%	2 17%	2 17%	12 100%
Audio & Lighting Engineers	27 56%	12 25%	3 6%	4 8%	4 %	48 100%
Manufacturing : CDs, Vinyl & Merchandise	1 100%	0 0%	0 0%	0 0%	0 0%	1 100%
Manufacturing : Music Equipment & Instruments	18 64%	3 11%	3 11%	2 7%	2 7%	28 100%
Marketing & PR	17 45%	7 18%	4 11%	5 13%	5 13%	38 100%
Radio Promoter	5 71%	0 0%	1 14%	1 14%	0 0%	7 100%
Music Media	22 45%	8 16%	13 27%	4 8%	2 4%	49 100%
Music Education	5 56%	1 11%	1 11%	1 11%	1 11%	9 100%
Professional Services	4 67%	0 0%	1 17%	0 0%	1 17%	6 100%
Commercial Banking & Financing	2 100%	0 0%	0 0%	0 0%	0 0%	2 100%
Publishing & Licensing	4 57%	1 14%	2 29%	0 0%	0 0%	7 100%
Rentals, Event Production	1 25%	0 0%	1 25%	1 25%	1 25%	4 100%
Retail Sales & Repair, Music Equipment & Instruments	11 65%	3 18%	2 12%	1 6%	0 %	17 100%
Retailer: CDs, Vinyl, & Merchandise Retail Store	1 50%	0 0%	1 0%	1 50%	0 0%	2 100%
Studios, Recording & A/V Production	14 78%	1 6%	1 %	0 %	2 11%	18 100%
Tech: Apps, Software, Content & Streaming	13 52%	3 12%	3 12%	3 12%	3 12%	25 100%
Digital Music Sales & Aggregators	1 100%	0 0%	0 0%	0 0%	0 0%	1 100%
Other	14 67%	1 5%	2 10%	2 10%	2 10%	21 100%
Artist Management	18 67%	2 7%	2 7%	2 7%	3 11%	27 100%
Creative Services: Design, Photography	6 75%	1 13%	0 0%	1 13%	0 0%	8 100%
Nightlife Venue, Service & Door Staff	61 77%	9 11%	6 8%	3 4%	0 0%	79 100%

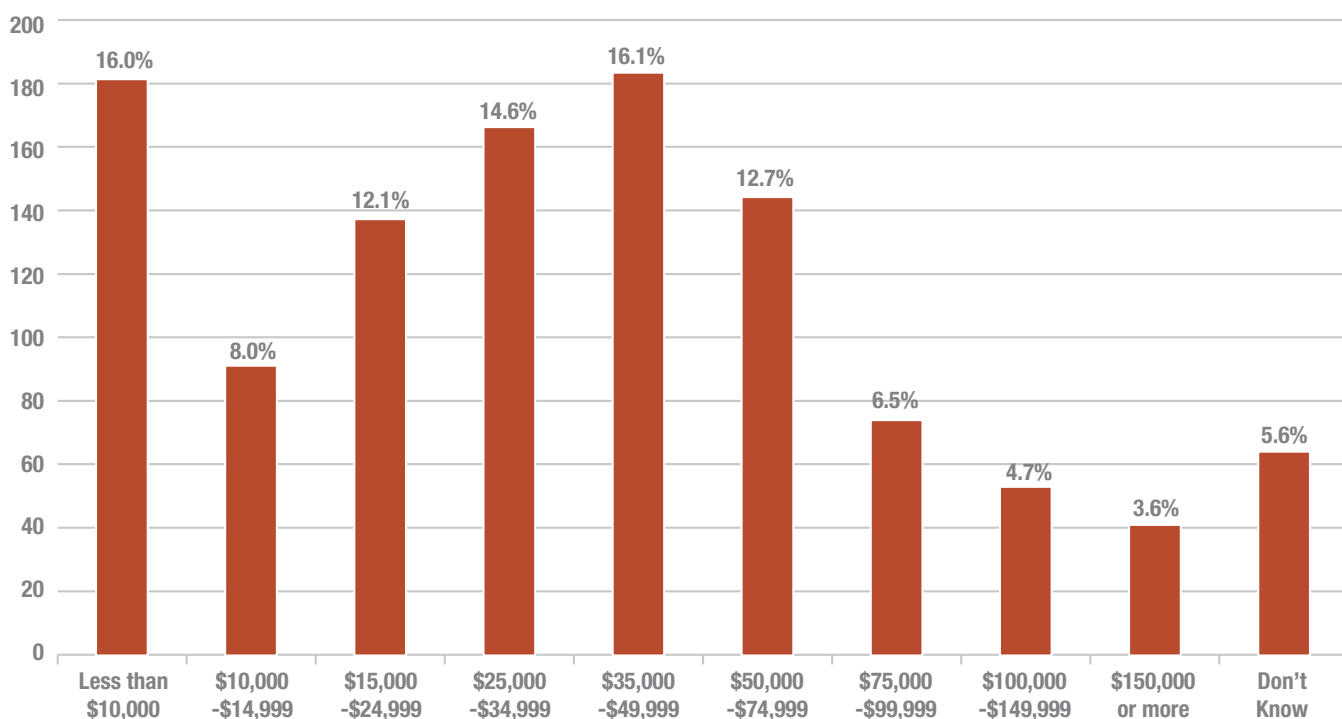
Highest Number of Respondents in This Income Category

Second Highest Number of Respondents in This Income Category

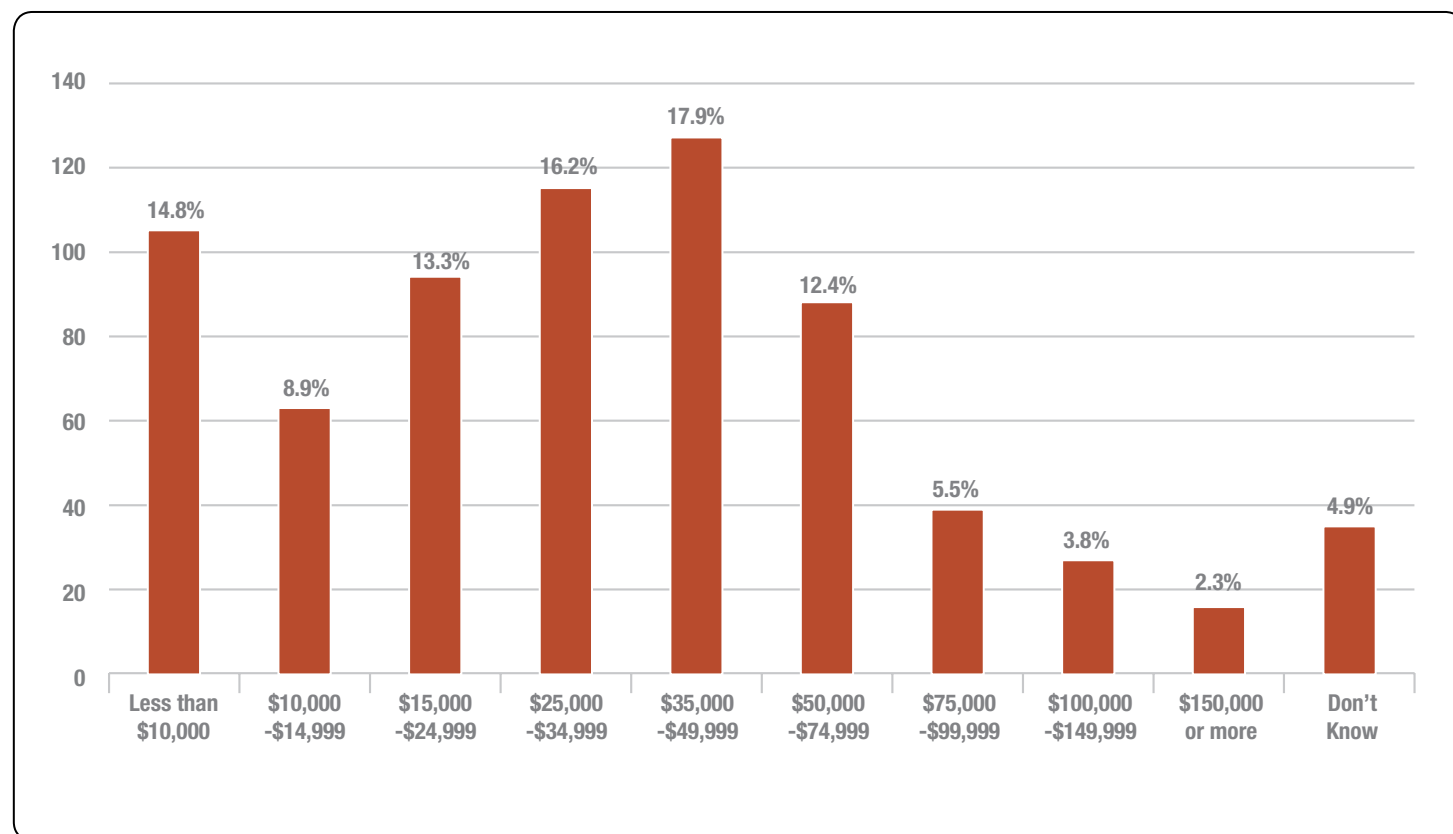
2013 Pre-Tax Individual Income (All Music Industry EMPLOYEES + OWNERS w/ 100% Income from Music Industry)



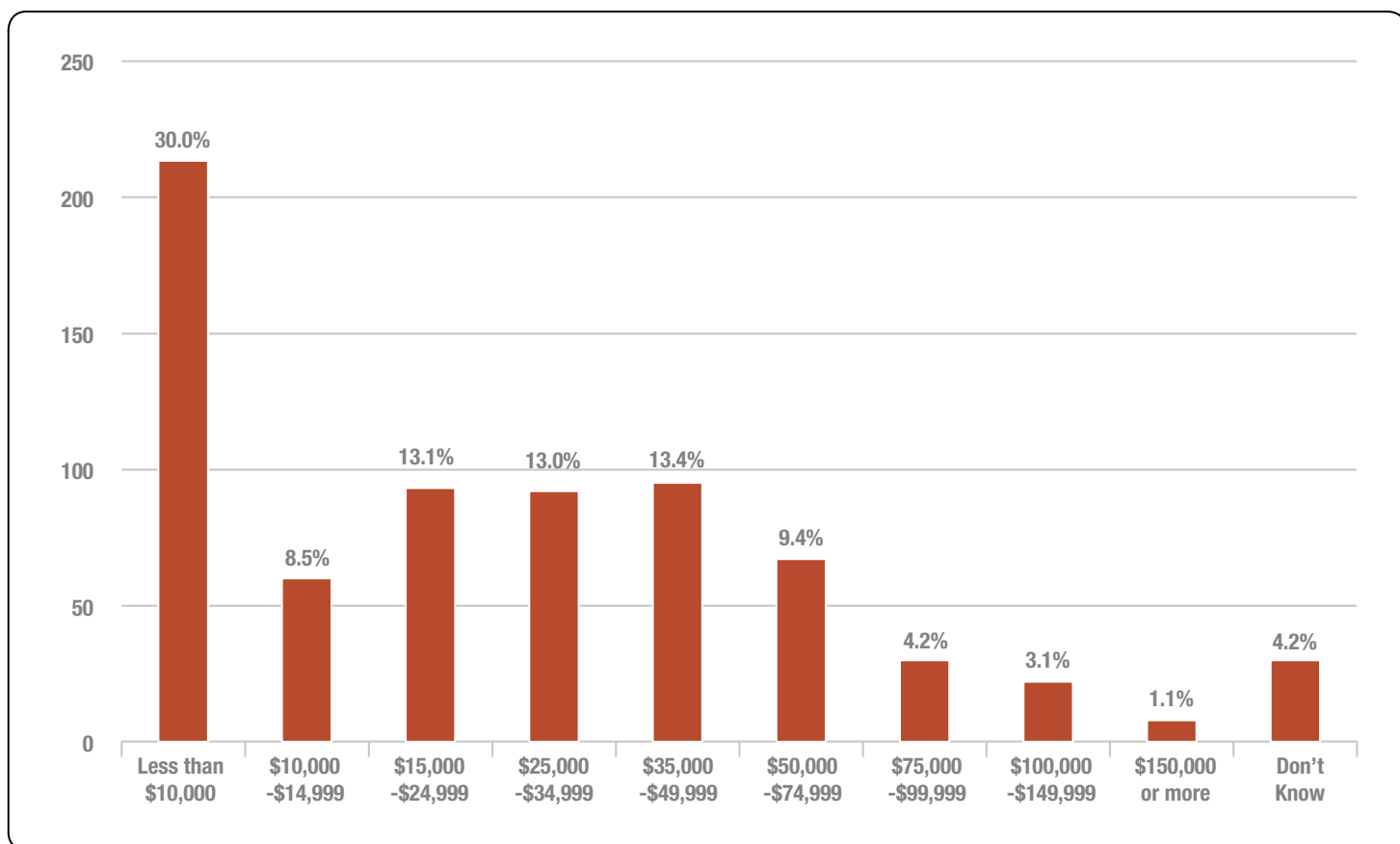
2013 Pre-Tax Individual Income (All Music Industry EMPLOYEES + OWNERS, All Income Sources)



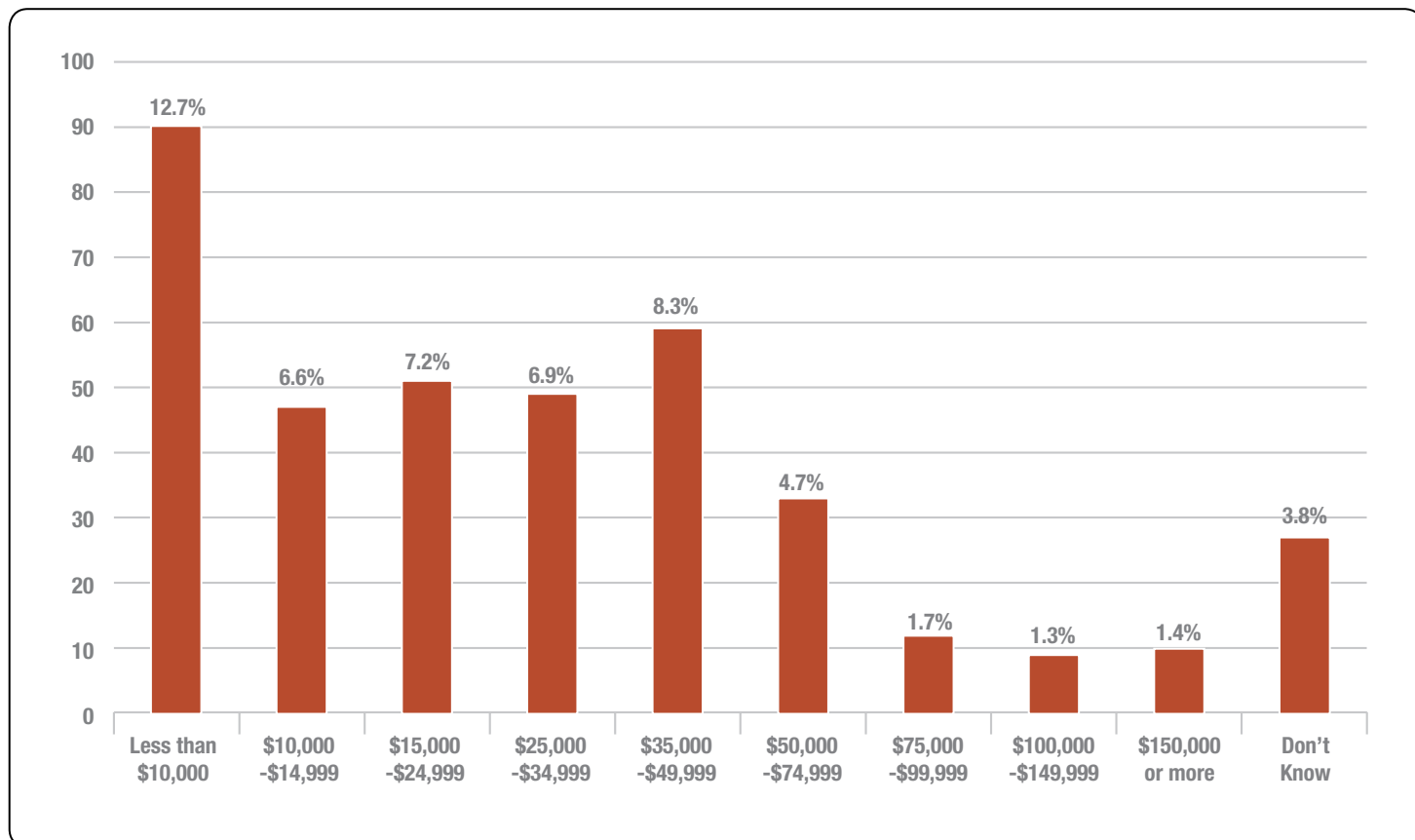
2013 Pre-Tax Individual Income (All Industry EMPLOYEES, All Income Sources)



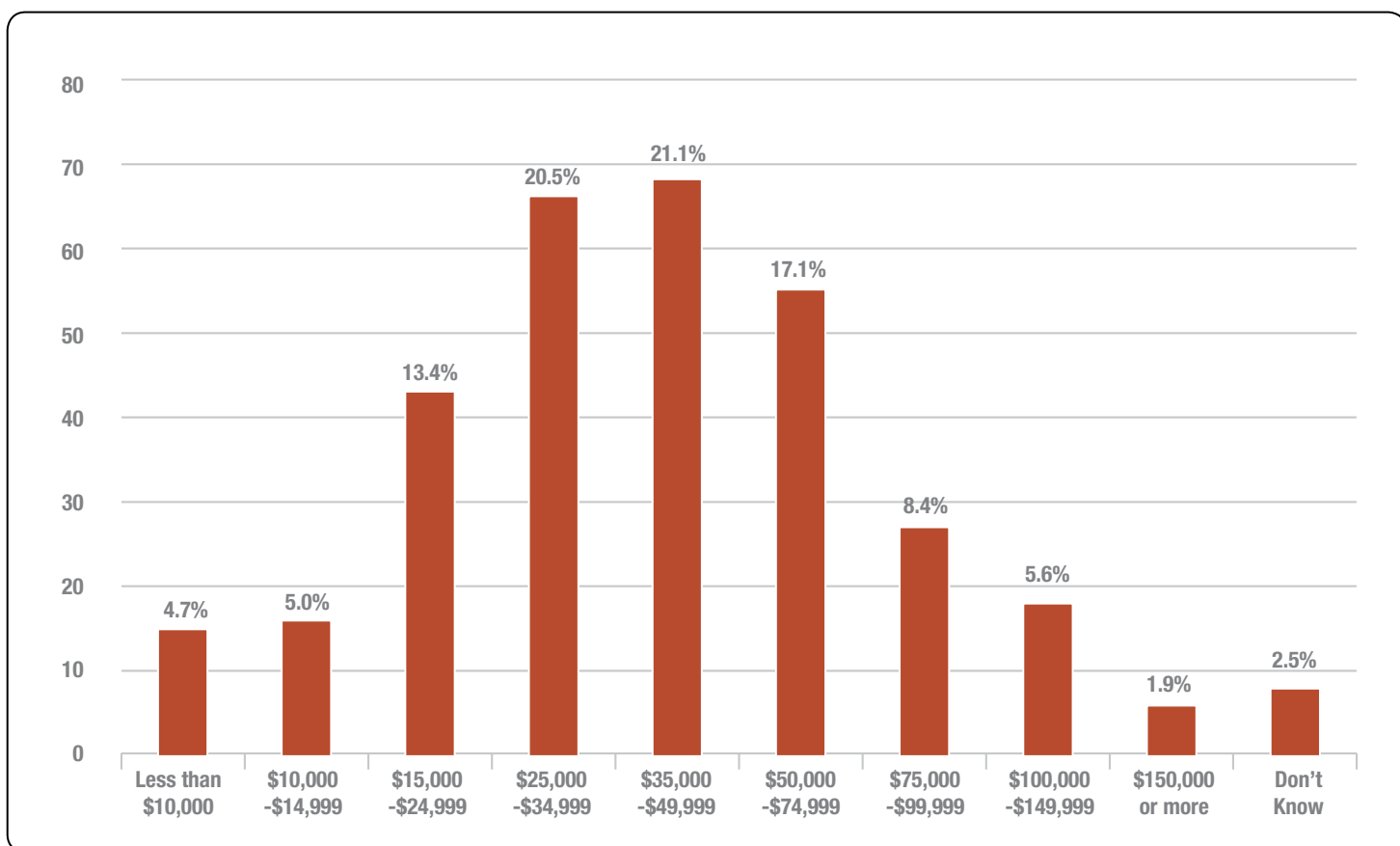
2013 Pre-Tax Individual Income (All Industry EMPLOYEES, Music Industry Income Only)



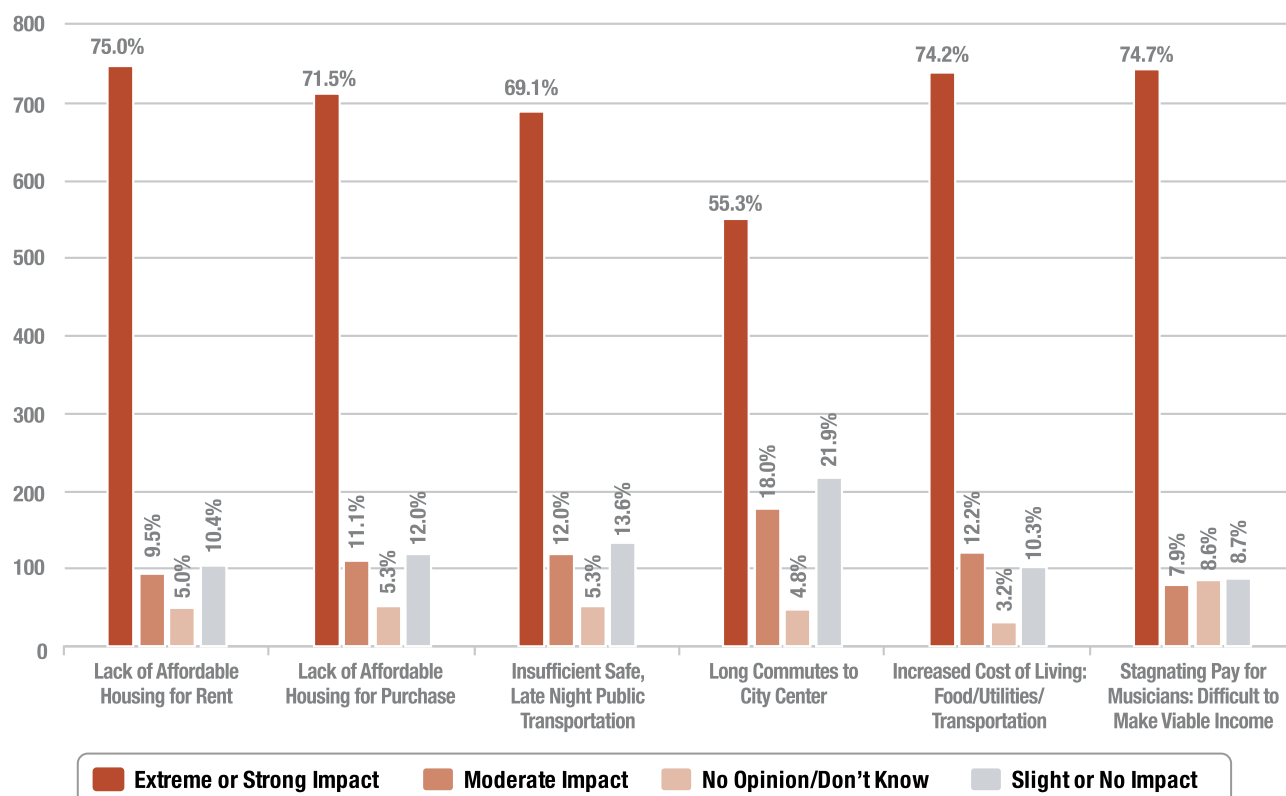
2013 Pre-Tax Individual Income (Only Industry EMPLOYEES w/ Music Industry + Augmented Income)



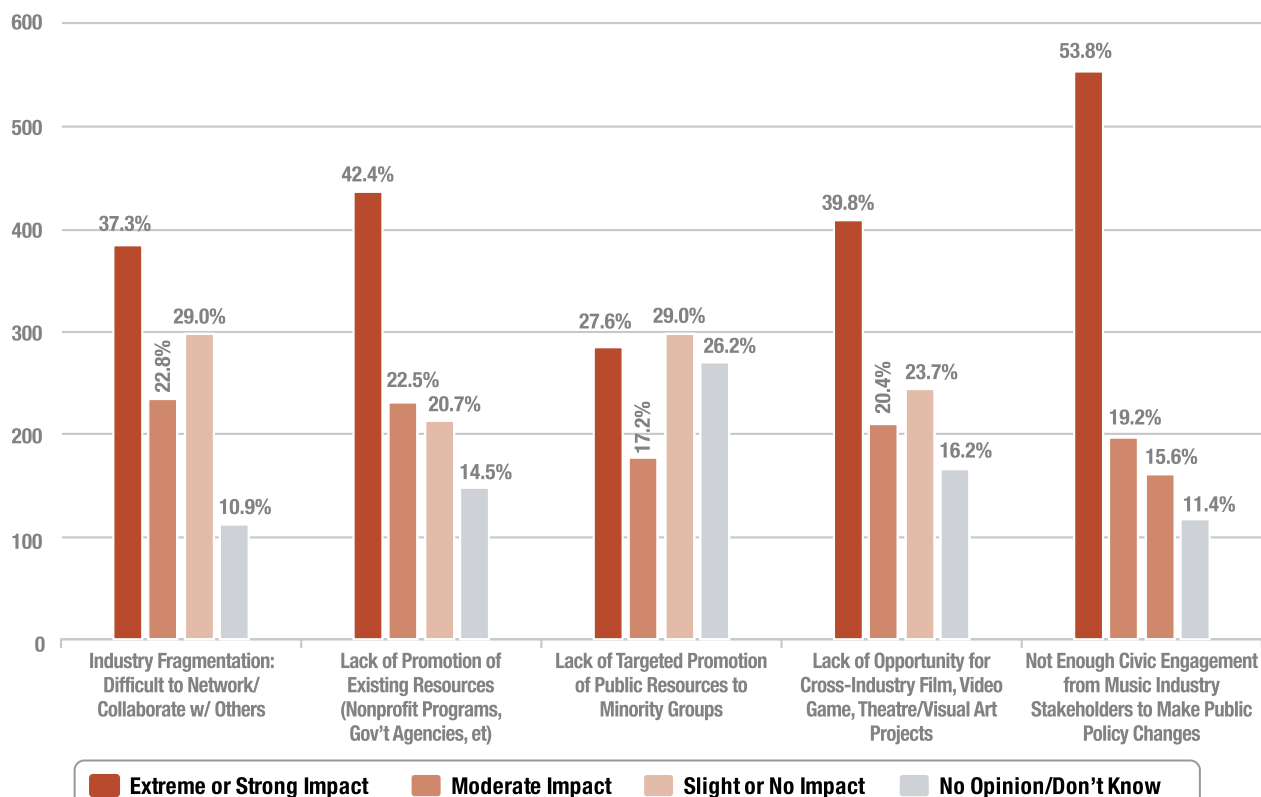
2013 Pre-Tax Individual Income (Only Industry EMPLOYEES w/ 100% Income from Music Industry)



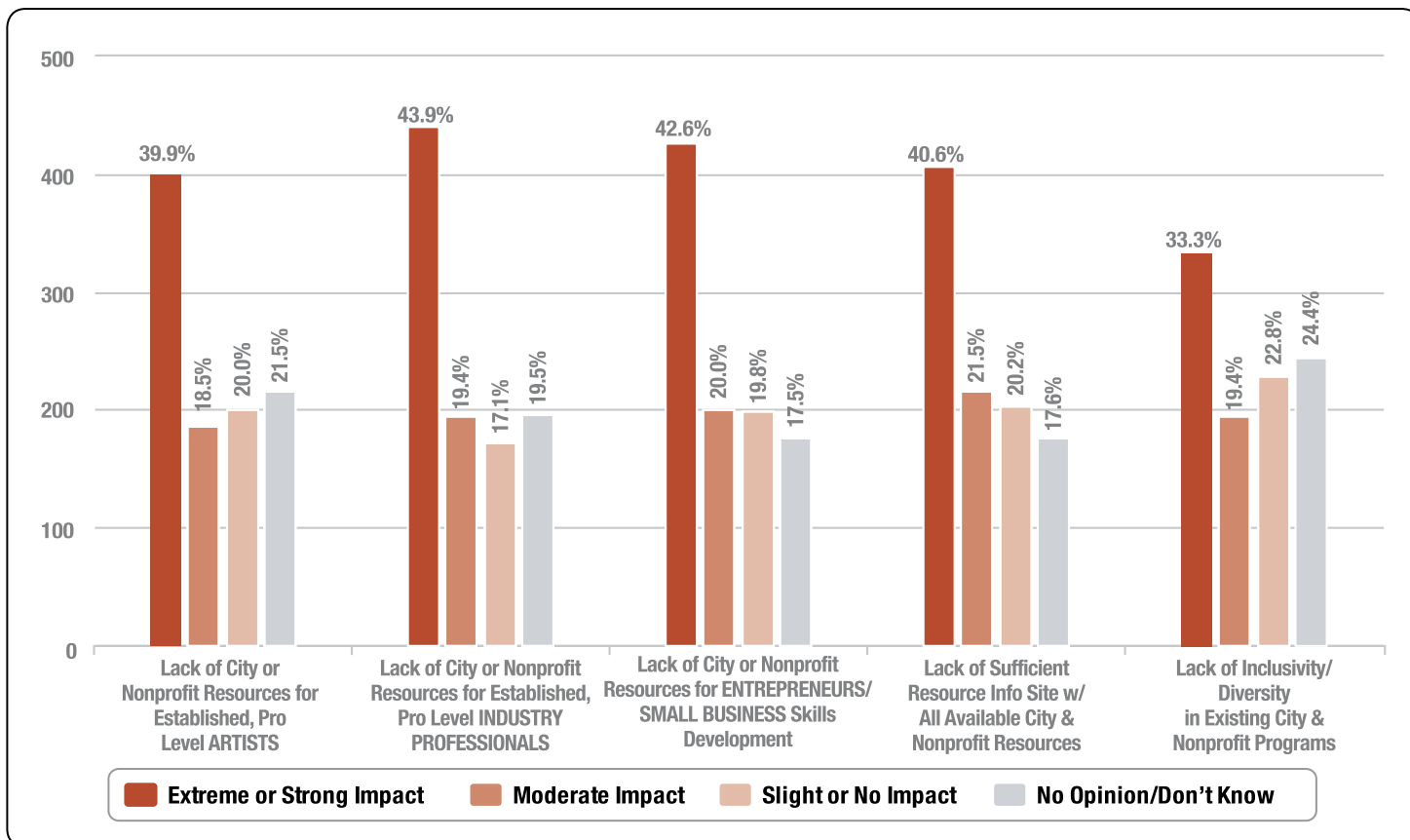
Needs and Gaps Category: LIVING AND AFFORDABILITY



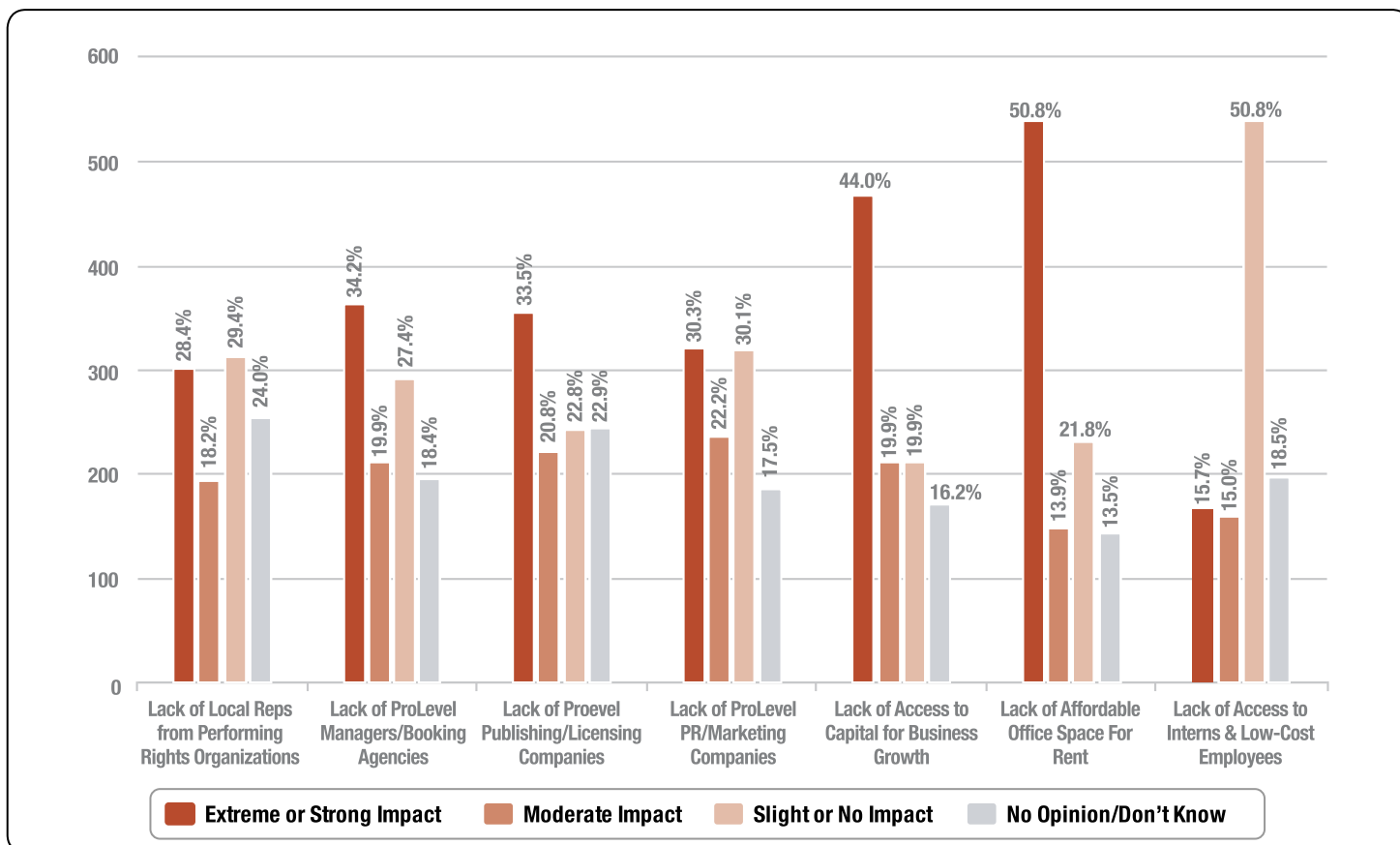
Needs and Gaps Category: CONNECTIVITY AND COLLABORATION



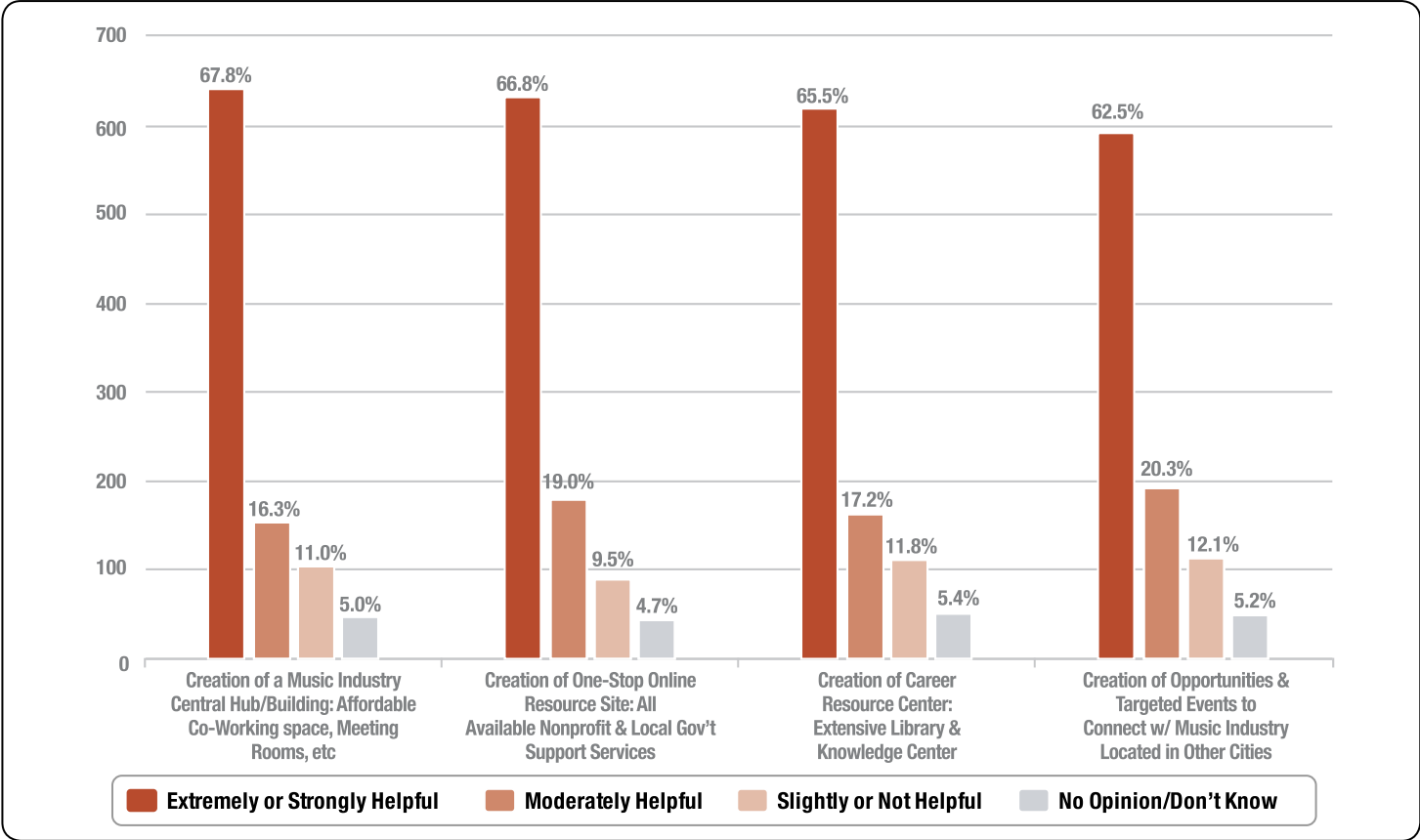
Needs and Gaps Category: PROFESSIONAL EDUCATION AND SKILLS DEVELOPMENT



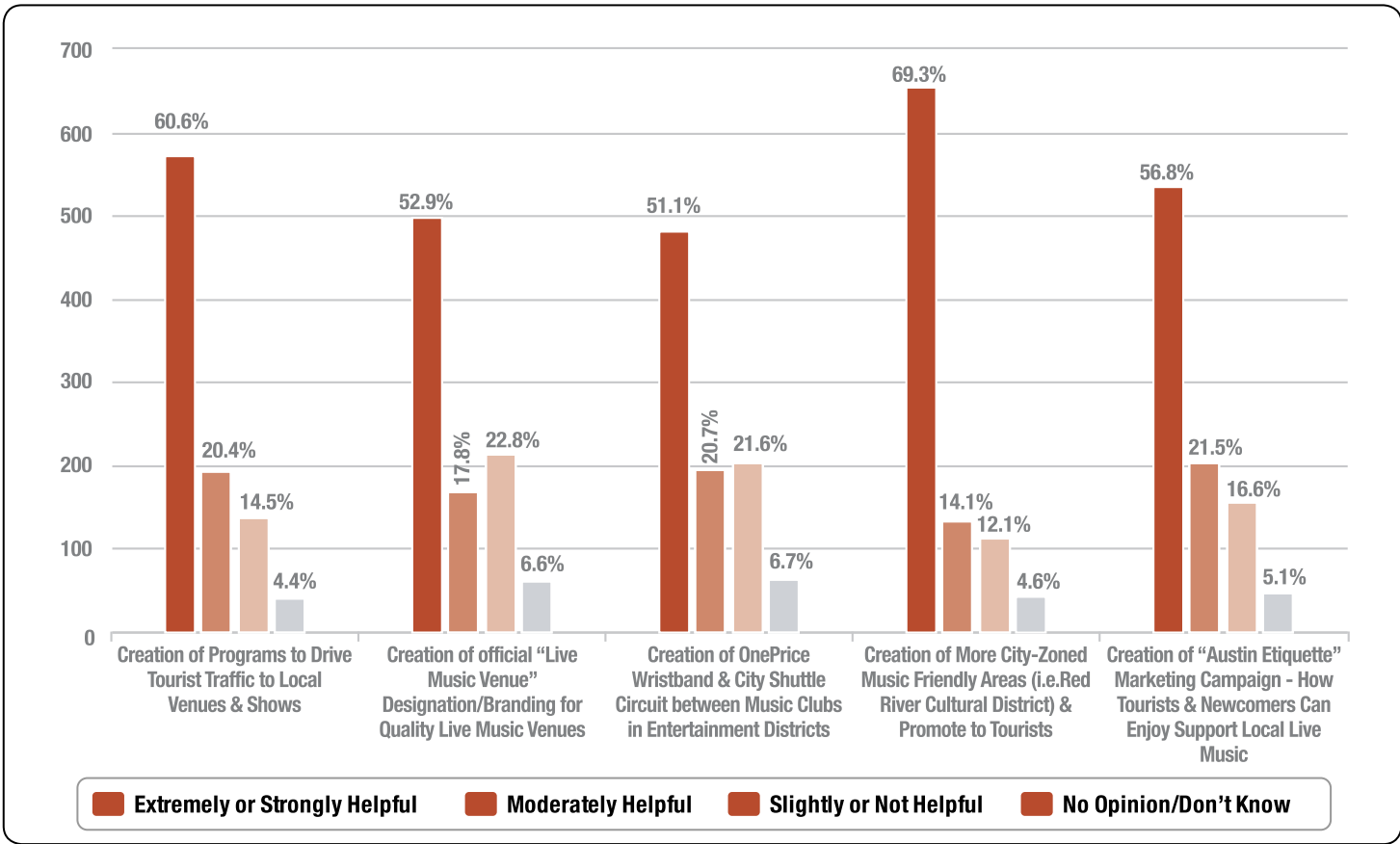
Needs and Gaps Category: INDUSTRY RESOURCES



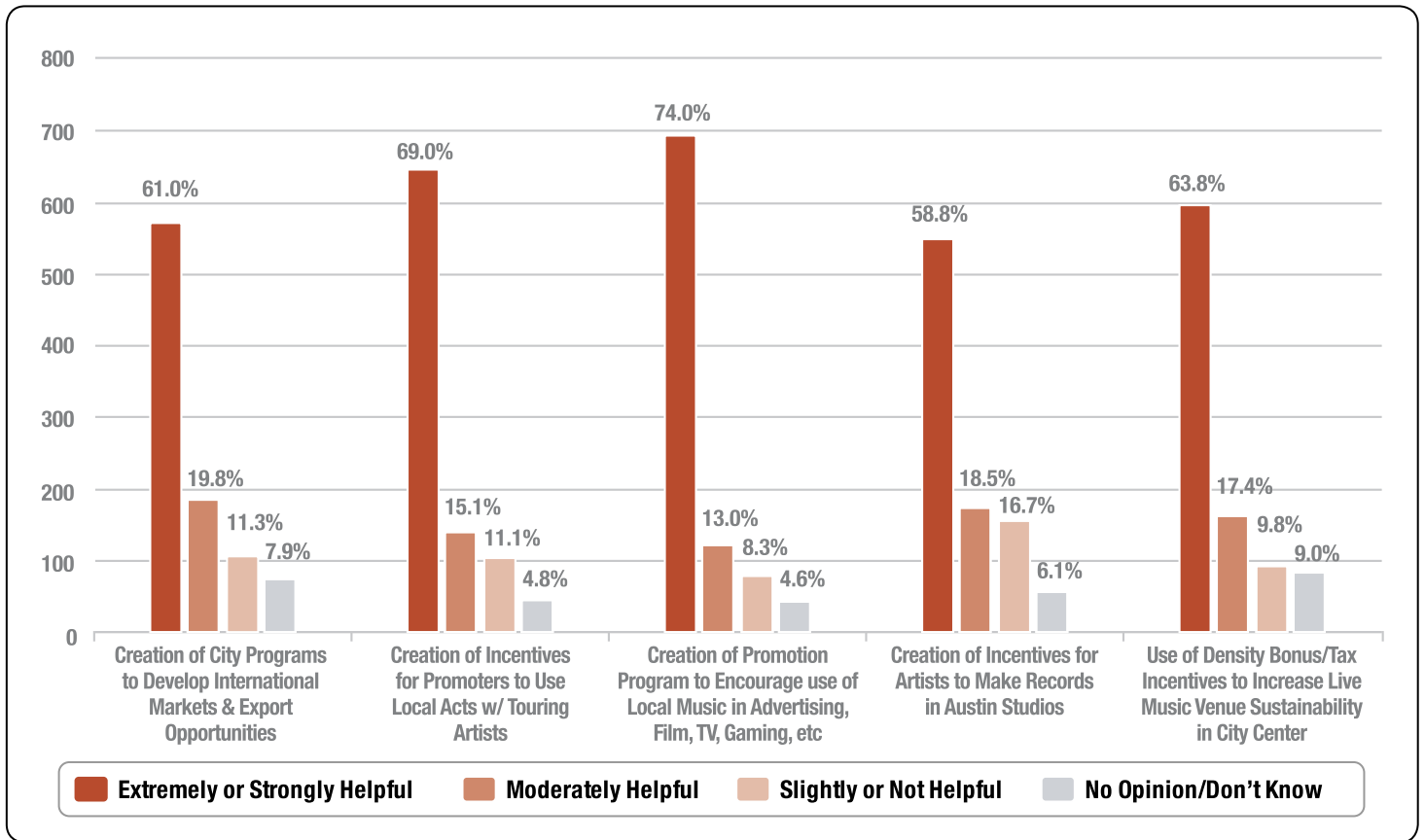
Ideas and Proposals Category: CAREER DEVELOPMENT AND CONNECTIVITY



Ideas and Proposals Category: TOURISM AND MARKET DEVELOPMENT



Ideas and Proposals Category: CITY PROGRAMS



Appendix VI

Business Owners-Only Respondent Data Chart List

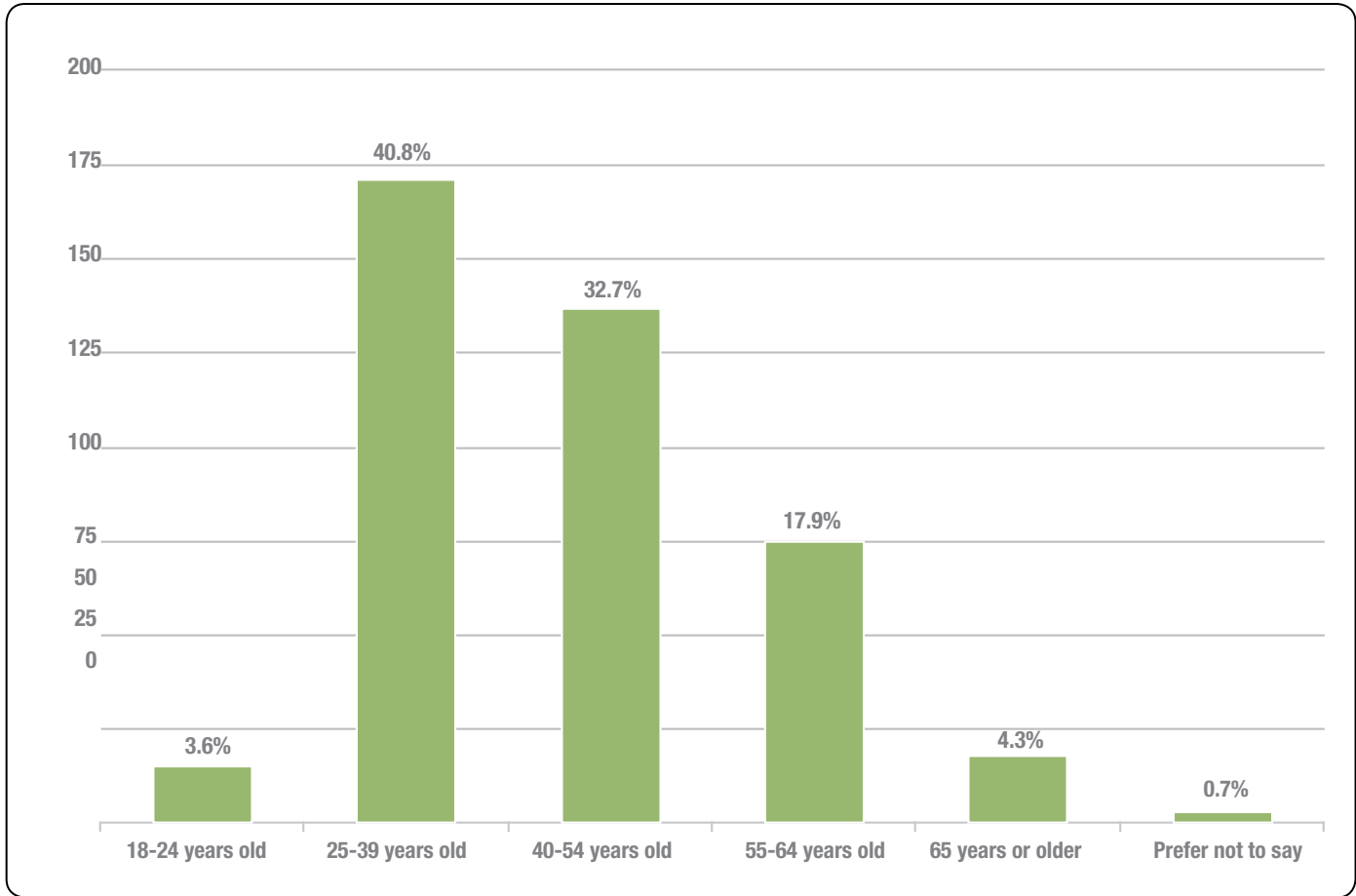
CHARTS APPEAR IN THIS SEQUENCE:

Age Breakdown
Business Launch and Growth Financing
Number of Years in Operation
Number of Full-Time Employees or FTE Equivalents
Number of Employees by Years in Operation
2013 Business Gross Income
2013 Gross Business Income by Years in Operation
2013 Pre-Tax Individual Income (All Industry OWNERS, All Income Sources)
2013 Pre-Tax Individual Income (All Industry OWNERS, Music Industry Income Only)
2013 Pre-Tax Individual Income (Only Industry OWNERS w/ Music Industry + Augmented Income)
2013 Pre-Tax Individual Income (Only Industry OWNERS w/ 100% Income from Music Industry)
Individual Owner Net Income by Years Working in Music Industry
Needs and Gaps Category: LIVING AND AFFORDABILITY
Needs and Gaps Category: CONNECTIVITY AND COLLABORATION
Needs and Gaps Category: PROFESSIONAL EDUCATION AND SKILLS DEVELOPMENT
Needs and Gaps Category: INDUSTRY RESOURCES
Ideas and Proposals Category: CAREER DEVELOPMENT AND CONNECTIVITY
Ideas and Proposals Category: TOURISM AND MARKET DEVELOPMENT
Ideas and Proposals Category: CITY PROGRAMS

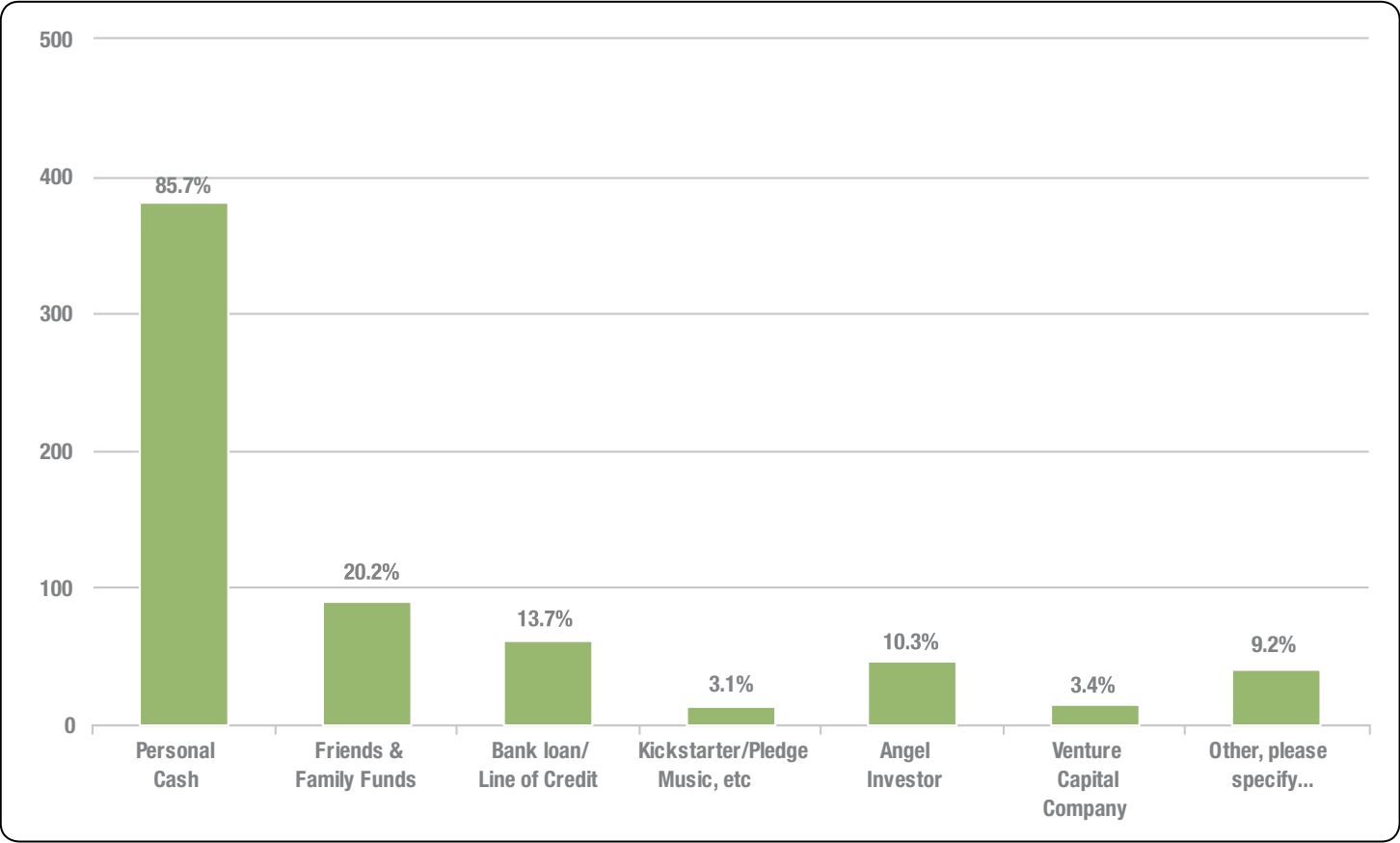
Appendix VI

Business Owner-Only Respondent Data Charts

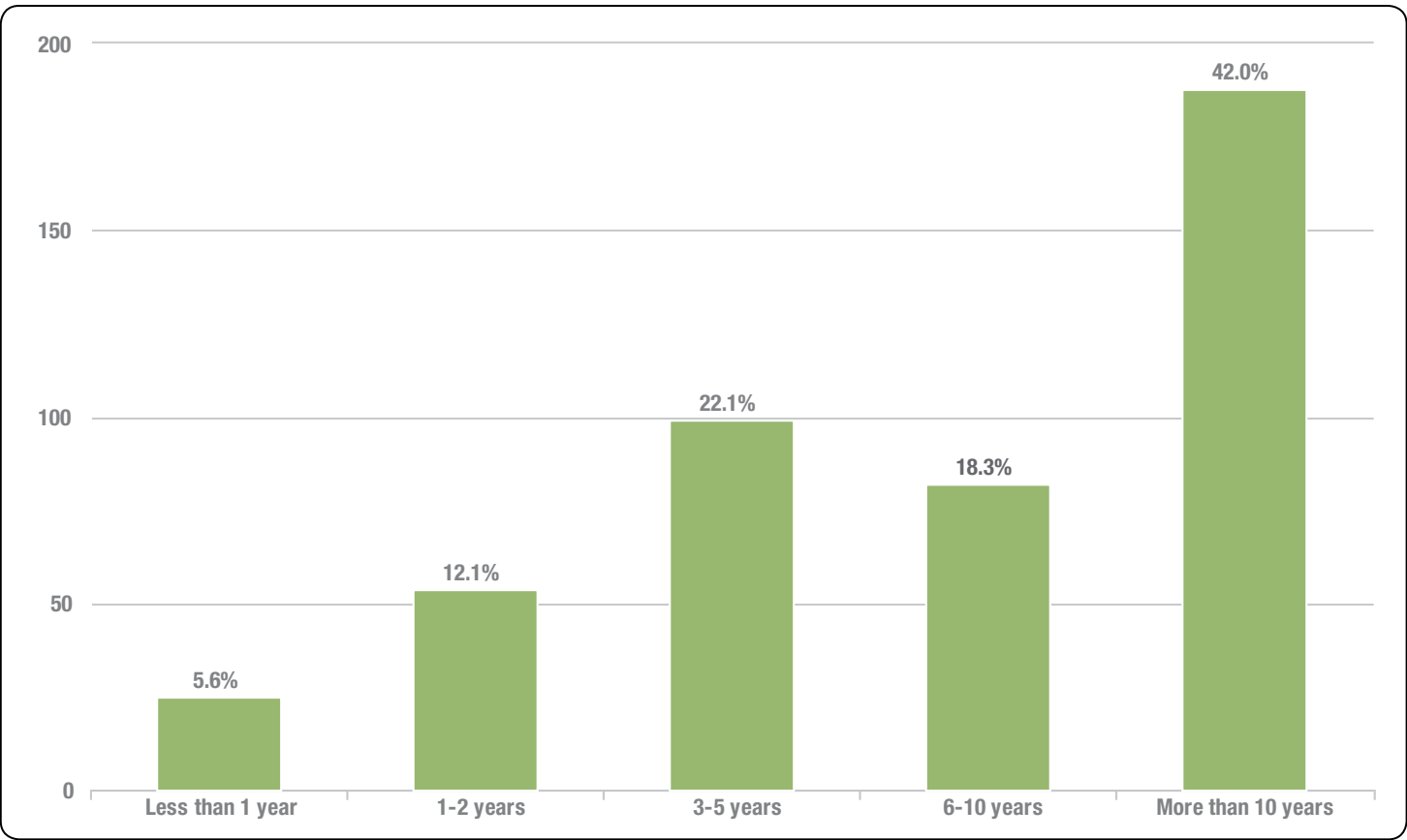
Age Breakdown



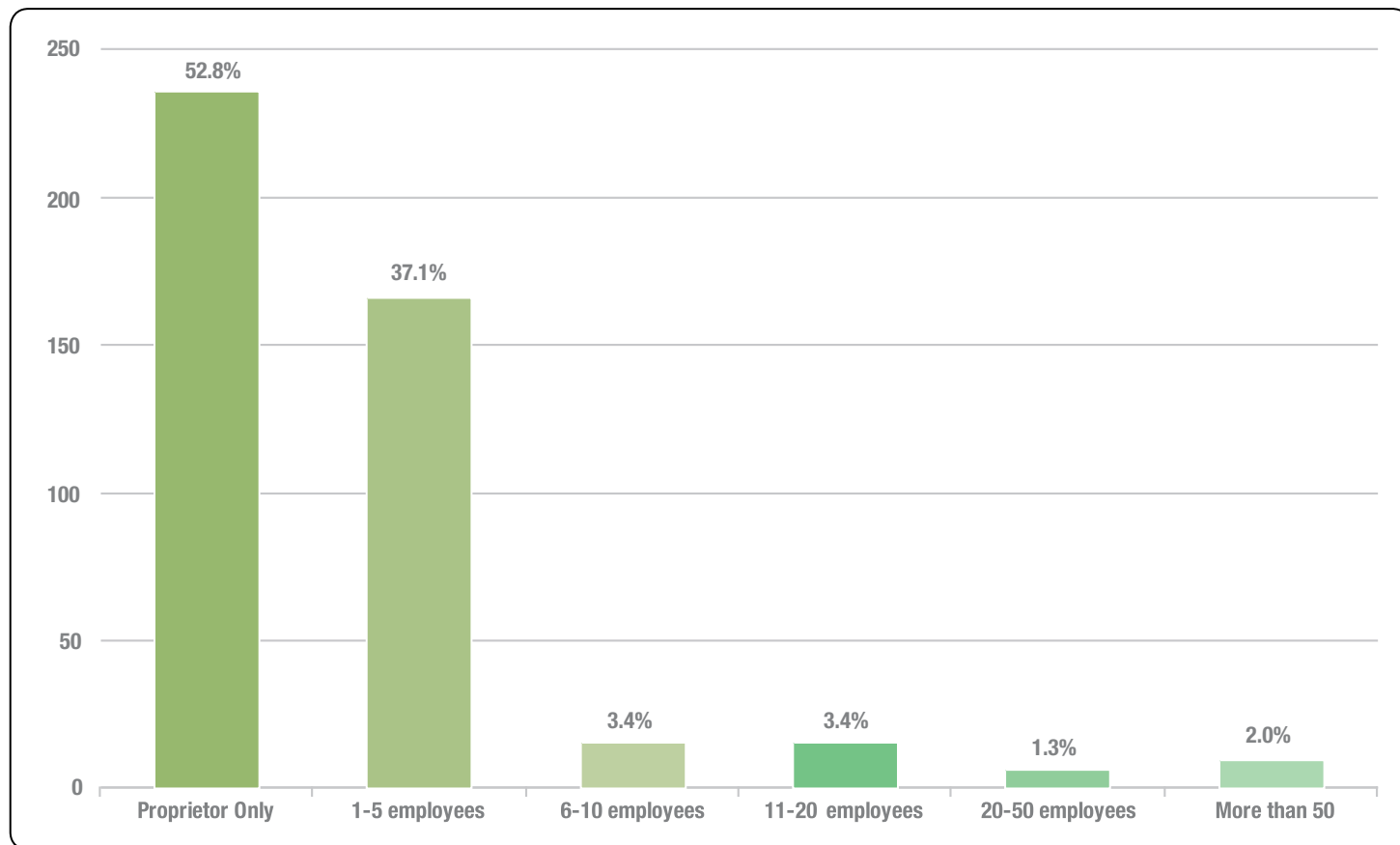
Business Launch and Growth Financing



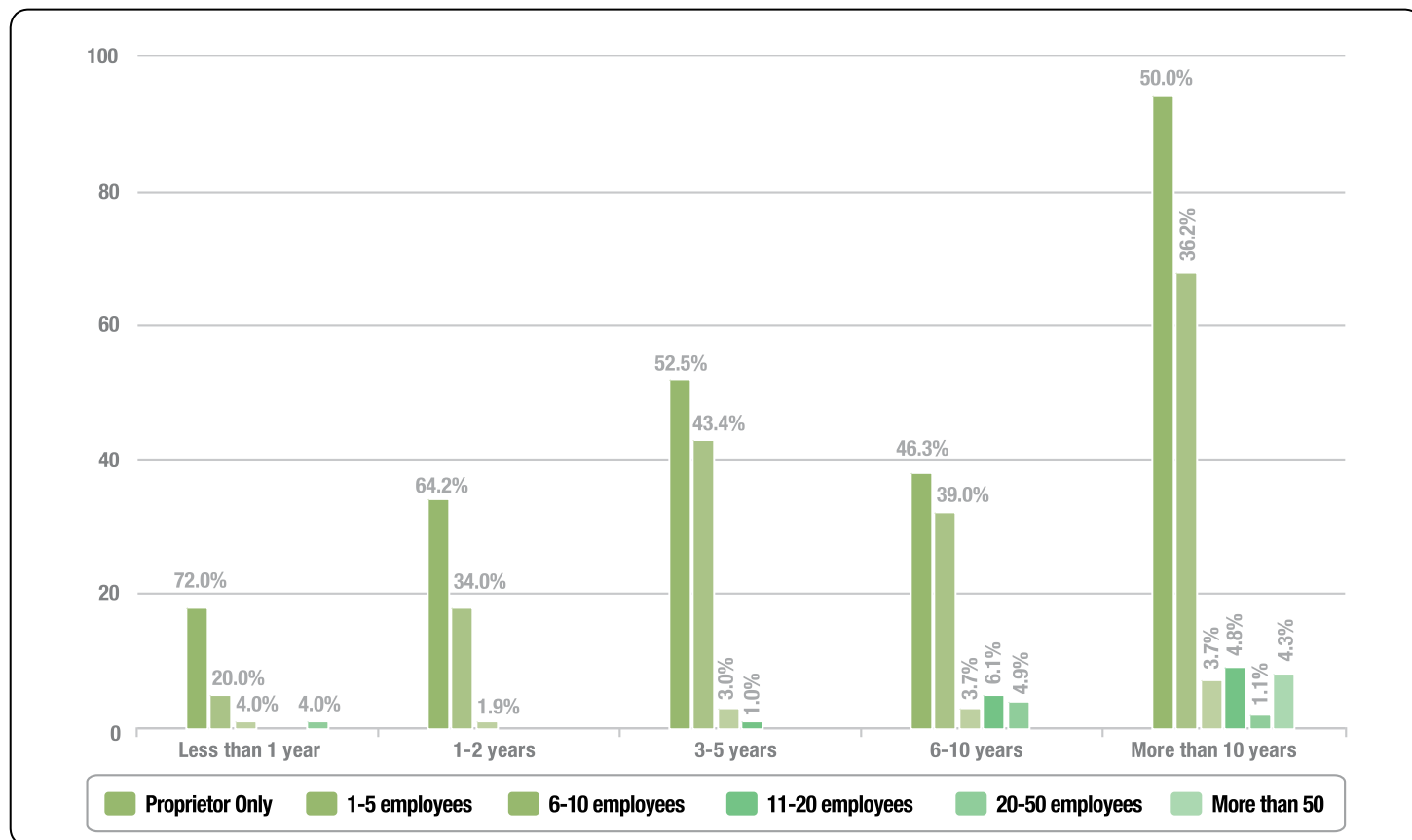
Number of Years in Operation



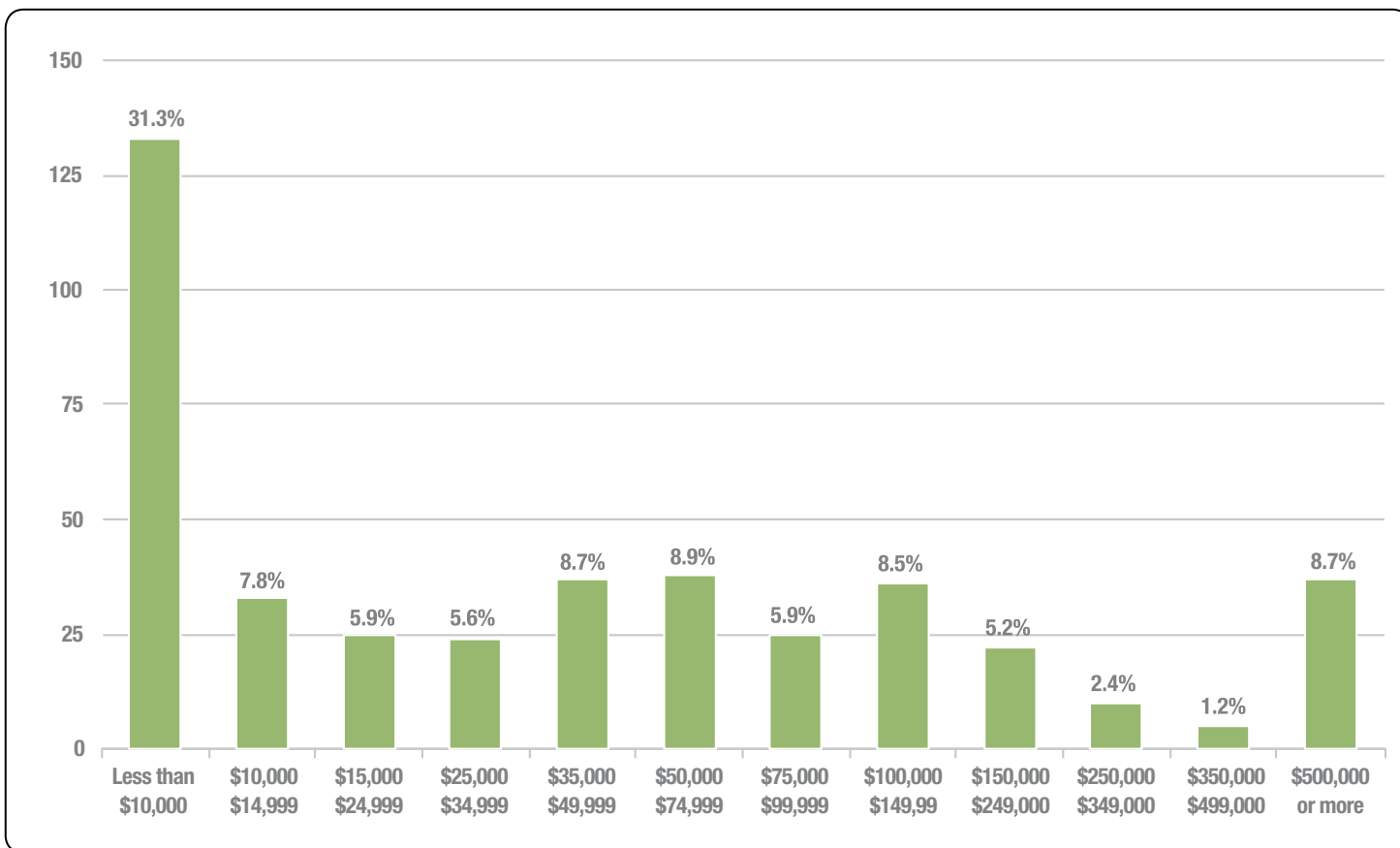
Number of Full-Time Employees or FTE Equivalents



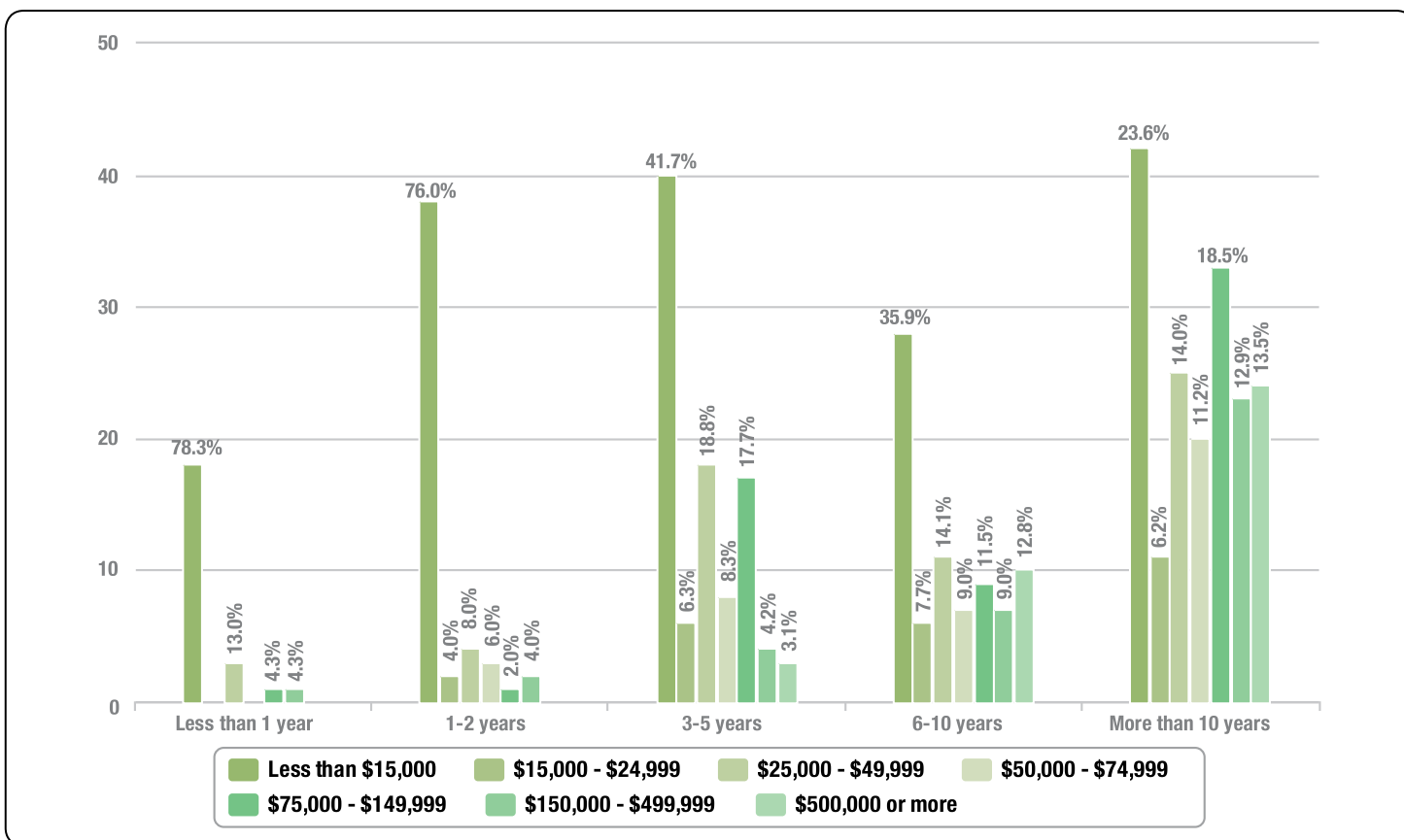
Number of Employees by Years in Operation



2013 Business Gross Income



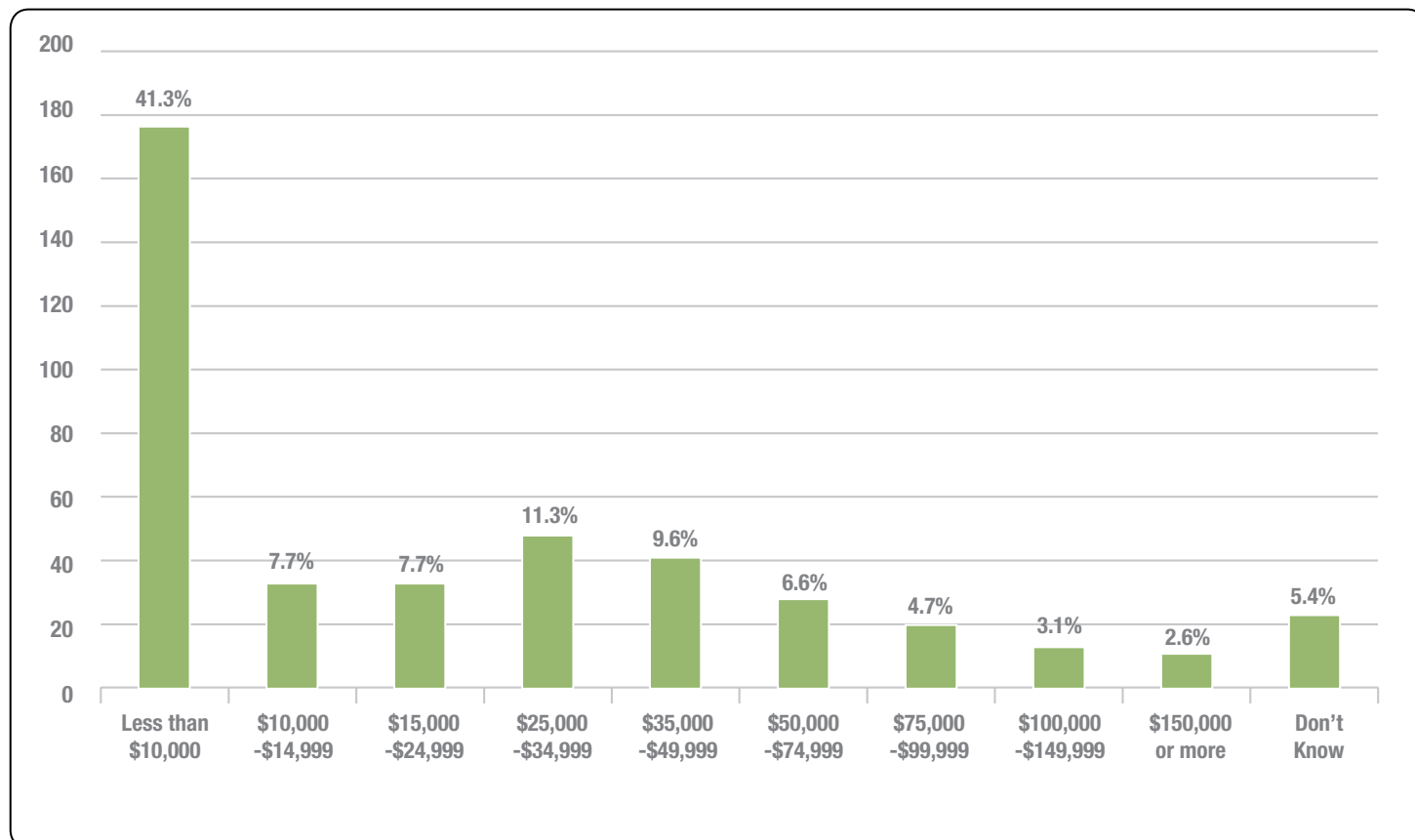
2013 Gross Business Income by Years in Operation



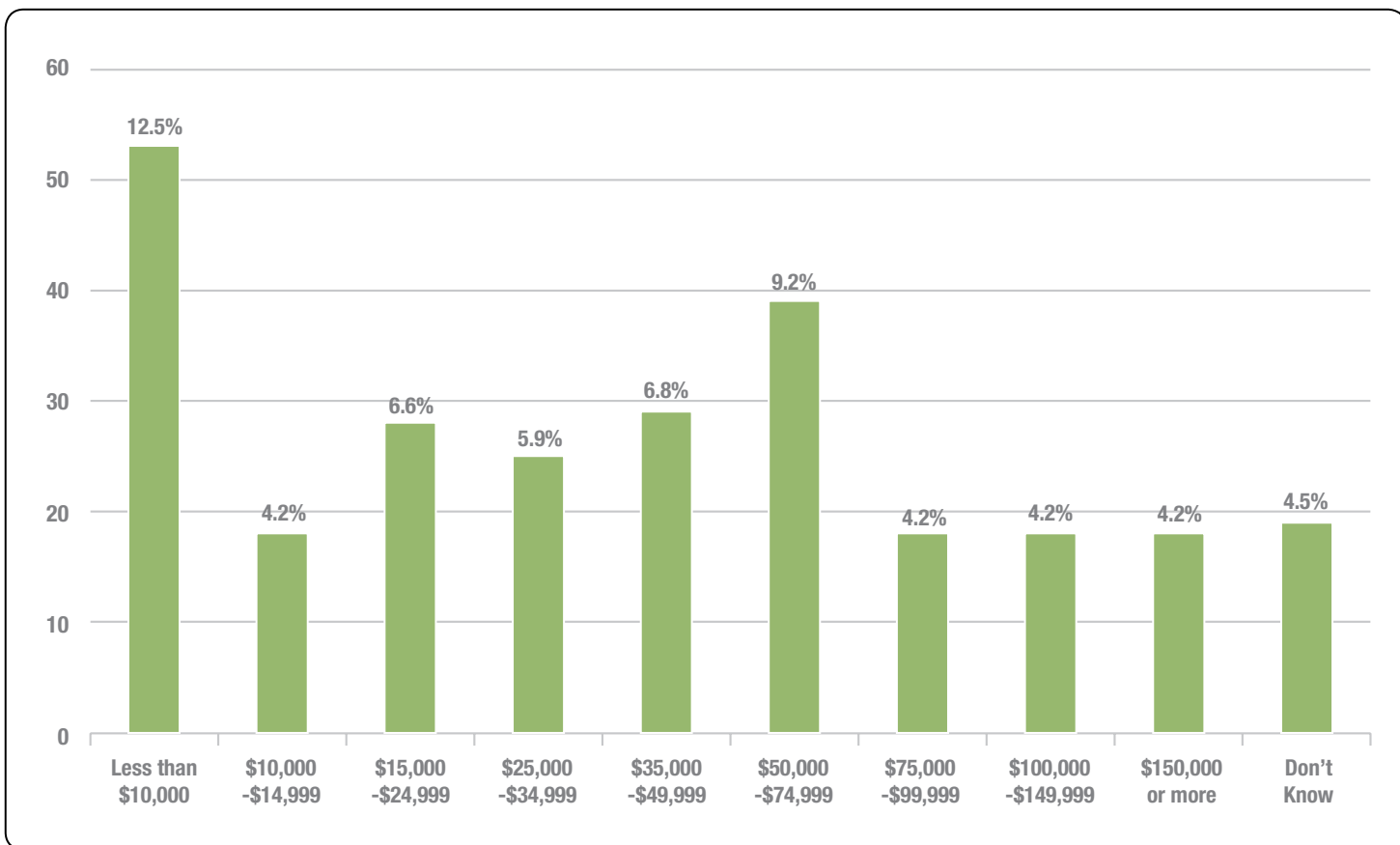
2013 Pre-Tax Individual Income (All Industry OWNERS, All Income Sources)



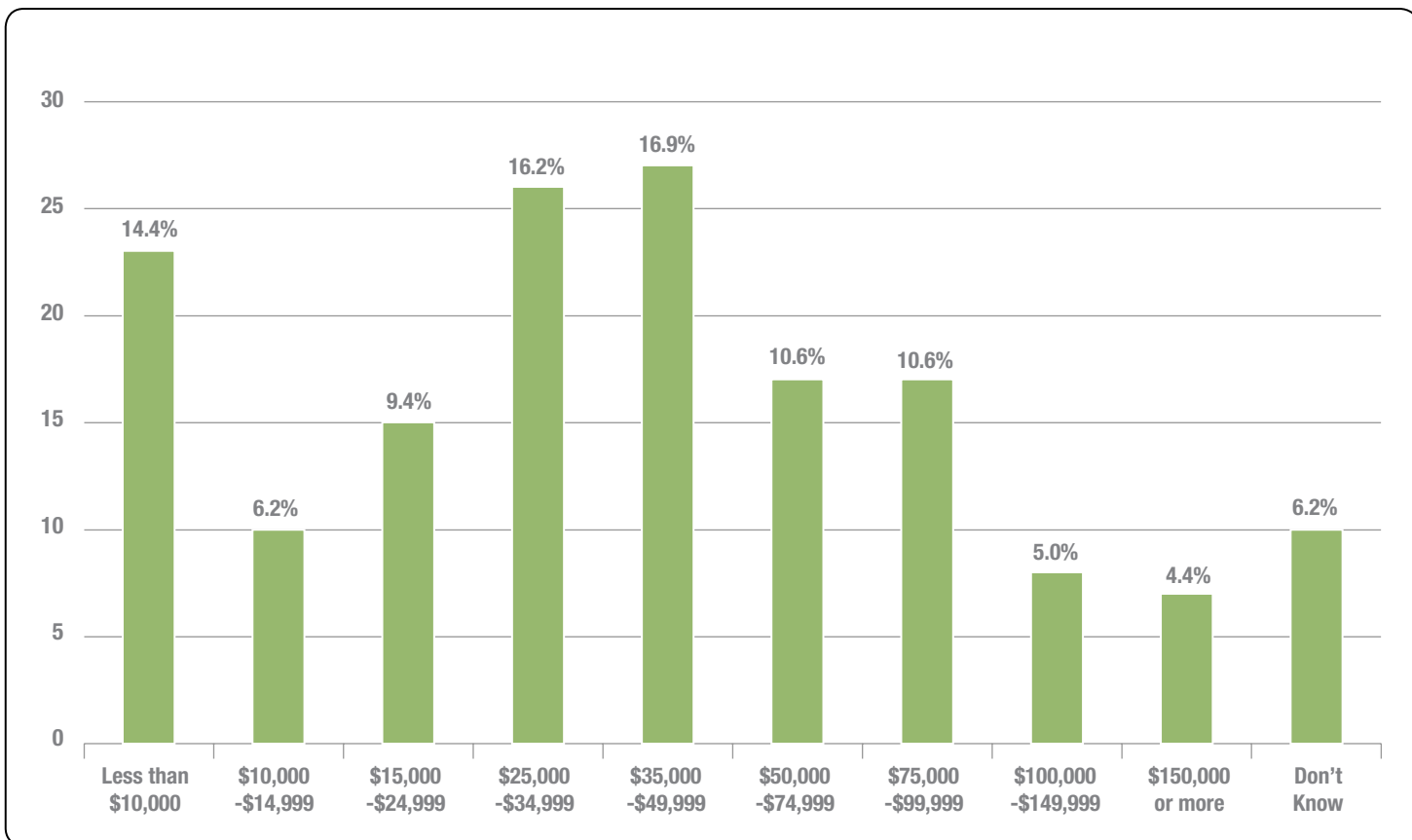
2013 Pre-Tax Individual Income (All Industry OWNERS, Music Industry Income Only)



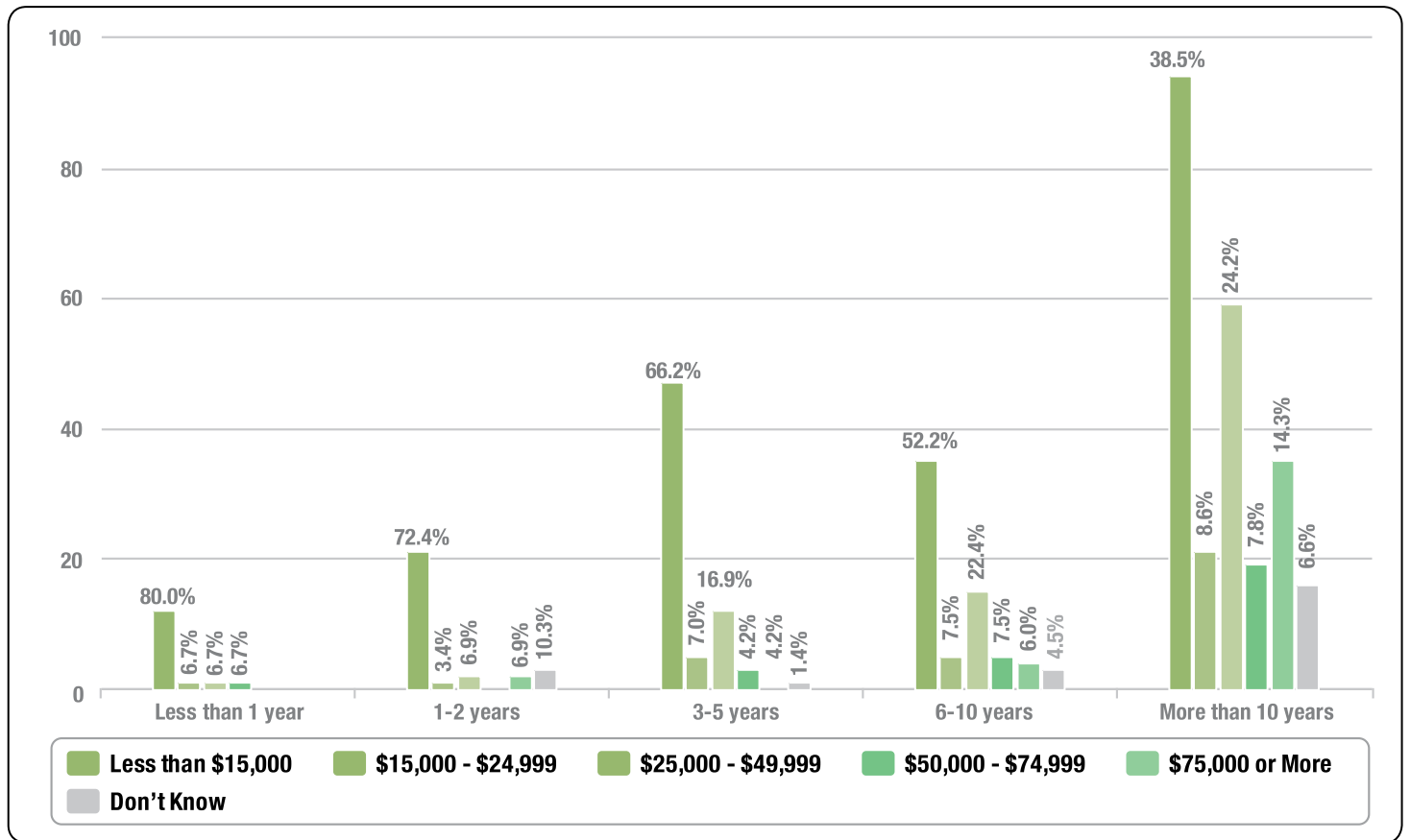
2013 Pre-Tax Individual Income (Only Industry OWNERS w/ Music Industry + Augmented Income)



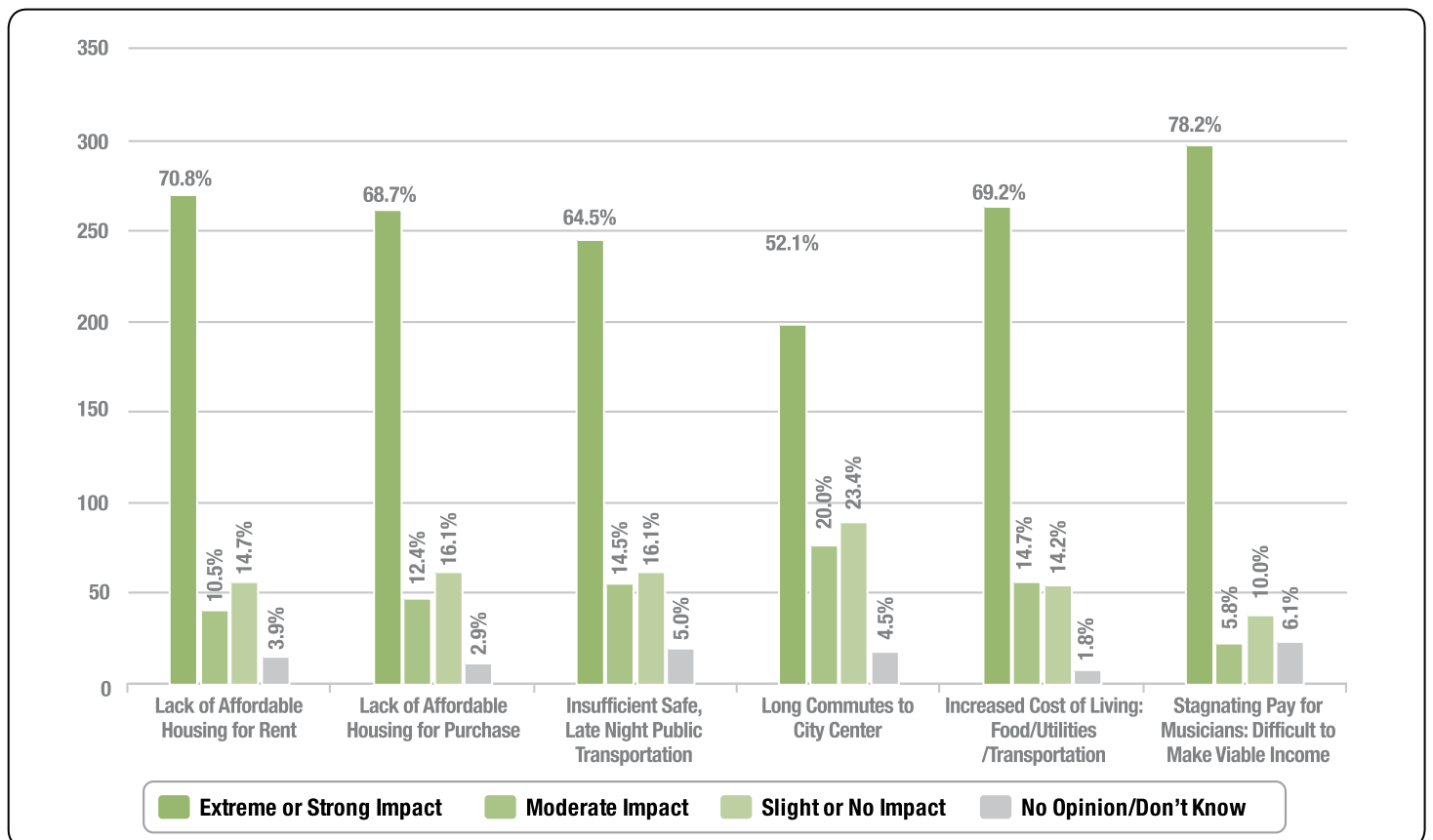
2013 Pre-Tax Individual Income (Only Industry OWNERS w/ 100% Income from Music Industry)



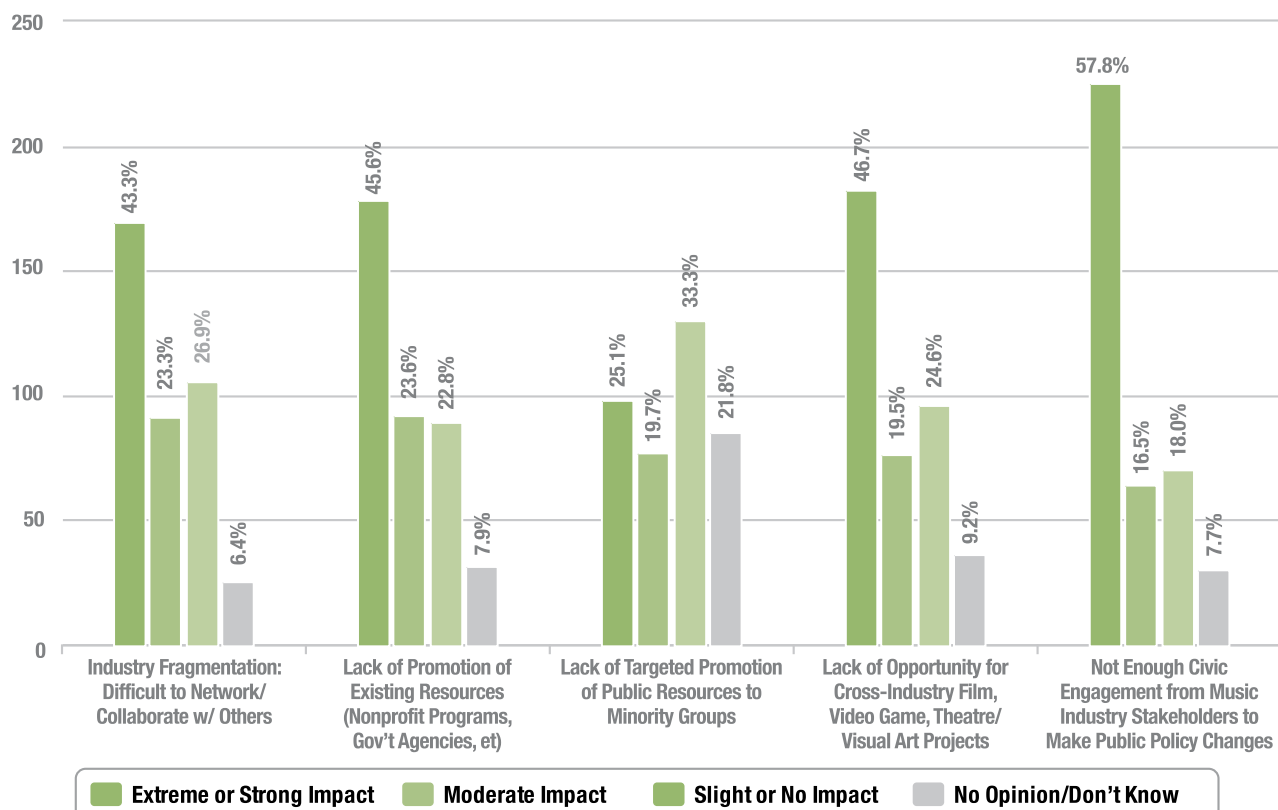
Individual Owner Net Income by Years Working in Music Industry



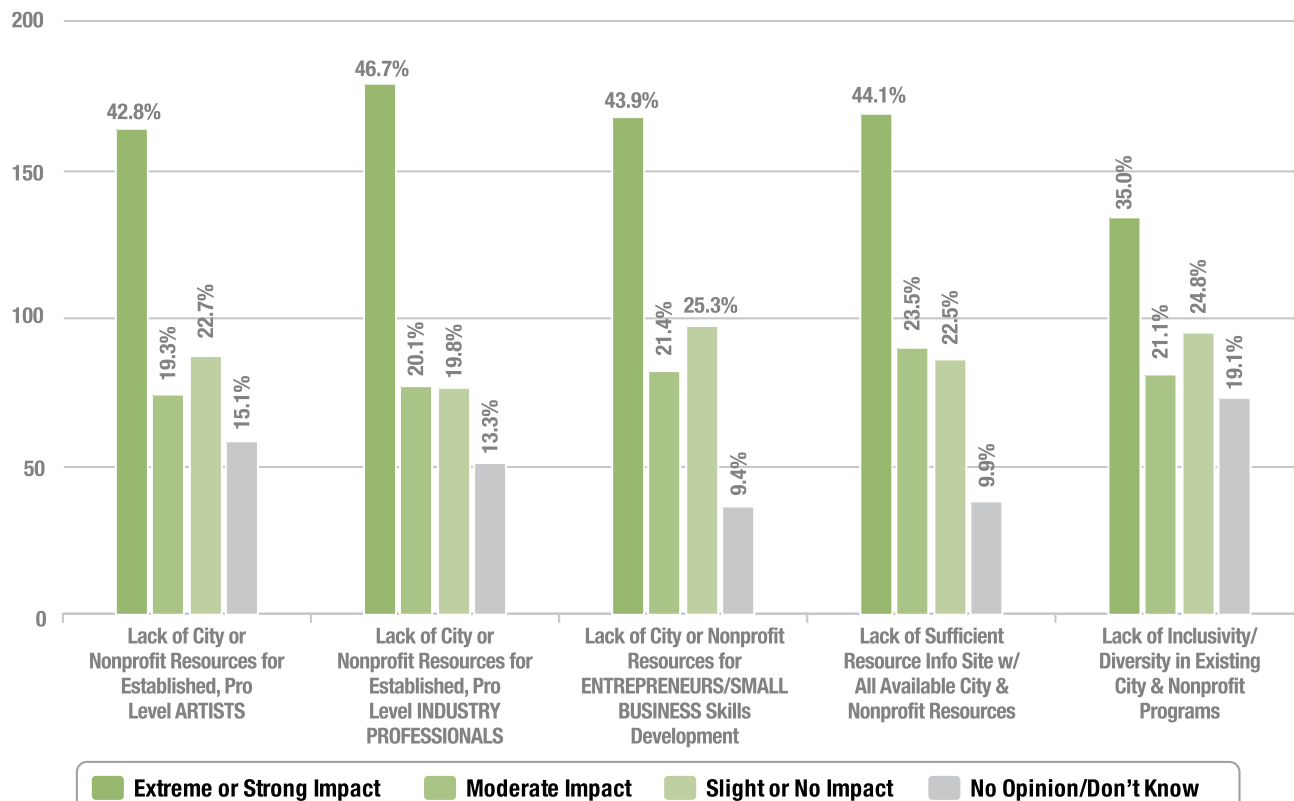
Needs and Gaps Category: LIVING AND AFFORDABILITY



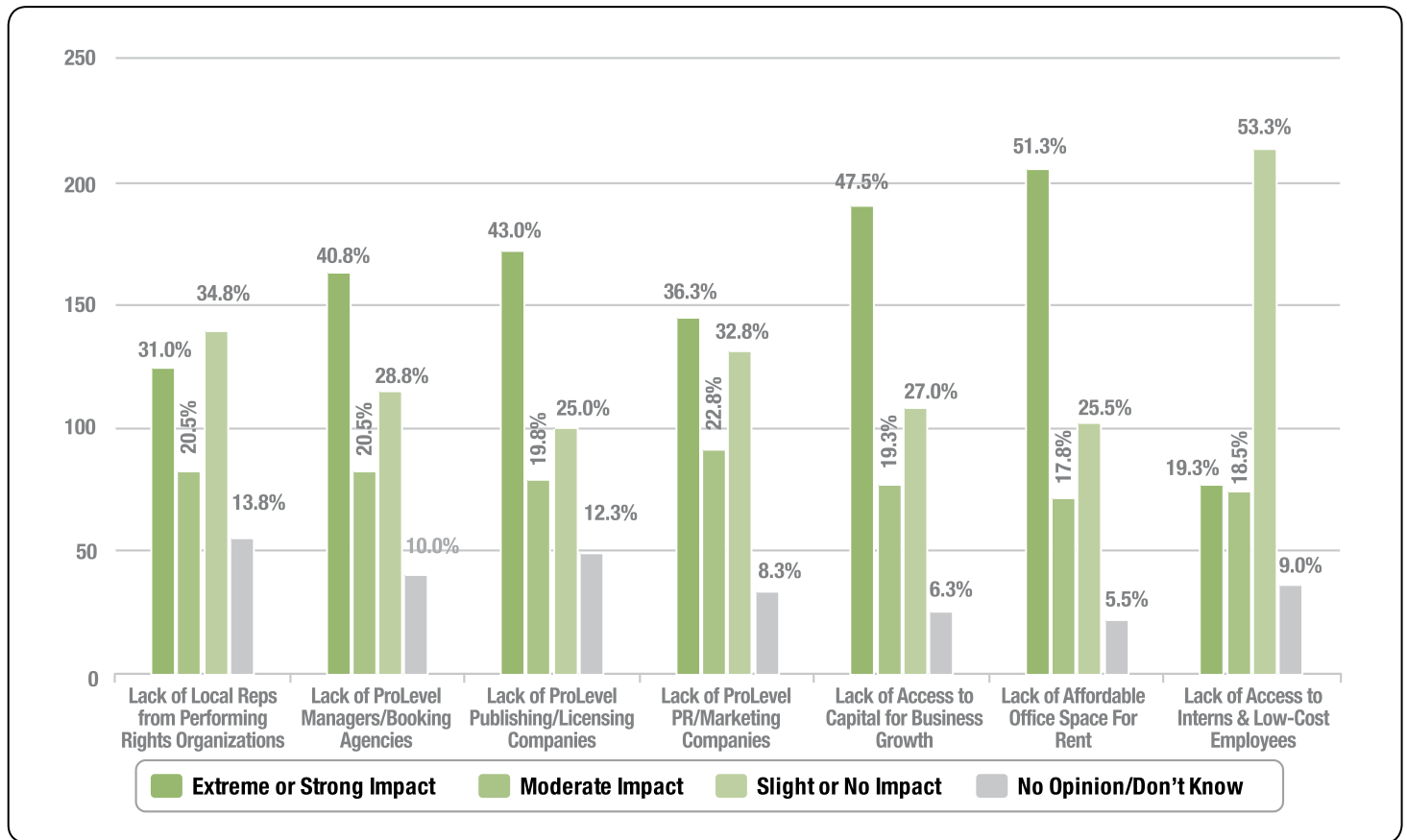
Needs and Gaps Category: CONNECTIVITY AND COLLABORATION



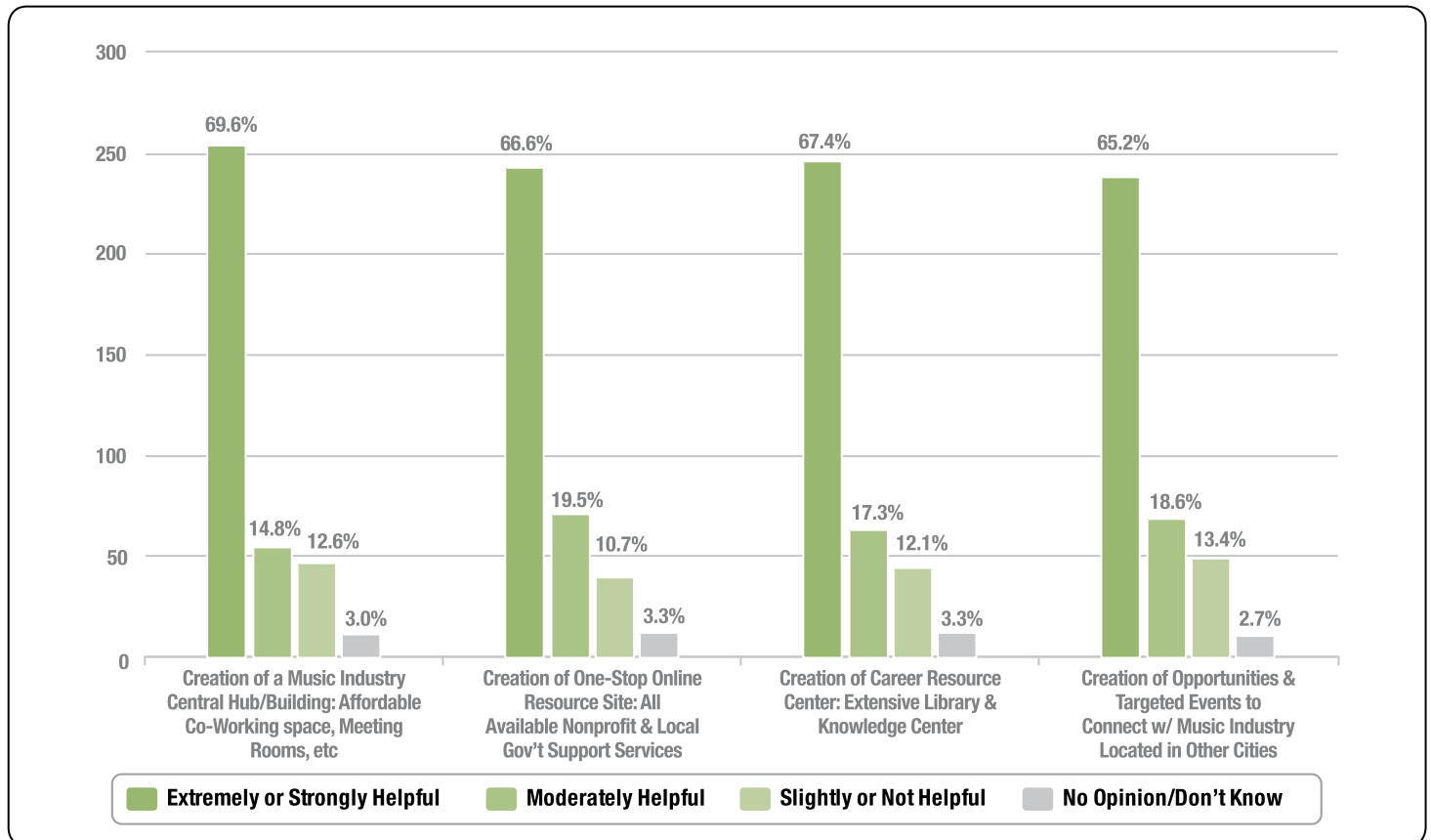
Needs and Gaps Category: PROFESSIONAL EDUCATION AND SKILLS DEVELOPMENT



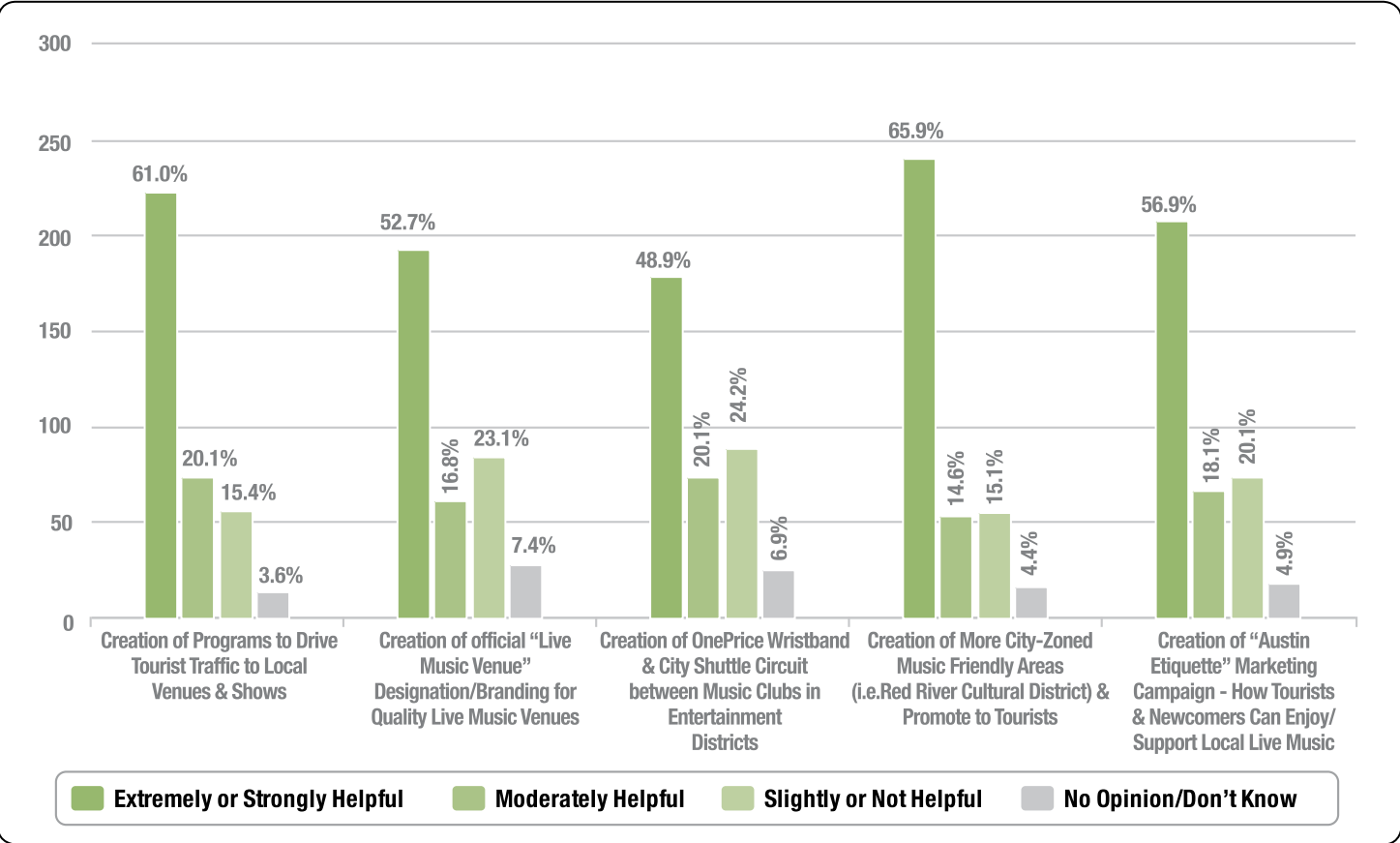
Needs and Gaps Category: INDUSTRY RESOURCES



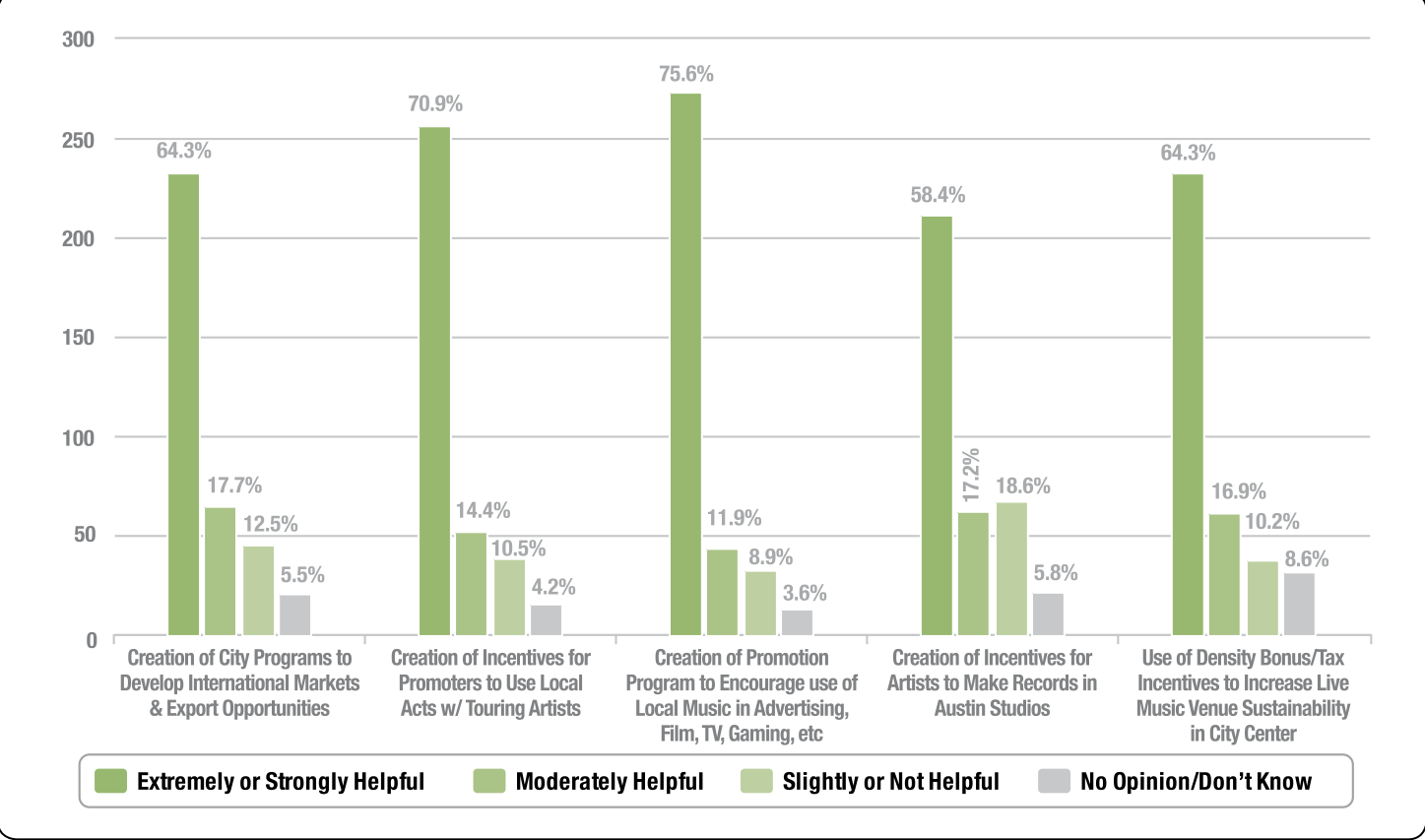
Ideas and Proposals Category: CAREER DEVELOPMENT AND CONNECTIVITY



Ideas and Proposals Category: TOURISM AND MARKET DEVELOPMENT



Ideas and Proposals Category: CITY PROGRAMS



Appendix VII

Venue Owners & Managers-Only

Respondent Data Chart List

CHARTS APPEAR IN THIS SEQUENCE:

Venue Type Breakdown
Percent of Venues that Offer Live Music
Venue Capacity
Venues that Have Outdoor Music Permit
Average Number of Nights Per Week of Live Music
Average Number of Hours Per Week of Live Music
Average Percent of Touring (Non-Local) Shows
Venue Launch & Growth Financing
Number of Years in Operation
Number of Full-Time Employees or FTE Equivalents
2013 Venue Gross Income
Austin Energy Utilities Rate for Venue Operation
Areas of Experience and Expertise
Current Means of Employment
Number of Years Working in a Venue
Gender Breakdown
Age Breakdown
Race and Ethnicity
Number of Years Living in Austin
Health Care Coverage
Housing: Rent vs. Own
Housing: Type of Residence
Number of Household Contributors to Rent or Mortgage
Prosperity Trends: Individual Income Increase/Decrease Over Past 3 Years
2013 Pre-Tax Individual Income (All Owner/Mgrs, All Income Sources)
2013 Pre-Tax Individual Income (All Owner/Mgrs, Music Industry Income Only)
2013 Pre-Tax Individual Income (Only Owner/Mgrs w/ Music Industry + Augmented Income)
2013 Pre-Tax Individual Income (Only Owner/Mgrs w/ 100% Income from Music Industry)
Venue Challenges Category: COSTS AND COMPETITION
Venue Challenges Category: CITY PERMITS AND ENFORCEMENT
Venue Challenges Category: SOUND ORDINANCE AND OUTDOOR MUSIC VENUE PERMITS

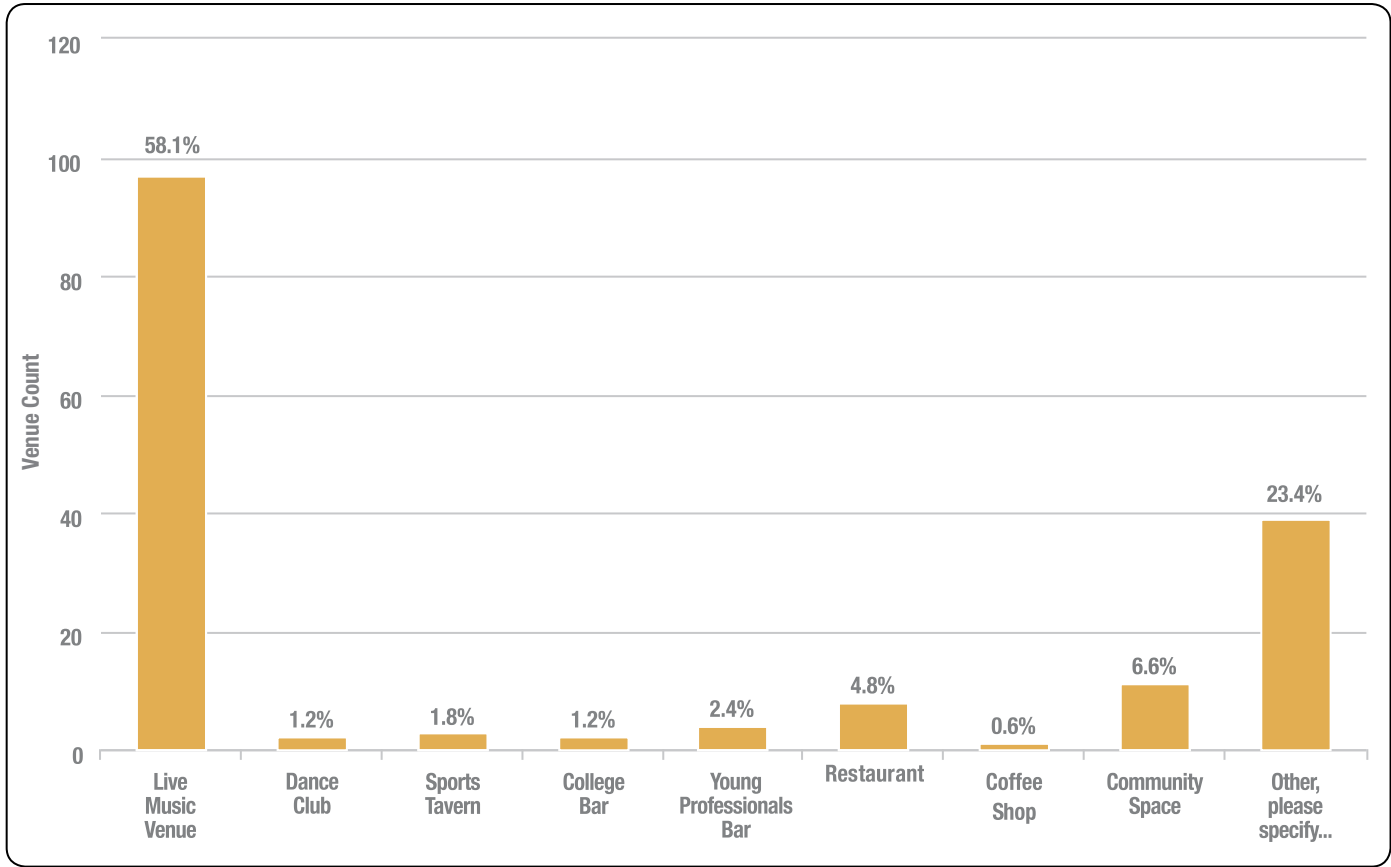
Venue Challenges Category: EVENTS AND TEMPORARY USE PERMITS
Needs and Gaps Category: LIVING AND AFFORDABILITY
Ideas and Proposals Category: TOURISM AND MARKET DEVELOPMENT

Appendix VII

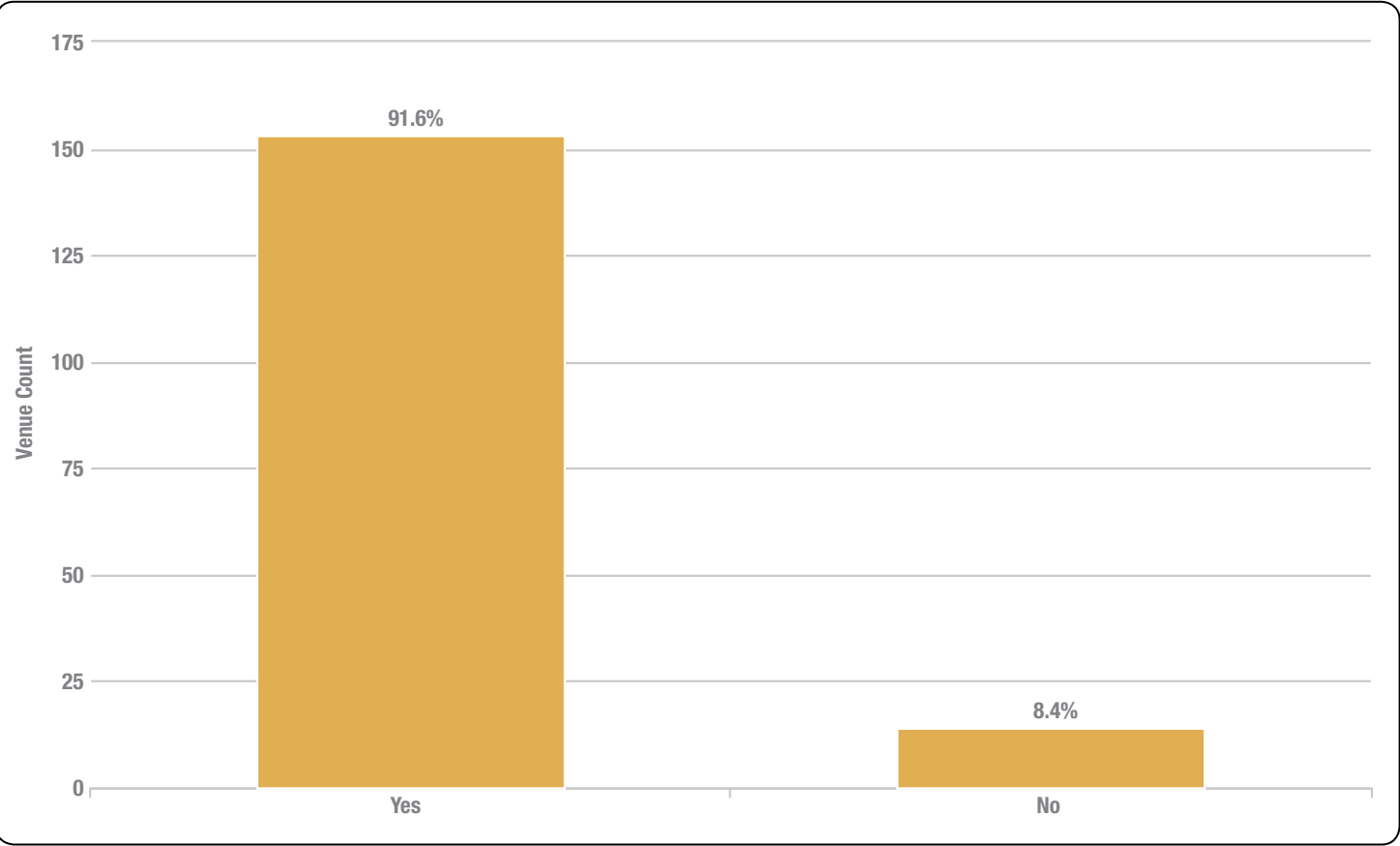
Venue Owner or Manager-Only Respondent Data Charts



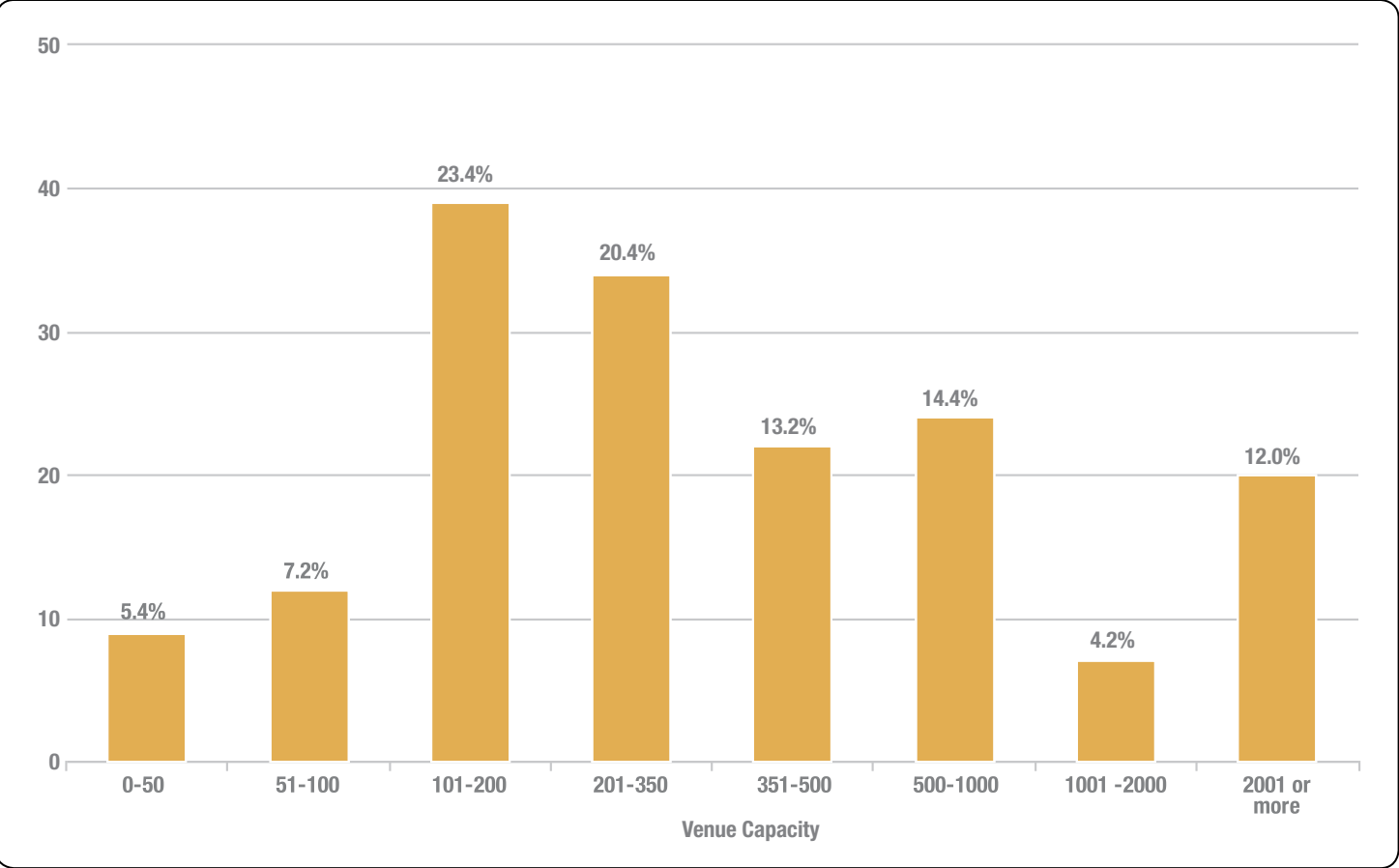
Venue Type Breakdown



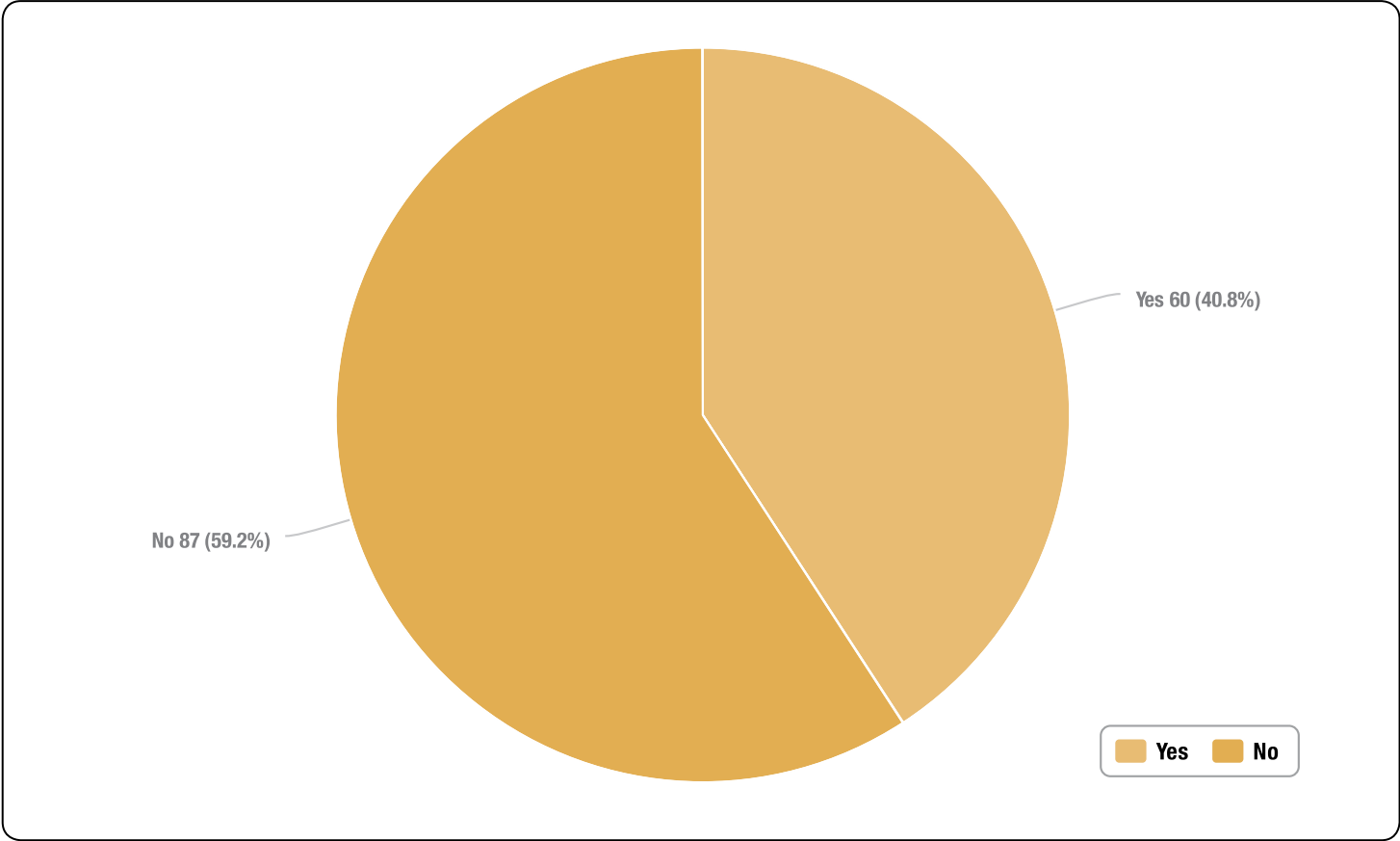
Percent of Venues that Offer Live Music



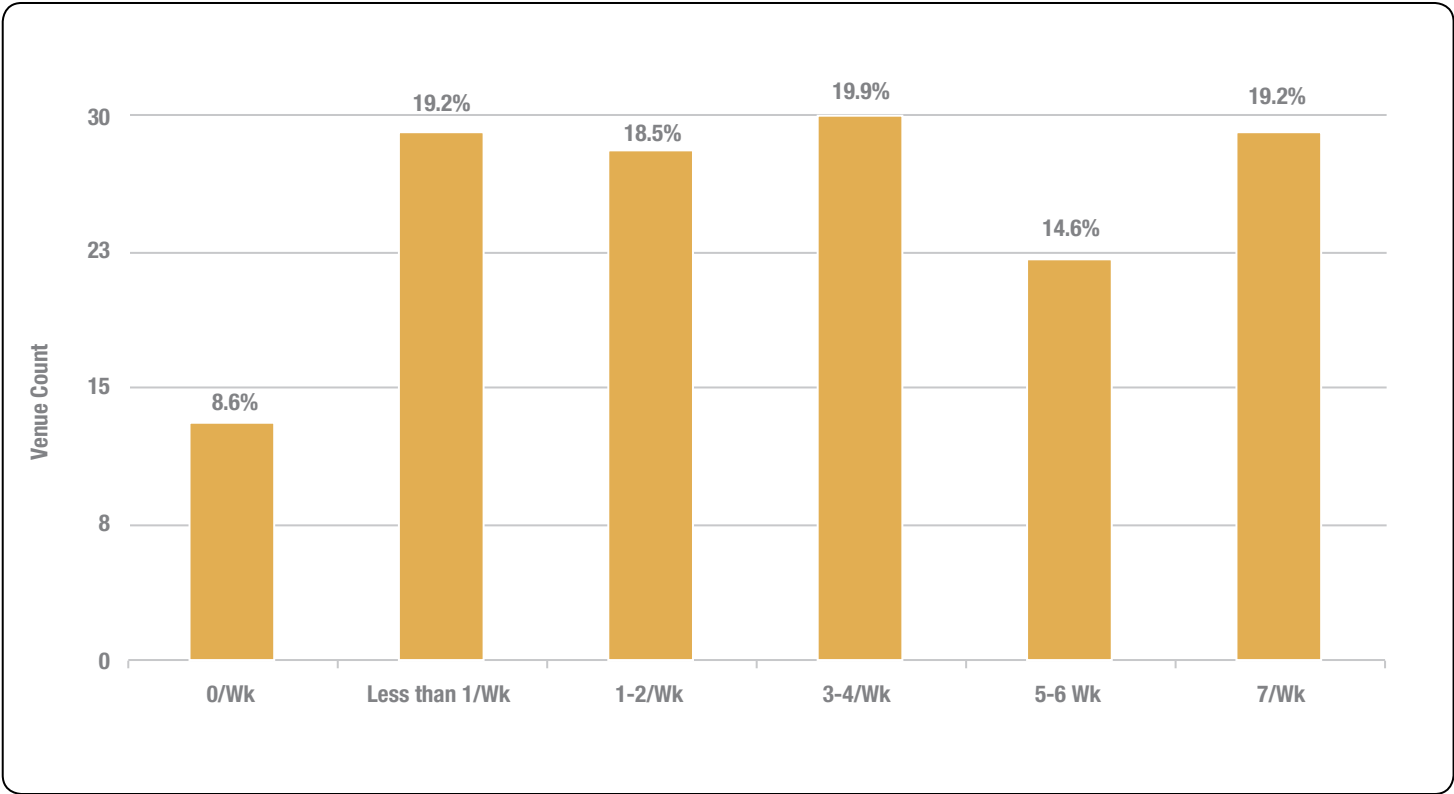
Venue Capacity



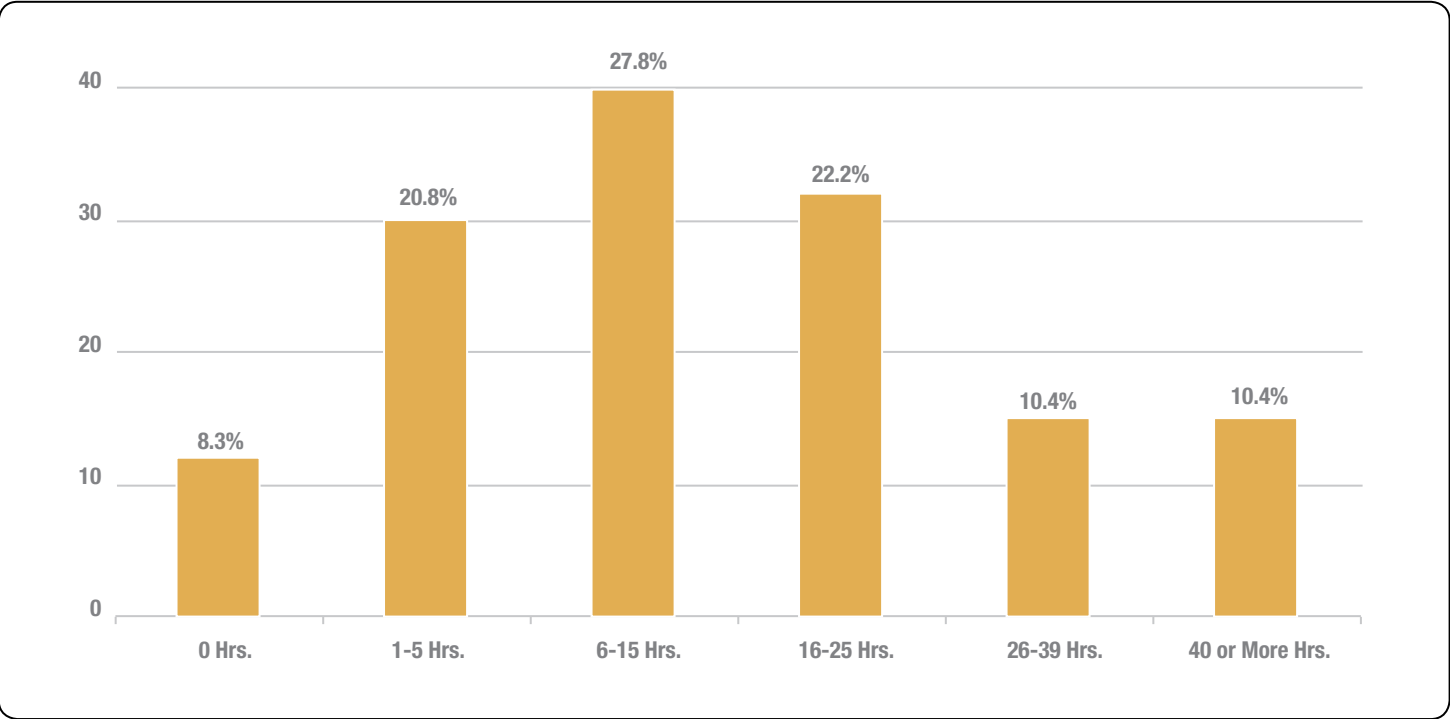
Venues that Have Outdoor Music Permit



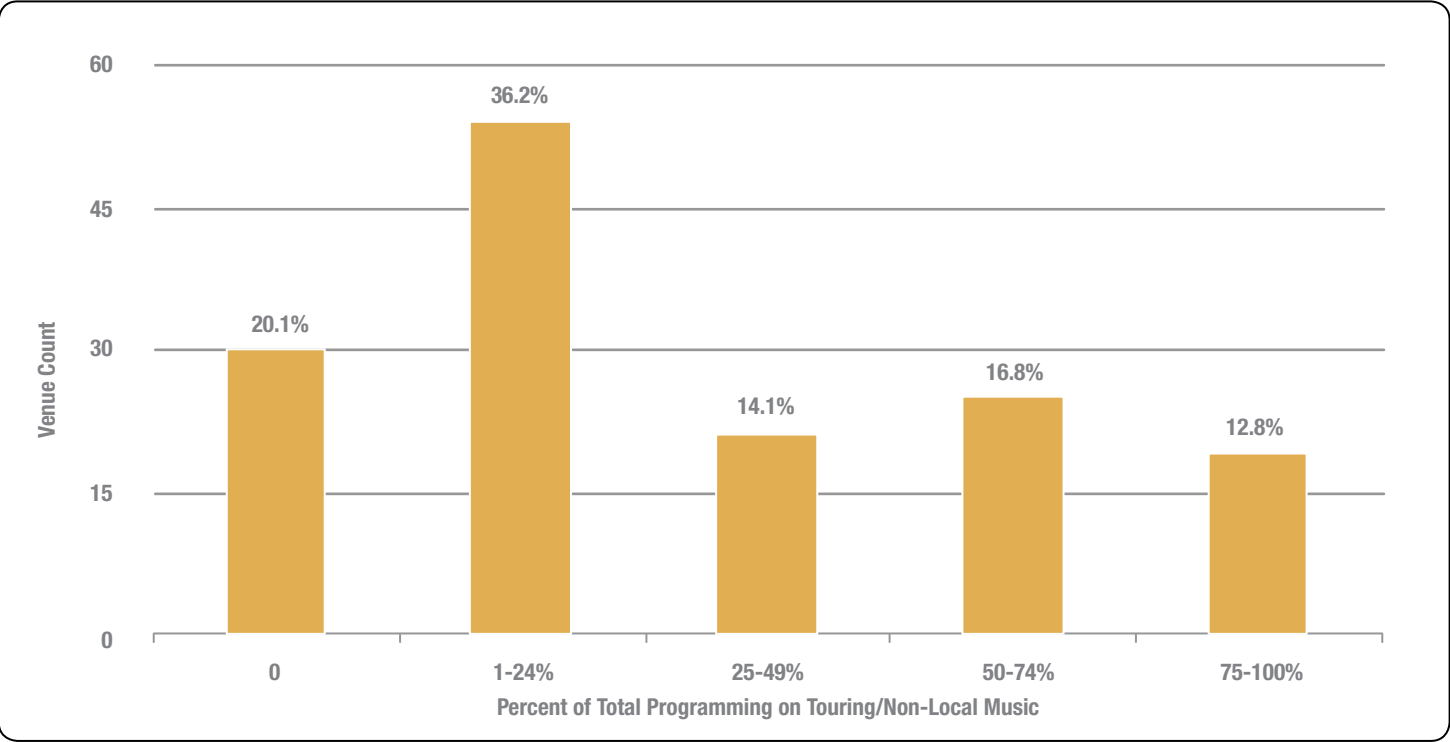
Average Number of Nights Per Week of Live Music



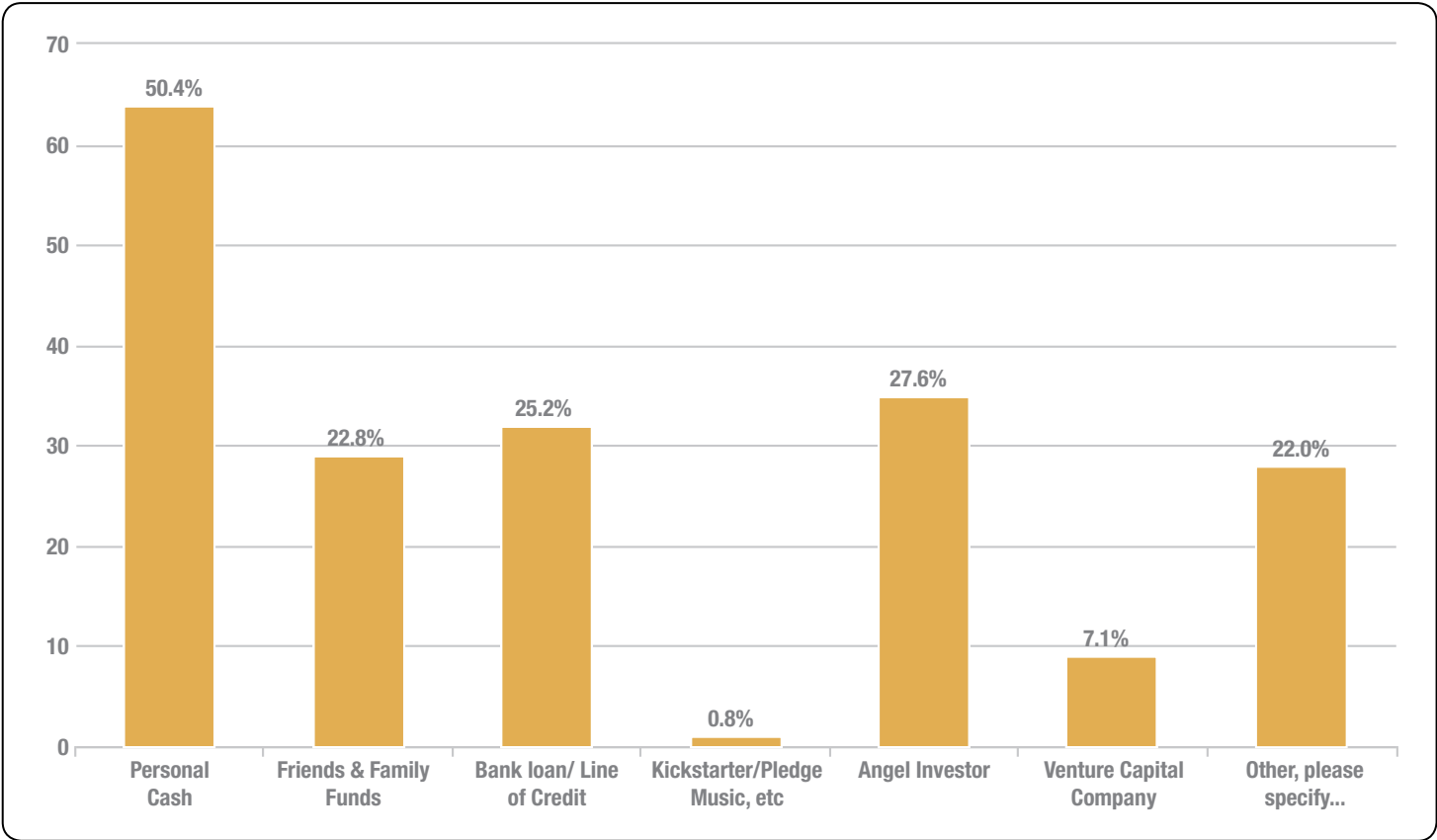
Average Number of Hours Per Week of Live Music



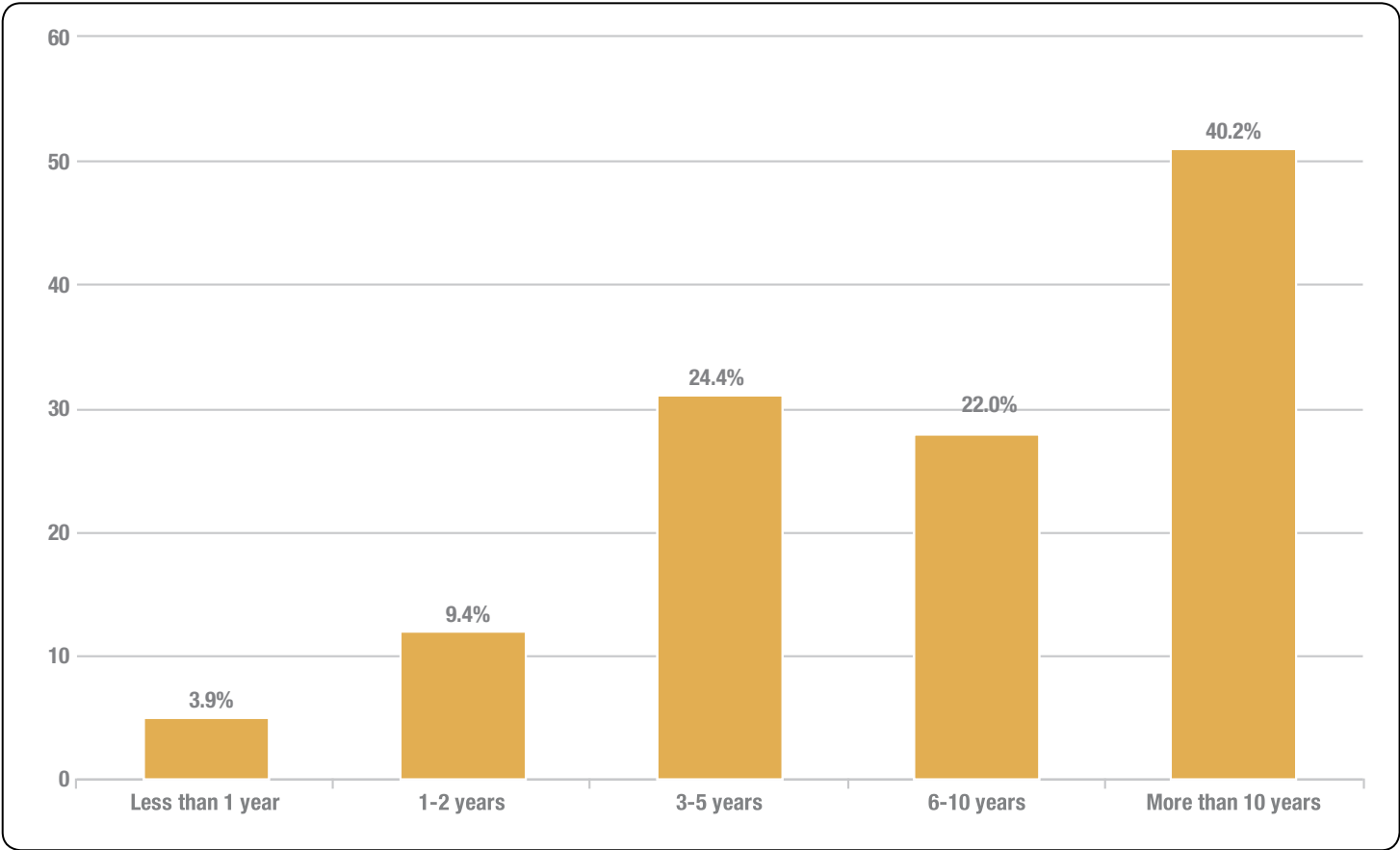
Average Percent of Touring/Non-Local Music



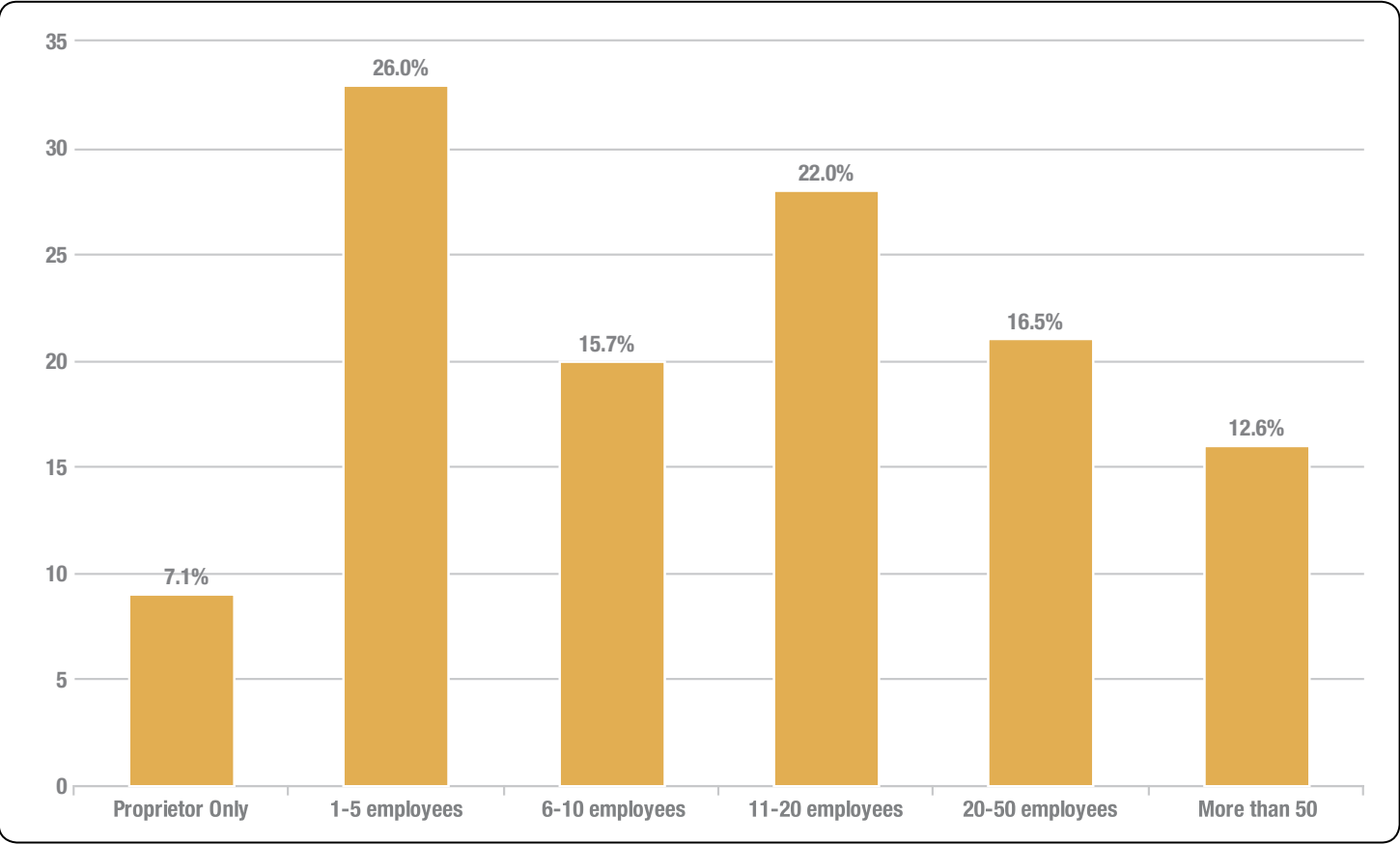
Venue Launch & Growth Financing



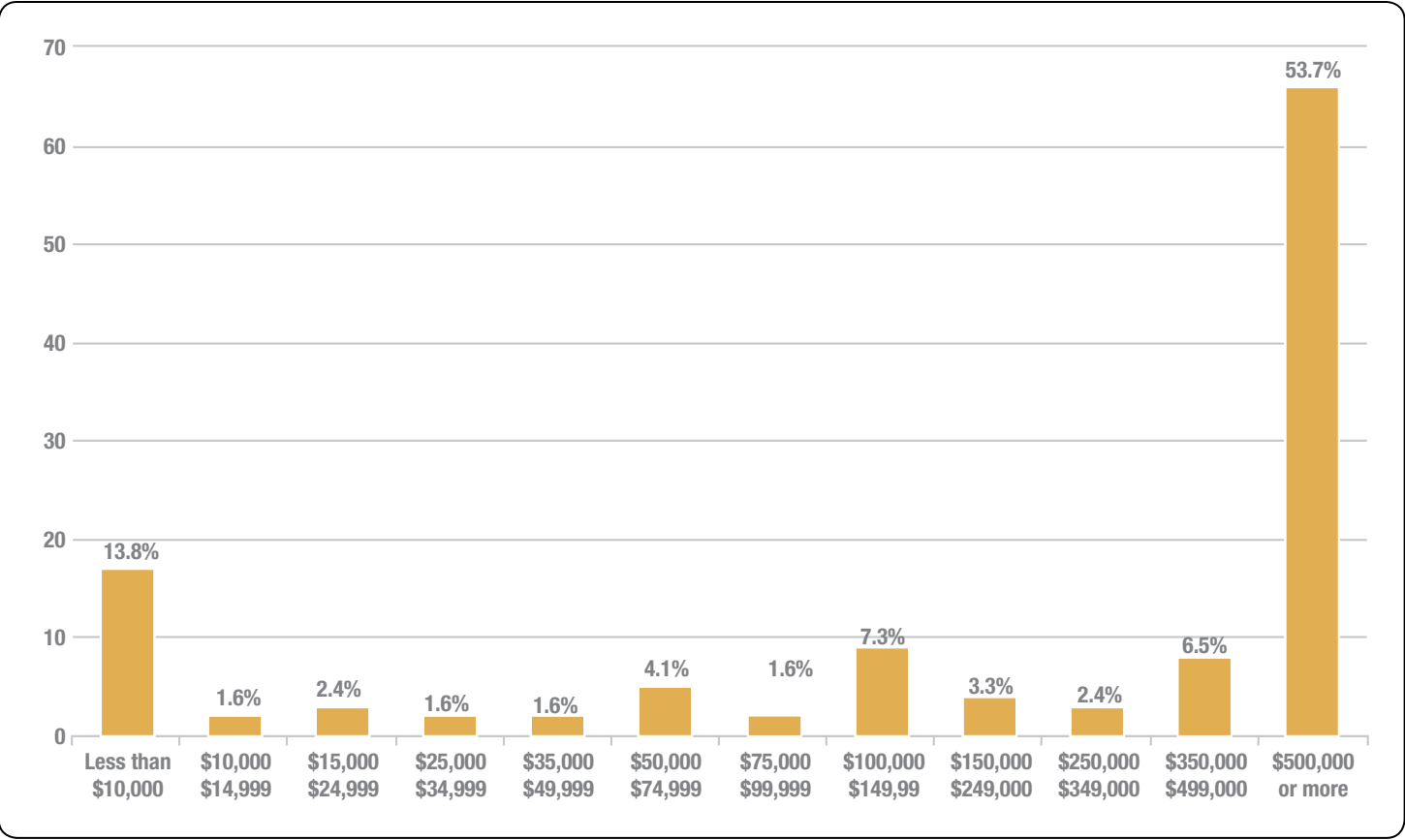
Number of Years in Operation



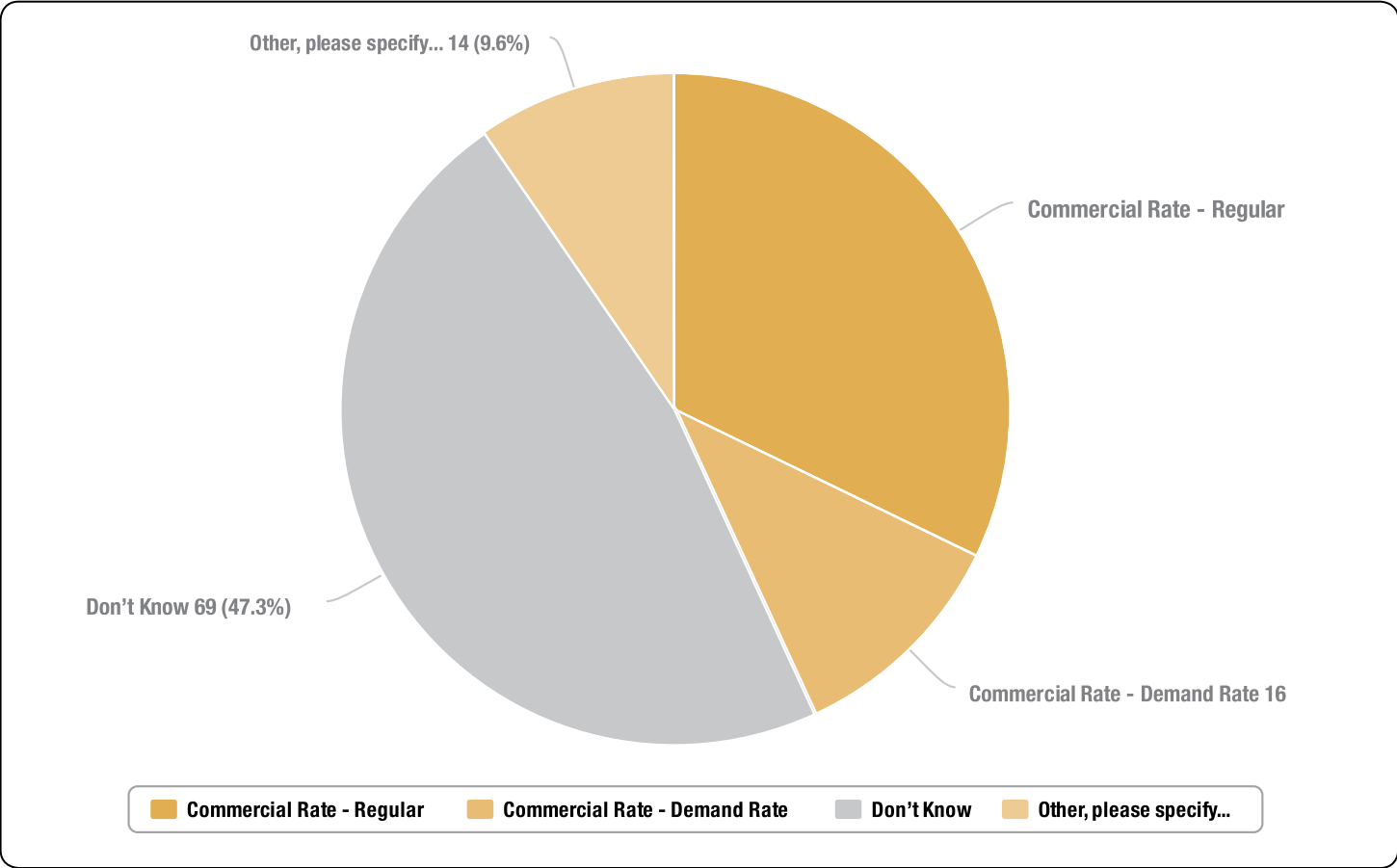
Number of Full-Time Employees or FTE Equivalents



2013 Venue Gross Income



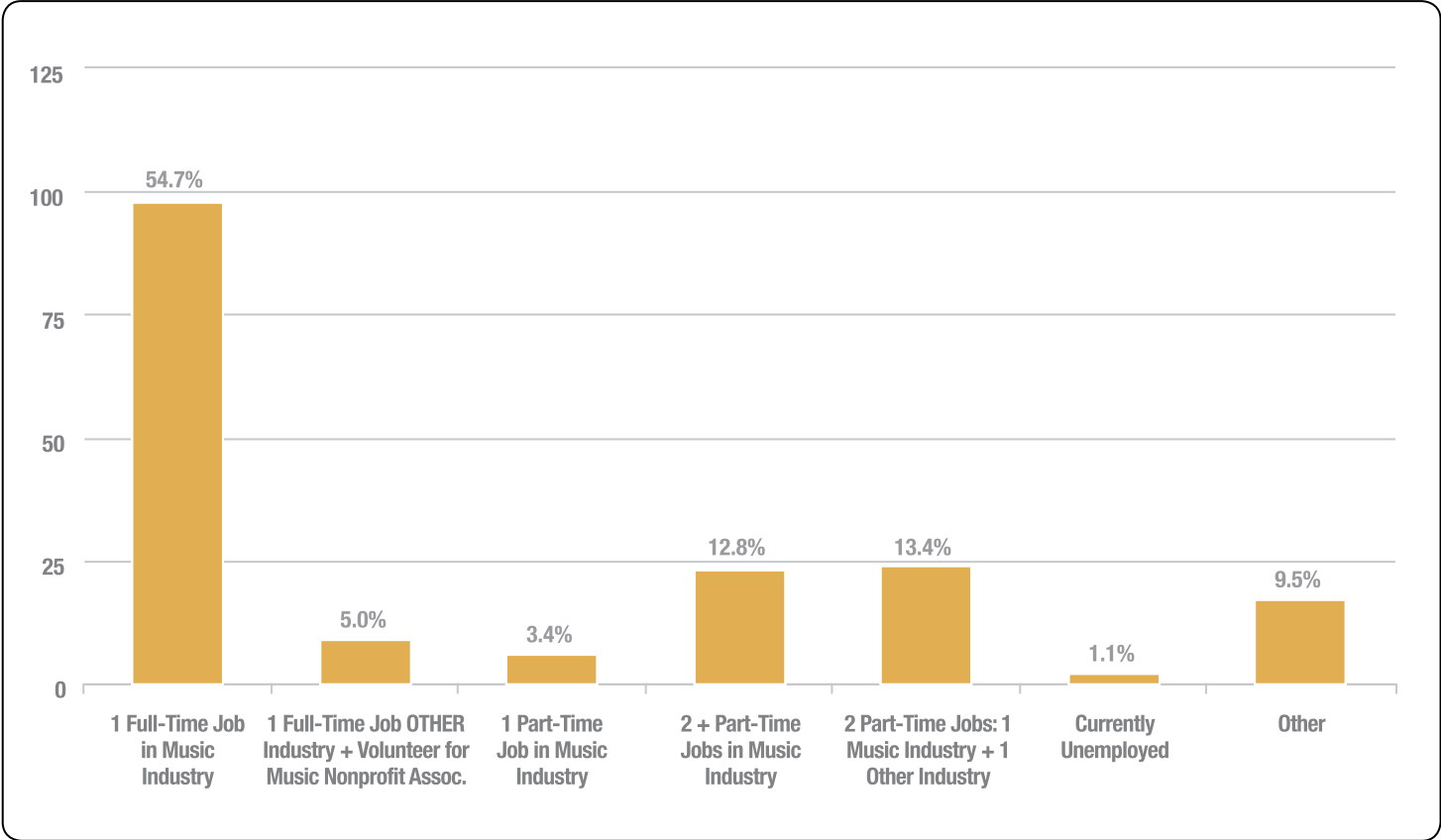
Austin Energy Utilities Rate for Venue Operation



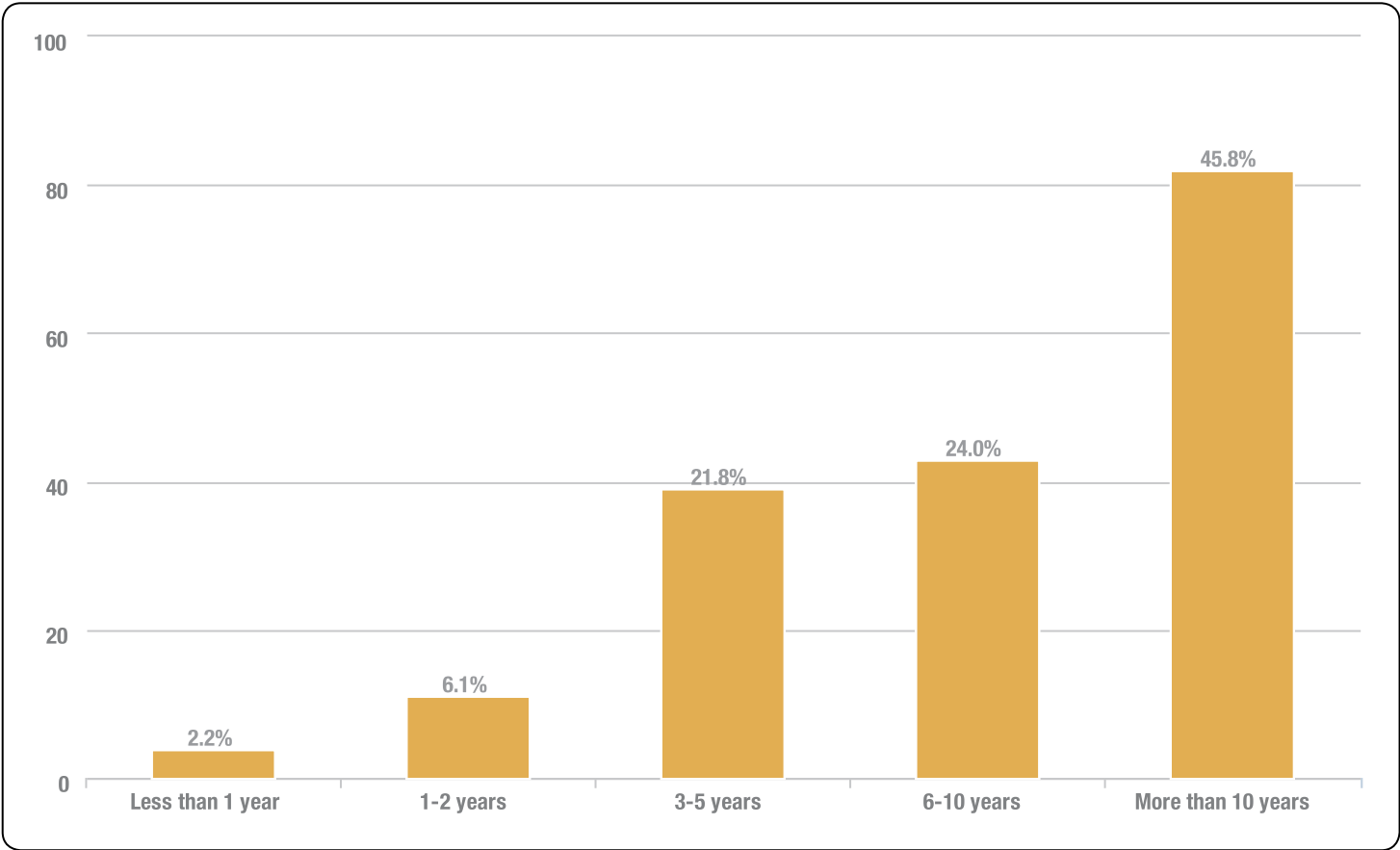
Areas of Experience and Expertise

Response	Count	
Accounting	33 19.1%	
Audio Engineering	28 16.2%	
Advocacy/Lobbying	11 6.4%	
Audio Mastering	9 5.2%	
Digital Music Distribution	13 7.5%	
Booking/Talent Buying	79 45.7%	
Audio Mixing	20 11.6%	
Digital Music Sales	10 5.8%	
Event Promotion	99 57.2%	
Event Production	110 63.6%	
Distribution	12 6.9%	
Film/TV Composer	5 2.9%	
Manufacturing	8 4.6%	
Graphic Design	22 12.7%	
Financing or Venture Capital	11 6.4%	
Marketing	62 35.8%	
Music Education	10 5.8%	
Music Arranger	9 5.2%	
Media/Journalism	16 9.2%	
Artist Management	40 23.1%	
Music Legal Issues	5 2.9%	
Nonprofit Services	27 15.6%	
Music Publishing	6 3.5%	
Music Licensing	7 4.0%	
Post Production	9 5.2%	
Radio Promotion	10 5.8%	
Radio Production	5 2.9%	
PR & Publicity	42 24.3%	
Record Labels	11 6.4%	
Social Media	56 32.4%	
Retail Sales	32 18.5%	
Record Production	12 6.9%	
Software Development	5 2.9%	
Ticketing	25 14.5%	
Studio Management	12 6.9%	
Artist/Songwriting or Composing	18 10.4%	
Touring Logistics	22 12.7%	
Web Design/Development	14 8.1%	
Venue Management	125 72.3%	
Artist/Live Performance	51 29.5%	
Total: 173		

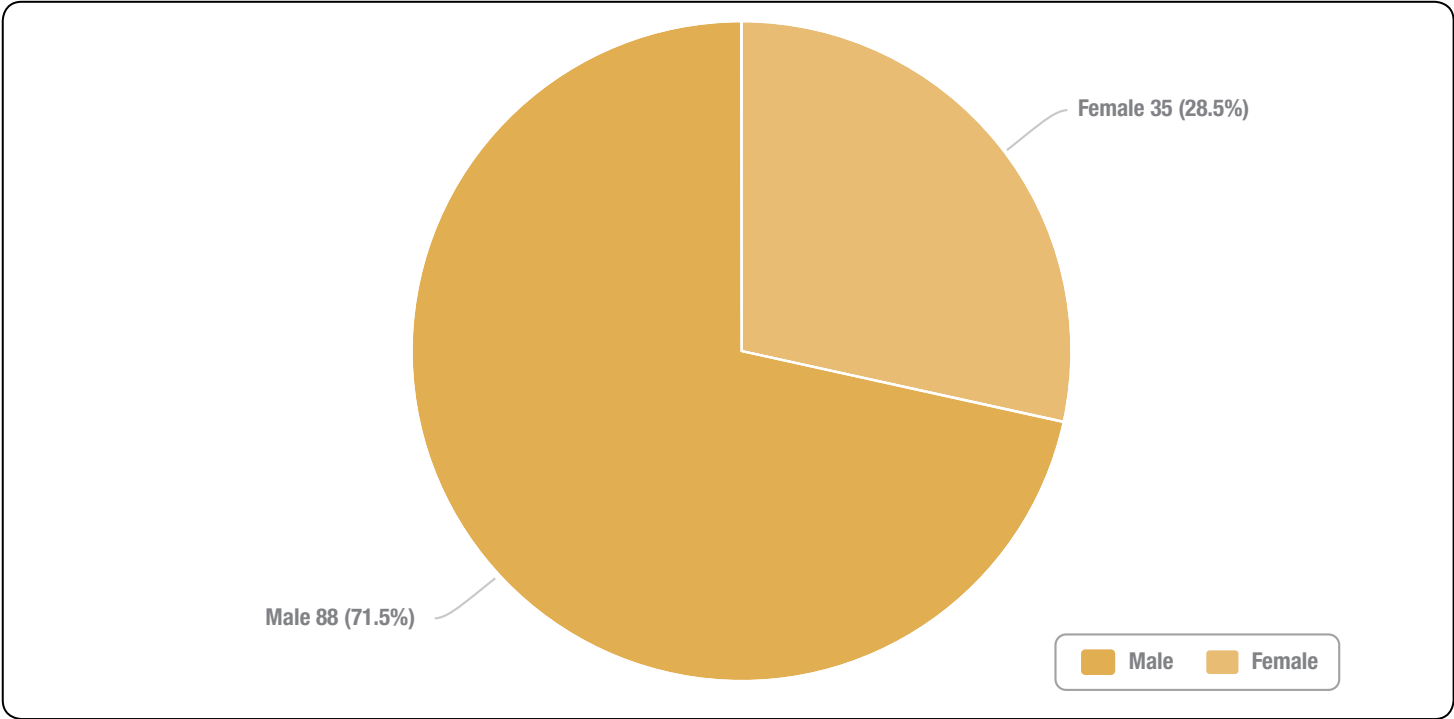
Current Means of Employment



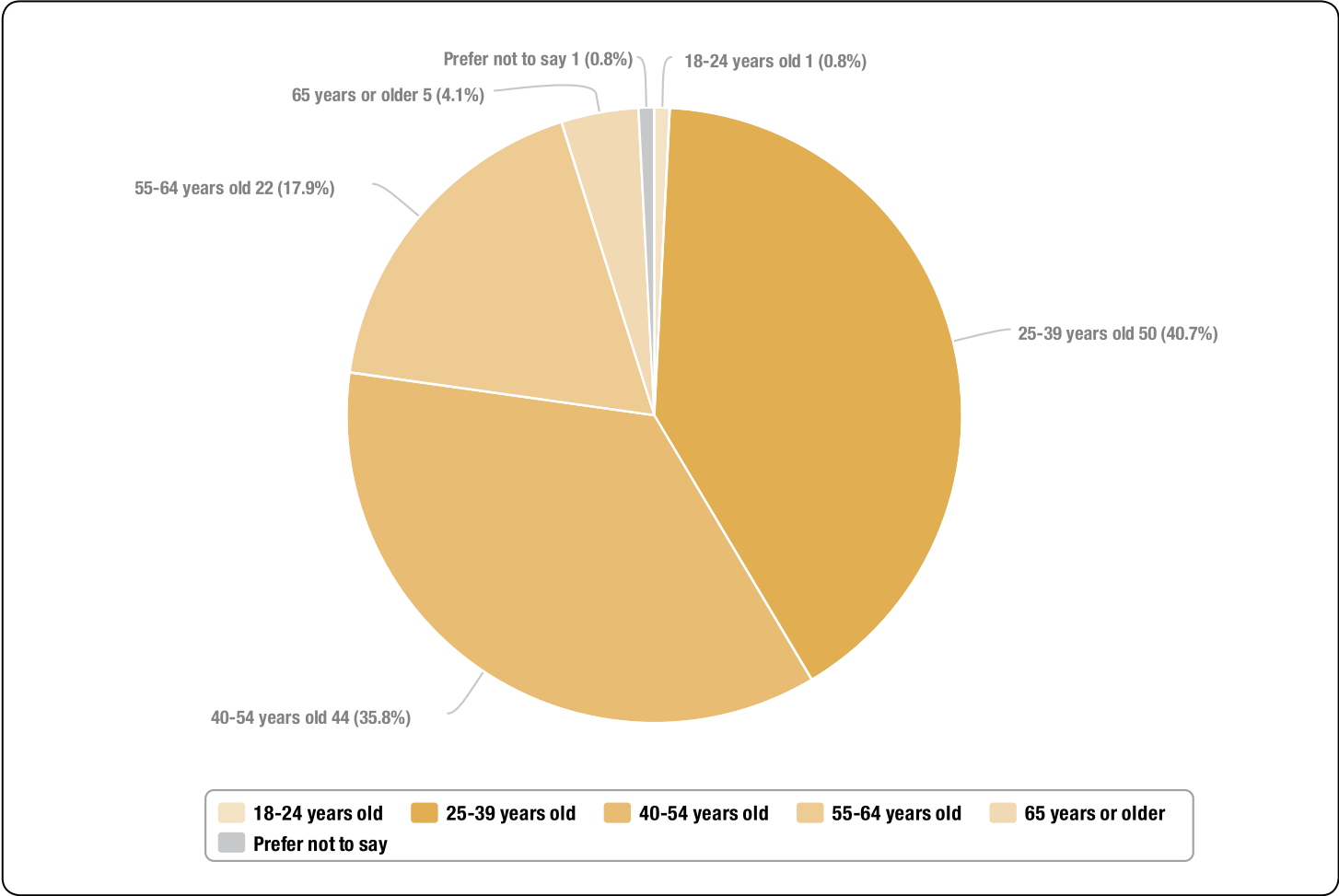
Number of Years Working in a Venue



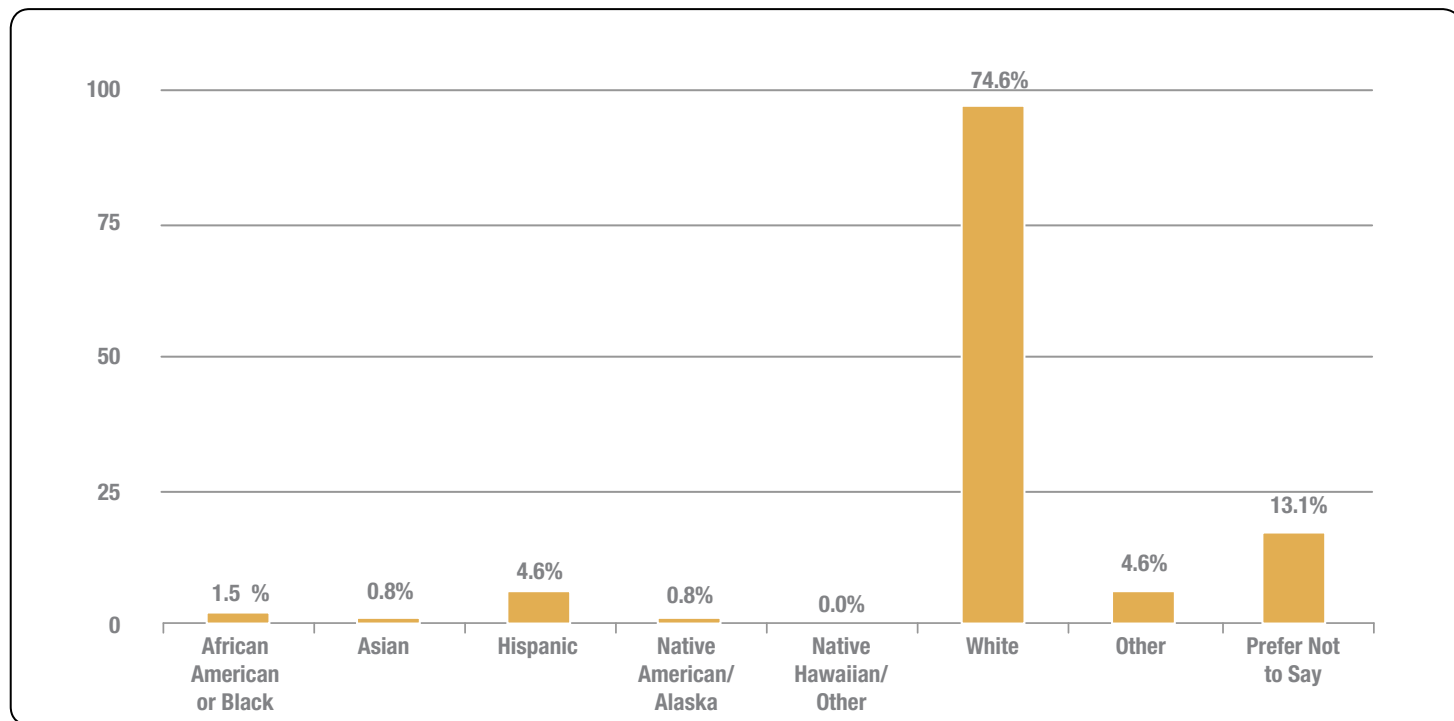
Gender Breakdown



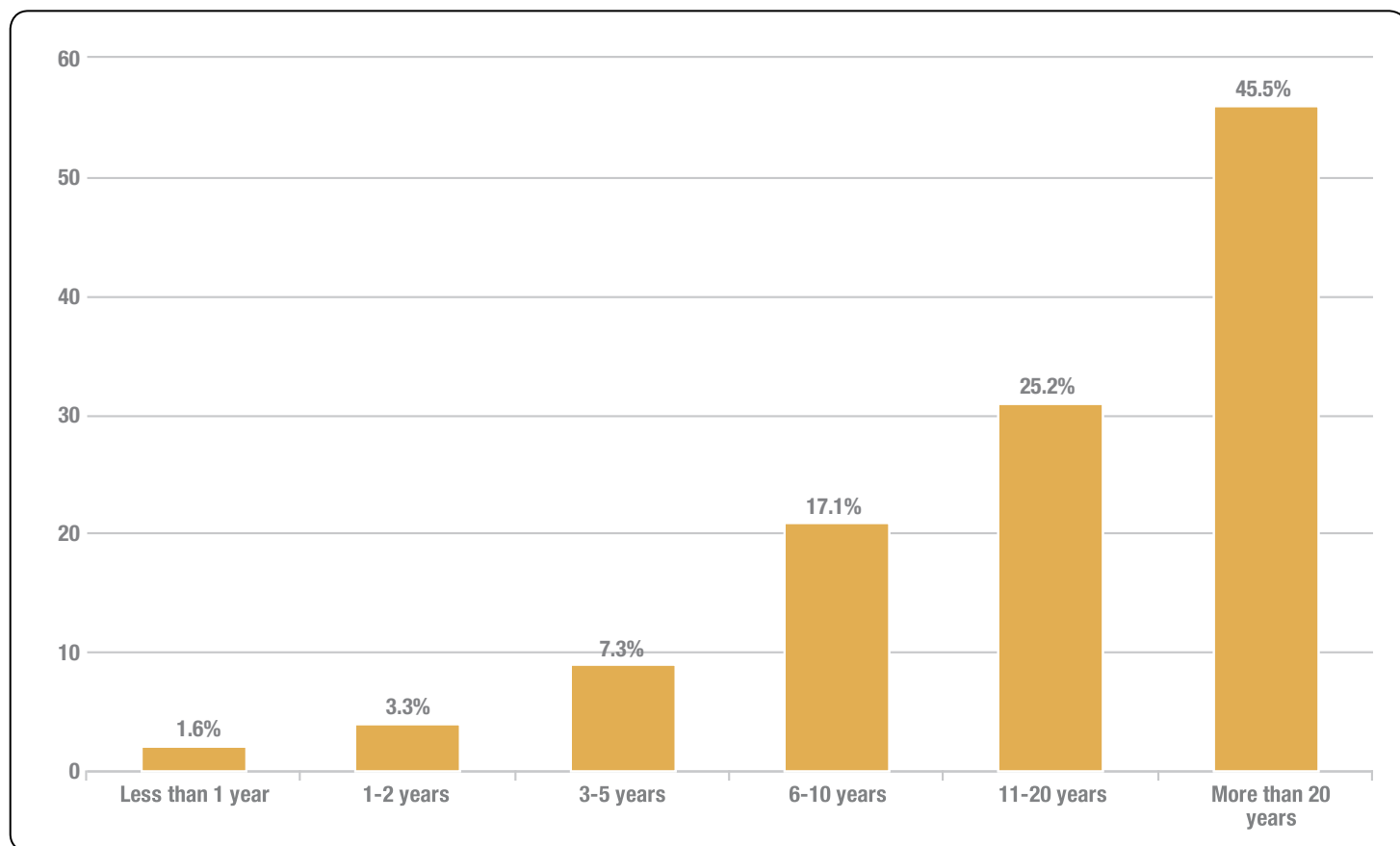
Age Breakdown



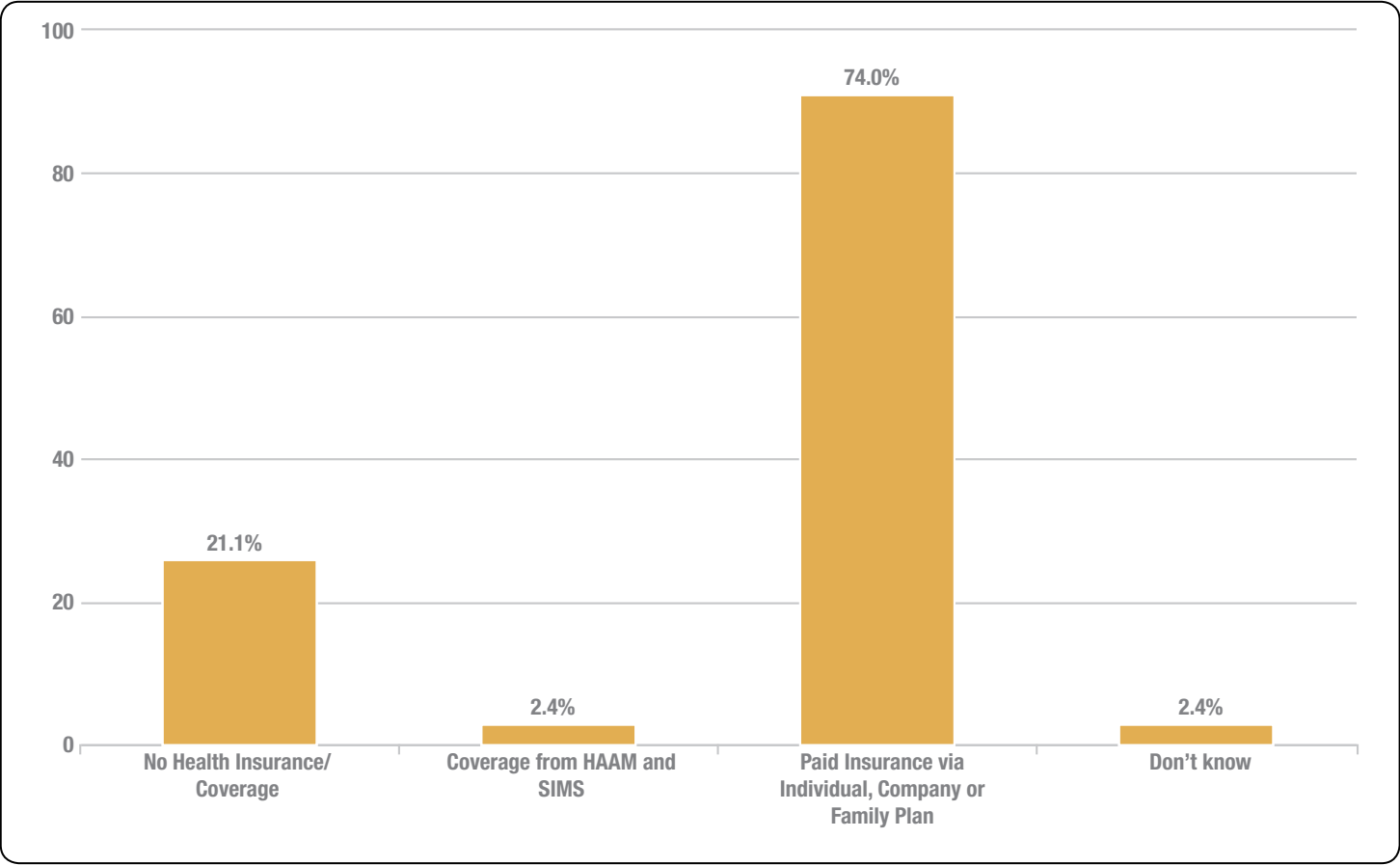
Race and Ethnicity



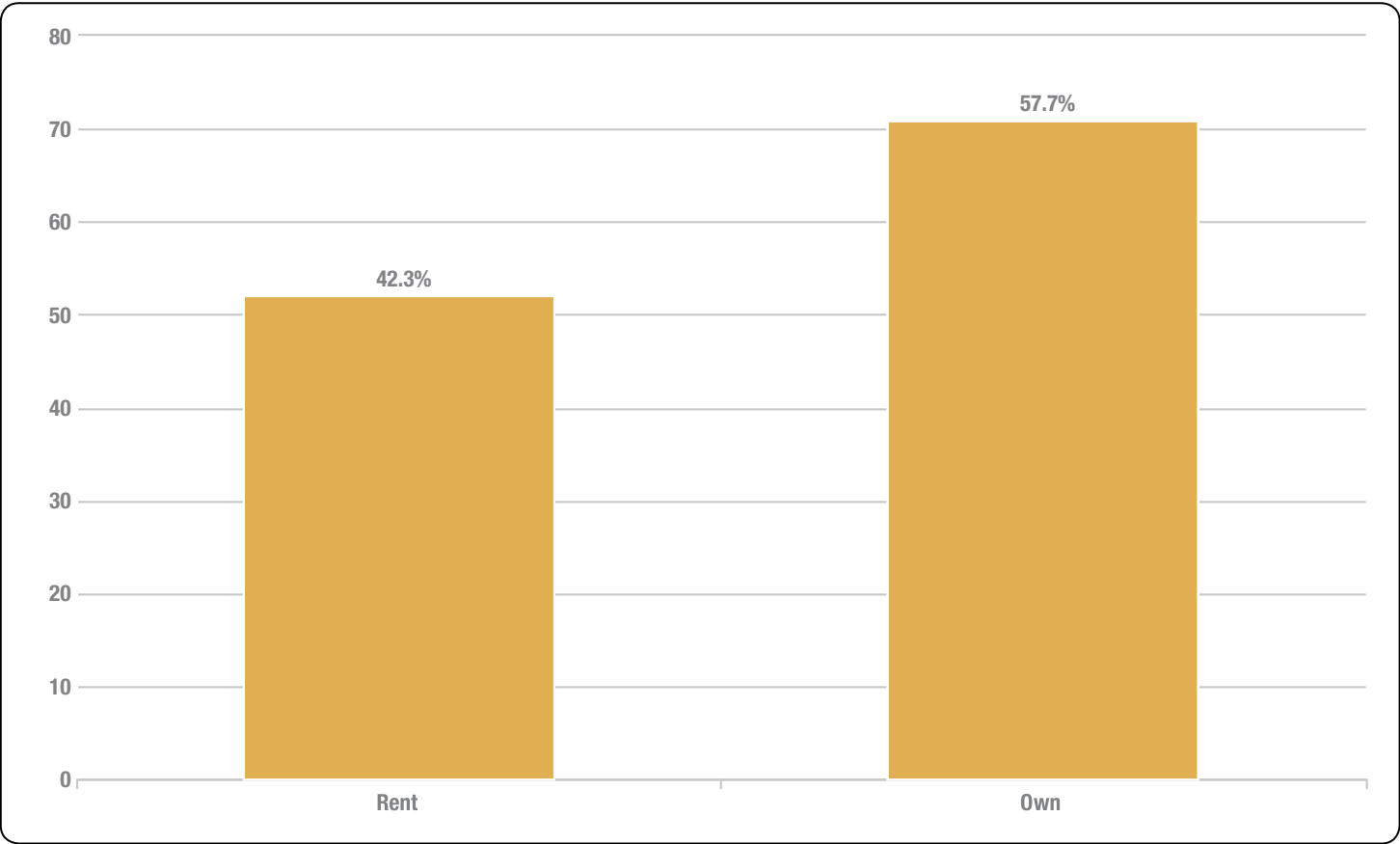
Number of Years Living in Austin



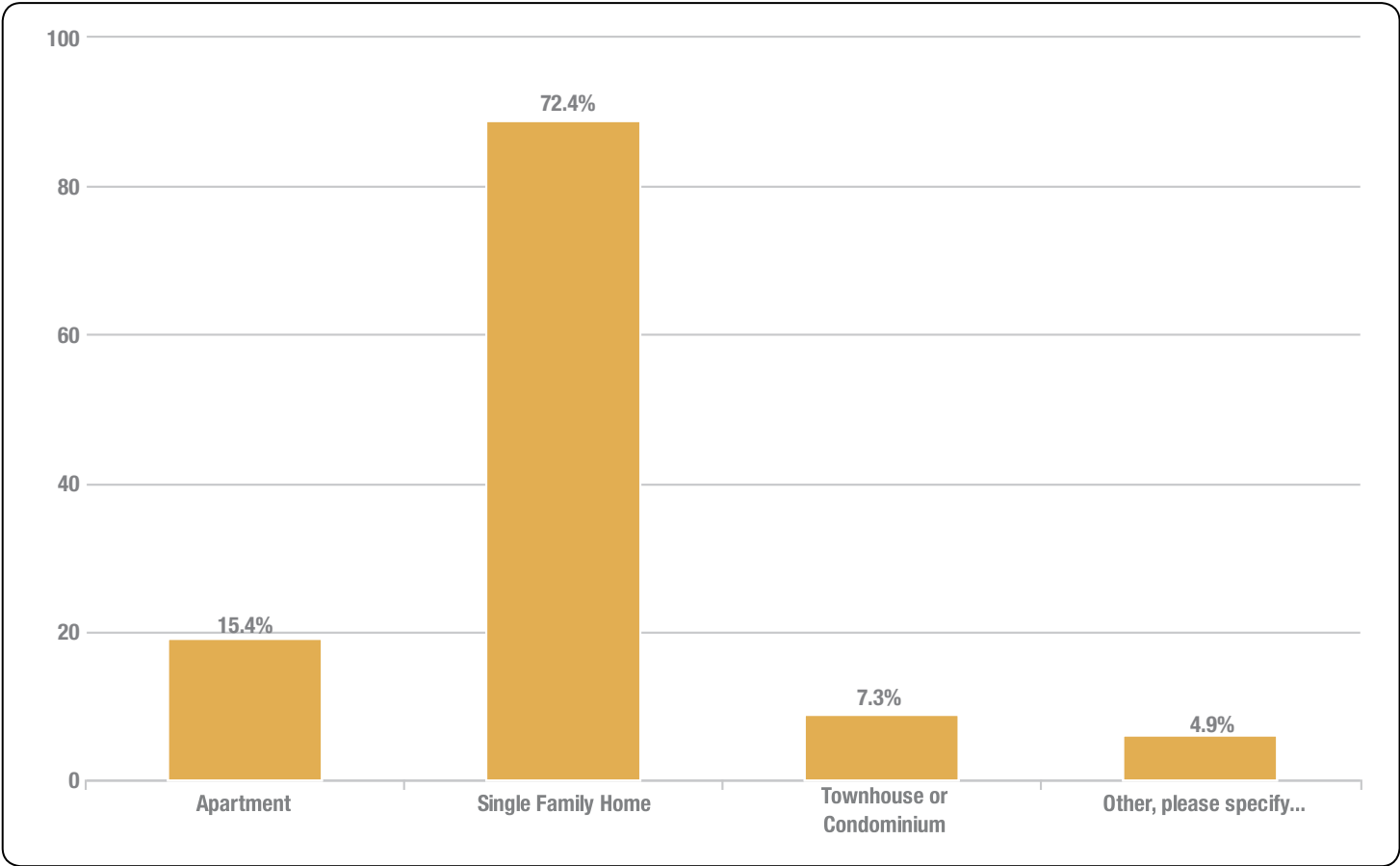
Health Care Coverage



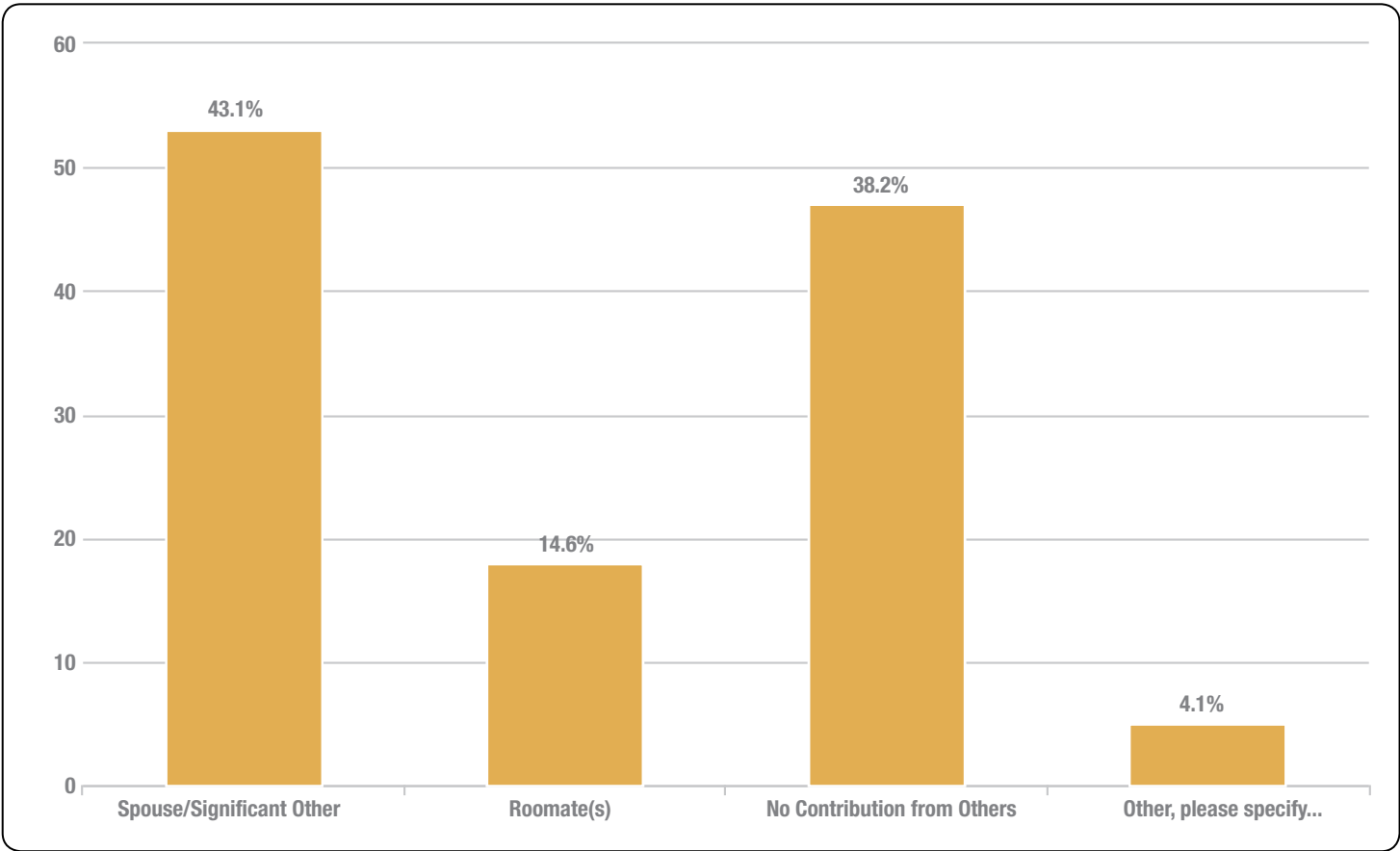
Housing: Rent vs. Own



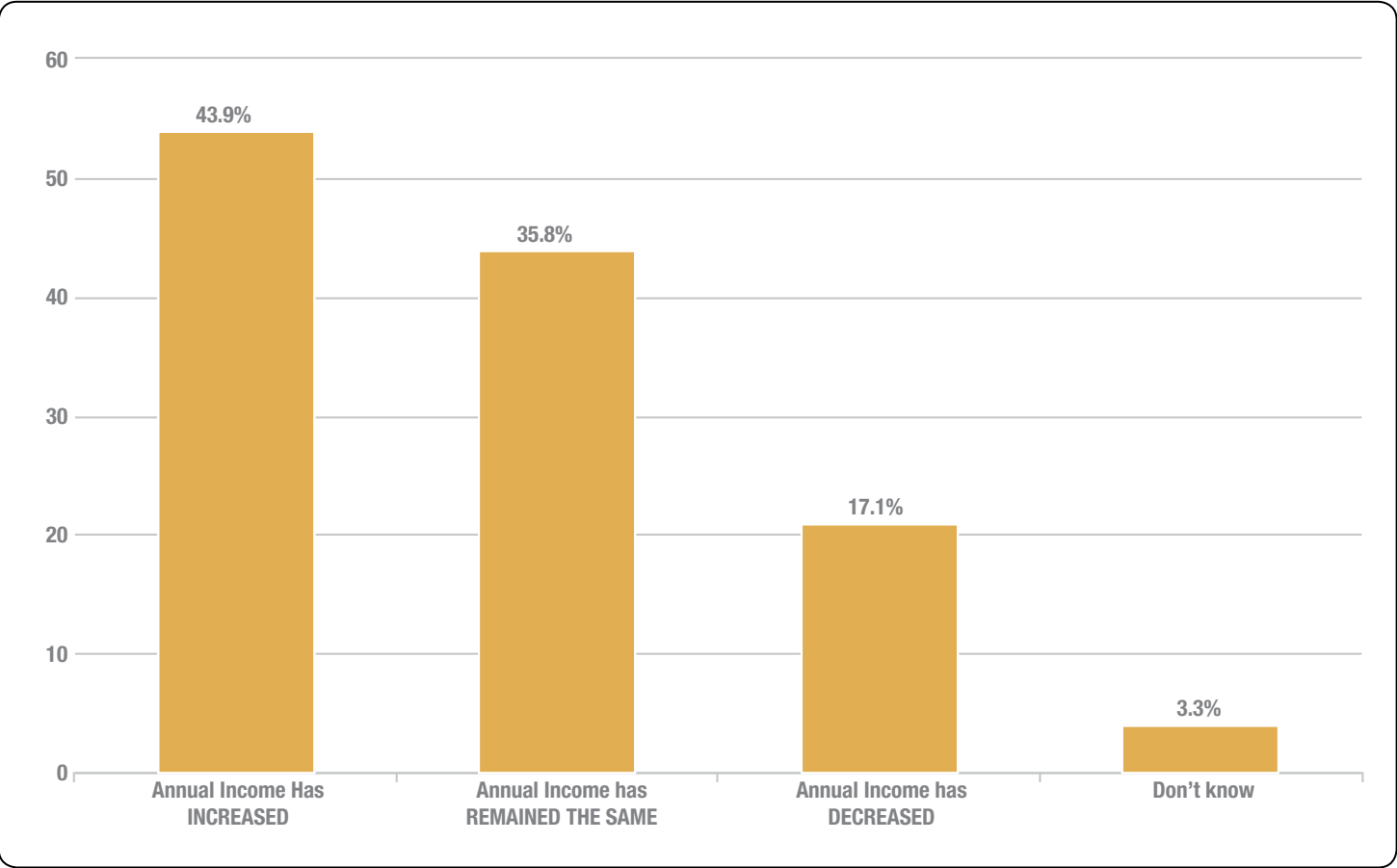
Housing: Type of Residence



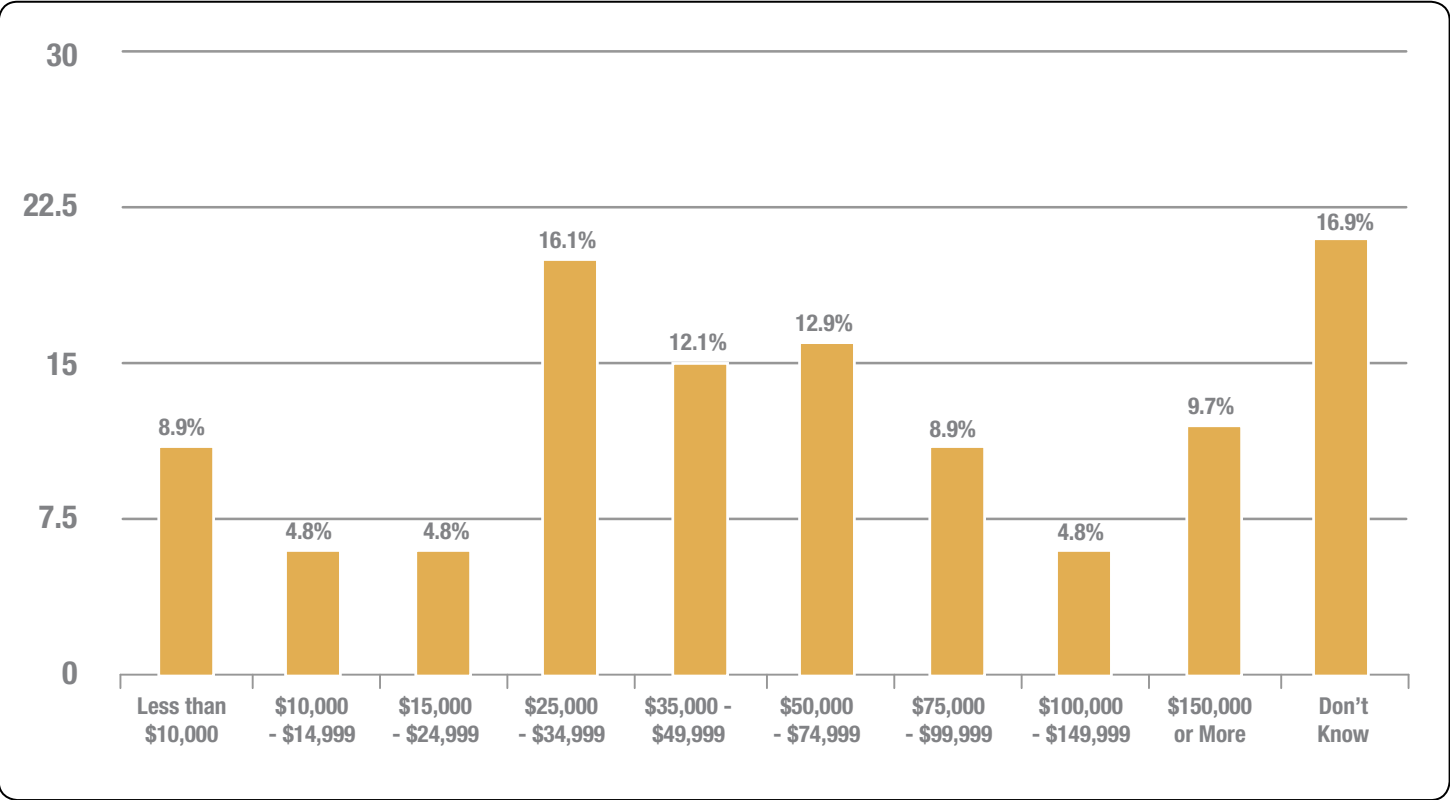
Number of Household Contributors to Rent or Mortgage



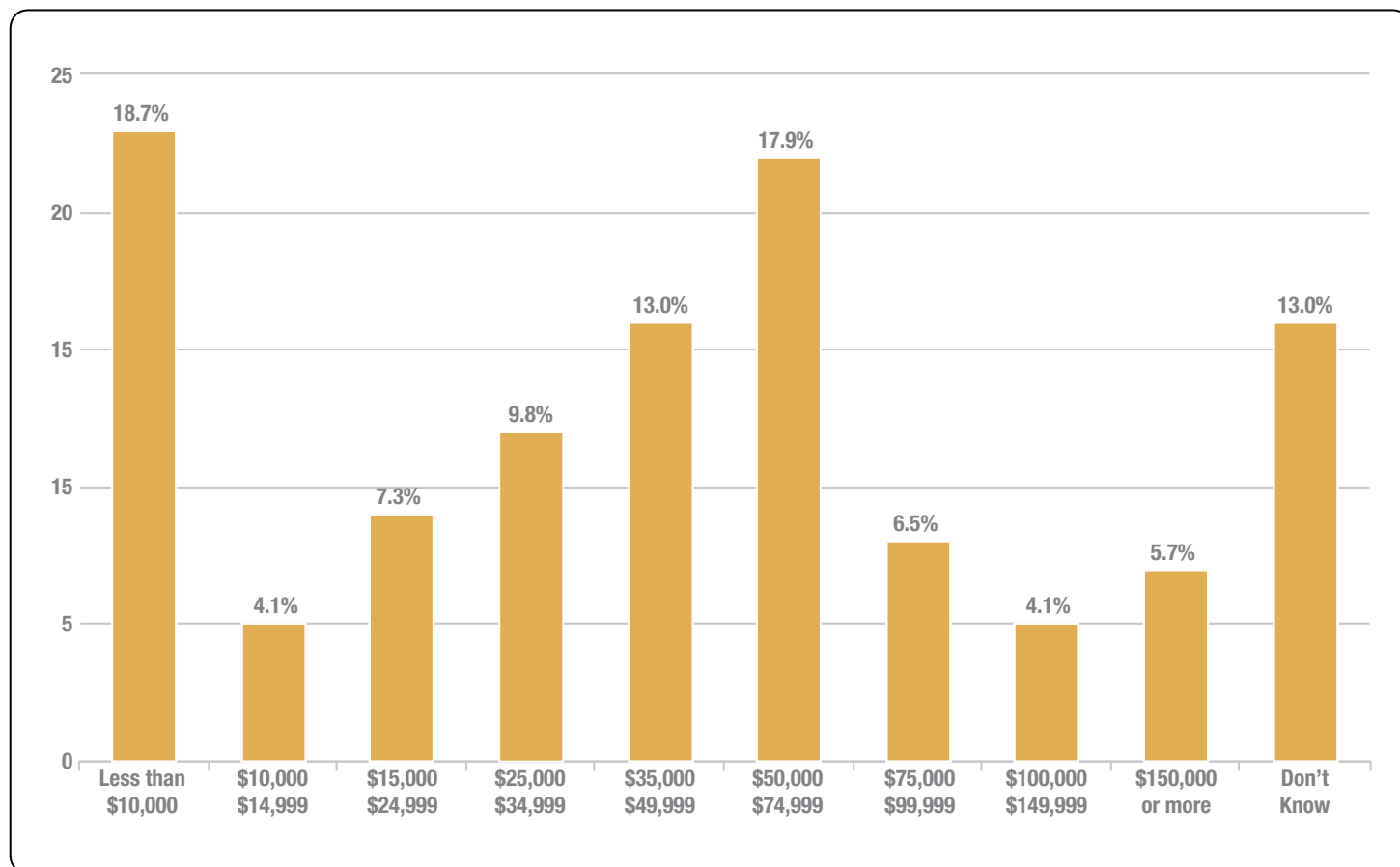
Prosperity Trends: Individual Income Increase/Decrease Over Past 3 Years



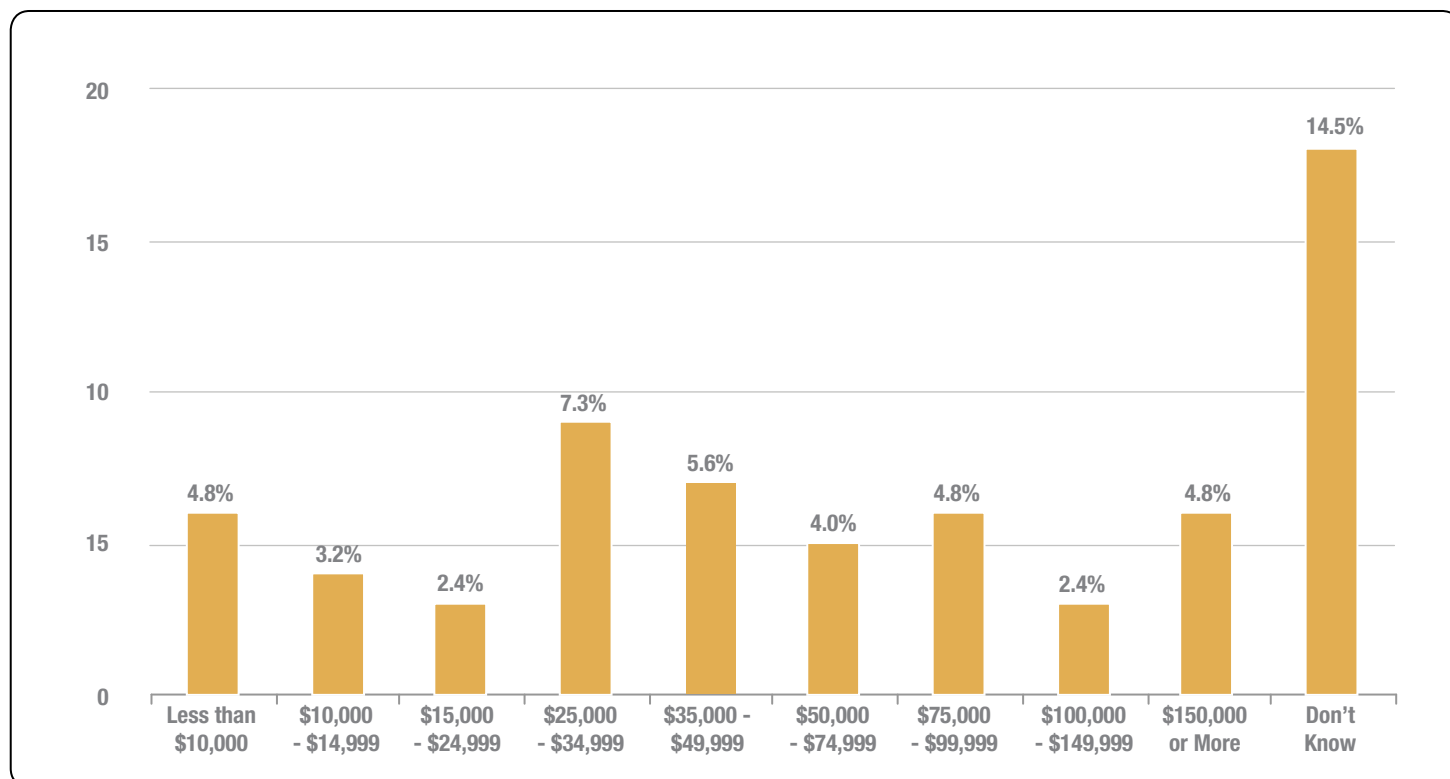
2013 Pre-Tax Individual Income (All Owner/Mgrs, All Income Sources)



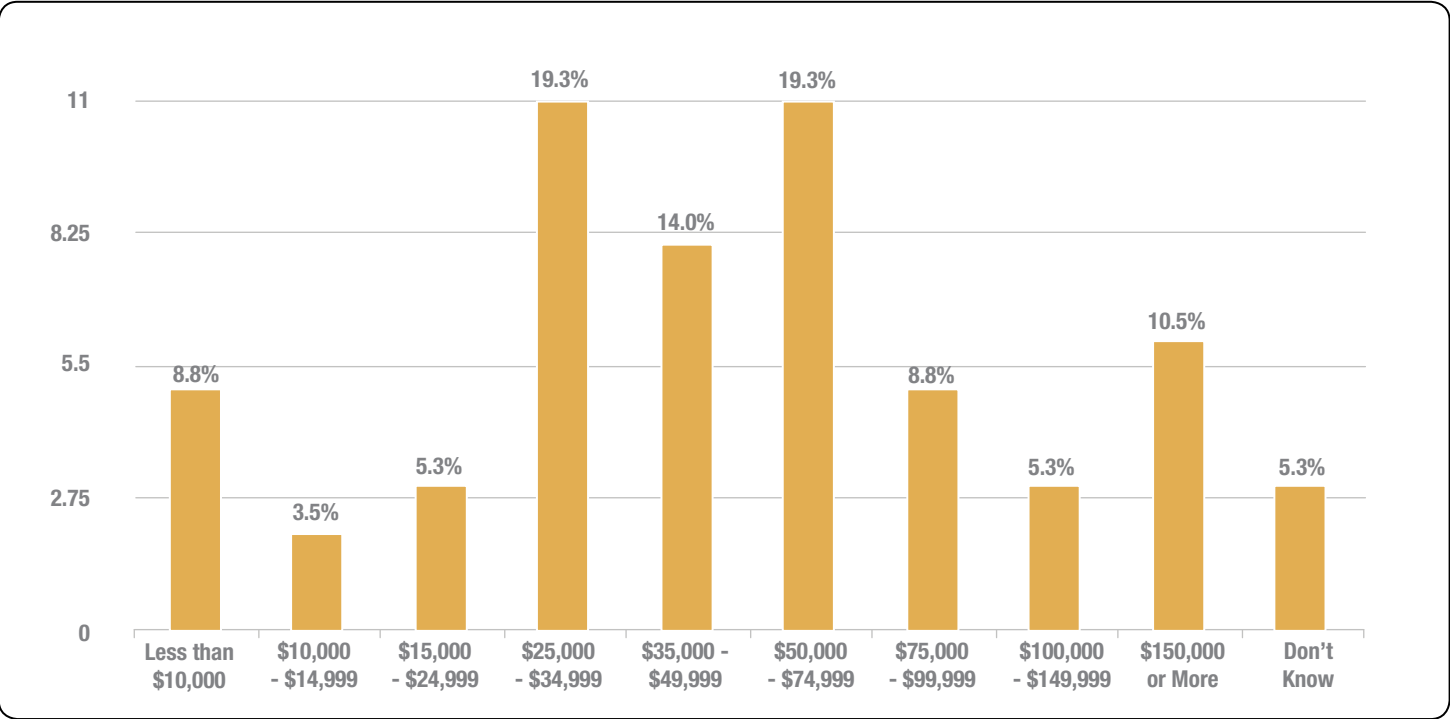
2013 Pre-Tax Individual Income (All Owner/Mgrs, Music Industry Income Only)



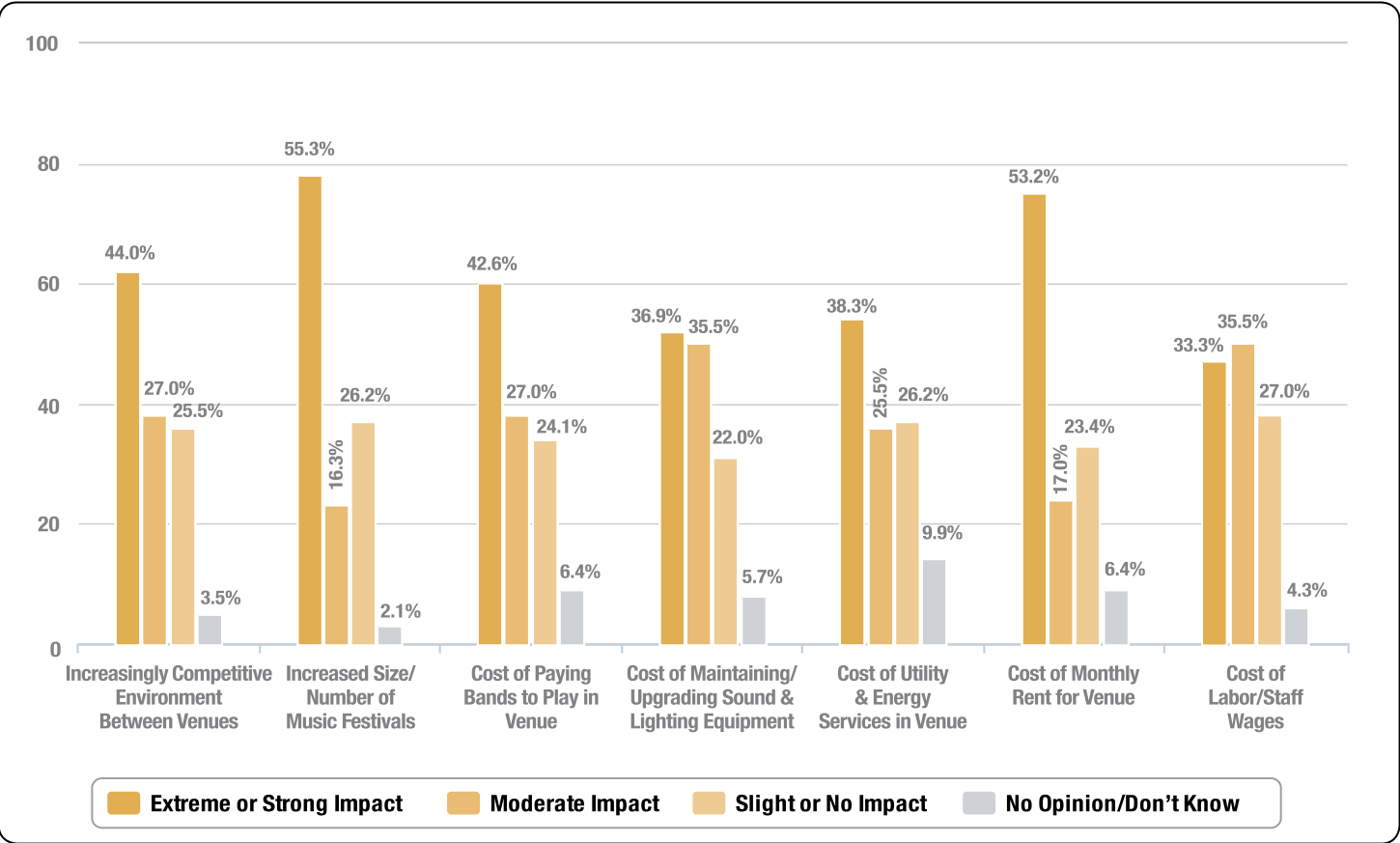
2013 Pre-Tax Individual Income (Only Owner/Mgrs w/ Music Industry + Augmented Income)



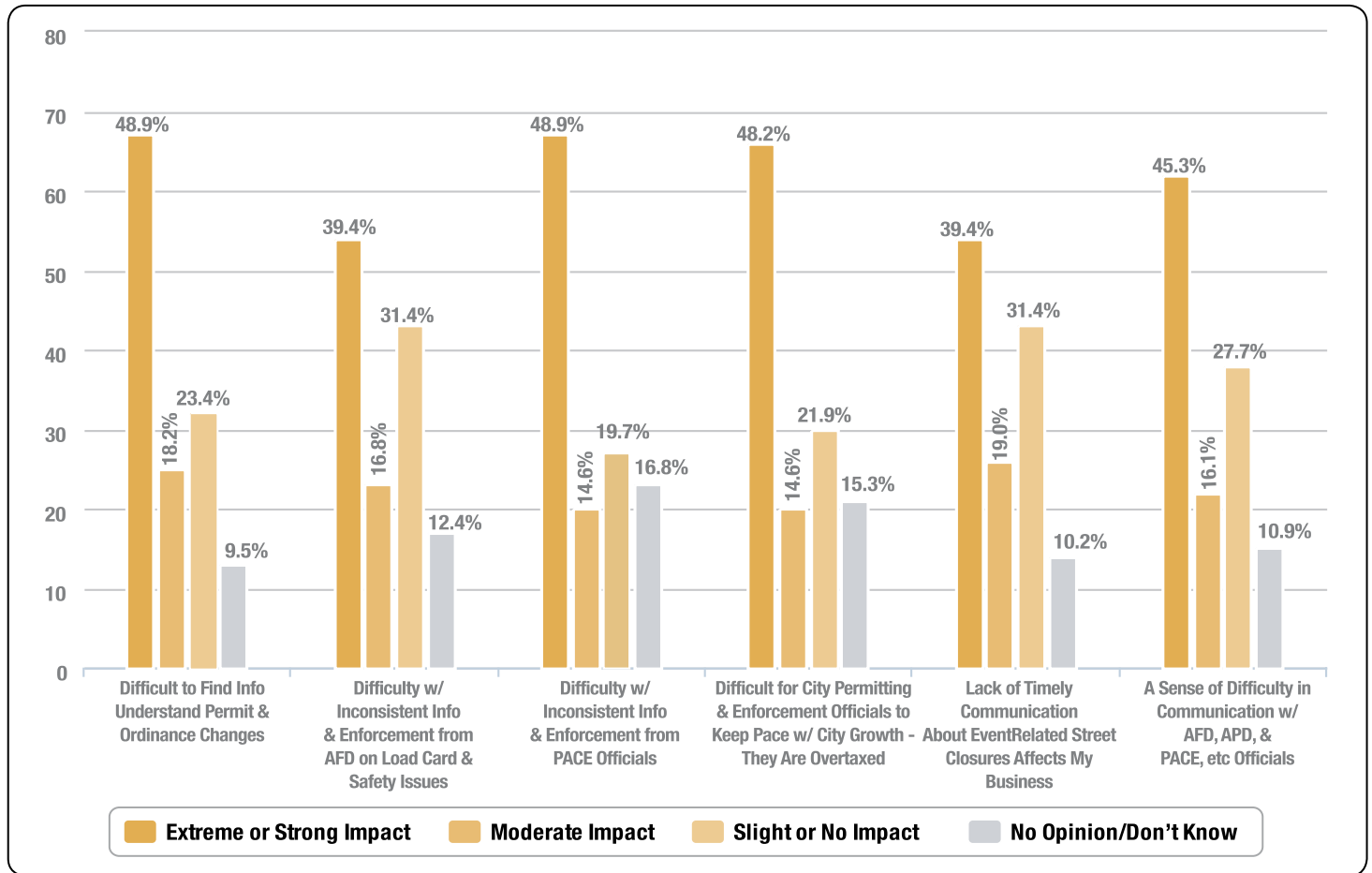
2013 Pre-Tax Individual Income (Only Owner/Mgrs w/ 100% Income from Music Industry)



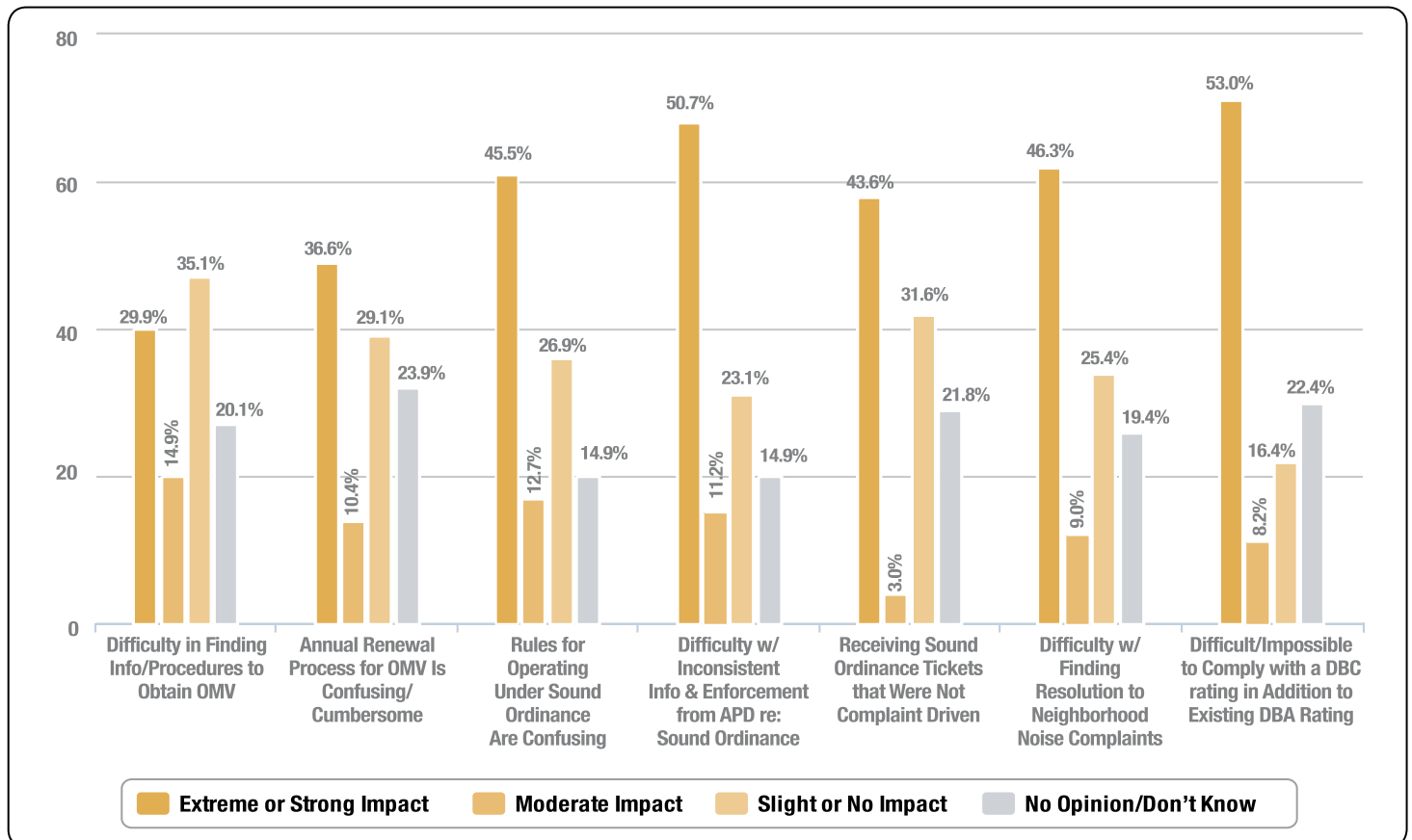
Venue Challenges Category: COSTS AND COMPETITION



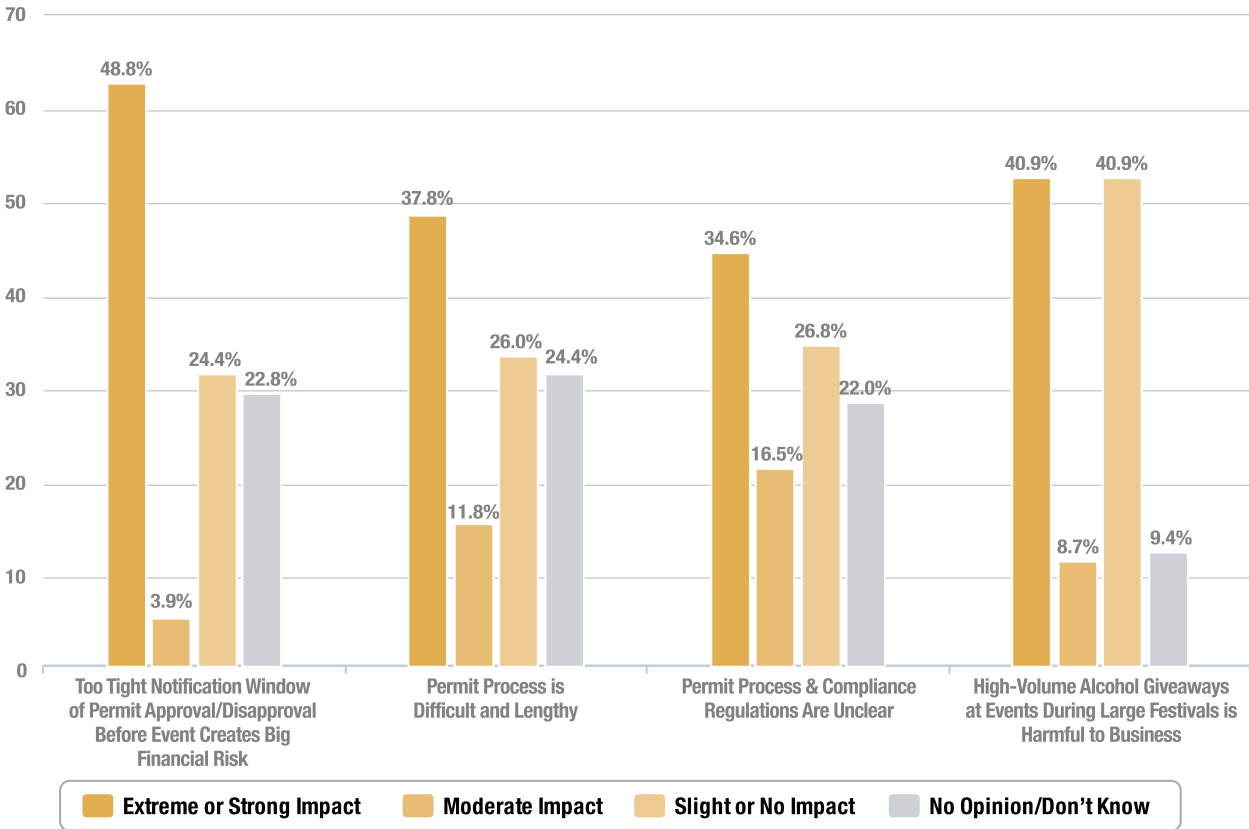
Venue Challenges Category: CITY PERMITS AND ENFORCEMENT



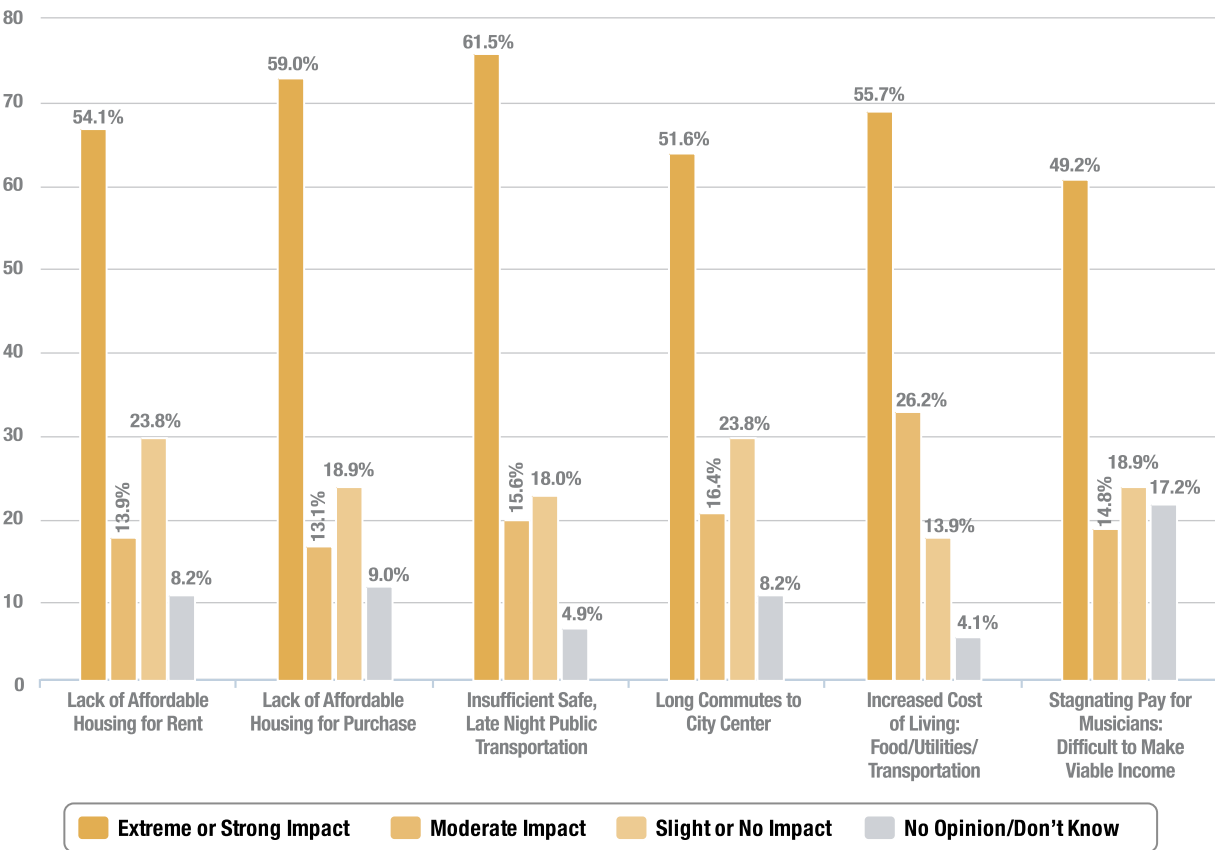
Venue Challenges Category: SOUND ORDINANCE AND OUTDOOR MUSIC VENUE PERMITS



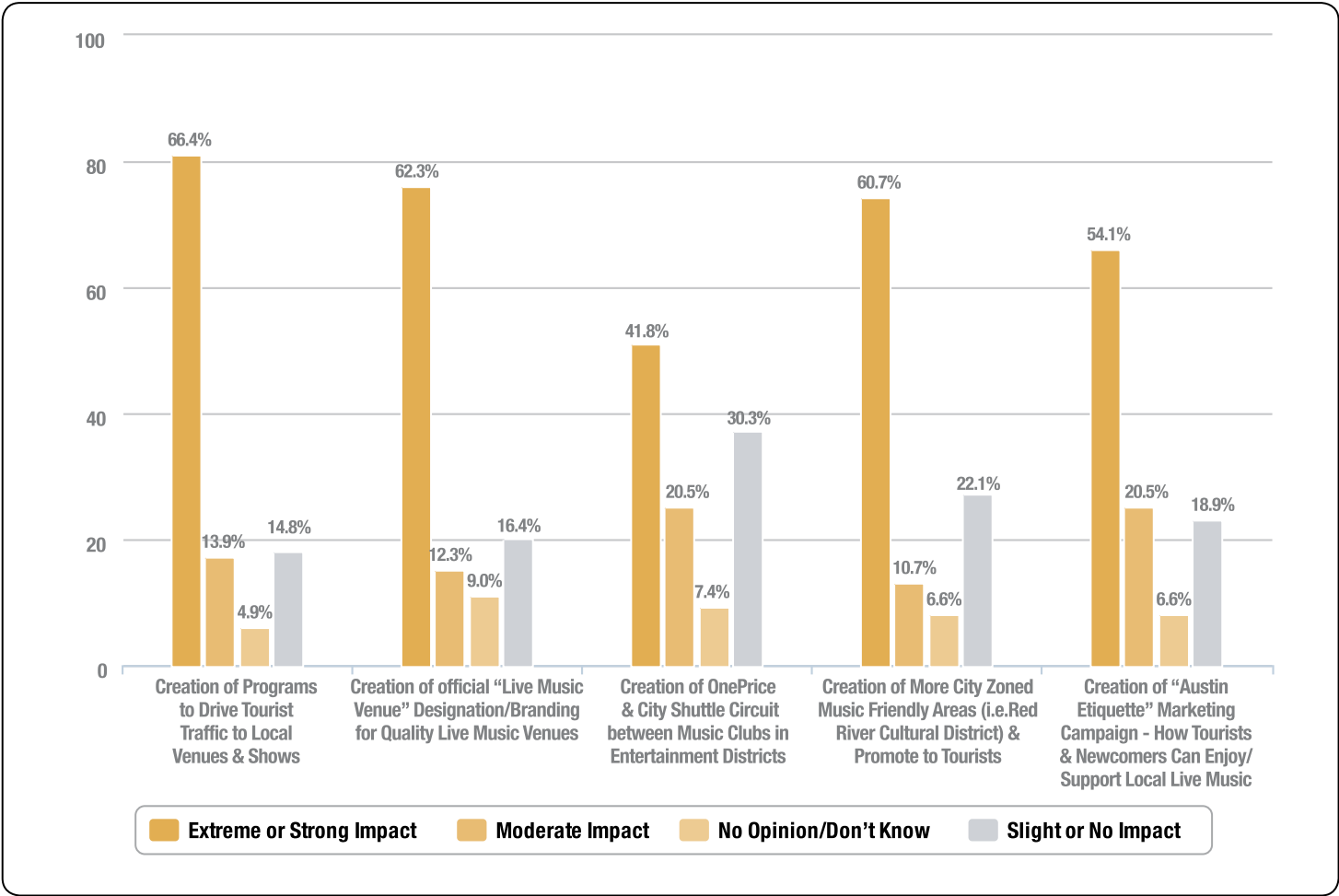
Venue Challenges Category: EVENTS AND TEMPORARY USE PERMITS



Needs and Gaps Category: LIVING AND AFFORDABILITY



Ideas and Proposals Category: TOURISM AND MARKET DEVELOPMENT



Appendix VIII

Respondents by Age Category

Data Charts

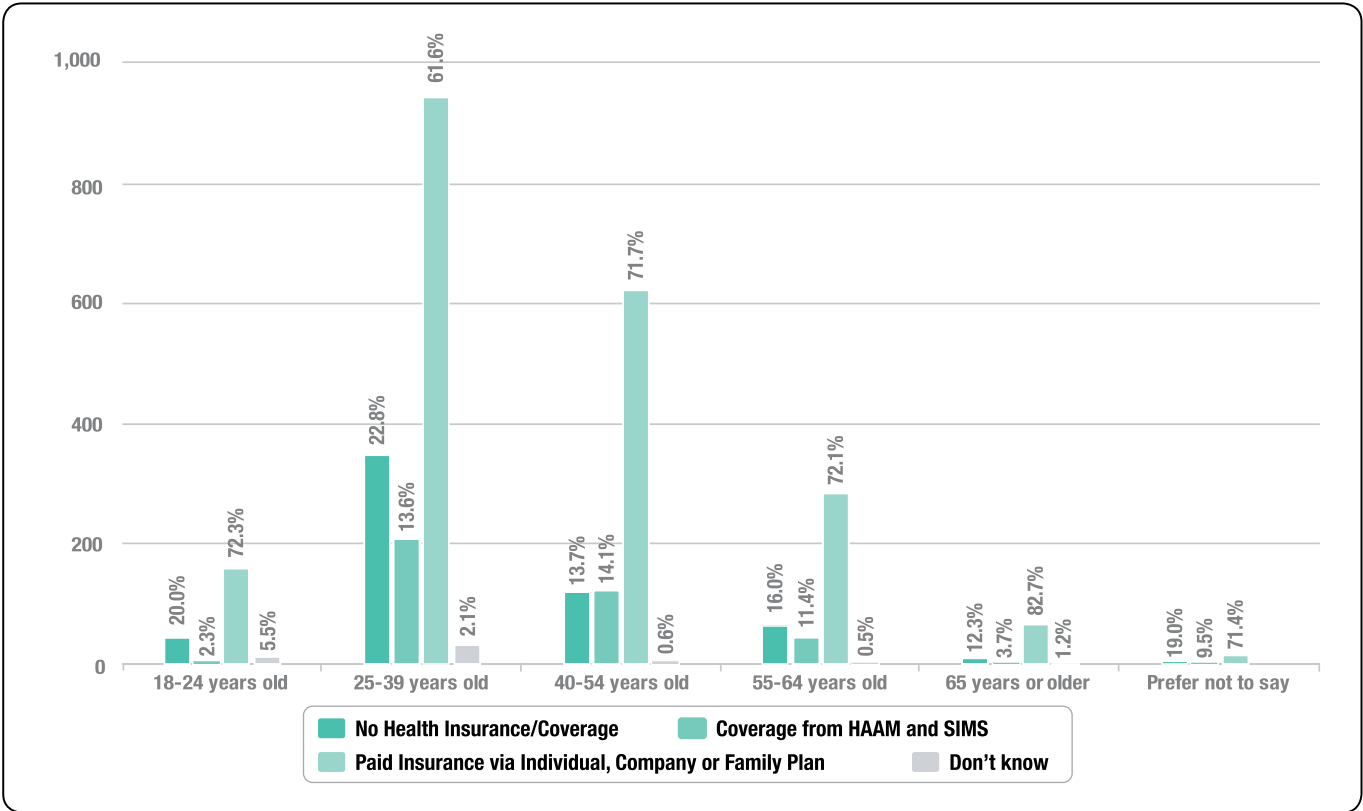
CHARTS APPEAR IN THIS SEQUENCE:

Health Coverage by Age
Number of Years Living in Austin by Age
Prosperity Trends: Individual Income Increase/Decrease Over Past 3 Years by Age
2013 Musician Individual Income by Age, Music Industry Income Only
2013 Business Owner Individual Income by Age, Music Industry Income Only
Lack of Affordable Housing for Rent by Age
Lack of Affordable Housing for Purchase by Age
Difficulty in Earning Living Wage Due to Stagnating Pay by Age
Difficulty with Long Commutes to City Center by Age
Desire for Creation of a Music Industry Hub by Age

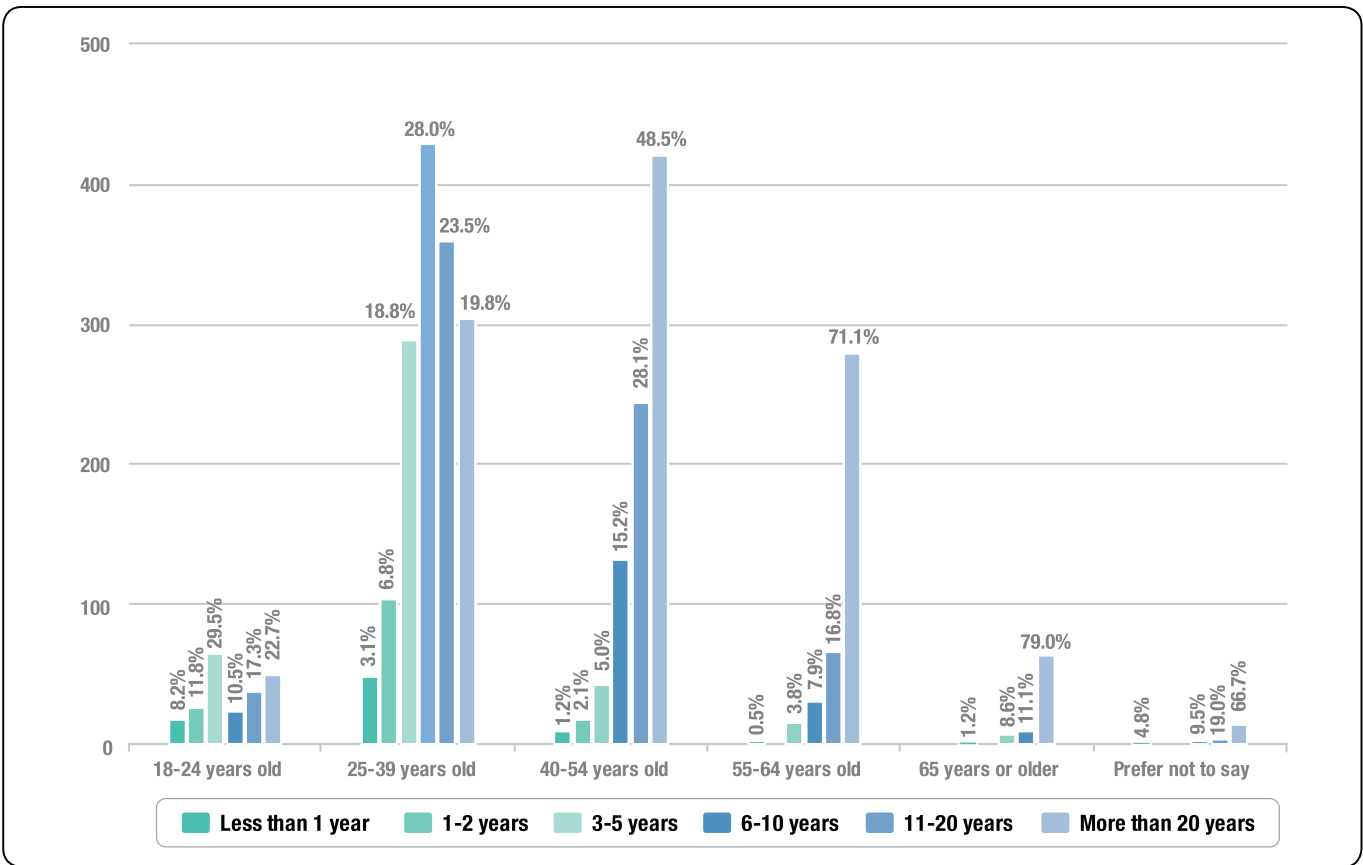
Appendix VIII

Respondents by Age Category Data Charts

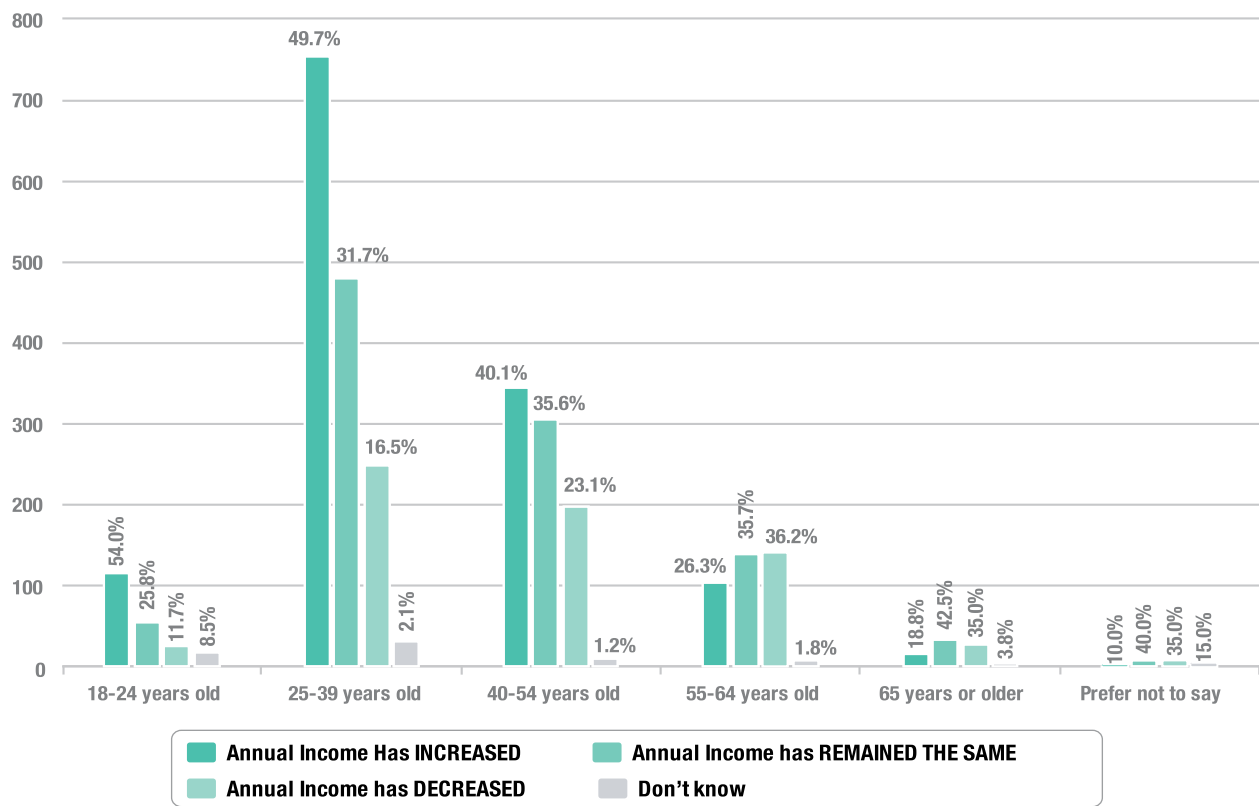
Health Coverage by Age



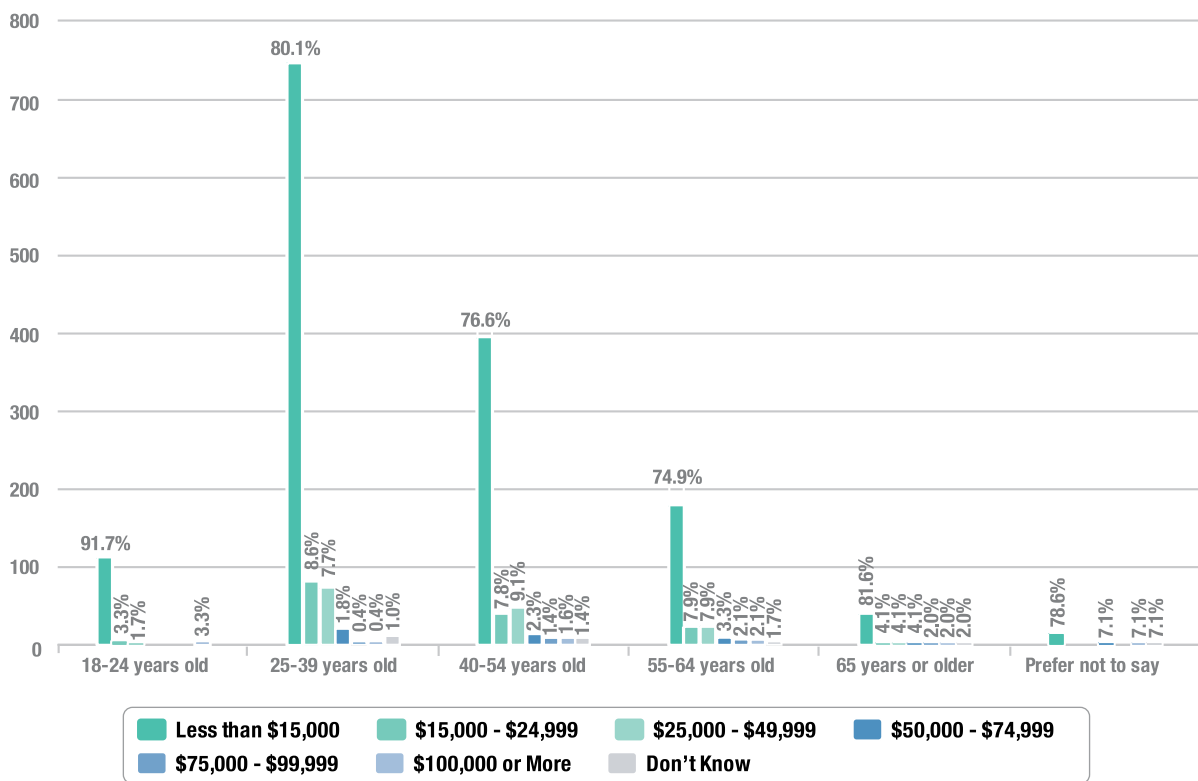
Number of Years Living in Austin by Age



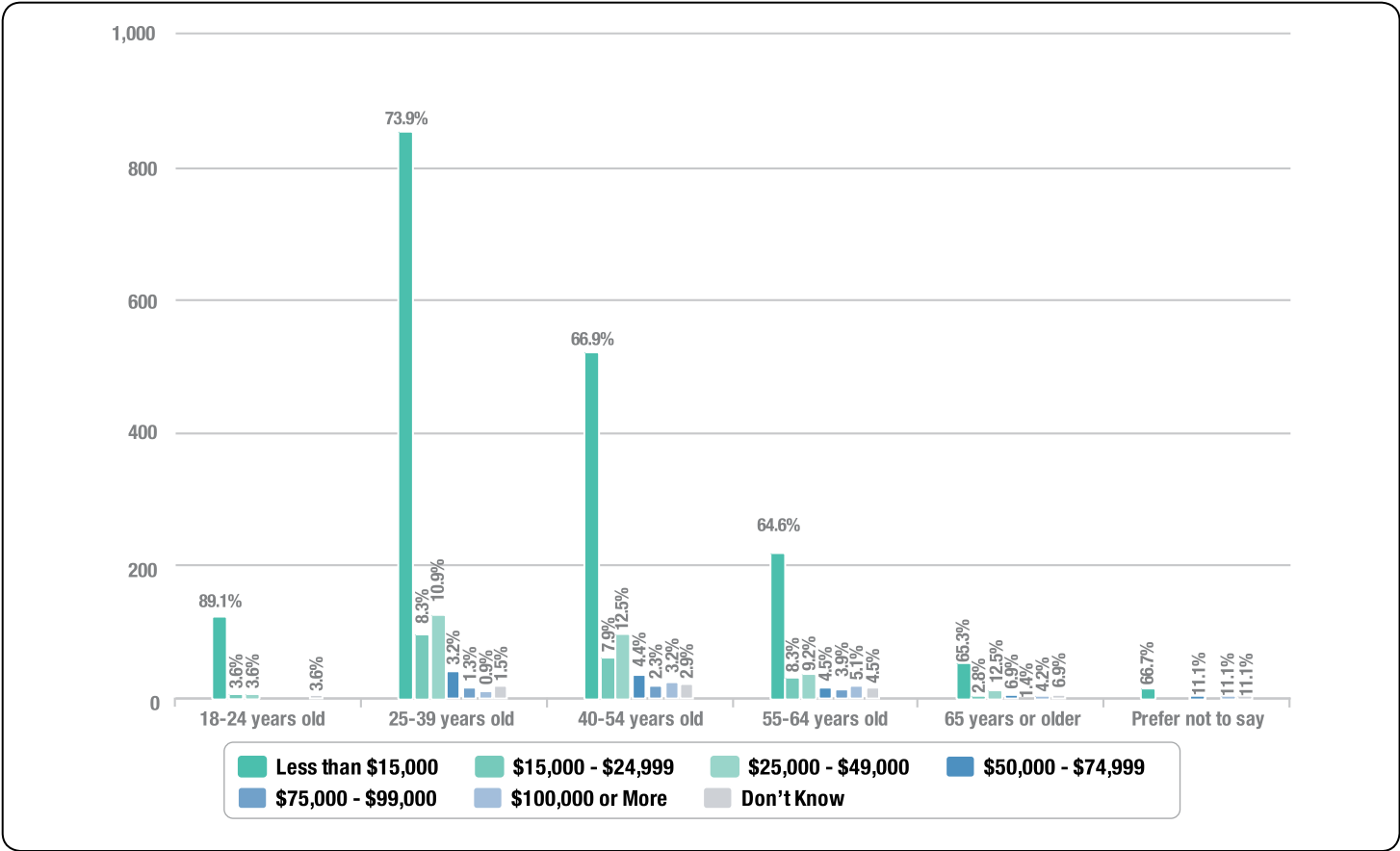
Prosperity Trends: Individual Income Increase/Decrease Over Past 3 Years by Age



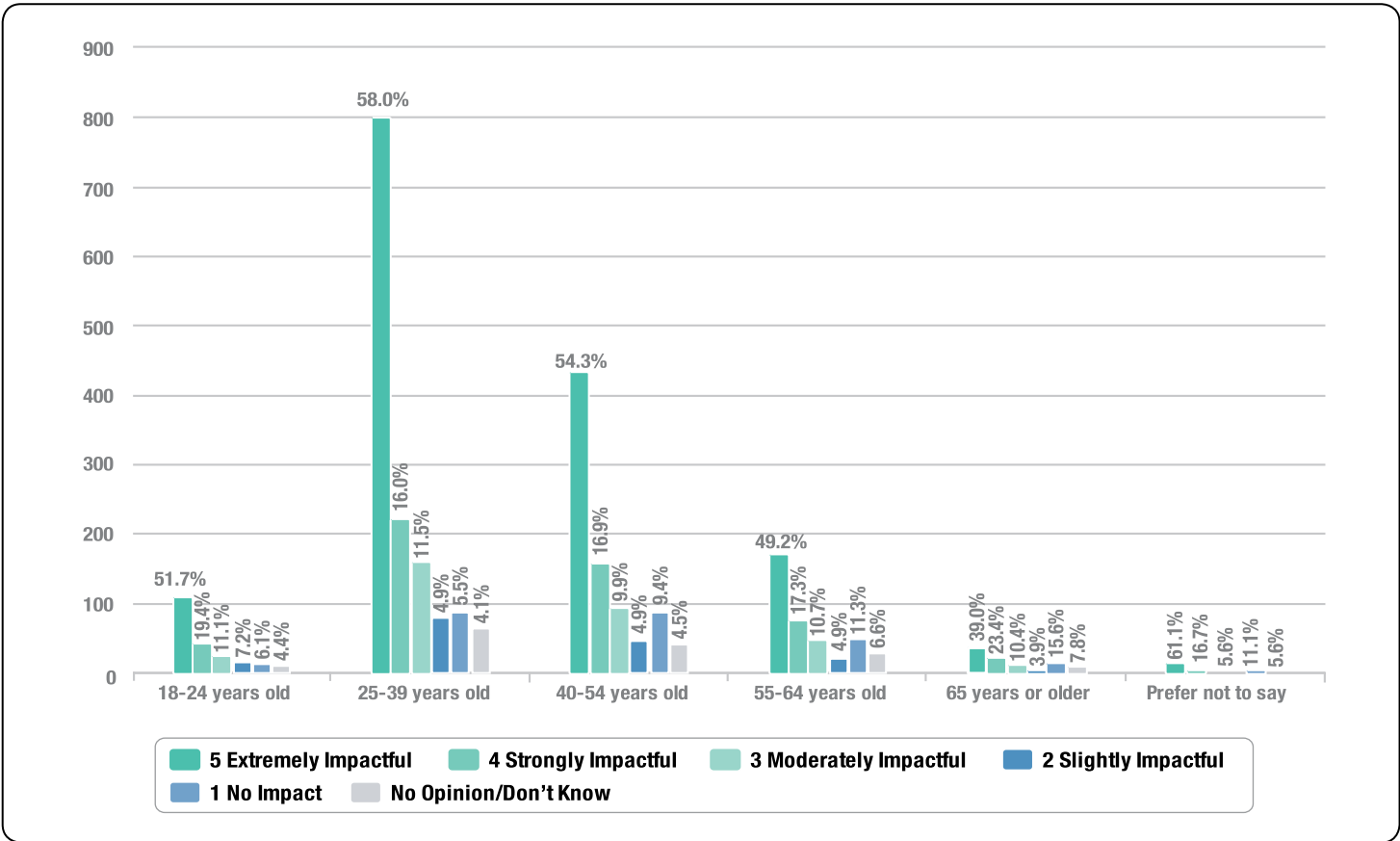
2013 Musician Individual Income by Age, Music Industry Income Only



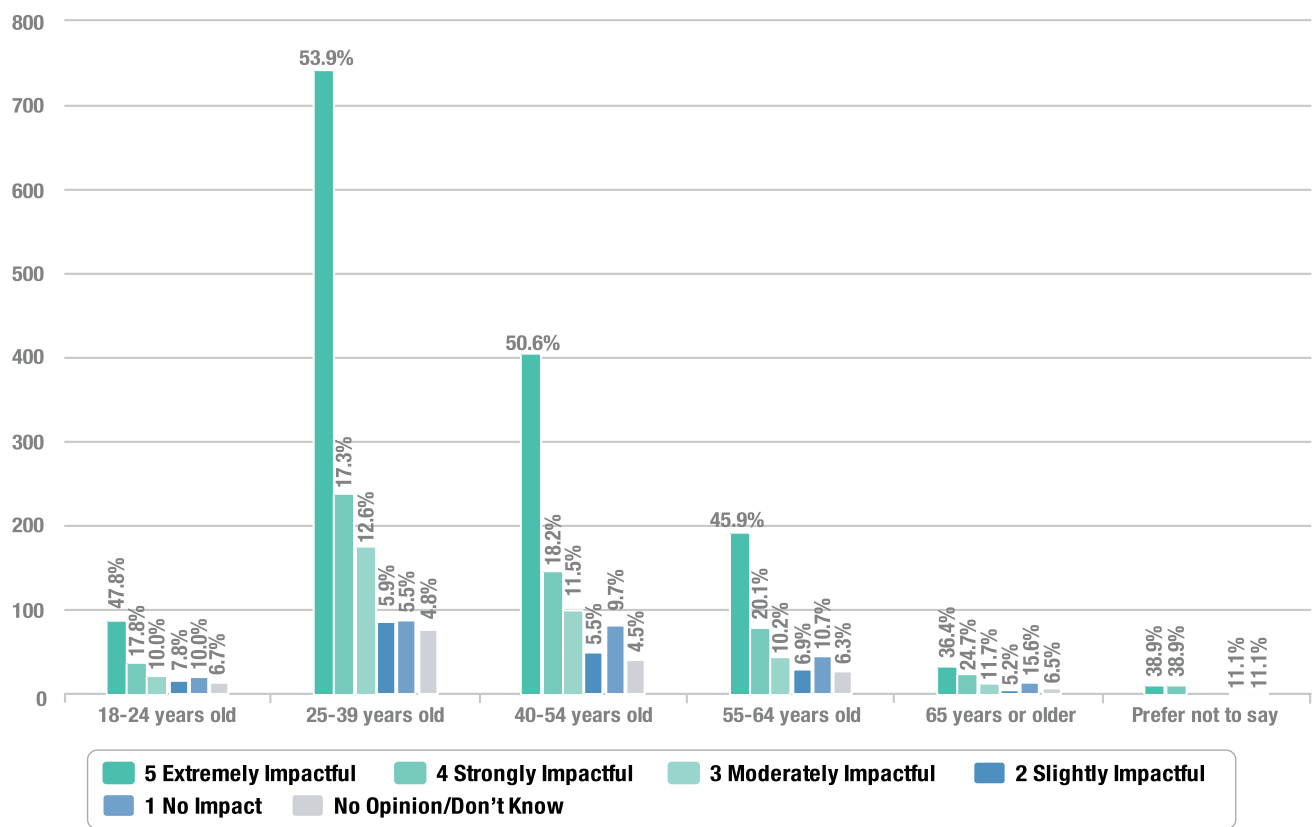
2013 Business Owner Individual Income by Age, Music Industry Income Only



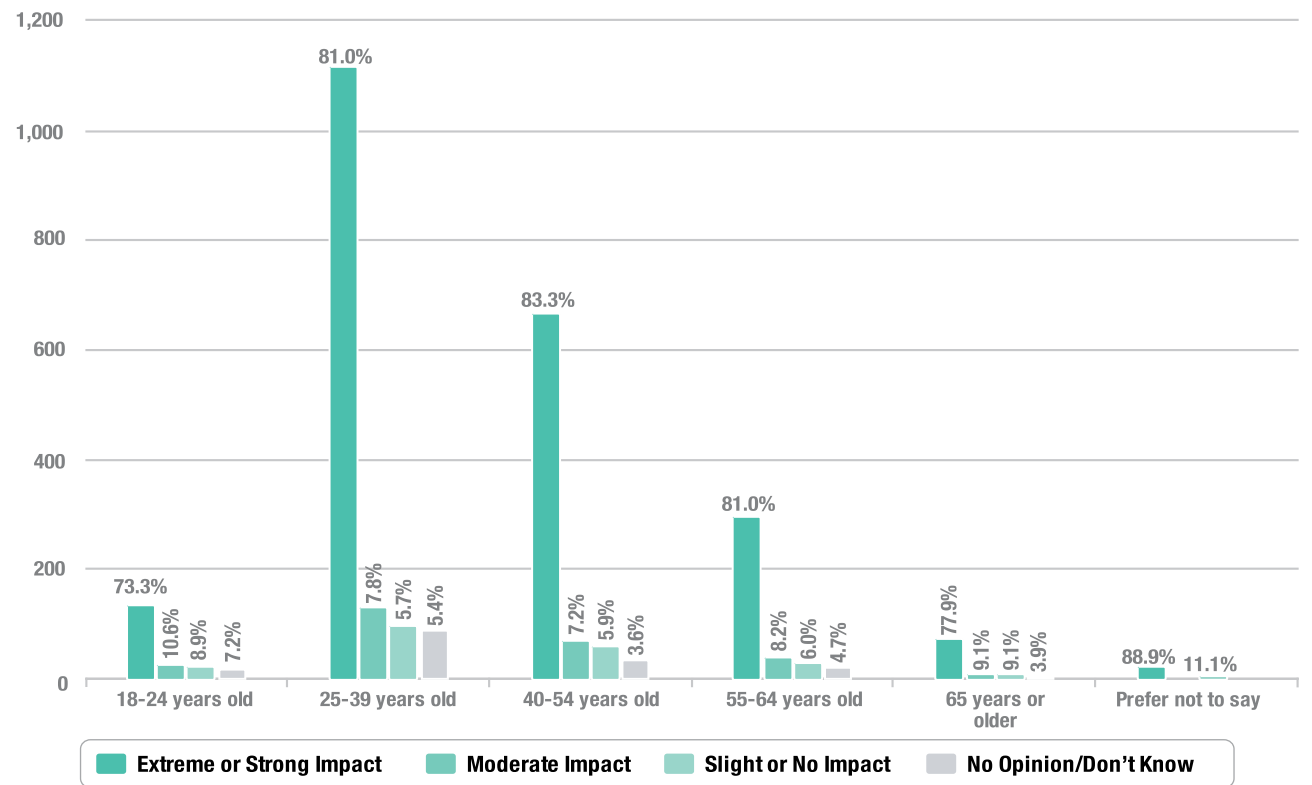
Lack of Affordable Housing for Rent by Age



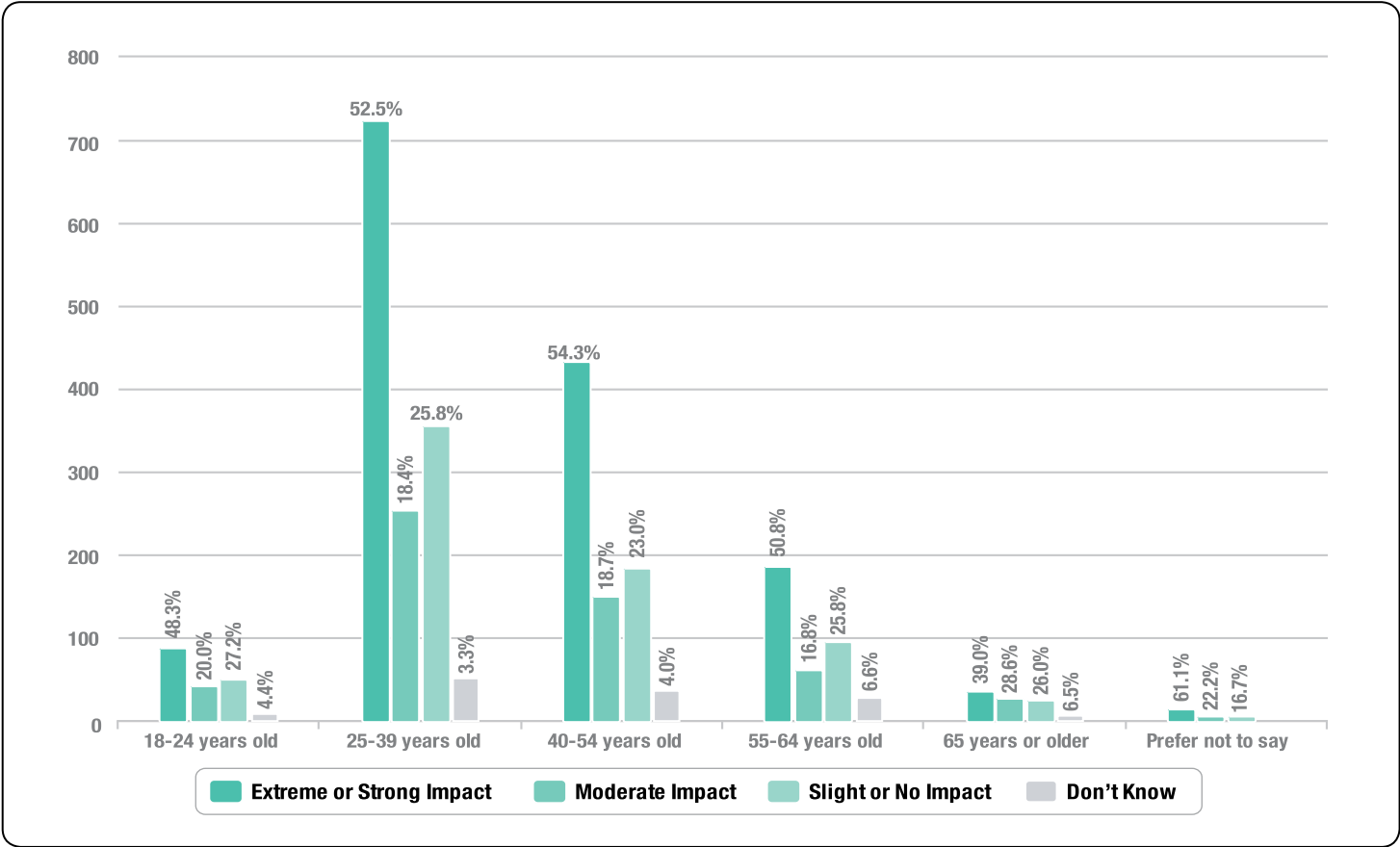
Lack of Affordable Housing for Purchase by Age



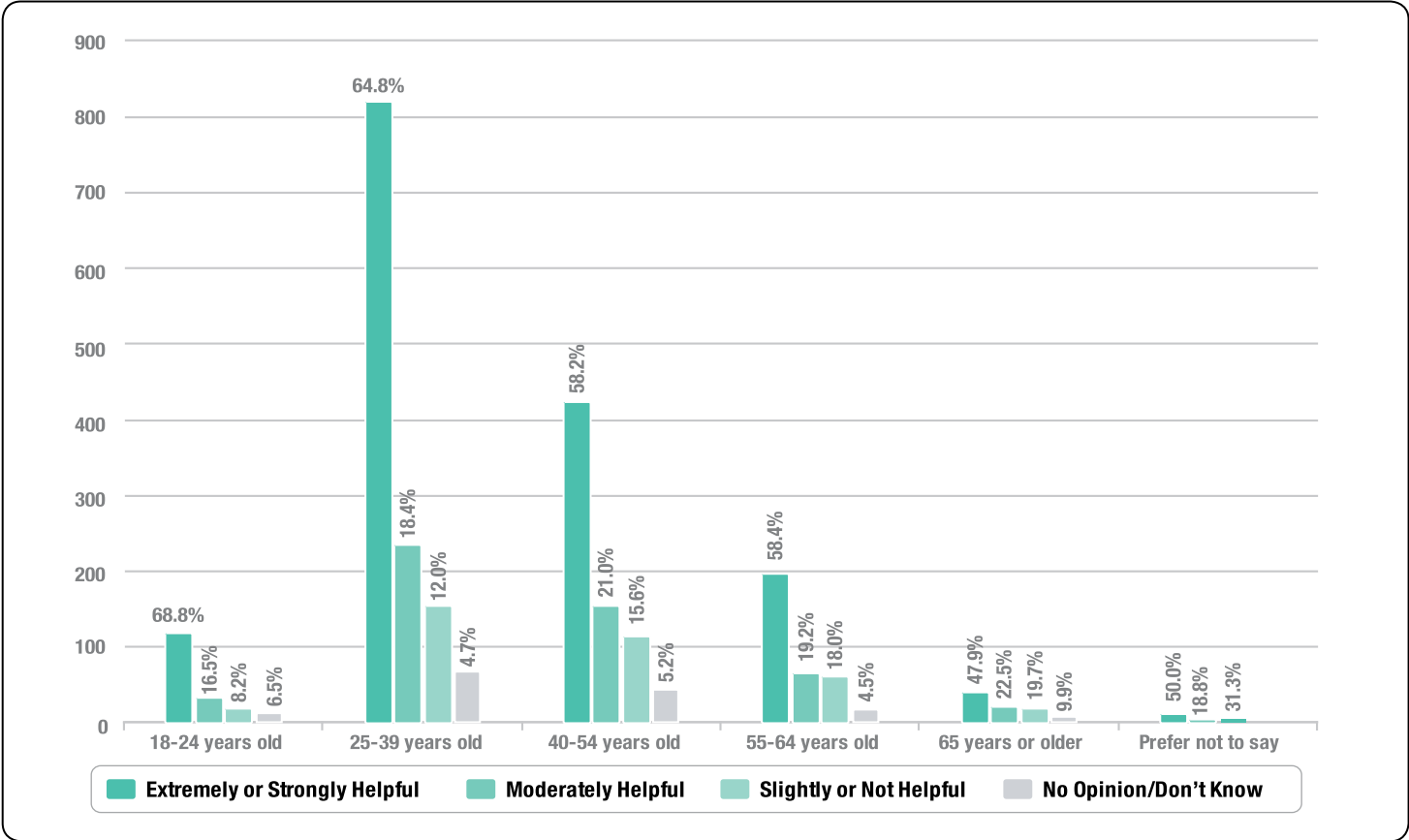
Difficulty in Earning Living Wage Due to Stagnating Pay by Age



Difficulty with Long Commutes to City Center by Age



Desire for Creation of a Music Industry Hub by Age



Appendix IX

City of Austin Permit Requirements for Venues

Part 1: Basic Required Nightlife Establishment and Venue Permits

Permit Name	Department for Application	Duration of Permit	Fee	Other Info.
Certificate of Occupancy ¹	Building Inspections Division	1 YEAR	No charge	The Certificate of Occupancy gives a business owner the right to legally open its doors in Austin and indicates that the building is safe for a particular use. If the building is sold, the CO will convey to the new owner as long as the use of the building stays unchanged. ²
Official Occupant Load Card ³	Austin Fire Dept.	1 YEAR		Any public building with a capacity of 50 or more persons is required to have the load card posted. ⁴ Reviewed during annual public assembly permit inspection.
Public Assembly Permit ⁵	Austin Fire Dept.	1 YEAR	\$200	Required for public establishments who anticipate or operate at an occupancy rate of 50 or more people, and whose gross sales constitute 51% alcohol. ⁶
City of Austin Alcoholic Beverage Permit ⁷	Map Sales and Zoning Review			Must complete pre-qualification packet with TABC and information form from the City of Austin. ⁸
APD Liquor License Information Form ⁹	Austin Police Department			Complete form and send it to the APD Alcohol Control Team. Background checks on all applicants. ¹⁰

Permit Name	Department for Application	Duration of Permit	Fee	Other Info.
TABC Alcohol Beverage Permit ¹¹	Texas Alcoholic Beverage Commission	2 YEARS	Variable ¹²	
Sign Permit ¹³	Planning and Development Review Department			Permit application is required for a sign that is located in the planning jurisdiction, visible from a street right-of-way, and used for advertising. ¹⁴
Food Enterprise Permit ¹⁵	Health and Human Services Department	1 YEAR	Variable ¹⁶	NOTE: All bars that serve mixed drinks are required to obtain this permit. Permits are not transferrable.
New Venue - Plan Review and Certificate of Occupancy Inspection ¹⁷	Health and Human Services Department	Prior to Opening	\$191 ¹⁸	
Change of Ownership - Change of Ownership Inspection ¹⁹	Health and Human Services Department	Prior to Opening	\$177 ²⁰	A change of ownership inspection is required of all food enterprises before an operating permit can be approved. If an establishment has or will change ownership an inspection must be conducted to verify the new operation has adequate facilities or to verify if any existing equipment must be replaced or upgraded. ²¹
Health Inspection ²²	Health and Human Services Department	Twice per year ²³		
Health Department Plan Review ²⁴	Health and Human Services Dept.		\$254 ²⁵	A Health Department Plan Review is required whenever a building is constructed or substantially remodeled to be a Food Enterprise, whenever a substantial change is made to an existing food facility or if a building permit or other construction related permit is required by the City of Austin. ²⁶

Permit Name	Department for Application	Duration of Permit	Fee	Other Info.
Food Handler Registration Permit ²⁷	Health and Human Services Department	2 years	\$12 ²⁸	When the Food enterprise renews its permit, it must provide a list of all food handlers, food managers, or non-food handlers (as established by sworn affidavit). Food Handler registration is required for employees working in a food enterprise. Not required for temporary events. ²⁹
Food Manager Registration ³⁰	Health and Human Services Department	2 -5 Years	\$28 / 1 yr \$56 / 2 yrs \$84 / 3 yrs \$112/4 yrs \$140/5 yrs ³¹	Not needed for bars unless food is served. ³² The Austin City Code requires the majority of permitted Food Enterprises in Austin to have one employee to be currently registered as a Certified Food Manager with the City of Austin and to have their current City of Austin Certified Food Manager Certificate prominently posted in the establishment. ³³
Building Permit ³⁴	Planning and Development Review Department			A building permit is required to erect, construct, enlarge, alter, repair, improve, remove, convert, move or demolish any building or structure within in the City's zoning jurisdiction or in certain Municipal Utility Districts. ³⁵ A trade permit (electrical, mechanical, plumbing, irrigation) may also be required depending on the scope of work. Once final permit has been issued, an inspection must be schedule, and upon final inspection, a Certificate of Occupancy will be issued. ³⁶
Parking Permit ³⁷	Transportation Department		Variable ³⁸	Needed if venue plans on using legal on-street parking for loading in and out of events. ³⁹

1. "Certificate of Occupancy," at <http://www.austintexas.gov/content/certificate-occupancy>, last visited April 15, 2015.
2. *Id.*
3. See "Austin Fire Department Event Permits," at <http://austintexas.gov/department/austin-fire-department-event-permits>; last visited April 15, 2015.
4. "Austin Fire Dept. Prevention Section," located at <http://www.austintexas.gov/sites/default/files/files/Fire/Prevention/Public%20Assembly%20Maintenance%20Inspections.pdf>; last visited April 15, 2015.
5. See "Alcoholic Beverage Permit Process," at <http://www.austintexas.gov/page/alcoholic-beverage-permit-process>; last visited April 15, 2015.
6. *Id.*
7. See "Alcoholic Beverage Permit Process," at <http://www.austintexas.gov/page/alcoholic-beverage-permit-process>; last visited April 15, 2015.
8. "Information Form in Connection With Application For an Alcoholic Beverage License," located at http://www.austintexas.gov/sites/default/files/files/City_Clerk/Alcoholic_Beverage_Permit/information_form.doc; last visited April 15, 2015.
9. See "Alcoholic Beverage Permit Process," at <http://www.austintexas.gov/page/alcoholic-beverage-permit-process>; Last visited April 15, 2015.
10. *Id.*
11. *Id.*; See also "Licensing Forms," <https://www.tabc.state.tx.us/forms/licensing.asp>; last visited April 15, 2015.
12. See, e.g., "Two Year Fee Chart" at <http://www.tabc.state.tx.us/licensing/files/fee-chart-0911.pdf>, last visited April 15, 2015.
13. See "Business-Related Permits," at <http://www.austintexas.gov/department/business-related-permits>, last visited April 15, 2015.
14. See *Id.*; see also "Sign Permit Application" at http://www.austintexas.gov/sites/default/files/files/Planning/Applications_Forms/sign-permit-app.pdf, last visited April 15, 2015.
15. See "Starting a Food Business in Austin & Travis County" at http://www.austintexas.gov/sites/default/files/files/Health/Environmental/Food/startingfoodbus_1-12-15.pdf, last visited April 15, 2015; see also "Application to Operate a Food Enterprise" at http://www.austintexas.gov/sites/default/files/files/Health/Environmental/Food/food_enterprise_permitapp_1-23-15.pdf, last visited April 15, 2015.
16. See, e.g., "Food Enterprise Operating Permit Fees" at http://www.austintexas.gov/sites/default/files/files/Health/Environmental/ECHU_FY2015_AustinTC_Fees_BW_3_20_15.pdf
17. See "Starting a Food Business in Austin & Travis County" at http://www.austintexas.gov/sites/default/files/files/Health/Environmental/Food/startingfoodbus_1-12-15.pdf, at 3, last visited April 15, 2015.; see also "Food Enterprise Certificate of Occupancy Inspection Application," at http://www.austintexas.gov/sites/default/files/files/Health/Environmental/Food/foodcertofoccupancyinspectionapp_1-15-15.pdf, last visited April 15, 2015.
18. *Supra*, note 16.
19. *Supra*, note 15.
20. *Supra*, note 16.
21. "Food Enterprise Change of Ownership Inspection Application," at http://www.austintexas.gov/sites/default/files/files/Health/Environmental/Food/foodchangeofownershipapp_1-15-15.pdf, last visited April 15, 2015.
22. "Food Establishment Requirements," at <http://www.austintexas.gov/department/food-establishment-requirements>, last visited April 15, 2015.
23. *Id.*
24. *Supra*, note 15; See also "Food Enterprise Plan Review Application," at http://www.austintexas.gov/sites/default/files/files/Health/Environmental/Food/foodplan_review_app_1-15-15.pdf, last visited April 15, 2015.
25. *Supra*, note 16.
26. *Supra*, note 15;
27. *Id.*
28. "Food Handler Registration Application," at http://www.austintexas.gov/sites/default/files/files/Health/Environmental/Food/FH_Registration_app_ENG_1-15-15.pdf, last visited April 15, 2015.
29. *Supra*, note 15.
30. "Food Manager Certificate of Reciprocity", at http://www.austintexas.gov/sites/default/files/files/Health/Environmental/Food/fmc_app_1-15-15.pdf, last visited April 15, 2015.
31. *Id.*
32. *Supra*, note 15; see also Austin City Code §10-3-31(B)(1).
33. *Supra*, note 15.
34. "Building Permits," at <https://austintexas.gov/page/building-permits>, last visited April 15, 2015.
35. Austin City Code § 25-12-243.
36. *Supra*, note 34.
37. See "Right of Way Permits," at <https://austintexas.gov/department/right-way-permits>, last visited April 15, 2015.

38. "Fiscal Year 2013 Approved Fees," at https://austintexas.gov/sites/default/files/files/Transportation/Right_of_Way/Fiscal%20Year%202013%20Approved%20Fees.pdf, last visited April 15, 2015.
39. *Supra*, note 37.

Part 2: Required Music Establishment & Outdoor Music Venue Permits

City of Austin Municipal Code §9-2-35. A live music permit is required under this subpart to use sound equipment for outdoor music that involves the amplification of sound from instruments, vocal and instrument microphones, turntables, and digital or analog devices used as part of a performance requiring human operation from song to song.

Permit Type	Duration, Hours, and Decibel Levels	Event Impact Plan	Notice & Appeal	Fee ¹
24 hr Live Music ²	1-day permit, with hours of operation and decibel levels set in §9-2-30 unless modified by accountable official. ³	Temporary Event Impact Plan approved by Music Office and Special Events Office is required ⁴		Notification Fee : \$377 Sound Impact Eval Fee: \$200 Permit Fee: * \$11.44/day for matters of public interest or political campaign * \$22.88/day for a private party \$34.32/day for an advertising event 17. No fee for a charitable organization or govt agency
Multi-Day Special Event ⁵	4-day permit, with hours of operation and decibel levels per <u>Sec. 9-2-30</u> unless modified by the accountable official. ⁶	Temporary Event Impact Plan approved by Music Office and Special Events Office is required ⁷	Notice per <u>Sec. 9-2-54</u> . Appeals per <u>Sec. 9-2-56</u> ⁸	same as above
Outdoor Music Venue ⁹	1-year permit, with hours of operation per <u>Sec. 9-2-30</u> unless modified by the accountable official. ¹⁰	Sound Impact Plan required. ¹¹	Notice per <u>Sec. 9-2-54</u> . Appeals per <u>Sec. 9-2-56</u> ¹²	Notification Fee: \$377 Sound Impact Eval Fee: \$200 Permit Fee: \$67.08

1. "Sound Permits," at <http://www.austintexas.gov/departments/sound-permits>, last visited April 15, 2015.

2. City of Austin Municipal Code §9-2-37.

3. *Id.* at §9-2-30.

4. *Id.* at §§9-2-37, 52.

5. *Id.* at §9-2-38.

6. *Id.*

7. *Id.*, §9-2-52

8. City of Austin Municipal Code §§9-2-38, 54, 56.

9. *Id.* at §9-2-39.

10. *Id.*

11. *Id.* at §9-2-41.

12. *Id.* at §§9-2-54, 5

Part 3: Required Temporary Event Permits

Permit Type	Reason for Permit / Other Info	Department for Application	Duration of Permit	Fee
Temporary Event Sound Permit ¹	Necessary if holding a temporary outdoor amplified music event. Must comply with decibel and hours laws. Also requires a Temporary Event Sound Impact Plan. ²	Austin Center for Events ³	Up to four days within one month. Can receive up to four permits per site per calendar year. ⁴	Notification Fee : \$377 Sound Impact Eval Fee: \$200 Permit Fee: * \$11.44/day for matters of public interest or political campaign * \$22.88/day for a private party \$34.32/day for an advertising event ⁵
Right of Way Event Permit ⁶	Required to plan an event on any of the City's streets, sidewalk and alleys. The department provides a case manager for each event to interact and coordinate with all parties involved. ⁷	Austin Center for Events		
Temporary Change of Use ⁸	Required to use a structure or portion of a structure in a manner as a public assembly (more than 50 people) that does not have a certificate of occupancy for that type of use. Note: A floor plan/site plan must be submitted with the application. ⁹	Austin Fire Department Office of Special Events ¹⁰		\$100 ¹¹
Temporary Use ¹²	Required when using property in a way not included in any existing site plan or certificate of occupancy (i.e., holding an event in a parking lot, empty lot). ¹³	Planning and Development Review Department		

Permit Type	Reason for Permit / Other Info	Department for Application	Duration of Permit	Fee
Official Occupant Load Card	Necessary for all special events. Issued by Fire Department and must be displayed.	Austin Fire Department		
Carnival / Fair / Festival Permit ¹⁴	Required for all events held in parks not covered by the special events permit issued by the Austin Center for Events. ¹⁵	Austin Fire Department Office of Special Events		\$100 ¹⁶
Tent Permit ¹⁷	Required for events using tents in excess of 400 square feet. Other requirements for tents as well. ¹⁸	Austin Fire Department Office of Special Events		\$50 ¹⁹
Austin Center For Events Permit ²⁰	Required for most temporary events held within city. In order for permit to issue, must have scaled site plan and proof of event insurance, among other permits. ²¹	Austin Center For Events		Notification Fee - \$241 Permit Fee: 18. \$11.44/day for matters of public interest or political campaign 40. \$22.88/day for a private party \$34.32/day for an advertising event ²²
BYOB Permit ²³	Required if not seeking alcoholic beverage permits from the City of Austin and State of Texas. ²⁴ NOTE: Numerous TABC regulations apply. Review carefully.	Planning and Development Review Department		
TABC Temporary Permit ²⁵	Required to be able to sell alcoholic beverages at an event on a temporary basis. Different permits for different types of drinks sold and duration of permit. ²⁶	Texas Alcoholic Beverages Commission		Variable ²⁷

Permit Type	Reason for Permit / Other Info	Department for Application	Duration of Permit	Fee
City of Austin Alcoholic Beverage Permit ²⁸	Must complete pre-qualification packet with TABC and information form from the City of Austin. ²⁹	Map Sales and Zoning Review		
APD Liquor License Information Form ³⁰	Complete form and send it to the APD Alcohol Control Team. Background checks on all applicants. ³¹	Austin Police Department		
Temporary Food Event Permit ³²	Required if any of the following: * General Public event * Advertised or sold tickets to the event * Serving OPEN FOOD, open container drinks (mixed beverages with ice, wine, keg beer), OR food that requires refrigeration. ³³	Health and Human Services Department	2-14 days	2-5 calendar days - \$98 6-14 calendar days - \$145 ³⁴
Parking Permit ³⁵	Required for using any legal, on-street parking for purposes of loading and setup. ³⁶	Transportation Department		Variable ³⁷
Building Permit ³⁸	Required for Temporary Structures (e.g., scaffolding, stages, bleachers, etc.) or more than 120 sq ft, and that house more than 10 people. ³⁹	Planning and Development Review Department.		
Street Banners ⁴⁰	Event organizers, nonprofit groups, public and governmental agencies, and public information campaigns may display Street Banners on City lampposts to promote charitable, educational, arts, community, and public interest activities and events. City code prohibits the use of banners for commercial advertising or political campaigns. ⁴¹			Lampost Banner - \$250; Over the Street Banner - \$564 ⁴²

Austin Parks and Recreation Department Office of Special Events.

Please Note: If holding a large-scale temporary event on City of Austin Parkland, numerous additional regulations apply. Contact the Office of Special Events of the Austin Parks and Recreation Department. <http://austintexas.gov/department/pard-event-permitting>.

13. "Sound Permits," at <http://www.austintexas.gov/department/sound-permits>, last visited on April 16, 2015.
14. *Id.*
15. "Event Planning," at <http://www.austintexas.gov/department/special-event-permits>, last visited on April 16, 2015; *see also* "Austin Center for Events Application," at http://www.austintexas.gov/sites/default/files/files/Transportation/Special_Events/SpecialEventApplication_08292014_Final_v2.0.pdf, last visited April 16, 2015.
16. *Supra*, note 1.
17. *Id.*
18. "Austin Transportation Department of Special Events," at <https://austintexas.gov/department/austin-transportation-department-special-events>, last visited April 16, 2016.
19. *Id.*
20. "Temporary Change of Use," at <https://austintexas.gov/department/temporary-change-use>, last visited April 16, 2015.
21. "Temporary Change of Use Permit Requirements," at <https://www.austintexas.gov/page/temporary-change-use-permit-requirements>, last visited April 16, 2015.
22. *Id.*
23. *Id.*
24. "Temporary Uses," at <http://www.austintexas.gov/page/temporary-uses>, last visited April 16, 2015; *see also*, "Temporary Use Application," at http://www.austintexas.gov/sites/default/files/files/Planning/Applications_Forms/temporary-use-permit.pdf, last visited April 16, 2016.
25. *Id.*
26. "Special Events Permit Guidelines," available at http://austintexas.gov/sites/default/files/files/CityStage/Fire/guides/special_events_permit.pdf, last visited April 16, 2015.
27. *Id.*
28. *Id.*
29. *Supra*, note 12.
30. "Tent, Temporary Air Supported & Air Inflated Membrane Structures," at http://austintexas.gov/sites/default/files/files/CityStage/Fire/guides/tent_tempairsupport_airinflatemembrane_structures.pdf, last visited April 16, 2015.
31. *Supra*, note 12.
32. "Austin Center For Events Application," at http://www.austintexas.gov/sites/default/files/files/Transportation/Special_Events/SpecialEventApplication_08292014_Final_v2.0.pdf, last visited April 16, 2015.
33. *Id.*
34. *Id.*
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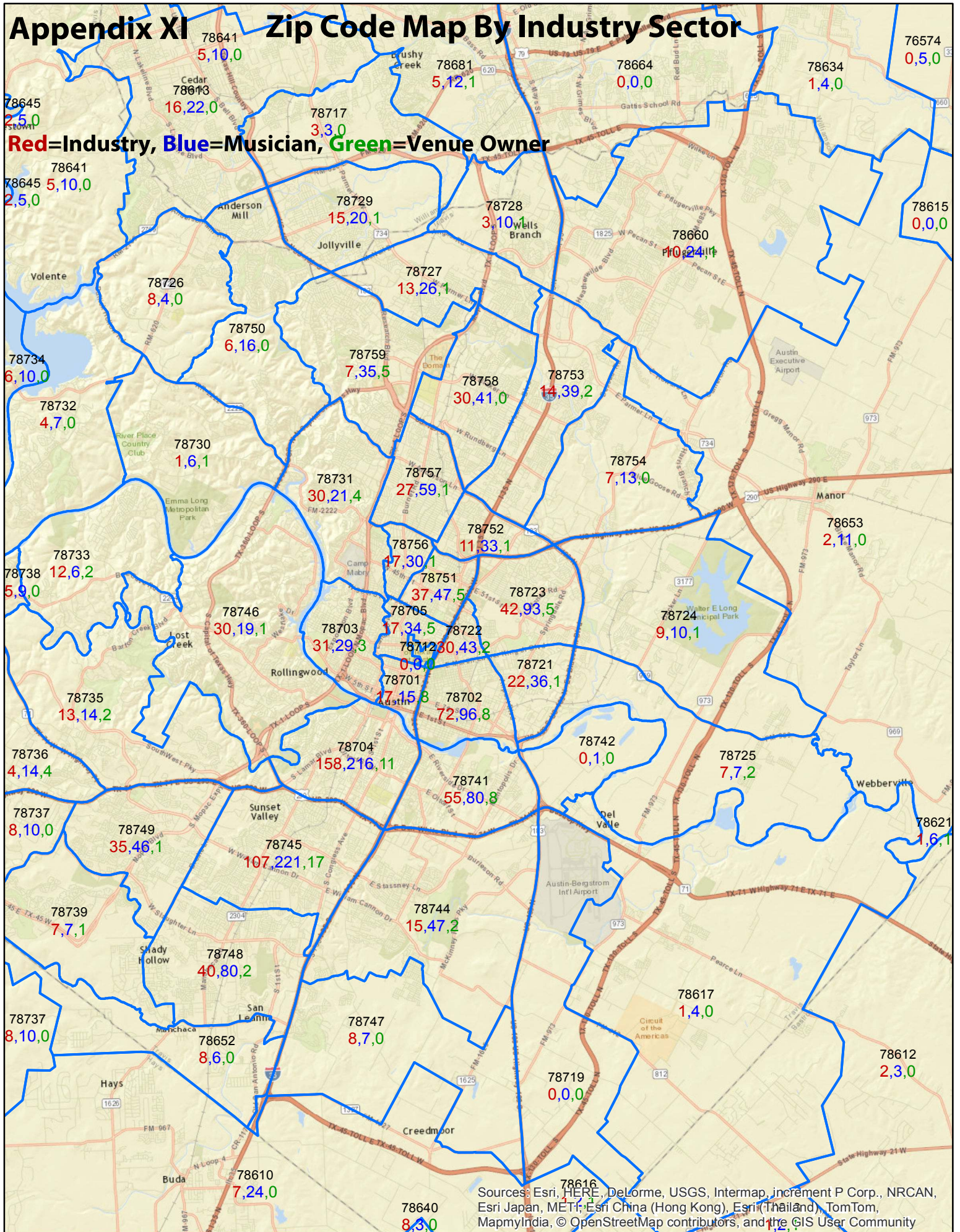
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Zip Code Map of All Respondents



Appendix XI Zip Code Map By Industry Sector

Red=Industry, Blue=Musician, Green=Venue Owner



Sources: Esri, HERE, DeLorme, USGS, Intermap, increment P Corp., NRCAN, Esri Japan, METI, Esri China (Hong Kong), Esri (Thailand), TomTom, MapmyIndia, © OpenStreetMap contributors, and the GIS User Community

Appendix XII

Focus Group Discussion Summaries

MUSICIANS

Session 1 Conducted September 29th, 2014

Session 2 Conducted October 1st, 2014

Two Separate sessions held. Each had a unique set of attendees with no overlap between the groups.

What's Going Well

1. Affordable over other major cities in the country, LA, Boston, NY.
2. Day job takes pressure off. Can find part time, day jobs that allow musicians to continue to pursue career choices. General employment is good here- Tech is prominent.
3. Good support base of music nonprofits and other organizations/businesses (Focus Group participants mentioned: Austin Music Foundation, WIMPS, Capitol View Arts, Girls Rock Camp, Mindpop, Black Fret, Texas Accountants and Lawyers for the Arts, Artists Inc-COA program, AIR, Small Business Development, The Recording Academy, Texas Music Office, Austin Music People, Austin Convention and Visitors Bureau, Cultural Arts Division, Music and Entertainment Division, First Night Austin, HAAM, SIMS, KAZI.)
4. Supportive of younger generation-music education.
5. Tradition of live music that doesn't exist in other cities.
6. Culture and History of live music and support. Music legacy from Austin.
7. Performances at airport.
8. Free week.
9. Texas Commission on the Arts offers booking and touring assistance if you are on their roster.
10. Beneficial to be from Austin when touring. Ability to represent Austin to the world. Being from Austin is cool. Everyone loves Austin. Great reputation.
11. Good sound production more common.
12. Opportunity to perform. Availability of venues, inspiration, open arm atmosphere. Low hanging fruit around Austin via close venues allow opportunity.
13. No pay to play.
14. Great place to hone your craft and build skills.
15. Private Party availabilities.
16. Music festivals-SXSW, ACL, Fun Fun Fun.
17. International draw to Austin.
18. Media support for local music from KUT, KUTX, KOOP, KGSR, KAZI, Fox morning show, Austin Chronicle, Statesman, Good Day Austin, Lone Star State of Mind.
19. Open and collaborative musician and industry community.
20. Inspirational because amount of live music. Like graduate school for musicians. Quality musicians. Helps you to improve, calls to a different level. Surrounded by people who focus on art and develop their craft.
21. Film and art collectives. Symbiotic relationship, collaborations with other art mediums.
22. Ageless. You can work in a band at any age and continue to work.
23. Central place in Texas for touring.
24. Great place to build an audience.
25. Value of original music high. Austin appreciates original music and not necessarily the most popular.
26. Waterloo and Antone's records.

Priority Needs and Issues

1. Affordability is an issue. Cost of living has increased.
2. Musician income stagnant for 30 years.
3. Guarantees are larger in other cities.
4. Musicians make money elsewhere but live here.
5. Everything better except for a viable income. Live Music Capital doesn't have trickle down to the individual musicians.
6. You have to find a job to support yourself and music. Extra work takes away from productivity toward music industry.
7. Hard to break away from the day job. Don't know how to transition into full time musician? Don't know when I can quit day job? Uncertain about future opportunities.
8. You can get by, but barely. Not a good way to live.
9. Have to work a ton of gigs to live, which takes joy out of gigs.
10. Musicians do not see themselves as entrepreneurs.
11. Music business looks at artists as a renewable business.
12. Better communication about available resources to musicians. Need to communicate better to artists.
13. Need better communication with minorities and certain genres. Lack of connections and communications for all communities.
14. Parking situation downtown and moving parking meters to shorter periods have a negative impact.
15. Musicians should speak up and advocate and be pro-active and show up. Better musician participation.
16. Need advocates for our artists.
17. CAD doesn't identify with musicians.
18. Free week not good for artists.
19. Town will force you to play for peanuts 6 nights a week if you would. Venues want you to play for free.
20. Production fees go up. Pass all expenses on to artists. No transparency from venue owners in expenses. Checks and balances between artists and clubs.
21. Club owners often don't do contracts with local artists, and there isn't enough transparency in door deals.
22. Big sponsored shows don't have to play by the same rules & have funding to get consumer attention far beyond what local artists can compete with. "I can't compete with airplane skywriters to promote an event."
23. More welcomed in other cities than Austin.
24. Urban music in particular is hard to book. Few clubs will book hip hop.
25. Opportunities and/or information to some genres, clubs, not marketed equally.
26. No system of guarantees. No venues here give guarantees.
27. Need to lend musicians money with lower interest. Should be easier to get loans and come up with capital.
28. Local musicians don't see any increase in income even though festivals are increasing here.
29. Hard for local artists to work during SXSW. Not paid during SXSW.
30. Poor representation of artists in SXSW and ACL. Austin artists are not represented at festivals/SXSW. No value to local artists.
31. SXSW good for city but not necessarily for local musicians to get gigs.
32. Can't compete with the largeness/big acts of SXSW and their promotional dollars.
33. Promoters & venues should stop saying that exposure is as valuable as money to a band.
34. Industry people not in Austin. Not enough support services. Lack of music industry. Musicians move somewhere else to get to a next level. We have talent but not resources. There is a ceiling here. Artists are outsourcing infrastructure.
35. Velvet rut-come here and hone craft but have to move somewhere else to move forward. You hit a glass ceiling here.
36. Lack of music businesses including labels, PR, management, publishing, PRO's, booking agents, distribution, record companies, music supervisors, management, music sync and licensing, career

management advice, business plan development, artist development, marketing. Need infrastructure.

37. Booking Agents, PRO's and Pro level management with connections seem to be the most needed support services.
38. Need assistance with audience building.
39. Need to make urban music as a whole stronger.
40. Need help to transition from day job to full time musician.
41. Need help to grow from Austin to National scale.
42. Journalists need to cover a variety of genres and need to write good stories. More diverse media.
43. Need more local radio shows.

Ideas for Improvement

1. Affordable housing for artists.
2. Property tax credit for people that could show that their income is made through music.
3. Vouchers for musicians to give landlords. Must show that you're making a living playing music.
4. Create a HUB for music businesses and associated organizations. All non profits together. Career resource center. Contains resources and databases. Local publicist for hire and other music professionals.
5. Hire someone to focus on reaching specific communities. Culturally competent communication. Outreach effort for communities for all genres. Committee to do outreach to different populations. Embrace the diversity.
6. Website that listed everything that could assist musicians. Connects musicians to opportunities.
7. Grants to give away money to musicians.
8. Mentorship and hired services. Pairing industry people with artists-mentors.
9. Networking. Building relationships. Musicians need to be connected with gaming. Growing film community needs to be connected with musicians. More networking within the music business groups, special event planners, bring together industries. Other ancillary businesses that could cross over.
10. Tipping Campaign. Give businesses jars or buckets that are the same to tip the musicians. Branded tip jar. People should tip musicians like they tip bartenders. Education toward people in Austin about live music. PSA's. Austin etiquette campaign.
11. Educational assistance. Musicians need to be treated as business people and given the resources to stay successful. Musicians educated as entrepreneurs. Legal self-defense skills for musicians should be taught. Education about law, music, and business. Career advice on what's next? Need help to figure out your brand. PR for musicians at the individual level. What's a retirement plan? How to plan for retirement and investment. Series on money management.
12. Educate young musicians not to play for free.
13. Training for journalists. Need more journalists writing about local acts and promoting local shows and events. Training for people in our area to start blogs.
14. Ordinance for Live Music Venues. Protect musicians from club owners. Paid minimums for artists. Ordinance or incentives for venues to promote transparency. Checks and balances.
15. Business to have sign/accreditation of live music venue. System to get a rating. It would be desirable for the business to have this accreditation. Rating for venues to provide accountability. 1 star, 2 star etc. Live Music Stamp of Approval.
16. Property tax credit for landlords or owners of musician or music related properties.
17. HOT tax funds designated for music.
18. City should force radio to play Austin artists. Local content rules.
19. Offer music industry business incentives to come here.
20. City should assist musicians with parking and loading issues.
21. More lobbying for the music industry.
22. Encourage more family oriented venues.
23. More Texas showcases. Louisiana invests in their state and it's paying off.
24. Musicians Credit Union.

25. Attract legitimate agents and publishers to Austin. Attract established industry veterans with connections. Give incentives for businesses to move here specific to the music industry.
26. Produce showcases in Austin or other cities to help bands gain support. Create opportunities for local musicians to meet music business people from elsewhere.
27. Assistance with national PR and distribution.
28. Expo with music, gaming, film- just local people.

Appendix XII

Focus Group Discussion Summaries

NONPROFIT ORGANIZATIONS

Conducted on October 1, 2014

What's Going Well

1. Good service organizations for musicians. (Focus Group participants mentioned: Austin Music Foundation, Recording Academy, Austin Music People, Austin Songwriters' Group, HAAM, SIMS, Capitol View Arts.)
2. Good youth oriented organizations.
3. Austin Music and Entertainment Division and Texas Music Office.
4. Low interest loan program for sound mitigation.
5. Attention to the addition of a busking permit.
6. Red River Cultural District.
7. Austin has rich legacy of music.
8. Music tourism on rise.
9. Collaboration between music NPO's and the Music Commission.
10. Austin Music Commission. Pro-active and focused Music Commission.
11. Good leadership coordination among organizations. Benefits all.
12. Increased activity from grass roots organizations.
13. Advocacy opportunities and education available.
14. Being from Austin is beneficial and has a good reputation. Brand is strong
15. Strong club environment.
16. High number of live music venues.
17. Businesses using music to advertise products, commercial opportunities for artists. Music focused branding by other entities
18. Continued growth of artists and fans coming to Austin.
19. HAAM DAY. Opportunities for health care and mental health care.
20. Creative community attracting jobs for tech workers.
21. Wealth of talent, culturally diverse, multi genre musical landscape.
22. Cross collaboration of artistic disciplines.
23. Unexplored potential to build new models.

Priority Needs and Issues

1. Affordability is an issue.
2. Housing should be close to where people live and work.
3. Public transportation options, especially late night need to be improved.
4. Patrons need safe way to get back to homes and hotels.
5. Cross-racial communications are difficult.
6. Nonprofits need more diversity and should reflect the city demographics.
7. Outreach and connections to east side are difficult.
8. Financing of after school programs is difficult in certain areas.
9. Need more nonprofits that do specialized work for east side.
10. Problem with artists playing for free. Hard to get away from the culture of free. This culture and free mindset of the community transfers to new arrivals.
11. ACVB assistance minimal.

12. Musicians unaware of programs and services available.
13. Need favorable and increase in musician loading zones.
14. Parking.
15. Measuring commitment and enthusiasm from stakeholder involvement is difficult.
16. Better civic engagement. Music industry needs to show up at City Hall to induce change.
17. Large percentage of current and incoming businesses are profiting off the reputation of Austin music but not contributing to its sustainability.
18. No infrastructure to support musicians. Need more music industry.
19. Not enough inclusivity in festivals.
20. Music industry fragmented which makes collaboration hard. Always advocating for personal interests.

Ideas for Improvement

1. Expanding Capitol Metro services for late night riders.
2. Access and funding for music education and children is important. High school, university outreach.
3. Educate community on the value of music. Do away with the culture of free. Every time an artist plays they should get paid. Union represents the symphony, orchestra, ballet, and they get paid scale, that's why they make money. City-wide pay your artists focus. Fair trade.
4. Better/expanded leadership coordination with east side groups.
5. Better connectivity with community, particularly African American and Hispanic communities. Increased inclusivity with focus on diversity, to reflect the population. Work to build a bridge to connect and cross pollenate genres and events.
6. Night without music- one night without anyone playing, symbolic action with press.
7. Education about issues and resources that are available to musicians.
8. More access to operational, financial, personnel, publicity resources for nonprofits.
9. More education about needs in our community to increase donations.
10. City of Austin convened leadership meetings would be beneficial.
11. Mentors and braintrust for nonprofits. Provide networking opportunities with other nonprofits.
12. Improve sound and lighting incentives for venues to increase professionalism.
13. Incentives weighted to diversity of performances.
14. Chamber of Commerce, chamber activity for music industry.
15. Cultural deserts in the city. City should better understand where there is access and where there is not.
16. Incentives for export of music, talent.
17. Advertise to people from suburbs to come in and be a part of the City with hotel, dinner, music etc.
18. Increase participation from our industry in civic and industry issues.
19. Get people to show up and register to vote.
20. More diverse board to represent the Music Commission, not just same major businesses.
21. Strong infrastructure needed to keep artists here. Need PRO's and publishers.
22. Provide networking opportunities.
23. Continued funding for artists' professional opportunities, especially to export artists.
24. Create better connections into music industry and music leaders.
25. Financial assistance, personnel, PR for nonprofits and musicians. Getting the word out about the success of nonprofits.
26. Collaboration with other genres like theater and dance. There are parallels to music industry in these other disciplines.

Appendix XII

Focus Group Discussion Summaries

VENUES & NIGHTLIFE ESTABLISHMENTS

Conducted on October 6, 2014

What's Going Well

1. Many venue owners regularly meet with their surrounding neighborhood associations and encourage good communication to address issues with nearby residents.
2. Growth of venues gives musicians and production personnel more opportunity.
3. More competition in mid-size market. Business is up. Fewer shows but produce more income due to higher attendance numbers.
4. Austin market is interested in the VIP experience. There is the ability to sell upgraded ticket at higher price. VIP creates loyalty to venue.
5. Special events, benefits, fundraisers are a lot of business for venues. Venue rentals are strong outside of SXSW week.
6. East side venues are busy on weekends when it's easier to park and navigate the area as compared to downtown. Weekdays are harder. Specialty and curated events help to draw crowds.
7. A cluster of venues can be a positive thing. People go to an area as a destination and feel safe when there are numerous clubs in close proximity.
8. More pro-production teams to work with and more people in the business of producing events. It's easy to find quality people.
9. Some venue owners communicate and text/email each other. Very good relationships.
10. Venues have started the process to look past the competitiveness and work with City and community.

Priority Needs and Issues

1. East side patronage has never been better, but east side venues have had issues with city code compliance.
2. Sound enforcement not complaint driven and venues that have had both live and ambient music for a long time now are starting to get cited without any complaints.
3. Police not enforcing ordinances uniformly.
4. Different enforcement crews require different criteria. No standard expectations or passing of information between City departments. Enforcement and expectations are different for each City staffer. It's difficult to know what to do to comply.
5. Uneven and arbitrary rules lead to intimidation. The rules are not standard or clear.
6. Fire department is not uniform in enforcement and hard to communicate with. Inconsistent information.
7. City infrastructure and staffing not keeping pace with the growth of the City. City staffers are often exhausted, overworked, and mad when they show up. Not enough time to work effectively with the venue owners. Owners are more confused in the end.
8. Code Compliance needs better customer service.
9. Monitoring the DBC rating would hurt many live music venues.
10. DBA enforcement levels are arbitrary.
11. Difficult to plan for growth when you have to get neighborhood re-approval each year to receive permitting.

12. Slow permitting process and last minute approvals for events not conducive for booking and planning purposes. It is stressful to be planning an event and making expenditures when the permitting process takes so long. Notifications are last minute and occur after financial investments have been made and contracts have been signed.
13. Even though applications for permitting are filed with the City months in advance, permits are approved a week or less before the event.
14. You can't book talent more than two weeks before an event if you are waiting for permitting. This is not practical in a business environment.
15. Information on City of Austin website could be clearer. Hard to determine the permitting process.
16. Temporary permitting process is very difficult and having to deal with different departments within the City is confusing. There is conflicting information given on what permits are needed. Too many departments that are not on the same page.
17. Temporary permitting is not consistent.
18. Temporary permits during large events often cause problems for regular businesses. Free alcohol giveaways contribute to this. The non-traditional businesses that do not operate in Austin 365 days a year often cause problems for the long-term established businesses. People who are just here for 10 days producing an event should not get preferential treatment.
19. Street closures are hurting businesses. No notice of street closures to businesses.
20. Many venues noted tourist business, especially on weekends. However, the consensus was that festival and event weekends such as ACL, F1, and X Games did not bring additional patrons. In fact, these large tourist weekends often decreased business.
21. Venue owners agreed that better coordination on proposed amendments to city ordinances would allow for a common advocacy effort.
22. Do not see the same communication between bars that only sell alcohol and those that have live music.
23. "No parking" regulations on 6th street at night have hurt businesses.

Ideas for Improvement

1. Easy to find and understand codes.
2. Comprehensive webpage where all regulations are in one place that effect venues.
3. Seminars/Code Compliance Course would help. Meetings with ACE.
4. Email with updates/changes to the code. Prescheduled meetings and emails with changes and information.
5. Local promoter specific qualifications and event planner certification. System to favor event permits for local promoters and reward local businesses.
6. Option to receive your event permits early if you are a city certified promoter/event planner. Local businesses should be given priority treatment.
7. Local event promoters should have some relationship with the City to be able to work to receive permits simpler and faster.
8. Renewal of permits that have been given in previous years. Create a database of permitting and what has been granted before. Process would simplify year-to-year renewal of the same plan.
9. Permits should be approved at least three months in advance.
10. City could offer reduced rates for venue owners on electric bills.
11. Assistance with parking.
12. Curtail free alcohol give-aways.
13. Discussion to start a merchants association with lobbying power to bring competitors together for a bigger voice.

Appendix XII

Focus Group Discussion Summaries

MUSIC INDUSTRY

Session 1 Conducted October 7th, 2014

Session 2 Conducted October 8th, 2014

Two Separate sessions held. Each had a unique set of attendees with no overlap between the groups.

What's Going Well

1. Austin is affordable in comparison to major music cities at this point in time.
2. Services for musicians (such as HAAM) add to affordability and livability.
3. Austin has fared better than most cities during economic downturn.
4. Good paying jobs for significant others and spouses to support musicians.
5. Supportive infrastructure with nonprofits and others that support artists. (Focus Group participants mentioned: Austin Music Foundation, Black Fret, Austin Music People, Austin Music Commission, HAAM, SIMS, Capitol View Arts, Good Music Club, Austin City Limits TV show.)
6. Educational opportunities for commercial music careers.
7. Music education in general is accessible and prevalent. Lot of music schools, group classes, rock camps. Younger generation is miles ahead of where they used to be in learning to play an instrument.
8. Tourism is helping. Puts your music in front of others. Anyone who visits wants to be a consumer of music as well. Tourist business helps when touring because fans have been to Austin and have experienced the city.
9. Tourists export the brand back home.
10. Being from Austin is positive. Can get you a gig. Brand of Austin is helpful. People want to watch your videos and book you. Even more so overseas. Opens a conversation. Great international reputation. Austin brand is strong when traveling throughout the world.
11. Greek community, social scene, government, social functions, parties to be employed at. Also, health sector, runs, expos, private events book music.
12. Accessibility to major markets- geographically, Dallas, SA, Houston. In middle of country. If you are working on the road it's a great location.
13. Sound engineers and production workers are skilled. Venues care about sound.
14. Ecosystem of venues and artists for various skill levels. Lots of venues.
15. Pay to play hasn't taken hold here.
16. SXSW creates a sustainable business model for venues.
17. Center of gravity around industry side that wasn't there five years ago. People are leaving Nashville, NY, LA and coming here. More industry will equal more economic prosperity.
18. Export offices come here to investigate. Public money from around the world is invested here.
19. Austin with little infrastructure is ripe to accommodate what is next in music industry. Will be easy to accept new models. No legacy of old industry to overcome. No industry barriers here could be a positive for growth.
20. SXSW here is huge plus. SXSW has become a global festival and helped put Austin on the map. Has had a cumulative effect on music.
21. Climate is a positive. Increases event season. More festivals and outdoor activities.
22. Good history for music here... old guard here. Rich music culture. Something to build on and you're a part of something bigger. Camaraderie between old timers and new people. The heritage and

history is still respected and honored. Connection with past music history. Heritage of cool older musicians. Multi genre 50 year legacy. Psych and punk could be argued that they started in Austin. We are the hotbed of culture.

23. Support from community in general-Employers will allow musicians to take off for shows. Non music industry businesses support and hire musicians. Belief in music culture is strong.
24. Community bands together in times of crisis. Stolen equipment is often replaced immediately. Lots of benefits for sick, injured. Community supports and understands.
25. Austin is an incubator: conducive to people coming to Austin and developing their talent and musicality. Hone your craft here, get better here.
26. Collaboration between different creative industries, musicians, actors, film, visual art. Cross collaboration and strong entrepreneurial spirit. Supporting and accessible creative community for collaboration and mentorship.
27. Breaking silos between fields. Ballet, opera, symphony getting more adventurous and collaborating with those that don't have a fine art or higher education background.
28. Music fans disproportionate to other cities this size. Live music is a hobby to consumers in this town.

Priority Needs and Issues

1. Affordability is an issue. Music business start-ups commit to at least three years of living hand to mouth. Office rent and housing rents are too high.
2. Can't afford to live here and people are getting pushed out of central area.
3. Family life is a challenge.
4. Not enough affordable housing.
5. Need more infrastructure-government should find a way to entice people to move or develop here.
6. Music Office needs more staff and money.
7. Cream of crop (established) artists getting most help through tourism.
8. House production costs have gone up.
9. Inconsistency between City departments on permitting.
10. Two major promoters control larger venues. Demands to only play my venue. Bands feel like they have to choose sides. True for Indie Rock. Once you reach a certain stature you have to declare a loyalty. Storm brewing between these two promoters that control fests and larger venues. But this is part of commerce of the business.
11. More musicians per capita then we can sustain. We have more venues then needed except for SXSW. Too many venues and musicians.
12. Huge amount of musicians oppresses the per gig rate. Austin musicians on average make less than they would make in other places.
13. Heavy on artistic, light on business.
14. Have to travel a lot to meet industry people.
15. Fragmentation where people are working in their own silos. Huge fragmentation and lack of awareness of others and local services. Lack of cross awareness of what's going on.
16. Most get out of here to make it in the industry. Have to move out to move up. As soon as you're big enough, you leave for Nashville, NY, LA.
17. No PRO's here. No managers, publishers, labels etc. Booking agents needed badly. Getting a booking agent is the most frustrating thing dealing with in life. No one wants to do sales. (booking) Why aren't booking agents coming here since Austin is inexpensive compared to other music cities and possesses good talent. But still can't get booking agent for band that has been around 5 years and has proven draw.
18. Can't make enough money in Austin as an agency because rent too high, salaries need to be paid, expensive payroll.
19. There is a ceiling here on careers.
20. Music is bringing in a positive economy but no trickle down.
21. Income from festivals may not reach local businesses or artists.
22. Need more representation of Austin acts at festivals.
23. Giant pool of musicians so it's hard to break out.

24. Our local publications could be doing more for our Austin musicians. Too much national coverage and should be more toward local acts.
25. Licensing is oversaturated since record sales down.
26. Lots of people saying that they can get placements, but not so many delivering. Company "X" tried a license database before and invested a lot of money but it didn't work.
27. Idea that exposure is more valuable than money killed license deals.

Ideas for Improvement

1. Private industry co-op that would become a hub with office space. Run by Board. Central area of town. Hub of music industry. Public/Private partnerships.
2. Offer stipends or help to create labels or publishing company. Giving \$2000 and putting people in an office together. Here in Austin pool money and share space.
3. Build a place where managers could come and work with each other. Meet each other. Certain percent of managers, publishers, etc. represented. Participants throw in a percent of income to sustain this hub.
4. Influx of capital for up and coming businesses to create a way to stop doing their current job and start a music business.
5. Creating an export music embassy to other cities. Place Austin office in other areas and have a presence in other cities. Office designated to promote Austin music. Private industry cooperative to create an Austin music industry embassy for export purposes.
6. ACVB could automate system for show tickets. Like TKTS in NY.
7. ACVB has a ready artist roster that's pre vetted for recommendations. Website database to preview Austin bands that could be booked for conferences through ACVB.
8. Cross pollination networking platform. Connectivity with other creative sectors.
9. Government incentives for music industry for the growth of infrastructure. Support labels, publicist, booking agents, and other music business professionals. Is there a way the city could help build more incentives?
10. Require festivals to include local artists.
11. Noise ordinance needs to be revamped.
12. More areas set up like the Red River Cultural District.
13. Incentives for Austin businesses to hire and use Austin musicians.
14. Paying artists to come here and record. Give studio time per diem. Hotel rooms. Has to have objective criteria. Would help our studios and get higher level artists in them and could open up other opportunities for our local artists.
15. Bring music supervisors here during SXSW and show them around. Pay for their hotel.
16. Subsidize certain conferences by helping to pay for live music.
17. Incentives to use local creators on technology and film projects.
18. Creating a licensing of local music incentive.
19. Work with ACVB to get tickets to venues on nights that conference people are in town.
20. Ask conference organizers to promote gigs to tourists.
21. Platform to make it easy to access licenses of potential artists. Resource database.
22. Incentives to license or create original content from Austin.
23. Music industry newsletters. Magazines. Disseminate information.

Appendix XII

Focus Group Discussion Summaries

EVENT PRODUCERS

Conducted on January 14, 2015

What's Going Well

1. Music Division doing a good job of assisting with permitting.
2. Venues have improved in the 300-1000 capacity – more options.
3. National interest here with brands past SXSW. Austin is good for promotion.
4. Xgames, F1, Fun Fun Fun , ACL, Euphoria, other events are growing and offer opportunities.
5. Rising Tide lifts all boats. Austin good market for bands, entertainment, brands. Perfect timing for music tech companies to launch.
6. Austin has become in top 10 places to establish a touring market. Austin now considered a large market, selling more tickets than Philadelphia at times. Mohawk, Parish, Stubbs, Emo's brands, University and SXSW help.
7. Better than Seattle and Portland for touring bands, comparable to Denver. Austin is good opportunity for large audience due to festivals and great venues.
8. Closed loop-promoter, producer, and they own a venue- Transmission, C3- this is good.

Priority Needs and Issues

1. City stage website doesn't easily answer yes/no questions.
2. Temporary change of use permitting has improved, but could still be streamlined.
3. Neighborhoods near venues or outdoor festivals complain. A few people have been allowed to be a detriment to the commercial viability of events.
4. Insurance requirements are hard to meet.
5. Many different staff members interpreting the code in fire because of growth.
6. Police take sound readings from different areas inside the venue. Not consistent.
7. Need better response times regarding permitting.
8. Event producers contribute to filling hotel rooms and should have access to HOT tax money.
9. Disproportionate amount of HOT tax money given to arts as compared to music and entertainment.
10. Parking for events.
11. Wild west here. Need more controlled thoughtful growth. Create parameters.
12. What can our market bear and will it collapse on us?
13. Marketing jobs are growing here. Need more on the business side.
14. Artists go other places to record and we still send bands/artists out of town to record music.
15. Brands sitting out SXSW due to venue availability and costs.
16. Some clients are looking to rent year round for basically the same price as during SXSW.
17. If more agencies knew people were here they would use local producers. Could city do outreach to promote what we have here? We have good event producers here.
18. Event insurance is primarily through out of state agencies. Need more local insurance agencies.
19. A lot of young professionals are buying out of town, Driftwood, Wimberly etc. There are going to be creative centers pop up in these locations and Austin will lose creative class.

Ideas for Improvement

1. We should be teaching people how to buy property in this town.
2. Never let a band play free on our watch. Any power that we have to make sure that artists are paid and that gigs are not played for free would help.
3. Could city have a union rate for musicians?
4. Event producers should teach clients that they have to pay for music.
5. Music professionals that are higher up and make more money need to help and become more involved with the struggling musicians.
6. A place where people that work events and can go to as a resource to find jobs. Posting job openings and announcements. Share resumes.
7. Producer round up- get everyone together with police, fire, etc, to make sure everyone has information and is able to work with the City easier.
8. Directory of event services-insurance, clean up, vendors. It hard to find credible people or companies to assist with events. Need program with people and businesses that are city certified and know the City requirements.
9. City needs to take the lead and tell us guidelines and apply them fairly and consistently.
10. City could also take a lead with the neighborhoods. Offer consistency for different events using the same areas.
11. Put up permit parking signs around the Auditorium Shores area. Would be beneficial to everyone year round.
12. Meet with neighborhoods to talk about issues.
13. More collaboration between City and event producers.
14. More touristy music attractions.

Appendix XIII

Text Analysis and Charts from Write In Responses

Use of Free Text Responses and Analysis Method

Write in comments offer more explanation about survey topics and identify other issues not specifically addressed by survey questions, providing a rich additional data source for insight into key issues.

In addition to “closed-ended” questions, which use pre-designated answer choices, the survey offered three opportunities for participants to write in text, providing free form thoughts and comments.

Open ended, text write-in style questions can often be more difficult to analyze than closed ended, multiple choice questions, particularly when there is a high volume of free form writing.

Titan Music Group used the following method to analyze the text write in comments:

- 1) Respondents’ answers to demographic questions in the survey were retained in the rows so that further analysis could be conducted regarding job sector, age, gender, time in Austin, and other factors in conjunction with their write-in free form response.
- 2) A precursory review of several hundred comments provided the basis to identify common themes or recurring ideas.
- 3) A coding method of those common themes was devised and then employed to tag text responses accordingly with a correlating number, based on a detailed reading of each comment. Often, comments described more than one theme and therefore may have been assigned more than one coding number.
- 4) Codes were then quantitatively analyzed to determine the presence of thematic content in the write in responses.
- 5) Tabulations were then conducted around the other demographic information about the text write-in survey respondents, creating further insights around the text write-in data.

Survey Write-In Opportunities:

Needs and Gaps: At the conclusion of the survey section “Need and Gaps”, musicians and music industry business owners and workers had the option to answer: “Did we miss a need in Austin’s music industry that is important to you? Tell us about it here.”

Ideas and Proposals: At the conclusion of the survey section “New Ideas, Solutions, and Initiatives”, musicians and music industry business owners and workers had the option to answer: “Did we miss an idea or initiative proposal that is important to you? Tell us about it here.”

Venue: At the conclusion of the survey section “Venue Challenges”, venue owners, managers, and staff had the option to answer: “Did we miss an issue relevant to Austin’s music venues and establishments that is important to you? Tell us about it here.”

Text Write In Response Rate

1546 Total Write In Responses

1,025	Total write in responses for "Needs and Gaps"
449	Total write in responses for "Ideas and Proposals"
72	Total write in responses for "Venues"

Musician Write In Responses

707	Musician write in responses "Needs and Gaps"
296	Musician write in responses "Ideas and Proposals"

Music Industry Business Write In Responses

318	Music Industry Business write in responses "Needs and Gaps"
153	Music Industry Business write in response "Ideas and Proposals"

Venues Write In Responses

72	Venue write in responses
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Write In Thematic Content

There were common themes among many of the text write in comments across all types of respondents. This classification of comments into 19 Thematic Categories demonstrate how many times a particular issue or idea was mentioned throughout the write in responses. "Times Mentioned" reflects the number of times the Thematic Category was mentioned amongst all write in comments.

Times mentioned	Thematic Category
343	Musicians unable to make a living wage/Low pay for musicians
205	Parking concerns
188	Opposition to the Sound Ordinance
118	Affordable housing needed
95	Increased professional skills development
81	Lack of professional infrastructure
72	Zoning and development control
66	Public transportation improvements
61	Promotion of local music and events to the public
52	City incentives for musicians and music business industry
51	Centralized industry resources would be beneficial
49	Encouragement for promoters to book local acts
46	Affordable commercial space for rent needed
34	Better marketing to and assistance for minorities
27	Export of live music and music business from Austin
27	Increased safety
22	More collaboration with other art disciplines
22	Creation of Entertainment Districts
22	Permitting and code compliance improvements

Theme Category Definitions

Here we have provided a more detailed explanation of each of the 19 Thematic Categories, and what they mean relative to the free form responses.

Musicians unable to make a living wage/Low pay for musicians – Refers to comments about venues paying musicians low wages, musicians playing only for tips, decreases in cover charges over the past 10-20 years, the culture of free or reduced price music in Austin for patrons, live music not supported financially by locals, and the general idea that musicians cannot make a living in Austin.

Parking concerns – Refers to comments about the lack of availability of parking downtown for musicians and patrons, prices for parking, and street closures which reduce parking.

Opposition to the Sound Ordinance – Refers to comments about the current levels and enforcement of the sound ordinance, sound ordinance restrictions on venues that prohibit sustainable operations, revision of current sound ordinances, methods used to ensure compliance, complaint driven enforcement of sound ordinance, and no uniformity in enforcement of sound ordinance.

Affordable housing needed – Refers to comments about the availability and increase in price of housing for rent or purchase.

Increased professional skills development – Refers to comments about training for musicians and small businesses on business related content such as management, marketing, bookkeeping, taxes, legal, fund development, and also in regard to peer to peer networking and mentoring.

Lack of professional infrastructure – Refers to comments about lack of music industry associated businesses such as managers, booking agents, marketing and PR professionals, publishers, labels, licensing assistance, performing rights organizations, distributors, music supervisors, and artist development. Also includes comments about the lack of support services located in Austin forcing artists to move or look to other areas for assistance.

Zoning and development control – Refers to comments about zoning for residential and hotel purposes near venues, venues being effected by condo and hotel development, preservation of venues and buildings, and requirements of builders to consider landmarks and legacy businesses when developing new properties.

Public transportation improvements – Refers to comments about improving and expanding public transportation, including new lines and extended hours.

Promotion of local music and events to the public – Refers to comments about city wide campaigns to increase knowledge of Austin music and events. Includes ideas of more free public shows, tipping campaigns, advertising locally about Austin talent, and general awareness of the importance of music to the City.

City incentives for musicians and music business industry – Refers to comments about offering incentives for music industry businesses to open or relocate in Austin, incentives for venues that book local live music, incentives for venues that offer fair pay for musicians, incentives to open live music venues outside of the downtown center, and incentives to use locally based artists in advertising, film, TV placements.

Centralized industry resources would be beneficial – Refers to comments about a central hub for musicians and businesses to find resources and information through both physical space and online presence, centralized resources on grants and funding opportunities, access to directories and lists of professionals, shared office space at a reduced price, access to business services, centralized resource for job openings, and centralized list of educational activities for musicians and business owners.

Encouragement for promoters to book local acts – Refers to comments about encouraging or incentivizing local promoters to use more Austin artists on festivals and touring shows.

Affordable commercial space for rent needed – Refers to comments about the need for affordable space for rent for venues and music industry businesses

Better marketing to and assistance for minorities – Refers to comments about targeted communication to the minority populations, better relations between police and minorities, more support for venues that book minority and cultural artists, and more support for women artists.

Export of live music and music business from Austin – Refers to comments about exporting the brand of Austin music nationally and globally, campaigns to export talent to other cities, music exchanges and alliances with other cities, and awareness campaigns about industry resources in Austin.

Increased safety- Refers to comments that indicate concern about the need for musician and public safety, especially in the Central Business District.

More collaboration with other art disciplines – Refers to comments about collaboration and relationship building with other art forms including visual art, film and TV, theater, and gaming.

Creation of Entertainment Districts – Refers to comments about maintaining and creating designated Entertainment Districts which could regulate and protect music industry needs.

Permitting and code compliance improvements – Refers to comments about the City permitting requirements and process and current city codes that apply to venues and musicians.

Other Recurring Themes

Other topics that were mentioned with some frequency (but were not counted in an official Thematic Category) are given below.

1. A change to allow for busking would have a positive impact on musicians.
2. There is too much emphasis on the downtown core. More events and venues are needed outside of the downtown area.
3. HAAM should serve music business industry workers.
4. Lack of quality venues with professional staff and PA. Many venues need better upkeep.
5. Venues should do their part to promote. Venues expect artists to do all marketing. Promotion should be a shared effort.
6. Radio and print media do not cover all genres of music and frequently cover the same artists.
7. Bands should not play for exposure. Musicians need to act collectively and not play for free.
8. Dislike of DJ's taking gigs away from musicians.
9. Less festivals. More year round focus on music needed.
10. Clubs should provide backline.
11. Affordable rehearsal space needed.
12. Need a better relationship with the police.
13. More listening rooms, less bar type venues.
14. More family oriented venues and shows are needed.

Most Common Themes

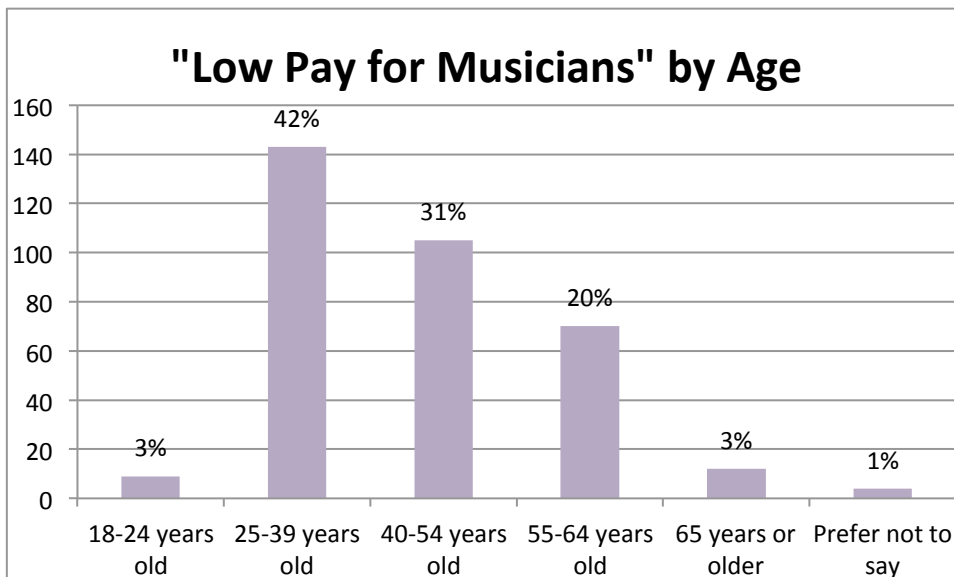
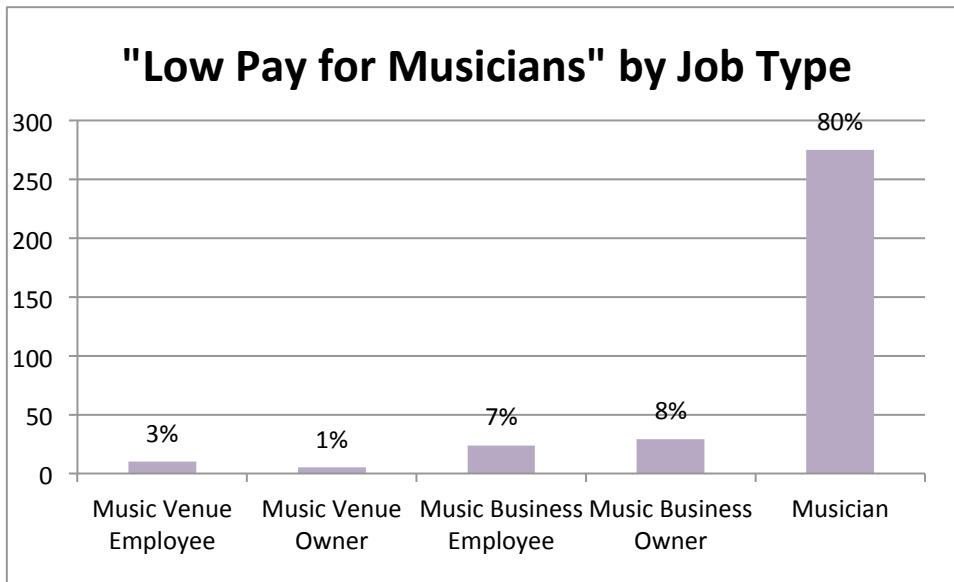
Write in comments weighed heavily toward indicating that low pay and the inability to make a living wage was the top issue for many of the respondents. 22% of survey write-in comments specifically mentioned low pay for musicians as an important and persistent issue.

Affordable housing was also one of the more popular write in text subjects. 45% of write in survey participants that indicated affordable housing was needed had been living in Austin for over 20 years. 68% of write in survey respondents that indicated affordable housing was needed had been living in Austin for more than 10 years.

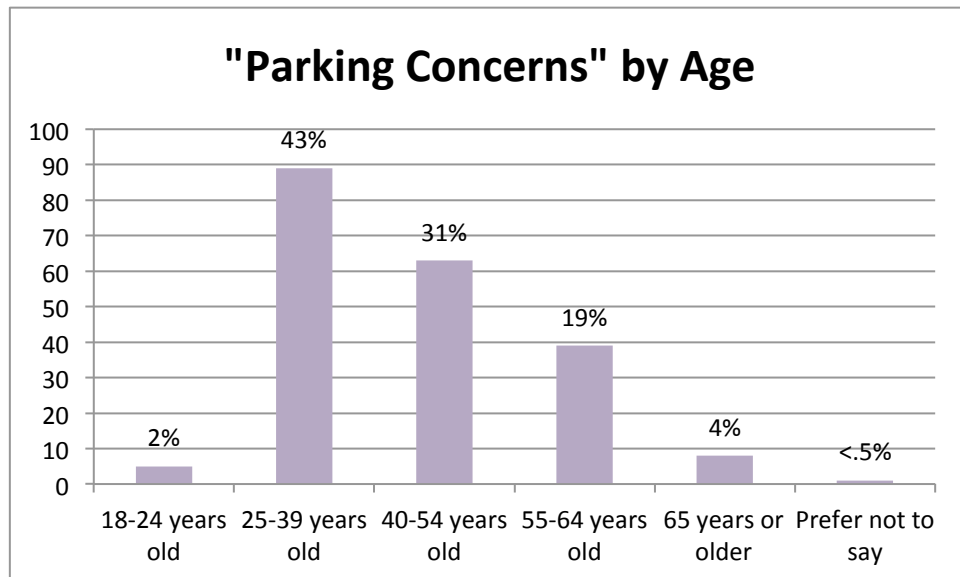
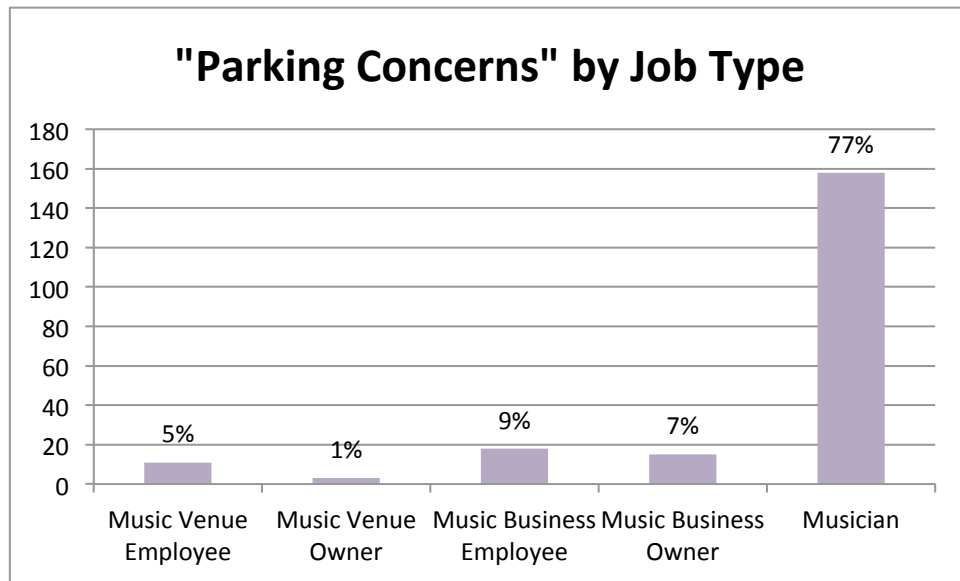
Write in comments show the same concerns as the multiple choice and graduated survey questions in the affordability and low pay areas. Data shows that these are problematic, high impact issues for both long term and newer residents.

The following charts provide additional insight about those who provided free form comments. The five most common Thematic Categories ("Low Pay for Musicians", "Parking Concerns", "Opposition to Sound Ordinance", "Lack of Affordable Housing" and "Professional Skills Development") are segmented here by respondent Job Type and respondent Age. These charts do not represent the entire survey population – they are limited to those who provided write-in responses. Please refer to the Appendices IV, V, VI, and VII for quantitative data encompassing the entire survey population.

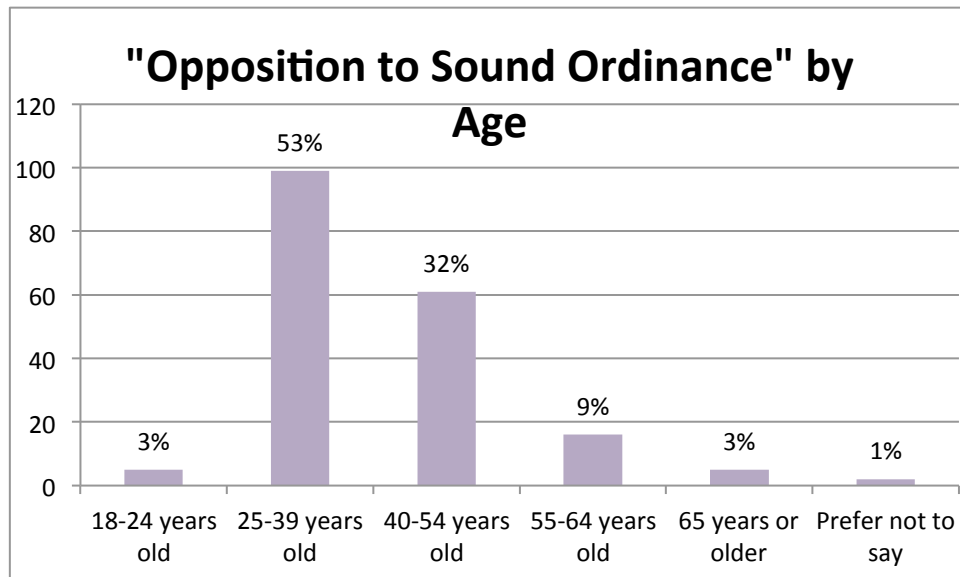
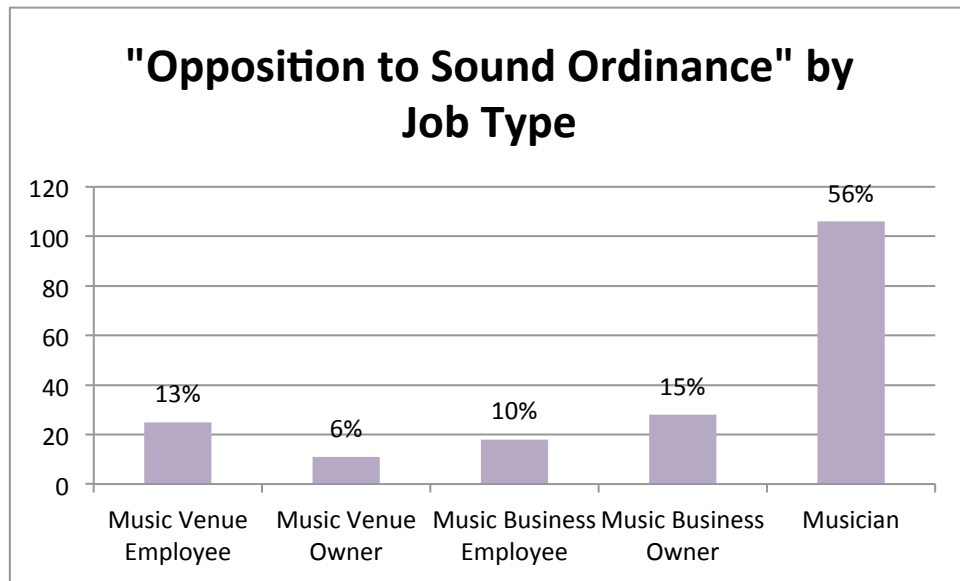
Musicians unable to make a living wage/Low pay for musicians – Refers to comments about venues paying musicians low wages, musicians playing only for tips, decreases in cover charges over the past 10-20 years, the culture of free or reduced price music in Austin for patrons, live music not supported financially by locals, and the general idea that musicians cannot make a living in Austin.



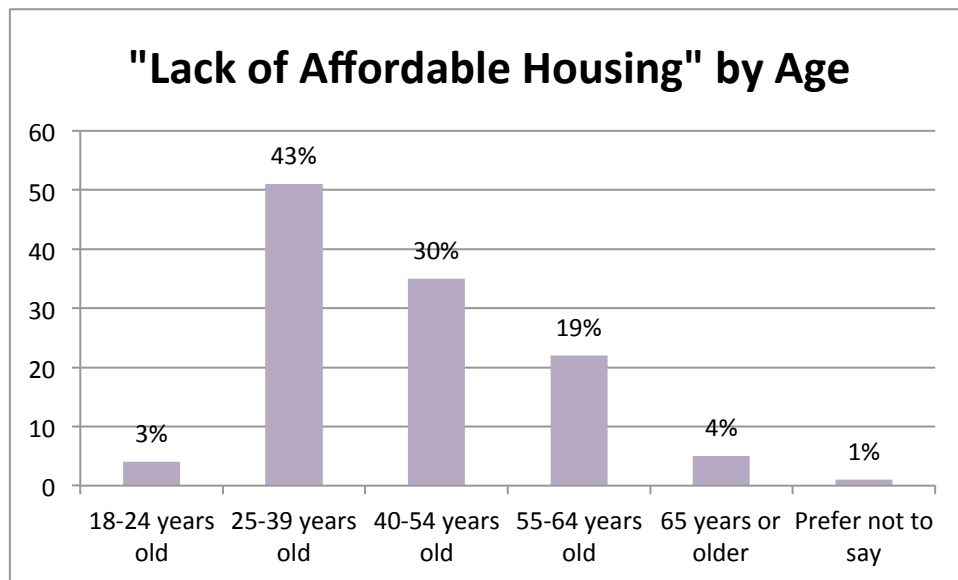
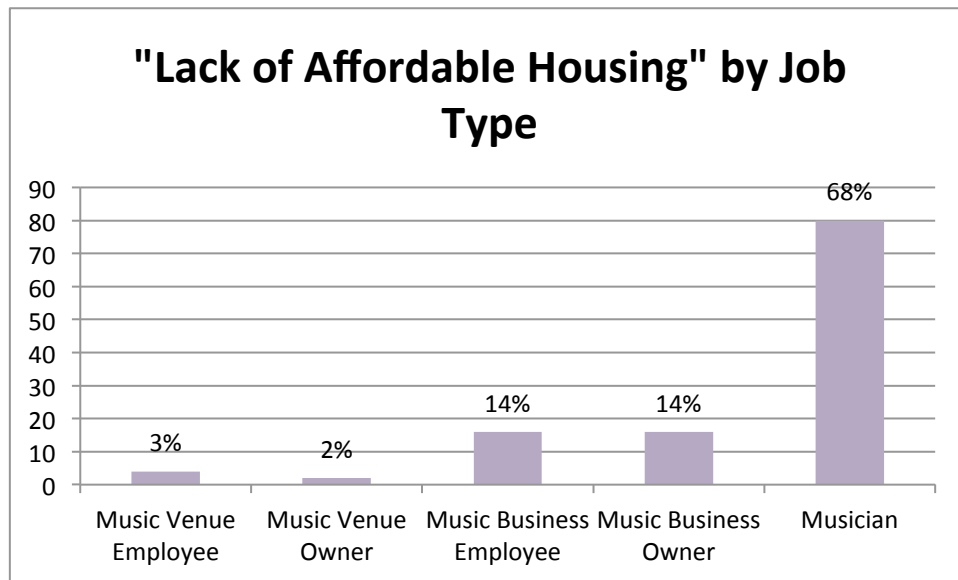
Parking concerns – Refers to comments about the lack of availability of parking downtown for musicians and patrons, prices for parking, and street closures, which reduce parking.



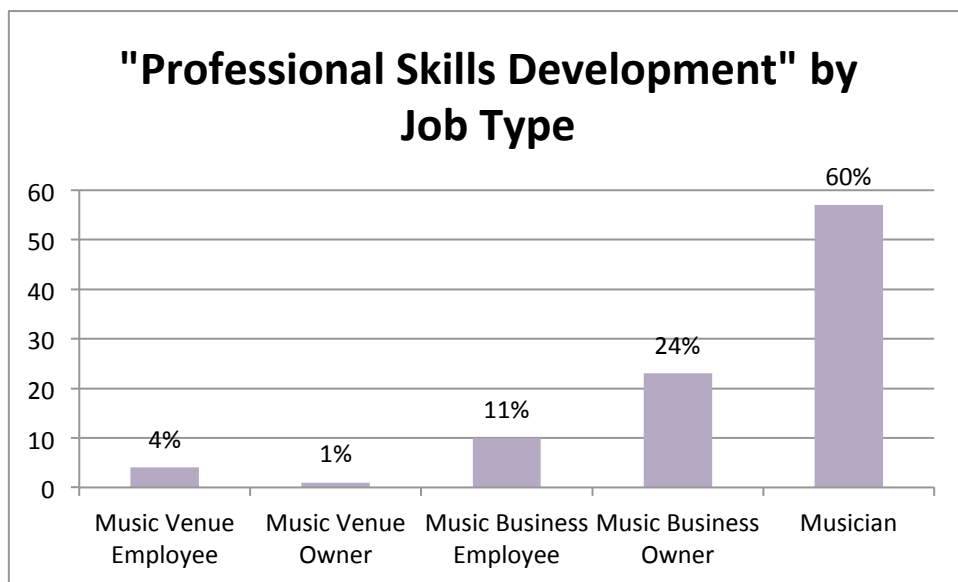
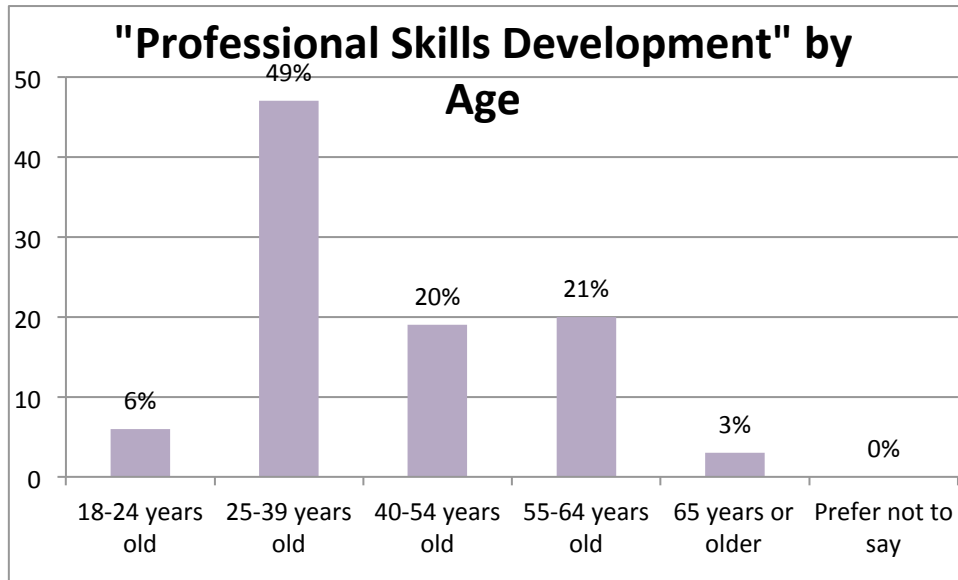
Opposition to the Sound Ordinance – Refers to comments about the current levels and enforcement of the sound ordinance, sound ordinance restrictions on venues that prohibit sustainable operations, revision of current sound ordinances, methods used to ensure compliance, complaint driven enforcement of sound ordinance, and no uniformity in enforcement of sound ordinance.



Affordable housing needed – Refers to comments about the availability and increase in price of housing for rent or purchase.



Increased professional skills development – Refers to comments about training for musicians and small businesses on business related content such as management, marketing, bookkeeping, taxes, legal, fund development, and also in regard to peer-to-peer networking and mentoring.



Appendix XIV

A Selection of Sample Write Ins from Survey Respondents

***Note: This Appendix contains a few selected responses from the pool of 1,500 write-in responses received. There were three separate questions in which opportunities were given for write-in ideas, suggestions, or issues. Those questions are provided below along with some selected responses we received. These are provided verbatim as received, with no changes to spelling, grammar, or other issues. Each line break represents a new respondent.*

"Needs and Gaps: Anything Else?"

"Did we miss a need in Austin's music industry that is important to you? Tell us about it here."

"There are too many sound ordinances in place downtown. As a local musician that has played here for the last several years, I feel like the city is pushing out its music culture to make room for hotels and condos. I think there is a way these two things can live in harmony and would love to see the city do something about it"

"A huge impact on venues is the growing regulations forcing bars/venues/etc to turn off their music at 10:30pm, 11pm, etc. hours before closing due to local neighborhood sound complaints. Having outdoor patios/bars/music venues is not a new concept for Austin, aka the Live Music Capitol of the WORLD, however people moving to town and complaining about the sound IS new. These people want to move to Austin because it is a vibrant city known for its live music scene, and the very thing that brings them to town, is what is being systematically shut down. Housing scarcity within the city forces the building of housing developments by famous venues, and then they complain about the sound when there are shows. This alone is putting a huge dent in the music industry in Austin and directly affecting everyone working in that industry. The city should support the industries that are bringing in revenue and for what Austin is known for, otherwise everything will suffer. "

"A lack of industry is a major contributing factor to the stagnation in the music industry here. Nashville, LA, and New York all have managers, labels, publicists, and all the resources a band needs to take it to the next level. Austin has the most diverse live music scene, but that only gets you so far. I consider Austin a petrie dish for live music. You can collaborate with anyone and do some really cool, out of the box stuff, but in order to take your career to the next level, you have to be where the industry is; which is not Austin. The rising costs of rent are putting a strain on venues and on housing for artists. As rents increase, it's going to force the creative people out, which is a struggle for a lot of artists. With so many bands in this town and all the talent here, you'd expect a few more to make a national impact, rather than a small handful. I think a big part of that is the lack of local support. While we have SXSW, ACL, C3, KUTX, etc, the majority of the focus there is on national acts rather than growing local support and fostering bands in their hometown. "

"Artist management needs more support from Austin. There are a number of multitalented managers in this town who should all office under one roof and share relationships the way they do in LA and NYC. It's beyond me that Austin doesn't have more opportunities like this. It's the only way for our Austin musicians to break out of the local bubble, by having management that is connected in a wide-scale. "

"Artists need to be paid for performing their music. Always. It has to be "the live music capital" for the musicians as well as the fans. This should not be a government mandated program (as seen in Portland) but should be something created out of recognition of the role of music in our city and the role it has played in creating economic success for others (restaurants, hotels, club owners, etc)."

"As a side musician, I am often frustrated working for talented bandleaders of worthwhile artistic and entertainment merit that have no business training or resources to successfully lead their bands. Sometimes there are fantastic projects could foster all kinds of income, but due to lack of financial support just disappear. I would be great if our city, which prides itself on its music scene, could develop a support system for artists and set them up with tools needed to survive and thrive. Courses and financial resources to create and develop campaigns, tours and concertizing. Also publishing a set a standards for venues, artists, industry workers to use would go a long way. Something like a code of conduct - some kind of ethical standard to elevate the scene from the sloppy, abusive, haphazard free for all that it is."

"Austin is a great city to be in a musician in IF you are only here to write, record and play out. It is indeed a live music capital of the world. The issue though, is that music is a business and Austin does not have much business. Mood Media, C3, Transmission, FrontGate tickets, and a handful of mom & pop record labels isn't enough to grow a music business city. Maybe that's not what this city is about though. It is hard to create a viable place for musicians to grow long-term without the business being around. That's not to say it's impossible, but having publishing/licensing companies in town that are a part of the scene and have a good reputation, or having pro-level managers increases the value of the city for everyone. I love this city, and I'm very glad I moved here. I fought against the move to Austin when my band wanted to relocate. I was working at a indie label in NYC and didn't want to give up the business aspect of it; however, upon moving here the quality of life and headspace the city affords has allowed me to grow tremendously as a writer. Now, where do I go from there is the next question. If I'm having to seek the next step out of state, coupled with rising rents & increased traffic it's going to push me and others out to the bigger music business hubs. We need to get some good business in here and show these companies that Austin is the against the grain music city."

"Austin is about local musicians, not bringing in big over rated celebrity acts. Keep it humble and keep it local. We made this city weird, let's keep it that way."

"Austin is an amazing place! It is one of few cities that is actively trying to make better for musicians and music industry people. The only thing I have noticed since I moved here is that it can be very difficult to get paid for what I do. Lots of venues will try to tell me that they can't pay me but it's good "exposure" for my band. Which I appreciate but eventually I need to get paid or else all this "exposure" won't matter because I can't afford to pay for the gas to my next show. I've also experienced this in other areas. I was signing a deal to write music for some short films in Austin and they said they can't pay me for my work but they will advertise and promote us... Which like I said is good but how am I going to pay for the studio time, travel, food, accommodations, producer, mixing/mastering, etc... for the songs. Other than that I LOVE AUSTIN!"

"Austin is saturated with incredible music. It's everywhere. Austin has made it effortless and very inexpensive to experience live music. This makes it very difficult for local musicians to stay afloat financially. I have a full-time job. Almost every musician I know has a full-time or multiple part-time jobs to make it in Austin. I don't think the wealth of music talent is a bad thing. I think it's wonderful. But we have bred a culture of people that expect great music to be easily accessible and very cheap. When I am planning a gig and considering how much to charge for tickets, I have to keep in mind that people will not come to the show if the door is too expensive. Often times, I charge a modest amount to catch a larger audience. The audience is enthusiastic and appreciative but the tip jar rarely reflects that. After the venue takes a percentage, I pay my band and tip the sound crew. Sometimes I walk away with fifty bucks. Sometimes I pay my band out of my own pocket. I would really appreciate more venues that are committed to helping local musicians sustain

their trade. Strange Brew is a great example of a venue that respects Austin musicians and compensates them fairly for the entertainment they provide. I don't know how to change the culture of listeners in Austin. I wish people felt more inclined to pay for the music they hear. Unfortunately, I feel like that is pretty far out-of-reach right now. "

"Austin needs to focus on maintaining its vibrant downtown club and restaurant scene and not pander to real estate developers via draconian new noise ordinances. If people want to live downtown in the Live Music Capitol of The World, they should understand this. "

"Austin seems to have a circle of its "favorites" and those favorites seem to always be getting all the attention, but there are SO MANY amazingly talented musicians who do not get the same recognition and press/promotion. It's not that those folks don't deserve or haven't worked hard for that recognition, but it seems almost impossible for new (or even long-time Austin musicians) to break through. I don't know how that would be addressed, but it is a common source of frustration for many of the musicians with whom I talk, and even non-musicians who are tired of the same names all the time and want to hear from others.... "

"Austin's new sound ordinance proposals and cops showing up to shows with decibel mtrs in order to "protect" residents of new downtown condo is going to eventually suck the life out of what made this town so great in the first place. If people want peace and quiet - they never should have moved to the city that is regarded as "the live music Capitol of the world" and we need to stop making policy that will endanger that reputation our amazing city has. There is plenty of land outside of our cities cultural districts for everyone to be happy. "

"Being a classical musician in Austin is like living in a small town. We all know each other and support one another's efforts. I have heard from many of my friends that our community often feels excluded from the table when Austin talks about caring for the music community. We do understand that we are vastly different from the mainstream music culture/industry of the city. We will always have to function as non profit organizations and rely heavily on patronage. We will always cater to a very different crowd than local clubs or festivals. But we are innovative, diverse, and growing. One of the things that could benefit our community would be more readily available grants and resources for new performing ensembles. Maybe there are such things, but perhaps they need more visibility. Patronage can be supplemented by such resources and that would result in individual musicians receiving more performance opportunities, local venues receiving more bookings, and everyone being paid just a tiny bit more than the basic honorariums most classical musicians receive outside of the larger organizations. Our community can become more fully integrated in to the life of the city beyond the few big name ensembles. Encouraging smaller groups will result in wonderful things. There's a wealth of gifted classical musicians in Austin. I don't think there is a limit to what they might accomplish. But you may need to find them and tell them how the city can help. Thanks! "

"Biggest issues: - Lack of booking agents - Low pay for established, proven musicians due to surplus of part-time musicians willing to accept little to no pay - Competition is so fierce that most musicians and talent managers only support one another if it benefits their social status in the community. The rest of the time, they're pretty harsh. Austin claims to be the City of Live Music and a city that reveres our musicians and yet they receive so little respect. They are paid poorly and receive little to no support from venues, the industry, or the city. But the truth is, none of this would happen without the artists. This is a city for entry level musicians and retired pros. Not the established musicians in the middle. "

"Connection to the industry on the world stage is missing. Legit managers, attorneys, booking, etc. Austin music tends to stay in Austin. We need to export it. "

"Consistent and fair wages. AFFORDABLE HOUSING IN THE CITY Diverse and late night Public Transportation MUSICIAN PARKING "

"Cost of living increases while wages have remained stagnant have created a difficult career environment for full time professional performing musicians. Lack of reliable and affordable late night public transportation desperately needs to be addressed in Austin. "

"Everything mentioned was right on the money. I would add that Austin does not have enough of a connection with other cities. We should be able to build a circuit so that musicians aren't forced to try and get all of their income from Austin, a town saturated with music. It would be good if we could encourage the exchange of music and musicians with Houston, Dallas, San Antonio, El Paso, Corpus Christi, NOLA, and the rest of the country and the world. "

"Extremely important are the need for more late-night public transportation, and more affordable housing. Thanks! "

"HAAM offers benefits to musicians only. I'm in the music business. I contribute to their well-being and yet no such benefits are available to me. I do just as much for Austin as musicians do. "

"High rents downtown driving the clubs out. Poor pay, if any, in the clubs. I made more in clubs 35 years ago than I do now. Clubs unwilling to allow bands to build following in residency programs. Parking. Limited physical promotion opportunities- we can't put our posters ANYWHERE anymore. "

"I am a music publicist doing national, professional PR campaigns. I have been searching for office space to accommodate myself and one other desk for freelancers who help me. I desperately need a professional, small office space. "

"I can't emphasize enough the importance of providing affordable housing for people in the music industry. The inability to afford rent or a mortgage in Austin is forcing folks who are vital to the Austin music scene to move further and further away. If the appeal of Austin to those who want to move here is the 'live music capitol' then we need to do something to help keep the industry here. "

"I consider what I do to be my work. It is my passion. But I do it essentially for free and have to supplement my work, my passion, with other jobs just to pay the bills. I came to Austin to do this because I believed it was a town that supported an artist's lifestyle. The artist I work with barely makes enough to pay his band. That of course trickles down to me. If rents continue to go up here, people like me who want to give back to, and support, the arts will have to leave this town. The artists will follow suit. That would be a tragedy. "

"I could see great use for a MUSICIANS RESOURCE CENTER - a shared office space where, for a nominal yearly fee, musicians could access office supplies (copy machines, fax machines, etc) and writing rooms, maybe even rent space to give lessons. "

"I don't think the general public knows how little world-class professional musicians living here earn playing music for a living -- that would be a good result to share with the public and hopefully open some eyes. I also don't understand why so many Austinites are unwilling to pay as much as the price of a movie ticket to see live music here. "

"I feel that we need more economic development and incentives to bring in professional industry to help sustain growth and offer more resources. I have a difficult time understanding why people move to the "Live

Music Capitol", purposely move next to live music venues then complain. The sound ordinances are ridiculous! I would also like to see some continuity with what venues pay musicians. "

"I would like to see additional local support and assistance for music industry professionals such as self-employed artist managers, agents, venue owners, sound engineers, etc. in the areas of healthcare, counseling, financial services, and career development. HAAM and SIMS do an amazing job of providing affordable healthcare and substance abuse counseling for musicians, but local music industry professionals who are an integral part of Austin's creative community and economy are not eligible for those services. Like musicians, they must work two or more jobs to make a sustainable living, and there is little financial stability as their income is largely dependent upon the opportunities that are available to them. Austin Music Foundation, with support from the City of Austin Music Division, provides free business education for both musicians and music industry professionals through their programs. I believe other local music-based nonprofits and organizations can and should be inclusive as well of professionals who are not musicians but provide support for musicians. Thank you for conducting this study! I look forward to gaining insight on what we as a community can do to strengthen Austin's music industry. "

"If a musician plays at a venue they should get paid. If they play well, they should get paid well. "

"If a non musical person knowingly elects to buy, rent or lease a home next to or near enough to a venue with live music, the city should not take the side of the buyer if there are complaints about the noise. If you buy a house next to active train tracks don't complain about the noise the train makes. "

"Many of the downtown transportation/parking policies have made it difficult to perform in the area. It's as though the city has made it as difficult as possible. The officers working downtown all seem to have different information. One will let you do this, one says you can't. The loading zones are far from the venues. The parking meter times require that we stop in the middle of shows to feed the meter. Remember that many of us have to be in the area for 6 hours at a time to do our jobs. All the while hassled by disorganized officers. It's just a big mess at times and I am discouraged from playing downtown on weekends for the most part. "

"Public Transportation please! It's embarrassing to tell out of town guest that we have NO good options. "

"Stop playing for free. "

"Subsidized or free parking for musicians/sound engineers working downtown. "

"The musicians we deal with are extremely underfunded and undereducated on investing in their own careers. Any resources that give them guidance on what is available to them and assistance with funding professional support will be a huge help to them and companies like ours that work to keep our services within reach. "

"The older venues are vanishing. "

"The synergy between managers, agents, promoters, publicists and other entertainment industry locals does not exist. A space for all to work and collaborate is needed. "

"There is a lack of communication between the music community and the city of Austin. It's an us against them mentality I believe on both sides. There is also a lack of information readily available to musicians about grants and other services the city/national government provides to musicians to continue their art. Music is a very important part of the city and it is up to the city to make more information available but also for the musicians to educate themselves by getting involved in civic activities in order for all of us to become more informed about what each other's agenda really is. There should be a shared vision to grow responsibly as a

city and as a culture in Austin. The opportunities available for both parties need to be known and discussed so that artistic people can continue to stay and work here. "

"There needs to be, at least an effort, more parking for loading and unloading gear close to venues. "

"There should be a Tip the musician space on every bill where live music is played. Just like for a server. It should be available to patrons for that option. More music business related access ie publishing companies and music business advice. It is very difficult to make it as a musician financially in Austin. "

"TOO MANY BANDS WILLING TO PLAY FOR FREE"

"Venues feel that it is an artist's job to promote the shows while in reality it should be a group effort. "

"We have a talent pool here in Austin that rivals anywhere else in the country. However, we are not considered a "Hub" city in the industry. We lack an organizational force that could build the music industry in Austin instead of maintaining what many refer to as a "black hole". Austin is laid back, which I like, but sometimes it's horizontal! "

"We need incentives for the music industry to locate here or do business here."

"We need more unique performance spaces for interesting, creative musicians. We also need fewer huge festivals."

"We need to organize services and information. "

"Would like to see greater integration into television and film. "

"Ideas and Proposals: Anything Else?"

"Did we miss an idea or initiative proposal that is important to you? Tell us about it here:"

"Creation of incentives for promoters to use more local acts on bills with touring artists" That would help a ton. "

"All the City and government efforts are good, but what most young artists need is a cheap place to live."

"Designated loading zones for musicians downtown and/or a parking pass or spots for musicians. "

"I'd like to see a more diversified bill for the bigger festivals when booking locals. There is a weird sort of clickish vibe here that I haven't felt in other bigger cities involving music. "

"Promote a program among local merchants to include a "Tip the Talent" line on all credit card receipts, with accompanying marketing campaign to promote. "

"Reduce noise ordinance restrictions - base them upon science instead of perception. "

"Traffic and transportation to and from downtown needs to be fixed; the city is too big for its infrastructure which lessens the appeal of the city for tourists and artists. Also parking is a huge obstacle. So many people

don't go downtown because finding parking is such a hassle and there are no alternatives. More free parking. Less worry about towing. More viable mass transit options. As it stands, these issues are preventing people from north and south Austin and the surrounding suburbs from going downtown and partaking in the culture. "

"Incentives for major/corporate labels and publishers to re-locate or open offices in Austin. "

"Late-night transportation to and between music venues, entertainment districts, and the airport. "

"Incentives/resources for small business owners like myself to be able to hire full-time employees. "

"Tax incentives for apartment owners and business owners to house musicians and lease to music related businesses. "

" 'IT'S HIP TO TIP' a large portion of our income is tips, we need to encourage the public to hire bands for events AND tip the ones they see in venues. "

"A music business 'shopping mall' with offices, studio and media resources, music supplies, repair shops, small-stage showcase clubs. Couple of local restaurants, coffeeshops... During the large City-wide festivals if could be one of the venues. Target time frame for everyday traffic is 12-7pm, a place musicians and friends can meet to do things they need to get done in one place. I'm sure some of your ideas listed here would culminate in something like this idea. "

"An incentive that is a TABC tax rebate for venues that have live music at least 3 nights a week. "

"Fixing the transportation (trains, buses, shuttles) and making more performer-designated parking in the city center would really help keep a lot of the music actually present downtown. Preserving some of our old buildings and venues as music venues instead of knocking them down for high-rises and more high-cost living would encourage musicians not to leave Austin (as many of them are finally doing). Legalizing and creating busking districts would provide another viable income for musicians and encourage tourism. "

"I don't think that intensifying development or offering businesses incentives is the right answer. We are drawing more people here- musicians and others- than the city can realistically support. "

"I think there are some great ideas here. Incentives for promoters to use local bands on national tours would be a HUGE help. "

"I'd like to suggest some type of tour support/subsidy for Austin acts carrying Austin's "brand" on their marketing materials who are gigging outside the city or state. If bands are providing jobs and/or revenue that meets a set threshold, they can apply to a program to be certified as "Made In Austin". A city-approved logo could then be attached to their stage banners or marketing materials and they would function as brand ambassadors when touring. Some type of tax break, underwriting or subsidy would then be available to help financially support or subsidize the act's touring activities. "

"I'm not a fan of government welfare (i.e. incentives) for anything. I do support establishing "live music districts," as it were, to neuter the whiners who would call in noise complaints after moving downtown. "

"PLEASE don't call the marketing campaign "Austin Etiquette." Please limit money spent on incentives. That's a slippery slope. "

"Sound Ordinances need to be appropriate in parts of the city where live music existed long before the condos went up. "

"Tax breaks or other incentives for local venues who establish themselves as live music venues that pay musicians a respectable wage for performing at their club. How are club owners supposed to pay musicians what their worth if they can't afford to pay their rent/taxes? "

"The enforcement of the noise ordinance makes it difficult for music venues to operate. It's also true that some music venues aren't following the rules by having music go on later than the ordinance allows or not obtaining a live music permit in the first place. Perhaps there is a balance to be struck here between potentially extending those hours, streamlining the permit process, and having a more lenient enforcement strategy. There is also an issue of new residents moving to areas of Austin that are known to have live music, then complaining about noise. This is within their right when a venue is violating the ordinance, but it is also true that these folks have made a decision to live in an area known for live music & nightlife. I'm not sure what the solution is here. Perhaps more information given to new/potential residents of housing in these neighborhoods would help. Bar owners/managers should also be flexible in this and both sides might want to figure out some way of having friendly dialogue. The city might be able to foster an improved relationship among all of those involved.

YES to local venues having an incentive to put local acts on bills with touring artists. That would be incredible. It certainly happens already, especially with bands that are savvy about networking and gaining exposure through working with acts while on the road, and then repaying the favor when each visits the others' city...but to have venues assist in facilitating this more would be excellent. "

"Venues: Anything Else?"

"Did we miss an issue relevant to Austin's music venues and establishments that is important to you? Tell us about it here:"

"Yes. Whatever permits, ordinances, rules and regulations are put into place should be applied to ALL venues equally. "

"85 decibel limit measured right next to a speaker at the premises boundary is, silly. The person calling in a noise complaint should have their privacy protected, but a few individuals should not be able to shut down live music, especially when the music venue preexisted their dwelling. Without live music and our adored outdoor venues, downtown would not have the vibrant night life that attracts so many people to our city. "

"Creating neighborhoods that are sustainable and creative requires affordable housing and a mix of uses within entertainment zones and corridors. City needs to find ways to use live music venues during daytime as cafes or commercial kitchens . The neighborhoods will welcome new venues outside downtown if they offer the community a value and consider neighbors needs for mixed uses . Live music venues as galleries and lunch spots. During the day. "

"I don't know how to fix it. But the lack of interest in live music on 6th street is disturbing. 6th has become just another strip in a college town. Just dj's and dance clubs. Sometimes..... a cover band. If a venue does put on a local artist, they're empty. "

"I think that we really should look at what the costs of operating a venue in Austin really are. With skyrocketing rent and utility prices there is no margin for making a living doing it. I have moved outside of Austin and sold my home in Austin just to help afford to keep my venue open. Something has got to give or more and more venues will be either closing down or leaving Austin altogether. With no profit margin to

speak of it makes it difficult just to stay open, much less pay the musicians what they are worth, because that is a whole other issue that needs to be addressed as well. "

"Less restrictive sound ordinance. We are supposed to be the live music capital of the world right? Let us flourish! "

"New residential homes/condos/apt should not have authority over pre existing venues. Developers and potential buyers need a discloser about sound prior to moving in. "

"Newly issued sound ordinances makes it difficult for musicians to find gigs and decrease viable income. They also hurt the income of local venues around the area. Since the new sound ordinances were enacted and enforced, the income of outdoor music venues in the downtown area has severely decreased. Incoming residents are moving to the downtown area for the atmosphere of living downtown, but the strict sound ordinances are ruining the Austin atmosphere of the Live Music Capital. How can we support live music while enforcing such stringent restrictions on sound levels and timing? Our Rooftop Deck brings in the most income for our venue, and at 12am, when all outdoor music has to be turned off, we lose the majority of our crowd. "

"Parking is the most important issue for venues and bands right now, Austin's short-sighted demand for growth has forced out parking for everyone. Parking needs to be a priority. "

"The sound ordinance will be the death of live music in austin..... wait and see. "

"Want to emphasize the impact of neighborhood associations targeting live music venues and setting unreasonably strict regulations that significantly impact the ability of the venues to make money. All for being a good neighbor- but let's find common ground and allow established venues to operate as intended. "

Appendix XV

City of Austin Cultural Contract 2015

Allocations

Note: While City allocation processes typically create only one category for "Music", we have created a more detailed examination here of what is included in that category, and how a more refined view can create insight on issues discussed in the Austin Music Census regarding economic development initiatives to grow the commercial music industry. We have segmented the traditional "Music" category into three classifications of funding: 1) Commercial Music Development & Performance, 2) Children's Music & Education, and 3) Fine Arts Music. Fine Arts Music includes things like the Opera, Symphony, Chamber Ensembles, Chorus, etc. A full breakdown of how we created allocations is available in the following pages of this Appendix. Lastly, in some cases, such as the Long Center, Paramount Theater, One World Theater and others, Cultural Contract Funding supports both Commercial Music Development/Performance AND Fine Arts Music programming. In such cases, we have looked at available information on these venues' programming as well as their requests for specific sponsored projects, and divided the funds received into correlating line items below. Again, these allocations are fully disclosed in the following pages of this Appendix. It is possible that there may be minor adjustments to these "split" allocations that could be made if more information was publicly available, but on the whole, we do believe these numbers to be essentially correct and representative of the distribution of funds.

PROGRAM SUMMARIES

Program Type	Total Amount	Number of Organizations	Percentage of Funds Allocated
Commercial Music Development [∞]	\$526,672.80	13	6.9%
Children's Music & Educational Programs	\$347,427.00	12	4.6%
Fine Arts Music	\$1,006,685.20	21	13.2%
Performance Art, Theatre, and Dance	\$2,458,156.00	42	32.3%
Film	\$583,248.00	7	7.7%
Visual Arts	\$888,709.00	18	11.7%
Cultural Promotion / Education	\$538,444.00	10	7.1%
Other	\$1,254,385.00	21	16.5%
TOTAL	\$7,603,727.00	144	100.0%

[∞] In our research of the Commercial Music Development category, we were able to *definitively* link approximately \$125,000 that is clearly for local artist performance support or development. The remaining \$400,000 appears to be tied to activities and fees related to touring acts, based on available information.

PROGRAM DETAIL

Program Name	Funds Awarded
Commercial Music Development	\$526,672.8
Austin Federation of Musicians Union	\$23,950.0
Austin Music Foundation	\$42,991.0
Golden Hornet Project Inc.	\$6,696.0
Line Upon Line Percussion	\$1,225.0
Women in Jazz Association	\$23,950.0
Austin Theatre Alliance (<i>40% of total award</i>)	\$76,160.0
Greater Austin Performing Rights Center Inc. AKA The Long Center (<i>25% of total award</i>)	\$48,800.0
Austin Creative Alliance (<i>total award of \$456,515 split between "Other" and "Commercial Music Development"</i>)	\$60,000.0
Capitol View Arts	\$9,200.0
Texas Accountants and Lawyers for the Arts (<i>total award of \$4,200</i>)	\$2,000.0
Capital of Texas Public Telecommunications Council AKA KLRU-TX	\$24,400.0
Texas Education Broadcasting Co-operative Inc AKA KOOP Radio	\$24,100.0
One World (<i>60% of total award of \$258,668</i>)	\$155,200.8
Texas Folklife Resources (<i>total award of \$115,450</i>)	\$28,000.0
Children's Music & Educational Programs	\$347,427.0
Anthropos Arts	\$45,384.0
Austin Latino Music Association	\$6,100.0
Girls Rock Austin	\$18,006.0
Groundwork Music Project	\$22,900.0
Hispanic Alliance for the Performing Arts	\$4,000.0
School of Indian Percussion and Music	\$10,100.0
Texas Early Music Project	\$41,132.0
Austin Children's Choir	\$20,065.0
Austin Jazz Workshop	\$43,765.0
Austin Chamber Music Center	\$91,200.0
Austin Community Steelband	\$22,900.0
Musical Connections	\$21,875.0

Fine Arts Music	\$1,006,685.2
Austin Chamber Ensemble	\$10,347.0
Austin Civic Orchestra Society	\$26,551.0
Austin Civic Wind Ensemble (ACWE)	\$4,572.0
Austin Classical Guitar	\$146,515.0
Austin Lyric Opera	\$190,400.0
Austin New Music Co-op	\$8,000.0
Austin Symphonic Band	\$16,596.0
Austin Symphony Orchestra	\$190,400.0
Austin Wind Symphony DBA Cinematic Symphony	\$1,750.0
Capital City Men's Chorus	\$17,600.0
Chorus Austin AKA Austin Civic Chorus Inc.	\$51,463.0
Classical Guitar Alive	\$27,861.0
Ensemble VIII	\$16,335.0
Indian Classical Music Circle of Austin	\$16,550.0
River City Pops	\$15,549.0
Salon Concerts Inc.	\$23,950.0
Tapestry Singers AKA Austin Women's Chorus	\$5,700.0
Texas Choral Consort	\$43,650.0
Austin Celtic Association	\$64,429.0
Capitol Broadcasting Association Inc. AKA Classically Austin 89.5	\$25,000.0
One World (40% of total award of \$258,668)	\$103,467.2
Performance Art, Theatre Programs, and Organizations	\$2,458,156.0
Academia (AZTLAN) de Danza y Folklore	\$11,018.0
Academy of Tango-Texas Correspondiente de la Academia AKA Academy of Tango-Texas	\$5,546.0
Allison Orr Dance Inc	\$45,810.0
Ariel Dance Theatre	\$14,634.0
Austin Playhouse	\$120,796.0
Austin Scottish Rite Community & Children's Theatre Inc.	\$84,600.0
Austin Shakespeare Festival Co. Inc. AKA Austin Shakespeare	\$86,800.0
Austin Summer Musical for Children	\$11,700.0
Austin Theatre Alliance (60% of total award of \$190,400)	\$114,240.0
Ballet Austin	\$195,200.0
Ballet East Dance Co.	\$73,136.0

Blue Lapis Light	\$71,200.0
Center Stage Texas	\$45,679.0
Conspire Theatre	\$2,913.0
Different Stages	\$23,555.0
Gilbert & Sullivan Society of Austin Texas Inc.	\$21,500.0
Greater Austin Performing Rights Center Inc. AKA The Long Center (75% of total award of \$195,200)	\$146,400.0
Hyde Park Theatre Frontera	\$100,500.0
La Fenice	\$6,397.0
Out of Bounds Comedy	\$20,072.0
Penfold Theatre Company	\$17,900.0
Physical Plant Theater	\$1,000.0
Pollyanna Theatre Company	\$46,153.0
Rude Mechanicals	\$97,800.0
Salvage Vanguard Theater	\$95,622.0
Teatro Vivo	\$24,567.0
The Hidden Room Theatre	\$2,000.0
Theatre Action Project AKA Creative Action	\$190,400.0
Vortex Repertory Co.	\$147,470.0
Zachary Scott Theatre Center	\$200,000.0
Zilker Theatre Productions	\$89,000.0
Folklore y Ritmos de Panama	\$6,915.0
Esquina Tango Cultural Society of Austin	\$4,250.0
Dance International	\$21,875.0
Conservatory Dance Theatre AKA The Austin City Ballet	\$24,300.0
Chaddick Dance Company AKA Chaddick Dance Theater	\$7,600.0
Kathy Dunn Hamrick Dance Company Inc.	\$23,849.0
Lannaya AKA Lannaya West African Drum and Dance Ensemble	\$10,882.0
LEAP of JOY	\$1,000.0
Puerto Rican Folkloric Dance Inc	\$36,377.0
Roy Lozano's Ballet Folklorico de Tejas	\$44,000.0
Visions in Rhythm AKA Tapestry Dance Co.	\$163,500.0
Film	\$583,248.0
Austin Film Festival Inc.	\$190,000.0
Austin Film Society	\$235,712.0

Austin Scriptworks	\$25,250.0
Cine las Americas	\$34,504.0
Motion Media Arts Center aka The Austin School of Film	\$64,600.0
Moving Image Arts & Education	\$19,050.0
Texas Nafas	\$14,132.0
Visual Arts	\$888,709.0
Austin Area Art from the Streets	\$40,898.0
Austin Fine Arts Alliance, Inc. AKA Art Alliance Austin	\$93,400.0
Austin Museum of Digital Art	\$7,400.0
Austin Visual Arts Association	\$66,350.0
Big Medium	\$112,546.0
Cherrywood Urban Landscape and Arts League AKA CHULA League	\$20,650.0
Co-Lab Projects	\$10,014.0
Fluent~Collaborative	\$5,000.0
The Contemporary Austin Museum Inc.	\$192,800.0
Generous Art, LLC	\$2,600.0
Imagine Art	\$69,900.0
La Pena	\$35,246.0
Latinas Unidas Por El Arte (LUPE Arte)	\$21,976.0
Serie Project Inc.	\$22,360.0
Shady Tree Studios	\$55,382.0
Travis Heights Art Trail	\$3,400.0
Umlauf Sculpture Garden & Museum	\$9,250.0
VSA arts of Texas	\$119,537.0
Cultural Arts / Cultural Education	\$538,444.0
Asian American Resource Center AKA AARC	\$4,400.0
Austin Latino/a Lesbian & Gay Organization AKA allgo	\$54,598.0
Austin Polish Society	\$9,100.0
Celtic Cultural Center	\$23,300.0
Great Promise for American Indians	\$89,831.0
India Fine Arts Inc.	\$46,834.0
Mexic-Arte Museum	\$186,372.0
Red Salmon Arts	\$25,559.0
Russian Speakers Society of Austin	\$11,000.0

Texas Folklife Resources (<i>total award of \$115,450</i>)	\$87,450.0
Other	\$1,254,385.0
Amala Foundation	\$3,400.0
Arc of the Capital Area	\$24,400.0
Austin Children's Museum DBA Thinkery	\$185,600.0
Austin Creative Alliance (<i>total award of \$456,515</i>)	\$396,515.0
Austin Poets International Inc.	\$14,971.0
Austin Tango Society	\$4,400.0
Borderlands Texas Poetry AKA Borderlands Texas Poetry Review	\$5,700.0
Capitol View Arts (<i>total award of \$12,245</i>)	\$3,045.0
Easter Seals-Central Texas Inc.	\$4,000.0
Fuse Box Austin AKA Fusebox Festival (<i>total award of \$117,450</i>)	\$97,450.0
Knowbility Inc.	\$24,700.0
Latinitas Inc.	\$53,000.0
MASS Gallery, Inc.	\$10,000.0
Mobile Art Program	\$9,400.0
Public Access Community Television Inc. AKA Channel Austin	\$20,800.0
South Austin Museum of Popular Culture	\$20,000.0
Texas Accountants and Lawyers for the Arts (<i>total award of \$4,200</i>)	\$2,200.0
Texas Democracy Foundation AKA The Texas Observer	\$18,800.0
The Chautauqua Foundation Inc.	\$14,450.0
Women & Their Work (Center For)	\$274,754.0
Writer's League of Texas	\$66,800.0
TOTAL	\$7,603,727.0

Appendix XVI

City of Austin Hotel/Motel Occupancy Tax and Mixed Beverage Tax Revenues

HOTEL/MOTEL OCCUPANCY TAX FUND FY2015 ALLOCATIONS

City of Austin 2014-2015 Approved Budget: *Total Transfers Out of the Fund* - \$68,666,068 ¹ The City of Austin collects 9 cents per dollar of hotel/motel room occupancy fees. The following chart created from information in the City of Austin Fiscal Year 2014-2015 Approved Budget illustrates the funds to which those fees are distributed.

FY2015 HOT Fund Distributions	Amount of Fund	Percent of Total HOT Collections	Penny Rate
Convention Center Tax Fund ²	\$34,333,034	50%	4.5 cents
Convention Center Venue Fund ³	\$15,259,126	22.2%	2 cents
Tourism & Promotion Fund ⁴	\$11,062,867	16.1%	1.45 cents
Cultural Arts Contracts Fund ⁵	\$8,011,041	11.7%	1.05 cents
TOTAL	\$68,666,068	100.0%	9.00 cents

The City of Austin FY 2014/15 Approved Budget provides a brief description of the purpose for each of these funds, excerpted here:

The distribution is as follows: 4.50 cents to the Convention Center Tax Fund to pay debt service requirements related to the Austin Convention Center, 2.00 cents to the Venue Project Fund to pay debt service for bonds issued for the expansion of the Austin Convention Center and the Waller Creek Tunnel

1. City of Austin Approved Budget, 2014-15; "Hotel/Motel Occupancy Tax Fund," Vol. 1, p.618.
2. Id., "Convention Center Tax Fund," Vol. 1, p.604.
3. Id., "Convention Center Venue Project Fund," Vol. 1, 606.
4. Id., "Tourism and Promotion Fund," Vol. 1, 647.
5. Id., "Cultural Arts Fund," Vol. 1, 607

Project, 1.45 cents to the Tourism and Promotion Fund for contract payments to the Austin Convention and Visitors Bureau (ACVB) to promote conventions and tourism for Austin, and 1.05 cents to the Cultural Arts Fund to grant contracts to artists and cultural agencies as a way to encourage, promote, and improve the arts in Austin. Cultural Arts contracts are allocated through a predetermined process involving review and recommendation by the Arts Commission and approval by the City Council. As hotel/motel occupancy collections increase, so do the disbursements to these funds. Disbursements in FY 2014T15 are expected to be \$68.7 million, which is 14.6% higher than the FY 2013T14 budget and 4.0% higher than the FY 2013T14 estimate.⁶

The Austin Convention and Visitor's Bureau (ACVB) has two employees that specifically promote music and film. Those two positions are not funded from the Tourism and Promotion Fund, but from a transfer to ACVB from the Convention Center Fund.⁷

MIXED BEVERAGE TAX THREE-YEAR REVENUE EARNINGS AND PROJECTIONS⁸

FY 2014 Revenues: \$8,959,417

FY 2015 Estimated Revenues: \$9,087,000

FY 2016 Forecasted Revenues: \$9,734,000

6. *City of Austin Approved Budget, 2014-15; "Hotel/Motel Occupancy Tax Fund, Factors Affecting Requirements," Vol. 2, p.248.*

7. *City of Austin Approved Budget, 2014-15; "Tourism and Promotion Fund, Factors Affecting Requirements," Vol. 2, p.261.*

8. *City of Austin Budget Office, as presented to Austin City Council.*

Appendix XVII

Commercial Music Hubs in Other Cities

NASHVILLE InDo Nashville

InDo Nashville is a creative hub for the entertainment industry. It will provide co-working spaces, songwriting rooms, cafe area, open workspace, dedicated office suites and conference rooms. Various levels of membership will be available, while the top floor will feature private suites. (Opens this spring).

DETROIT Musicians Community Center

The Musicians Community Center provides promotional assistance, seminars and clinics, audio recording, video production, and rehearsal space for musicians in Detroit.

CHICAGO Fort Knox Studios/ 2112

Fort Knox Studios is a venue where bands can practice and managers, entertainment lawyers and others can work, all in the same environment. It includes 92 rehearsal suites and office spaces for booking agents and others. In June, the location will launch an incubator, providing office space, access to mentors and programs such as an artist residency program, to nurture music, film, and creative technology startups.

NEW ORLEANS Habitat for Humanity - Musicians Village

This residential development was intended for musicians who were relocating back to New Orleans after Hurricane Katrina, but anyone can live there. The development is situated around a performance hall that has practice rooms and classrooms, meeting rooms, offices, classrooms and a community Internet room.

MEMPHIS Memphis Music Resource Center

The Memphis Music Resource Center is the core program of the Memphis Music Foundation. It serves as a business solutions workspace and information center for musicians in the Memphis area.

Appendix XVIII

The Titan Music Group Team

PROJECT ARCHITECT, LEAD AUTHOR – NIKKI ROWLING is the founder and CEO of Titan Music Group, LLC. Titan provides music industry-related economic development and public policy consulting to a variety of government, trade associations, and private sector companies. Under Nikki's direction, Titan Music Group has provided commercial music industry solutions for its clients since 2007. These solutions include large-scale music industry economic development studies, analytics-based and data-driven strategic models and implementation plans, quantitative and qualitative market research projects as well as best practices recommendations. Nikki was a principle architect of the Austin-Toronto Commercial Music Trade Alliance, launched in 2014 as a public-private partnership between the two cities. Currently she serves on the Steering Committee for the first-ever Music Cities Convention, a global gathering of thought leaders working to create better regionally focused music industry development strategy.

Before founding Titan, Nikki had over 15 years experience in various roles in the music industry. She co-founded Austin Music Foundation (AMF), where she served as Executive Director from 2003-2006, and has served at the board level in other community organizations, including the Central Texas Angel Network, Advisory Council of Texas Venture Labs, and Executive Committee member of Austin Music People.

Her previous work experience also includes several years in early-stage software companies that provided business-to-business neural network data optimization and data mining solutions. In 2011 Nikki was the recipient of the State Bar of Texas' Cindi Lazarri Artist Advocate Award, and a 2010 Honoree of ACTIVATE's "Rising Star of Texas Elite 100" for her work in growing entrepreneurship in Central Texas. Nikki holds a B.A. from The University of Texas at Austin's Plan II Honors Program.

CONTRIBUTING AUTHOR – ALISSA MCCAIN currently serves as the Executive Director of Texas Accountants and Lawyers for the Arts. She has been an active member of the Austin arts nonprofit community since 2002. Her previous positions include Director of Operations at Austin Creative Alliance and Director of Programs and Operations at Austin Music Foundation.

Alissa has extensive experience building professional education programming to assist the creative sector achieve economic growth and hone entrepreneurial skills. In the past 10 years, she has produced over 175 professional development events related to the creative industries that have served over 9,500 participants.

Other professional experience includes project, budget, and grant management at the Texas Department of Public Safety and large-scale event planning at South by Southwest Conferences and Festivals. Alissa holds a B.A. in Political Science from the University of Texas at Arlington and a J.D. from Texas Tech University. She is a member of the Texas Bar. She also serves as a board member of Capitol View Arts.

STATISTICAL METHODOLOGY & ANALYTICS – DR. GREG HIXON serves on the faculty at the University of Texas at Austin, where he teaches four Ph.D.-level classes per year in applied statistics and computational analytics at one of the world's leading research universities.

Dr. Greg Hixon specializes in the use of modern, computationally intensive non-linear/non-parametric statistical techniques and custom-designed simulation models. He has extensive professional and teaching experience in experimental design and advanced applied statistics, including non-linear regression, robust analysis, mixed-model regression, PCA/factor analysis, non-parametric regression, resampling and permutation techniques, time series analysis, and structural equations modeling.

Dr. Hixon has more than 25 years of experience in the application of advanced statistical techniques and mathematical models. In addition to his university duties, he serves as a expert consultant to a variety of governmental and private sector entities.

STATISTICAL METHODOLOGY & GEOGRAPHICAL INFORMATION SYSTEMS – MATT HARRIS is currently the Director of Analytic Consulting at FICO. Matt has over 20 years experience creating analytical data models and data-driven solutions to address a wide variety of business problems, with greatest concentration in CRM, risk, e-commerce and payments. Matt was also the Principal at Geotrends for over 10 years, a consulting company that applies a mix of Geographical Information Systems analytics utilizing spatial relations, population density, and other location-based data inputs along with traditional statistical methods to develop simulation models for accurately predicting real estate and land values, assist in site selection and appraisals and other location-based business decisions.

CONTRIBUTOR AND RESEARCH ASSOCIATE – BROOKS RICE is a life-long Austinite, a lover of Austin's music scene and was a performing musician for more than ten years. Brooks received his undergraduate education from the University of Texas at Austin and now practices law locally, focusing exclusively on entertainment law and small business transactions. Brooks continues to be actively involved in music-related issues and currently serves as a volunteer board member for Texas Accountants and Lawyers for the Arts, and on the council of the Texas Entertainment and Sports Law Association of the Texas State Bar.

MARKETING AND COMMUNITY OUTREACH – LISA HICKEY is a Partner at GFG Partners, a boutique marketing consultancy, with more than 15 years of experience marketing large scale festivals and events. Hickey previously held the position of Marketing Director with C3 Presents, the third largest concert promoter in the United States, and the producer of Lollapalooza and Austin City Limits Music Festival.